RAJASTHAN ELECTRICITY REGULATORY COMMISSION, JAIPUR
Petition No. RERC 2378/2025, 2379/2025, 2380/2025

In the matter of approval of True up for FY 2024-25 and Aggregate Revenue Requirement, Tariff and Investment Plan for FY 2026-27 of Jaipur Vidyut Vitran Nigam Ltd (JVVNL), Ajmer Vidyut Vitran Nigam Ltd. (AVVNL) and Jodhpur Vidyut Vitran Nigam Ltd (JdVVNL).

Coram: **Dr. Rajesh Sharma, Chairman**
Shri Hemant Kumar Jain, Member
Shri Vijay Pal Singh, Member

Petitioners: Jaipur Vidyut Vitran Nigam Ltd., Jaipur (2378/2025)
Ajmer Vidyut Vitran Nigam Ltd., Ajmer (2379/2025)
Jodhpur Vidyut Vitran Nigam Ltd., Jodhpur (2380/2025)

Date of hearing: 27.01.2026, 06.02.2026

Date of Order: **30.03.2026**

ORDER

Section-1: Background

1.1 The three distribution companies namely, Jaipur Vidyut Vitran Nigam Ltd. (JVVNL), Ajmer Vidyut Vitran Nigam Ltd. (AVVNL) and Jodhpur Vidyut Vitran Nigam Ltd. (JdVVNL), collectively called Discoms or Petitioners filed petitions vide their letters dated 28.11.2025 and 29.11.2025 respectively for JVVNL, AVVNL and JdVVNL for approval of true-up of ARR for FY 2024-25 along with Aggregate Revenue Requirement (ARR), Tariff and Investment Plan for FY 2026-27 under section 62 & 64 of Electricity Act, 2003 read with RERC (Terms and Conditions for Determination of Tariff) Regulations, 2019 and amendment thereof, RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025 and Investment Approval Regulations, 2006.

1.2 Further, the Commission vide preliminary objection dated 05.12.2025, advised Discoms to furnish Audited Annual Statement of Accounts and Annual Reports for FY 2024-25 (duly audited by CAG) including Directors Report as required in accordance with RERC (Terms and Conditions for Determination of Tariff) Regulations, 2019 & 2025 and also sought clarification that whether the figures are provisional or are based on audited accounts by statutory auditor and how the Commission can proceed based on these figures.

1.3 The JVVNL, AVVNL & JDVVNL vide their letters dated 12.12.2025 have submitted that the financial figures for FY 2024-25 as submitted along with the petitions for Truing up for FY 2024-25, determination of ARR, Tariff and approval of Investment Plan for FY 2026-27 are based on the accounts audited by the statutory auditors, the supplementary audit of which has also been carried out by CAG but its comments were awaited.

1.4 Discoms also submitted that financial figures for FY 2024-25 are expected to remain the same and CAG's comments are not likely to change the accounting figures submitted duly audited by the statutory auditor and they have requested the Commission to proceed with the petition.

1.5 As per Section 64(2) of the Electricity Act, 2003 which requires that applicant should publish application filed in such abridged form and manner as may be specified by the Appropriate Commission, the Commission, on dated 12.12.2025 allowed JVVNL, AVVNL and vide letter dated 15.12.2025 allowed JdVVNL to publish the notice in the newspapers within three days.

1.6 Accordingly, public notices with salient features of the petitions, inviting comments/suggestions, were published by JVVNL, AVVNL & JdVVNL on the dates shown against each of the petitions. Notices were also placed on the websites of the Commission and Discoms. The last date for submission of comments/ suggestions was notified as 07.01.2026, 09.01.2025 & 06.01.2026 respectively for JVVNL, AVVNL and JdVVNL:

Sr. No.	Name of Newspapers	JVVNL	AVVNL	JdVVNL
(i)	Rajasthan patrika	-	19.12.2025	17.12.2025
(ii)	Dainik Bhaskar	17.12.2025	18.12.2025	17.12.2025
(iii)	RastraDoot	-	18.12.2025	18.12.2025
(IV)	Dainik Navjyoti	17.12.2025	19.12.2025	19.12.2025
(V)	The Times of India	17.12.2025	-	18.12.2025
(Vi)	The Hindu	-	18.12.2025	-

1.7 As directed by the Commission, JVVNL on dated 24.12.2025, AVVNL on dated 26.12.2025 & JdVVNL on dated 24.12.2025 have also made Audio-visual presentation for Stakeholders at their head offices.

1.8 After examining the petitions, the Commission vide letter dated 05.01.2026, 02.01.2026 & 02.01.2026 respectively for JVVNL, AVVNL & JdVVNL pointed out the deficiencies observed in the petitions for true up for FY 2024-25, ARR, Tariff and Investment Plan for FY 2026-27 and the Discoms were directed to clarify the deficiency along with supporting documents. Commission also directed that clarification on the same and any additional information given by Discoms shall also form an integral part of this petition and should also be placed on Discoms' website.

1.9 Subsequently, JVVNL, AVVNL & JdVVNL have filed additional submission of Annual Accounts for FY 2024-25 duly audited by the CAG including Directors Report on dated 01.01.2026, 05.01.2026 & 02.01.2026 respectively.

1.10 JVVNL, AVVNL and JdVVNL vide e-filing dated 23.01.2026, 23.01.2026, 24.01.2026 respectively have submitted reply to the deficiencies indicated by the Commission.

1.11 Discoms filed additional submission vide letter dated 23.01.2026 & 24.01.2026 and seek formal approval for allowing dual source electricity supply to PHED (Public Health Engineering Department) and other HT/EHT category consumers, including data centers and essential service providers.

1.12 In all, 12 numbers of the comments/suggestions were received from the stakeholders on JVVNL, 13 numbers on AVVNL & 10 numbers on JdVVNL for True up for FY 2024-25 and Aggregate Revenue Requirement (ARR), Tariff and Investment Plan for FY 2026-27 by the due date. The list of stakeholders who submitted their written Comments/suggestions are given in the table below:

S. No.	Name of Stakeholder
1	Sh. Balmukund Sanadhya , Director, Samta Power
2	Sh. Ashok Kumar Jain, Rajasthan Textile Mills Association
3	Sh. G. L. Sharma
4	Sh. Anshuman Shrivastava, Power Foundation of India
5	Sh. Y. K. Bolia, Consumer Rights Organization
6	Sh. Anshuman Gothwal, Centre for Energy, Environment & People
7	Sh. D. D. Agarwal, Samta Power
8	Sh. L. N. Nimawat

9	Sh. V. K. Gupta, Jaipur
10	Sh. Ajay Yadav, REAR
11	Sh. Rakesh Kumar Parmar, Samajik Vikas Foundation
12	Sh. R.K. Jain, Mewar Chamber of Commerce and Industry
13	Sh. Ashish Chhabra, Udaipur Chamber of Commerce & Industry
14	Sh. Radha Krishna Marble & Granite Pvt. Ltd.
15	Sh. Prahlad Laddha, Shiv Ganga Buildcon Pvt. Ltd.
16	RVTKA(Rajasthan Vidyut Takniki Karmchari Association), Jalore
17	Sh. Ayub Mansuri
18	Ms. Ann Josey, Prayas Energy Group
19	Sh. Sunil Kumar Sharma, TPADL, Ajmer

1.13 The Commission forwarded the comments/suggestions submitted by the Stakeholders' to the respective Discoms for furnishing the reply.

1.14 Discoms furnished the reply to the Stakeholders as well as to the Commission.

1.15 The hearing in the matter was held through hybrid mode on 27.01.2026 and 06.02.2026. The list of persons who made oral submissions during the hearing is enclosed at **Annexure-A**.

1.16 During the hearing dated 27.01.2026 some stakeholders submitted that they have received the replies of the Discoms a day before and requested the Commission to grant them two weeks time for the final hearing. It was also brought to the notice of the Commission that emails have also been received from several stakeholders requesting the Commission to grant them time from 7 to 10 days.

1.17 After hearing the Petitioners and stakeholders, Commission directed the Petitioners to ensure to supply the copy of data gaps to all the stakeholders and also directed to place the data gap on website of the Discoms. Discoms were also directed to ensure to supply copy of their replies on the comments filed by respective stakeholders within three days time.

1.18 During the hearing dated 06.02.2026, after hearing the parties, order has been reserved. Commission has also granted liberty to the stakeholders to file their additional comments/ submissions within a week time, if they wish to do so.

1.19 Post hearing, the Discoms also filed clarification in respect of issues raised by the stakeholders during the hearing.

1.20 The Commission has carefully considered the petitions filed by Discoms, objections and suggestions filed by stakeholders thereon, reply given by the

Discoms in respect of stakeholder's comments/ suggestions and oral submissions made by the Stakeholders during the hearing, replies received after hearing and perused all the relevant records while finalizing this order. The Commission has also considered the comments of other Stakeholders which have been received after the due date.

1.21 Discoms prayed to approve the True up for FY 2024-25, Aggregate Revenue Requirement (ARR), Tariff and Investment Plan for FY 2026-27 as submitted.

1.22 As issues arising in all the petitions are common for all three Discoms and the Stakeholders have also made common submissions on all the petitions and a common hearing was held in the matter. Therefore, Commission has decided to consider all the petitions together for True up for FY 2024-25, Aggregate Revenue Requirement (ARR), Tariff and Investment Plan for FY 2026-27 and dispose them through this common order.

1.23 The projections approved in this order for Generation and Transmission are for the purpose of estimating the Aggregate Revenue Requirements of the petitioners. It shall not be construed as formal approval of the Commission for any investment or tariff for transmission or generating plant etc.

1.24 For ready reference, a list of abbreviations used in this order is placed at **Annexure – B** of this order.

1.25 All energy figures used in this order, unless stated otherwise, are in Million Units (MUs).

1.26 For the purpose of representation, figures given in the tables are shown as rounded off. However, for calculation purpose, actual figures have been considered.

1.27 This order has been structured in five sections as given under:

a) **Section 1**- Background.
b) **Section 2**- Stakeholders comments/suggestions, Petitioners' response and the Commission's views thereon.
c) **Section 3** - True-up of ARR for FY 2024-25 of the three Discoms.
d) **Section 4** - ARR and Investment Plan for FY 2026-27 of the three Discoms:

In section 4, the Commission has also looked into performance of Discoms, Distribution losses, effect of Loss Subsidy, various steps taken by Discoms for efficiency improvement and individually dealt various cost parameters viz power purchase cost, O&M, interest cost, Investment Plan, capital expenditure, depreciation etc. and the estimated sales and revenue for various categories of consumers in accordance with RERC (Terms and Conditions for Determination of Tariff) Regulations, 2019.

e) **Section 5** –Tariff Proposals and approved Tariff:

Discoms have proposed certain rationalization measures in order to facilitate better utilization of resources, economic pricing and better revenue management which have been dealt in this section.

f) **Section 6**- Directives:

In this section, the Commission has considered compliance of directions given in its previous order and has made observations and directives for improvement of the sector as a whole and Discoms.

Section – 2 Stakeholders comments, Petitioners' response and the Commission's views:

Part I –Issues/Comments related to True-up of FY 2024-25

2.1 <u>Accounts and C&AG observation:</u>

2.1.1 Stakeholders' Suggestions/Comments:

It was submitted that Discoms may provide the Annual Account of FY 2024-25 duly audited by CAG and copy of their Director's report.

2.1.2 Petitioners' Response:

Discoms submitted that the Annual Audited Accounts for FY 2024-25 along with the Director's Report have been submitted.

2.1.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.2 <u>Variation:</u>

2.2.1 Stakeholders' Suggestions/Comments:

It was submitted that major deviations exist in power purchase cost, O&M expenses and interest & finance charges compared to approve figures, without adequate explanations. Discoms may provide justification for each deviation.

2.2.2 Petitioners' Response:

Discoms clarified that it is a typographical error and actual numbers have been submitted by the Discoms.

2.2.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.3 <u>Temporary connection</u>

2.3.1 Stakeholders' Suggestions/Comments:

It was submitted that Discoms have not furnished details regarding sales through temporary connections and the corresponding revenue realized. Discoms may provide this information, for the True-up of FY 2024-25 as well as the Tariff Petition for FY 2026-27.

2.3.2 Petitioners' Response:

Discoms submitted the required data pertaining to temporary connections for FY 24-25.

2.3.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.4 <u>Sales and Revenue</u>

2.4.1. Stakeholders' Suggestions/Comments:

1. Discoms have stated that projections for FY 2025-26 have been revised based on actual figures up to September 2025 for power purchase and energy sales, the actual data up to September 2025 has not been furnished. Discoms may provide month-wise actual figures from April 2025 to September 2025 (or up to the latest available period) for power purchase and category-wise energy sales.

2. Jaipur Discom submitted that actual category-wise sales and revenue have been considered as per the annual accounts. However, on examination of the annual accounts submitted, no such category-wise sales and revenue details are found. Jaipur Discom may indicate the specific Note number of the accounts where these figures are disclosed. Other Discoms may also provide similar information.

3. It was submitted that in Jaipur Discom Energy sales increased from the approved 34,021 MU to 35,392 MU for FY 2024-25 (an increase of 1,371 MU). Considering transmission losses of 8.79% and distribution losses of 13.75%, the additional power purchase required works out to 1,697 MU. However, JVVNL procured an additional 2,228 MU (1,768 MU short-term purchase and 460 MU bilateral purchase), which is significantly higher than the required quantum, indicating excess procurement.

4. It was submitted that Commission may review both revenue and expenditure on the basis of trued-up energy sales for FY 2023– 24. If any over-recovery is established upon such review, the same may kindly be passed on to consumers in the True-Up for FY 2024–25, in the interest of equity and consumer protection.

5. It was submitted that in Jodhpur Discom the comparison of approved and actual energy sales for FY 2024-25 shows a significant reduction in consumption by large industries, from 3,254 MU (approved) to 2,658 MU (actual). The Discom is required to explain the reasons for this gap.

2.4.2. Petitioners' Response:

1. Discoms submitted the latest available figures pertaining to category wise sales and source wise purchase along with the reply to the data gaps observed by the Commission.

2. Jaipur Discom submitted that the category wise sales and revenue is indicated in the Additional Disclosures of the Annual Audited Accounts.

3. Discoms submitted that that detailed methodology and justification for estimating the power purchase cost has been provided in the Instant Petition and the Discom's reply to the deficiencies observed by the Commission also provided and requested to consider the submissions made.

4. Discoms submitted that the ARR and tariff filings have been prepared in full compliance with the RERC Tariff Regulations, 2025 and the directions of the Commission. The required information has been furnished in the prescribed formats issued by the Commission, and point-wise replies to all data gaps and deficiencies have already been submitted for the Commission's consideration.
5. JdVVNL submitted that actual sales figures are duly audited by a Statutory Auditor appointed by the CAG and that variation in energy sales is influenced by uncontrollable factors such as consumption patterns, economic conditions, industrial growth and weather. Therefore, requested to consider the actual audited sales as submitted in the petition.

2.4.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.5 Transmission Losses

2.5.1. Stakeholders' Suggestions/Comments:

It was submitted that the Commission has many times directed Discoms that they should file the information of inter and intra state losses separately, however, all Discoms have failed to file the same. Therefore, it is suggested that the Commission may disallow the excess transmission losses and impose appropriate penalties, in order to uphold the sanctity of the Commission's directions.

2.5.2. Petitioners' Response:

Discoms submitted that a committee was formed on dated 29.07.2025 to analyze Intra and inter State losses of the Discoms. The compliance to provide bifurcation of interstate & intrastate losses will be done from FY 2025-26 onwards. Therefore, the Discoms have requested to consider the transmission losses as indicated in the Annual Audited Accounts.

2.5.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and replies of Discoms thereto and has dealt with this issue of transmission losses under true up analysis section of this order.

2.6 Distribution Losses

2.6.1. Stakeholders' Suggestions/Comments:

1. JVVNL has submitted that it has taken various initiatives towards immaculate planning but has not been able to show results for such high loss levels areas. Commission to take into account such high loss levels Circles and may direct the Discom to reduce Distribution losses in such Circles.

2. Distribution losses continue to remain above the prescribed level. It is submitted that the methodology for calculating distribution losses should be based on practical parameters and the correct calculation should be provided again.

3. It was submitted that Commission may issue appropriate directions to the Discoms to ensure complete, accurate, disaggregated data submission in prescribed formats and targeted, time-bound reduction of distribution losses, especially in high-loss circles.

4. It was submitted that the Commission had sought voltage-level-wise distribution losses (33 kV, 11 kV and LT), including commercial losses (theft). However, JVVNL has not furnished this information, despite meters being installed at every stage.

5. It was submitted that JdVVNL has made substantial investment in various loss reduction schemes with the objective of reduction of losses but still losses are not as per trajectory set by the Commission vide its earlier tariff orders.

2.6.2. Petitioners' Response:

1. Discoms submitted that detailed submission is provided in the Discom's statement of compliance to the directives issued by the Commission and the Discom's reply to the deficiencies observed by the Commission and requested to consider the submissions made.

2. Discoms submitted that the AT&C loss target under RDSS for FY 2023–24 has been achieved. The methodology and detailed computation of distribution losses have been provided in the audited financial statements for FY 2023–24 and have been duly incorporated in the instant petition.

3. Discoms submitted that circle-wise targets for distribution loss reduction have been assigned, supported by organizational and technical measures such as daily monitoring of energy drawl, timely billing, prompt replacement of defective meters, and intensified anti-theft actions. Jaipur Discom stated that these efforts have reduced distribution losses from 15.77% in FY 2023–24 to 13.75% in FY 2024–25, with continued efforts planned for high-loss circles.

4. JVVNL submitted that the voltage-wise distribution loss details, including 33 kV, 11 kV and LT levels, have already been furnished as part of the compliance to the Commission's directives and in replies to the deficiencies observed by the Commission, and requested that the same be considered.

5. JdVVNL submitted that it is implementing a structured, multi-pronged loss reduction strategy including network strengthening, feeder segregation, smart metering, IT-enabled monitoring, timely new connections, and intensified vigilance and anti-theft drives in high-loss areas. These measures are being regularly monitored at management level, and the Discom is committed to progressively aligning with regulatory loss targets, requesting the Commission to consider its ongoing efforts and submitted loss figures.

2.6.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and replies of Discoms thereto and has dealt with this issue of distribution losses under true up analysis section of this order.

2.7 Power Purchase

2.7.1. Stakeholders' Suggestions/Comments:

1. It was submitted that JVVNL, AVVNL and JdVVNL procured 460 MU, 350 MU and 416 MU respectively of power through bilateral sources at a high rate of Rs. 6.91/kWh, without furnishing details on whether prior approval of the Commission was obtained. Clarification and justification for such procurement are required from the Discoms.
2. It was submitted that Discoms procured an excessive quantum of short-term power at a high average rate of Rs. 5.18/kWh, against the approved at Rs. 4.89/kWh. Such heavy dependence on volatile and expensive short-term sources reflects unwise and imprudent power procurement planning.
3. It was submitted that although energy sales increased by 1,371 MU, requiring only about 1,697 MU of additional power purchase after accounting for losses, JVVNL procured a much higher 2,228 MU through short-term and bilateral sources. This indicates over-procurement beyond actual requirement and reflects inefficient planning and procurement.
4. It was submitted that Discoms in FY 2024-25 has procured Power from costlier sources despite availability of cheaper sources of Power. Discoms have not adopted the principles of Merit Order Dispatch and have also deviated from the approved Power Purchase while procuring such costlier Power in FY 2024-25.
5. It was submitted that the Power Purchase Cost shall be on least cost basis. In view of above, it may be prudent for the Commission to not consider the Power from such costly bilateral sources if not approved in-principally by the Commission.
6. It was submitted that non-adherence to approved power procurement sources has resulted in avoidable higher power purchase costs. Had procurement been carried out strictly as per regulatory provisions, significant savings could have been achieved (Rs. 318 crore, Rs. 242 crore and Rs. 287 crore, respectively for the JVVNL,AVVNL & JdVVNL) and requested the Commission to determine the power purchase cost for FY 2024–25 in accordance with the Regulations, disallow the excess cost attributable to costlier, unapproved procurement, and ensure that such burden is not passed on to

consumers, but borne by the Government of Rajasthan as subsidy, if required.

2.7.2. Petitioners' Response:

Discoms submitted that the power purchase costs for FY 2024–25 have been considered based on the actual expenditure recorded in the audited financial statements and prepared in accordance with applicable regulations. Detailed justification for power procurement, including short-term and bilateral purchases, has already been provided in the instant petition and in replies to the data gaps/deficiencies observed by the Commission. Discoms requested to consider the submissions made.

2.7.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and replies of Discoms thereto and has dealt with issue of power purchase in true up analysis section of this order.

2.8 <u>Fixed Assets and Depreciation</u>

2.8.1. Stakeholders' Suggestions/Comments:

1. It was submitted that Discoms have not provided the calculation of depreciation as per Reg. 22(4) of RERC Tariff Regulations 2019.
2. It was submitted that Discoms may provide detailed information on assets added during FY 2024–25, including length, cost, commissioning date, and start–end locations of 11 kV and 33 kV lines (at least for 33 kV lines), and details of newly created 33 kV substations with their MVA capacity, individual cost, and date of commissioning.
3. It was submitted that JVVNL (Rs. 1.32 crore), AVVNL (Rs. 7.02 crore), and JdVVNL (Rs. 1.85 crore) have claimed losses due to theft of fixed assets under other debits. Since insurance charges are already allowed in ARR, such losses are required to be covered through insurance. Further, the Commission, in the True-Up Order for FY 2023–24, had disallowed similar claims. Therefore, requested to disallow the above amounts claimed towards theft of fixed assets for all the Discoms.
4. It was submitted that Discoms have overstated depreciation in the True-Up of FY 2024–25 by computing depreciation as per audited accounts instead of regulatory norms, and by not adopting the opening GFA approved by the Commission.

Therefore, requested to disallow the excess claims.

5. It was submitted that Discoms have reported depreciation for FY 2024–25 significantly higher than the amounts approved by the Commission. Therefore Petitioners may explain the reasons for these deviations and provide a detailed asset-wise calculation and depreciation methodology adopted, for proper regulatory scrutiny.

2.8.2. Petitioners' Response:

1. Discoms submitted that all the requisite information for the determination of ARR as per the provisions of RERC Tariff Regulations 2019 and 2025, and as available have been provided to the Commission as a part of the filed petition and reply to data gaps and requested it to consider the same.

2. Discoms submitted that the losses due to theft of fixed assets claimed under other debits are based on actual expenditure recorded in the audited financial statements for FY 2024–25, duly audited by the Statutory Auditor appointed by the CAG, and requested the Commission to consider the claims as submitted.

3. Discoms submitted that depreciation for FY 2024–25 has been computed in accordance with the methodology prescribed under the RERC Tariff Regulations, 2019. Block-wise depreciation details are available in the audited financial statements, and the claims are based on actual audited expenditure for FY 2024–25, duly audited by the Statutory Auditor appointed by the CAG, and hence requested the Commission to consider the same.
4. Discoms submitted that the depreciation claimed for FY 2024–25 is based on the audited financial statements prepared in accordance with the Tariff Regulations. Detailed justification and supporting information have already been provided in the true-up petition and in replies to the deficiencies observed by the Commission, and consideration of the same has been requested.

2.8.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and replies of Discoms thereto and has dealt with this issue of depreciation in true up analysis section of this order.

2.9 <u>O& M and Insurance Charges</u>

2.9.1. Stakeholders' Suggestions/Comments:

1. It was submitted that while working out the O&M expenses, sales should be considered after excluding distribution franchisee sales.
2. It was submitted that in AVVNL total approved O&M expenses are Rs. 1,582 crore, whereas the petition shows Rs. 2,152 crore, even though the bifurcation of Employee and A&G expenses totals Rs. 1,582 crore. The Petitioner is requested to clarify the reasons for this variation.
3. It was submitted that AVVNL spent only Rs. 0.99 crore against the approved Rs. 30 crore, and JdVVNL spent only Rs. 0.5 crore against the approved Rs. 26 crore on insurance. This is a serious concern, and the Discoms are requested to explain the reasons for such low expenditure.

2.9.2. Petitioners' Response:

1. Discoms requested to consider the O&M expenses as per the filed petition based on the Annual Audited Accounts.
2. Discom clarified that it is a typographical error and actual numbers have been submitted by the Discom.
3. Discoms submitted that the O&M expenses for FY 2024–25, including insurance components, have been presented based on actual expenditure as per audited financial statements, whereas earlier approvals were on normative basis under Tariff Regulations, 2019. Discoms submitted that they are complying with Commission directions regarding terminal benefit fund deposits and employee welfare and training, and requested the Commission to consider the audited actuals submitted in the petition.

2.9.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has approved the O&M expenses as per norms prescribed in the RERC Tariff Regulations, 2019.

2.10 <u>Terminal benefit</u>

2.10.1. Stakeholders' Suggestions/Comments:

It was submitted that Discoms should furnish the certificate of depositing the amount towards terminal benefit fund.

2.10.2. Petitioners' Response :

Discoms submitted that the required information has been submitted by them as a part of the reply to the data gaps observed by the Commission.

2.10.3. Commission's View:

The Commission has allowed the expenses towards terminal benefit only to the extent of actual payment made to designated Fund.

2.11 RDSS

2.11.1. Stakeholders' Suggestions/Comments:

1. It was submitted that in light of RDSS conditions and Commission's own directions, Regulatory Surcharge should be borne by the State Government, and not loaded onto industrial tariffs.
2. It was submitted that the Discoms' progress under the RDSS scheme is slow and significantly below approved targets, indicating deficiencies in planning and execution despite early project awards. Discoms may provide circle-wise and year-wise targets and progress of smart metering at feeder and DT levels, along with supporting documents on ROW issues, and details of contract terminations, legal stays, their current status, and impact on project timelines.

2.11.2. Petitioners' Response :

1. Discoms submitted that the Discoms are complying with the criteria of the RDSS stipulating non-creation of Regulatory Assets.
2. Discoms submitted that detailed information regarding RDSS progress, including targets and implementation status, has already been furnished in their replies to the deficiencies observed by the Commission, and requested that those submissions be considered.

2.11.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.12 <u>Subsidy</u>

2.12.1. Stakeholders' Suggestions/Comments:

1. It was submitted that Discoms may provide the subsidy amount assessed for FY 2024–25 as per Section 65 of the Electricity Act, 2003, along with the actual subsidy received from the State Government against such assessment. Each Discom may also disclose the outstanding subsidy amount as on 31.03.2024.

2. It was submitted that for FY 2024–25, the Commission may consider revised revenues after factoring in Government department dues and unpaid subsidies. The corresponding increase in revenue is attributable to the Government of Rajasthan, and therefore the additional amounts should be borne by the GoR in the form of additional subsidy, and not passed on to consumers.

3. It is submitted that the Jaipur and Ajmer Discoms may provide complete, scheme-wise details of subsidies, including expenditure, electricity supplied, subsidy assessed, subsidy received, subsidy outstanding, and timelines for receipt of the balance subsidy.

4. It is submitted that tariff subsidy is not being received in advance or in a timely manner from the Government of Rajasthan, resulting in additional interest burden on consumers. The Commission is therefore requested to take serious action under the Electricity Act and existing Regulations to ensure strict compliance with advance payment of subsidy.

2.12.2. Petitioners' Response :

1. The Discoms submitted that the details pertaining to tariff subsidy have been captured in the True Up formats for FY 2024-25.

2. The Discoms submitted that Government subsidy is being provided in accordance with Section 65 of the Electricity Act, 2003 and quarterly subsidy reports are regularly filed with the Commission. Revenue and collection efficiency have been computed as per the Ministry of Power methodology and audited financial statements, based on accrual accounting and billed revenue only, without assuming recovery of pending government dues or unpaid subsidy, and requested the Commission to consider the petition accordingly.

3. The Discoms submitted that they are complying with the Commission's directions by regularly submitting Quarterly Subsidy Reports, and stated that the Government of

Rajasthan is committed for providing subsidy in accordance with Section 65 of the Electricity Act, 2003.

4. The Discoms submitted that tariff subsidy is provided by the Government of Rajasthan under Section 65 of the Electricity Act and the Government is committed to timely release. Details of subsidy assessed and realized have been furnished in tariff formats and quarterly subsidy reports have been submitted to the Commission in compliance with tariff order directives. The petition also reflects an estimated revenue surplus for FY 2024-25.

2.12.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.13 Fuel Surcharge

2.13.1. Stakeholders' Suggestions/Comments:

It was submitted that Discoms may provide details of the Special Fuel Surcharge (in respect of energy from the Adani plant), including the amount recovered up to 31.03.2024, the amount recovered during FY 2024–25, and the balance amount remaining to be recovered as on 01.04.2025.

2.13.2. Petitioners' Response:

Discoms submitted that the required information has been submitted by them as a part of the reply to the data gaps observed by the Commission.

2.13.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with this issue under true-up analysis section of this order.

2.14 Distribution Franchisee

2.14.1. Stakeholders' Suggestions/Comments:

1. It was submitted that JVVNL has not submitted audited performance reports of

franchisees.

2. It was submitted that JdVVNL be directed to submit the correct distribution loss data for the Sriganganagar, Anoopgarh and Balotra Circle, and to furnish category-wise energy sales data for franchisee areas at end-consumer level.

2.14.2. Petitioners' Response :

1. JVVNL submitted that the independent audit reports for the operations of both KEDL and BESL have already been finalized for the period from April 2021 to September 2022. Further, the Auditor has submitted draft audit reports up to Q2 of FY 2025–26. The process of finalization of these audit reports is presently under progress, and the same will be submitted upon completion.

2. JdVVNL submitted that detailed submission on losses is provided in the Discom's statement of compliance to the directives issued by the Commission and the Discom's reply to the deficiencies observed by the Commission. In view of the detailed justification and submissions already placed on record, the Petitioner requested to consider the same.

2.14.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

Part II –Issues/Comments related to Aggregate Revenue Requirement (ARR) and Investment Plan of FY 2026-27

2.15 <u>General</u>

2.15.1. Stakeholders' Suggestions/Comments:

1. It was submitted that power factor incentive should be given after minimum energy charges.

2. It was submitted that Agricultural consumption projections must be re-validated and rationalised Discom-wise.

3. It was submitted that the Discom lacks an effective internal financial reporting system and ERP-based billing, with many entries being matched manually, raising concerns over data reliability.

4. It was submitted that disconnection provisions for power factor below 0.7 is harsh and should be replaced with penalty-based corrective measures.
5. It was submitted that strengthening of grievance redressal forums with inclusion of non-government experts and retired Engineers and use of online mechanisms should be used for faster resolution.
6. It was submitted that smart meters have not been installed at feeder VCB level and distribution transformer centres, which weakens monitoring, loss assessment and theft control.

2.15.2. Petitioners' Response :

1. Discoms submitted that in the Instant Petition, no revision is proposed to the power factor incentive offered by the Discoms.
2. Discoms submitted that justification has been provided in the Instant Petition and the Petitioner has also clearly indicated the methodology by which sales for agriculture consumers have been projected.
3. Discoms committed to the expedited implementation of ERP and requested to consider the detailed submission made in the Discom's statement of compliance to the Directives issued by the Commission.
4. Discoms submitted that the expenses presented in the petition are based on actual expenditure incurred during FY 2024–25 and recorded in the audited financial statements, and that detailed justification has already been provided in the petition. Therefore, requested to consider the submissions made.
5. Discoms submitted that a 24×7 centralized toll-free complaint system is operational with adequate capacity, and consumers can also lodge complaints through online platforms such as email and the Urja Sarathi app. Complaint data is regularly reported to the Commission through Quarterly Standards of Performance reports, and the Discom stated it is committed to prompt consumer grievance redressal.

2.15.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto. Discoms are directed to bring clarity regarding corrective measures to deal with issues for power factor below 0.7.

2.16 Compliance of Directives

2.16.1. Stakeholders' Suggestions/Comments:

1. The Commission directives have not been complied with by the Discoms.
2. It was submitted that the Commission have to impose penalty for repeated non-compliance of Direction given by the Commission regarding bifurcation of the intrastate & interstate Transmission Losses.

2.16.2. Petitioners' Response:

1. Discoms submitted that detailed statement of compliance to the directives issued by the Commission has been provided in the Instant Petition.
2. Discoms submitted that a committee was formed on dated 29.07.2025 to analyze Intra and inter State losses of the Discoms. AVVNL requested for some more time for the compliance to provide bifurcation of interstate & intrastate losses.

2.16.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto. The Commission has reviewed Compliance of Directives in section 6 of this order.

2.17 Power Purchase

2.17.1. Stakeholders' Suggestions/Comments:

1. It was submitted that the quantum of power purchase has to be arrived at on the basis of energy balance approved.
2. It was requested to reduce Power Purchase Cost from costly bilateral sources if they were not in principally approved by the Commission.
3. It was submitted that power purchase cost projections are inflated and not strictly aligned with merit order dispatch.
4. It was submitted that the power purchase cost of the Discoms continues to be higher than the prevailing national average power purchase rate, indicating scope for further optimization and cost reduction.
5. It was submitted that Discoms may revise the power purchase cost reflecting power

availability from various NCES sources, including RTS and other decentralized sources, so that power purchase cost projections for FY 2025–26 and FY 2026–27 are more accurate and realistic.

6. It was submitted that RVUIT/Discoms may place on record complete power purchase details for FY 2024-25 along with projections for FY 2025-26 and FY 2026-27.
7. It was submitted that projected ARR for FY 2026-27 shows a sharp increase despite projected reduction in power purchase cost and interest on regulatory assets. The projected average cost of supply of Rs. 8.05/unit was very high and requires downward revision.
8. It was submitted that projected reduction in MU purchase from RVUNL has resulted in artificially higher per-unit cost, contrary to RVUNL's own projected cost.

2.17.2. Petitioners' Response:

1. Discoms have detailed out the methodology used for the calculation of power purchase cost in the filed Petition.
2. Discoms submitted detailed methodology and justification for estimating the power purchase cost for FY 2026-27 has been provided in the Instant Petition and the Discom's reply to the deficiencies observed by the Commission.
3. Discoms submitted that their power purchase cost cannot be directly compared with the national average as it is affected by Rajasthan-specific constraints, including large geographical spread and low population density, absence of in-state coal mines leading to high coal transportation costs, increased coal levies due to sector reforms, and limited availability of low-cost hydro power sources in the State, all of which result in relatively higher procurement costs.
4. Discoms submitted that the short term power purchase include power procured through DEEP portal, Energy exchanges etc.
5. Discoms submitted that complete power purchase details and projections have already been provided in the petition, prepared as per Tariff Regulations, 2025. Projections for FY 2025–26 are based on actual data available up to September 2025, and FY 2026–27 projections are derived through prescribed pro-rata extrapolation and escalation methods. The petition includes detailed energy balance, source-wise purchase data, and charge summaries.

6. Discoms submitted that Discoms projected the ARR for FY 2026-27 as per the provisions of the Tariff Regulations 2025.

7. Discoms submitted that the estimation of RVUNL power purchase cost and projected quantum has been done using a defined methodology explained in the petition. Detailed justification and supporting explanations have also been provided in replies to the Commission's deficiency, and requested to consider the submissions made.

2.17.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with this issue of power purchase in ARR section of this order.

2.18 <u>Distribution losses</u>

2.18.1. Stakeholders' Suggestions/Comments:

1. It was submitted that the Discoms continue to have several high-loss circles. Therefore, requested to the Commission to specifically consider these high-loss circles and issue directions to the Discoms for time-bound reduction of distribution losses in such areas.

2. It was submitted that Discoms may submit a detailed clarification explaining the continued high losses circle despite being adopted for focused interventions.

3. It was submitted that although distribution losses in AVVNL are reported at 7.5%, detailed supporting data has not been provided, including category-wise defective meters, replacements, and closing balances.

4. It was submitted that despite reported distribution losses of 7.5%, tariffs continue to increase. Discoms may clarify the same.

2.18.2. Petitioners' Response:

1. Discoms submitted that detailed clarification regarding high-loss circles and focused intervention measures has already been provided in their compliance reports to the Commission's directives and in replies to deficiency, and requested to consider submissions made.

2. AVVNL submitted that distribution loss of 7.63% for FY 2024-25 is based on audited financial statements. Detailed data on defective agricultural meters (1, 36,729 as on 31.03.2025, with 21,113 replaced) and circle-wise losses have been provided, with focused replacement efforts underway in high-defective-meter circles like Nagaur, Sikar and Jhunjhunu.

2.18.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue of distribution losses in ARR section of this order.

2.19 <u>Roof Top Solar</u>

2.19.1. Stakeholders' Suggestions/Comments:

1. It was submitted that while the VNM/GNM framework addresses a key structural requirement, there is a need for clarity and uniformity in Net Billing implementation to ensure consumer confidence and smooth adoption of rooftop solar systems.

2. It was submitted that Commission may approve, notify and instruct Discoms to issue a clear Net Billing methodology for rooftop solar consumers.

3. It was submitted that rooftop solar implementation is delayed and incentives are inadequate. Disclosure of installed capacities and realistic costing/subsidy support under PM Surya Ghar scheme were requested.

4. It was submitted that implementation details and financial impact of rooftop solar under PM Surya Ghar and State schemes are unclear. Discoms may submit annual capacity addition plans, assess network impact, provide circle/division-wise strengthening plans, and revise capital expenditure accordingly. Pilot projects were suggested before full-scale rollout.

5. It was submitted that net metering consumers receive services at concessional rates and there is a need to move towards cost compensation. Suggestions included higher fixed charges for consumers with sanctioned load above 3 kW and applicability of ToD tariffs with non-solar hour surcharges.

2.19.2. Petitioners' Response:

1. Discoms submitted that net billing under rooftop solar is being implemented as per applicable Regulations and Orders, with clear billing methodology demonstrated through sample bill parameters and calculations. Discoms submitted that field officials are well versed with the net billing mechanism and that the process is being uniformly followed in practice.

2. Discoms submitted that the net metering guidelines are already available on the Jaipur Discom website having document no. JPD6-540 dt. 04.01.22.

3. Discoms submitted that under Budget 2025-26, rooftop solar installations are being implemented to provide 150 units/month free electricity under Mukhyamantri Nishulk Bijli Yojana through PM Surya Ghar with additional State subsidy support. Operational guidelines have been issued and Discoms are actively promoting the scheme. Solar generation from rooftop installations has been considered and adjusted in sales projections to reflect its impact on overall demand and consumption.

4. Discoms submitted that in the Instant Petition, no revision is proposed in the Tariff design for Net Metering Consumers. Therefore, Discoms requested to consider the submissions made.

2.19.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt in ARR section of this order.

2.20 <u>O&M Expenses</u>

2.20.1. Stakeholders' Suggestions/Comments:

1. It was submitted that O&M expenses may be allowed on normative basis on the basis of sales decided. However, sales of franchises areas may not be considered as in the past.

2. Stakeholder had opposed inclusion of sales to distribution franchise areas for approval of O&M expenses, stating that since Discoms do not carry out O&M activities in DF areas, O&M expenses should not be allowed on DF sales.

3. It was submitted that Discoms may furnish details of monthly O&M expenses per meter, the benefits achieved in areas with smart meter deployment, and the estimated O&M expenses related to smart meters for FY 2025–26.

2.20.2. Petitioners' Response:

1. Discoms submitted that O&M expenses for FY 2025-26 have been projected based on norms specified in Tariff Regulations, 2025 and requested to consider the submissions made.
2. Discoms submitted that all required details regarding O&M expenses, including treatment of DF areas and smart meter–related O&M information, have already been furnished in the petition in accordance with Tariff Regulations and Commission directions, and also in replies to deficiency observed by Commission, and requested to consider those submissions.

2.20.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue of O&M in ARR section of this order.

2.21 <u>Terminal Benefit</u>

2.21.1. Stakeholders' Suggestions/Comments:

It was submitted that that no terminal benefit claim is admissible in the absence of an actuarial valuation report.

2.21.2. Petitioners' Response:

Discoms submitted that all required information relating to terminal benefits has already been provided in the petition and in replies to data gaps. Discoms clarified that the Government of Rajasthan takeover applies only to actuarial liability and not to regular terminal benefit liabilities.

2.21.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue of terminal benefit in ARR section of this order.

2.22 <u>Interest on term and Working Capital Loan</u>

2.22.1. Stakeholders' Suggestions/Comments:

It was submitted that interest on loan over and above the normative working capital and term loan should not be allowed.

2.22.2. Petitioners' Response:

Discoms submitted that interest on working capital for FY 2025-26 have been projected based on norms specified in Rajasthan Electricity Regulatory Commission (Terms and Conditions for Determination of Tariff) Regulations, 2025.

2.22.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto. The Commission has dealt with issue of interest and finance charges under true up analysis section of this order.

2.23 <u>Depreciation</u>

2.23.1 Stakeholders' Suggestions/Comments:

It was submitted that depreciation should be allowed only on duly arrived capital gross assets, strictly in accordance with Regulation 22(4) and its provisos of the Tariff Regulations, 2025.

2.23.2 Petitioners' Response:

Discoms submitted that depreciation for FY 2025-26 have been projected based on norms specified in Tariff Regulations, 2025.

2.23.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with this issue of depreciation in ARR section of this order.

2.24 <u>Interest and Finance charges</u>

2.24.1 Stakeholders' Suggestions/Comments:

1. It was submitted that Discoms may undertake refinancing through REC/PFC/Banks to reduce ARR.

2. It was submitted that Interest and finance charges should be allowed only on loans arrived at on a normative basis.

3. It was submitted that interest rates assumed for loans and working capital are very high compared to prevailing market rates and Discoms may undertake refinancing through REC/PFC/Banks to reduce ARR.

2.24.2 Petitioners' Response:

1. Discoms submitted that due justification has been provided in the Instant Petition and also clearly indicated the methodology by which interest and finance charges have been estimated for FY 2026-27. Moreover, the Discom has estimated interest on working capital as per the norms prescribed in the Tariff Regulations 2025. Therefore, requested to consider the submissions made.

2. Discoms submitted that interest and finance charges for FY 2025-26 have been projected based on norms specified in Tariff Regulations, 2025 and same has been detailed out in the instant petition.

2.24.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with this issue of interest on term loan & working capital and finance charges in ARR section of this order.

2.25 <u>Sales</u>

2.25.1 Stakeholders' Suggestions/Comments:

1. It was submitted that Discoms may submit month-wise energy sales projections for each consumer category and sub-category based on such improved methodologies.

2. It was submitted that the projected energy sales in AVVNL for small and medium industrial categories are not showing proportional growth, which is a matter of concern, and therefore tariff for these categories should be reduced further to support industrial development and maintain the financial balance of the Discom.

2.25.2 Petitioners' Response:

1. Discoms submitted that the methodology for projecting category-wise and sub-category-wise energy sales, including projections for FY 2026–27, has been fully explained in the petition, with further justification provided in replies to the Commission's deficiency, and requested that the same be considered.

2. Discoms submitted that revised energy sales projections for FY 2025–26 are based on actual data up to September 2025 and FY 2026–27 projections are derived through proportionate extrapolation. Discom submitted that industrial energy sales depend on socio-economic and market conditions, tariff for various categories have already been duly reduced, and industrial consumers continue to receive applicable concessions.

2.25.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with this issue in ARR section of this order.

2.26 <u>Regulatory Asset surcharge</u>

2.26.1 Stakeholders' Suggestions/Comments:

1. It was submitted that in light of RDSS conditions and Commission's own directions, Regulatory Asset Surcharge should be borne by the State Government, and not loaded onto industrial tariffs.

2. It was submitted that the projected revenue surpluses for FY 2025–26 and FY 2026–27 are incorrectly computed as they include revenue from Regulatory Surcharge, which is meant solely for liquidation of regulatory assets and cannot be treated as current-year revenue. Therefore, direct the Discoms to disclose year-wise details of regulatory assets, including opening balance, additions, recoveries, and closing balance.

3. It was submitted that the proposed recovery of costs pertaining to regulatory assets through consumer tariffs imposes an unjustified financial burden on consumers.

4. It was submitted that under RDSS conditions and Commission's own directions, financing of regulatory assets and financial losses is the responsibility of the State Government. Levy of Regulatory Asset Surcharge on consumers, particularly industrial consumers, is contrary to RDSS provisions and increases tariff by about Rs.1.00/unit. It is requested that Regulatory Assets Surcharge be borne by the State Government and not loaded onto industrial tariffs.

5. The stakeholder opposed recovery of regulatory assets through additional regulatory surcharge, submitting that regulatory assets should be funded by the State Government.

6. It was submitted that Regulatory Surcharge approved by the Commission is not being included in ABR calculation for Distribution Franchisees, which is contrary to the DF Agreement; therefore, it should be incorporated in ABR with retrospective effect from 01.10.2025.

2.26.2 Petitioners' Response:

1. Discoms submitted that levy and recovery of Regulatory Asset Surcharge is legally supported under the Electricity Act, Tariff Policy 2016, and judicial directions of APTEL and the Supreme Court, which require regulatory assets to be liquidated within a time-bound period through tariff. Discoms further submitted that the surcharge approved by the Commission is within the legal framework. Also no new regulatory assets are being created in the present petition, thereby complying with RDSS conditions.

2. Discoms submitted that the details regarding regulatory asset balances and related computations have already been provided in the petition, and requested to consider those submission.

3. Discom submitted that under RDSS conditions no new regulatory assets are being created going forward, and that the Government of Rajasthan is now taking over 100% of the Discoms' annual losses as per audited accounts. Discom further submitted that, as per Supreme Court directions, existing regulatory assets must be liquidated within a prescribed time-bound period, and recovery through tariff is aligned with these directions.

4. Discom submitted that as per RERC Tariff Order FY 2025-26, Regulatory Surcharge is meant for liquidation of regulatory assets and is not part of tariff, hence it cannot be included in ABR. Distribution Franchisees must pass it separately to Discoms. Accordingly, the Discom has issued Circular AJ-967 to ensure proper implementation and compliance with the Commission's instructions regarding the treatment of the Regulatory Surcharge.

2.26.3 Commission's View:

1. The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.
2. The Commission has observed that Hon'ble Supreme Court vide its order dated 06.08.2025 issued mandatory and time-bound directions applicable to all State Electricity Regulatory Commissions regarding recovery and liquidation of Regulatory Assets. The Hon'ble Court directed State Commissions that Regulatory assets existing as on 01.04.2024 must be liquidated in maximum 4 years.
3. Meanwhile, in the interest of consumers and to avoid tariff shock to the consumers, the Rajasthan Commission has also moved to the Hon'ble Supreme court vide Miscellaneous Application bearing diary No. 54463/2025 for seeking extension in the period for liquidation of existing Regulatory Assets to 7 years in terms of Rule 23 of the Electricity (Amendment) Rules, 2024 as against 4 years as directed under Judgment dated 06.08.2025.
4. Thereafter, the Hon'ble Supreme Court has amended the order dated 06.08.2025 vide order dated 28.10.2025 w.r.t. period of liquidation as 7 years as per Rule 23 of the Electricity (Amendment) Rules, 2024.
5. As Rajasthan Discoms have huge Regulatory Assets, the Commission vide its ARR and Tariff Order dated 03.10.2025 has allowed to recover Regulatory Surcharges to liquidate the Regulatory Assets and also directed Discoms that they should use Recovery from Regulatory Surcharge only for amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for other purpose. However, the Commission observes that Discoms have not complied with the above directions and instead of adjusting the Regulatory surcharge against amortization of Regulatory Assets has adjusted the recovery from Regulatory Surcharge in the current year profits/Losses which is against the spirit of the Supreme Court order and the rules.
6. Looking to the huge Regulatory Assets of Rajasthan Discoms, the Commission is of the view that by adjusting the recovery from Regulatory Surcharge in current year profits/Loss, Discoms would not be able to recover the Regulatory Assets within the time prescribed by the Hon'ble Supreme Court.
7. Therefore, Commission again directs Discoms that recovery from Regulatory surcharge should be adjusted strictly against the Regulatory assets and after

adjustment of above, if Discoms have losses in the current year they should approach to the Govt. for obtaining the loss subsidy as per Commitment in LSGD scheme.

2.27 Revenue surplus

2.27.1 Stakeholders' Suggestions/Comments:

1. It was submitted that Commission may Reduce Regulatory Surcharge, Rationalize Energy & Fixed Charges, and Correct ARR & Cost of Supply projections and also ensure strict compliance with RDSS and prior Commission directions.
2. It was submitted that Discoms have projected substantial revenue surplus for FY 2026-27. In view of over-projections and surcharges, the Commission was requested to reduce regulatory surcharge, rationalize energy and fixed charges, correct ARR and cost of supply projections, and ensure strict compliance with RDSS and Commission directions.

2.27.2 Petitioners' Response:

Discoms submitted that the revenue surplus for FY 2026-27 has been projected as per the provisions of the Tariff Regulations 2025 and the Discom has provided detailed justification in the Instant Petition and the Discom's reply to the deficiencies observed by the Commission.

2.27.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.28 Revenue from Poles

2.28.1 Stakeholders' Suggestions/Comments:

1. It was submitted that Discoms may submit a comprehensive asset monetization report.
2. It was submitted that pole rental income appears significantly understated and that detailed circle-wise information has not been provided despite Commission directions. The stakeholder requested comprehensive data on total poles (33 kV, 11 kV, LT), their usage by telecom/cable agencies, security deposits and rent collected, pending recoveries, action taken against defaulters, and timelines for recovery of remaining dues.

2.28.2 Petitioners' Response:

1. Discoms submitted that details regarding revenue from pole rental and related compliance have already been provided in the Instant Petition, and requested to consider the same.

2. Discoms submitted that separate accounting for pole rental revenue has been provided as directed by the Commission.

2.28.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.29 <u>Wheeling Charges, Cross Subsidy Surcharge and Additional Surcharge</u>

2.29.1 Stakeholders' Suggestions/Comments:

1. It was submitted that Additional Surcharge must be recalculated based on actual Open Access consumption, and pending data be submitted forthwith.

2. It was submitted that Discoms may provide a time-bound action plan for reassessment of wheeling charges, along with complete and detailed information as directed by the Commission.

3. It was submitted that CSS has been over-computed based on an inflated cost of supply. CSS should be recalculated using the correct projected cost of supply and reasons for variation among Discoms should be explained.

4. It was submitted that Additional Surcharge has been incorrectly calculated using unrealistic Open Access quantum.

2.29.2 Petitioners' Response:

1. Discoms submitted that additional surcharge has been computed as per the methodology followed by the Commission, as submitted in the Instant Petition, requested to consider the submissions made.

2. Discoms submitted that, as per Tariff Regulations 2025, determination of wheeling charges, retail tariff, Cross Subsidy Surcharge, and Additional Surcharge is required to be filed along with the ARR and tariff petition, and proposals for the same have been

included in the instant petition. Discoms also cited Open Access Regulations and Supreme Court directions supporting CSS methodology.

3. Discoms submitted that Cross Subsidy Surcharge has been estimated as per the provisions of the Tariff Regulations 2025 and requested to consider the submissions made.

4. Discoms submitted that Additional Surcharge has been estimated as per the provisions of the Tariff Regulations 2025 and requested to consider the submissions made.

2.29.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with this issue of Wheeling, Cross subsidy and additional surcharge in Tariff section of this order.

2.30 <u>Tariff Rationalization</u>

2.30.1 Stakeholders' Suggestions/Comments:

1. It was submitted that the petition for tariff rationalization has been filed within one month of the existing tariff becoming effective (w.e.f. 01.10.2025), which is unusual and raises concerns. The basis and justification for such early rationalization, particularly when it involves reductions, have not been adequately explained by the Discoms.

2. It was submitted that no proper calculations have been provided in the petition for the existing and proposed minimum energy charges.

3. It was submitted that the present tariff schedule does not specify any maximum energy charge. In the absence of a maximum charge, the rationale and classification of minimum energy charges are unclear and need proper explanation.

4. It was submitted that the impact of the proposed reduction in minimum charges on the overall revenue of the Discoms has not been brought out.

5. It was submitted that there is no adequate justification for the proposed revision of the existing tariff structure.

6. It was submitted that recent increases in energy charges, fixed charges and imposition of regulatory surcharge have cumulatively increased industrial power tariff

by about Rs.1.50/unit, adversely affecting competitiveness, exports and employment. Therefore, restoration of earlier minimum energy charges and reduction in industrial tariff were requested.

7. It was submitted that both TOD rebate and Surcharge should be taken together and applied after calculation of minimum energy charges.
8. It was submitted that no detailed justification has been provided for the proposed removal of TOD tariff for public street lighting.

2.30.2 Petitioners' Response:

1. Discoms submitted that it has not opted for any major tariff rationalization measures. The measures proposed have been duly justified in the Petition.
2. Discoms submitted detailed justification for the proposal of reducing the minimum energy charges in the Medium Industrial Service (Schedule MP/HT-3 schedule) from the existing level of Rs. 6.30/unit to Rs. 6.00/unit. In data gap reply Discoms submitted that there is financial impact of Rs. 54 cr. due to this rationalization.
3. Discoms submitted detailed justification for the proposal for removing Time of Day (ToD) Tariff for the Public Street Light (PSL) category. The financial impact of the same has also been provided as a part of the reply to data gaps observed by the Commission.
4. Discoms submitted that the proposed tariff rationalization have been backed up with proposed justification and associated likely financial impact in the filed petition and in the reply to data gaps observed by the Commission.
5. Discoms submitted that in the Instant Petition, Discoms have provided due-justification for the tariff rationalization proposed for FY 2026-27 and requested to consider the submissions made.
6. Discoms submitted that in the Instant Petition, the Petitioner only seeks revision of applicability of TOD Tariff for PSL category of consumers and requested to consider the submissions made.

2.30.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue under Tariff section of this order.

2.31 Fuel and Power Purchase Adjustment Surcharges (FPPAS)

2.31.1. Stakeholders' Suggestions/Comments:

1. It was submitted that Discoms may provide a detailed break-up of FPPAS and regulatory surcharge levied on electricity bills, clearly reflected in both spot bills and regular bill formats.
2. It was submitted that Discoms may publish monthly updates on its website indicating the per-unit FPPAS and regulatory surcharge along with the net monthly recovery.
3. It was submitted that quarterly fuel surcharge causes bill fluctuations; therefore, a stable base fuel surcharge may be fixed and applied monthly with adjustments and prompt refund of excess recovery, and may be incorporated into ARR tariffs to simplify the process and ensure tariff certainty.

2.31.2. Petitioners' Response:

Discoms submitted that FPPAS is being levied strictly as per Tariff Regulations, 2025, which already provide for a base FPPAS with monthly adjustment against actuals. Base FPPAS for FY 2025–26 has been notified through official circulars, and adjustments between base and actual FPPAS are being carried out in subsequent billing cycles. Discoms also submitted that detailed calculations and independent auditor reports are being published on the Discom website and that Discoms are complying with Commission directions.

2.31.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue under Tariff section of this order. Discoms are directed to continue to place detailed calculations and independent auditor reports on their website.

2.32 ToD tariff

2.32.1. Stakeholders' Suggestions/Comments:

1. It was requested to formulate ToD Tariff for all eligible consumers in line with the MoP Electricity (Rights of Consumers) Amendment Rules, 2023 dtd. 14/06/2023.
2. It was submitted that Discoms may provide a clear explanation of the methodology adopted in designing the ToD tariff structure.

3. It was submitted that Discoms has proposed reducing the existing 10% ToD rebate applicable from 12:00 noon to 4:00 PM, which is submitted to be unjustified, anti-consumer, and counter-productive.

4. It was submitted that the existing ToD structure is not revenue-neutral and requested revision of rebate and surcharge periods and percentages based on load-generation curves, availability of solar power and shifting of agricultural load.

5. It was submitted that the proposed ToD rebate of 10% during 12:00–4:00 PM is inadequate. The rebate should be from 8:00 AM to 4:00 PM & 10:00 PM to 6:00 AM as given by states.

6. It was submitted that Discoms have not provided detailed analysis of ToD structure in the FY 2026-27 petitions, except exemption for street lighting. Discoms may submit load and supply profile analysis up to 2030, assess seasonal ToD structures, and report category-wise ToD-capable metering status with timelines for completion.

2.32.2. Petitioners' Response:

1. Discoms submitted that TOD Tariff for consumers above 10 KW is designed as per MOP Directions.

2. Discoms submitted that the revision in ToD rebate structure has been made in compliance with the Commission's directions based on a detailed scientific study conducted by Prayas Energy Group and implemented through the Tariff Order for FY 2024–25. Discoms submitted that proper justification has already been provided in the petition and in replies to deficiency, and requested to consider the same.

3. Discoms submitted that ToD tariff has already been extended to consumers above 10 kW with smart meters and further expansion will continue with ongoing smart meter rollout. Detailed ToD proposals are under preparation; however, only exemption for public street lighting has been included in the FY 2026-27 petitions. Discoms submitted that detailed analysis on load profile, seasonal ToD structure and metering status will be undertaken and submitted in future tariff filings.

2.32.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue under Tariff section of this order.

2.33 LPS

2.33.1. Stakeholders' Suggestions/Comments:

1. It was submitted that that although the credit notes issued by RVPNL/RVUN towards waiver of Late Payment Surcharge (LPS) for FY 2023-24 and FY 2024-25 may not be admissible for True-up or ARR purposes, such credits must be considered for reducing the Discoms' deficits. Accordingly, these credits should be adjusted against Regulatory Assets, thereby reducing the carrying cost and overall regulatory burden.

2. It was submitted that HT Late Payment Surcharge of 0.1% per day (36.5% annually) is excessive and should be capped at 2% per month like LT DPS, and levy of DPS/LPS on assessed dues for unauthorized use of electricity is inconsistent with Section 127(6) of the Electricity Act, 2003; hence tariff provisions require correction.

2.33.2. Petitioners' Response:

1. Discoms submitted that the waiver of LPS pertaining to RVPNL as indicated in the exceptional income in the Annual Audited Accounts should not be made a part of the true up and accordingly should not be adjusted with the regulatory assets also. The reasons of the same have been justified in the filed petition.

2. Discoms submitted that DPS/LPS is being levied strictly as per RERC Electricity Supply Code Regulations, 2021 and no change has been proposed in the present petition. The surcharge is intended to ensure timely payment and rebates are also provided for prompt payment. In case of any discrepancy in this regard, it is requested that the same may kindly be brought to the notice of the appropriate forum for prompt resolution.

2.33.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto. The Commission has already dealt the matter separately.

2.34 Investment Plan

2.34.1 Stakeholders' Suggestions/Comments:

1. It was submitted that the proposed additional investments in FY 2024-25 and FY 2025-26, coupled with significantly enhanced physical targets, appear impractical and unlikely to be achieved. Therefore, the proposals require a detailed technical

examination and validation before being considered for approval.

2. It was submitted that the DISCOMs have disclosed only the aggregate capital investment proposed for FY 2026-27, without furnishing the corresponding infrastructure details proposed to be created through such investment. Discoms may provide the same.

2.34.2 Petitioners' Response:

1. Discoms submitted that due basis and justification for proposed investment plan has been provided in the Instant Petition as per the directions of the Commission.
2. Discoms submitted that all the requisite information for the determination of ARR as per the provisions of RERC Tariff Regulations 2025, and as available have been provided to the Commission as a part of the filed petition and reply to data gaps and requested to consider the same.

2.34.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto and has dealt with the issue under Investment Plan section of this order.

2.35 <u>Non-Tariff Income</u>

2.35.1 Stakeholders' Suggestions/Comments:

It was submitted that income from wheeling charges, cross-subsidy surcharge and other surcharges forms a very small part of total revenue. Tariff simplification and rationalization of multiple charges were requested.

2.35.2 Petitioners' Response:

Discoms submitted that although a revenue surplus is projected for FY 2026–27, the large accumulated revenue gap/regulatory asset position must be considered. As per Tariff Regulations 2025, any approved surplus is to be adjusted against the cumulative revenue gap to reduce overall consumer burden. Discoms submitted that tariff rationalization proposals and justification have already been provided in the petition and in revised submissions to the Commission.

2.35.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.36 Other Tariff related issues

2.36.1. Stakeholders' Suggestions/Comments:

1. It was submitted that existing prompt payment rebate is ineffective. Enhancement of rebate percentage and extension of payment window were requested, along with improvements in billing and bill distribution systems.

2. It was submitted that power factor incentives should be strengthened by increasing rebate slabs for improvement beyond 0.95 and rationalizing penalty-incentive structure to encourage better power factor maintenance.

3. It was submitted that 1% rebate should be provided for online bill payment to promote digital transactions.

4. It was submitted that incentives currently available to large industries should be extended to other energy-intensive industries.

5. It was submitted that limiting the rebate to 12 months and sharply reducing per-unit rebate rates for large and medium industries would discourage new industries; therefore, the rebate period should be extended to 5 years and the proposed reduction should be cancelled.

2.36.2. Petitioners' Response:

1. Discoms submitted that prompt payment rebates are already in place — 0.15% for payment made at least 7 days before due date and 0.35% for payment made at least 10 days before due date. Discoms submitted that billing and delivery are being done as per Supply Code Regulations, with multiple delivery and reminder mechanisms, including SMS alerts and reminders. Consumers are also provided digital facilities through the Urja Sarathi app for bill payment and services, and stakeholders were asked to report any billing issues for resolution.

2. Discoms submitted that power factor incentives and penalties are being applied strictly as per the provisions approved by the Commission. No changes to the existing rebate or surcharge structure for power factor have been proposed in the present petition, and requested to consider the submissions accordingly.

3. Discoms submitted that currently no transaction charges are levied for online bill payments up to Rs. 5,000 on the Discom portal. Discoms submitted that Discoms are complying with Commission approved incentive rebate provisions, but no proposal for an additional online payment rebate has been made in the present petition, and requested to consider the submissions accordingly.

4. Discoms submitted that no proposal has been made in the present petition to modify the existing tariff structure or extend incentive provisions to additional industry categories, and requested to consider the submissions.
5. Discoms submitted that in the present petition Discoms have proposed only revision of minimum energy charges for MIP (HT) consumers and have not proposed the broader changes in rebate duration or rates referred to by the stakeholder, and requested to consider the proposal as submitted.

2.36.3. Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

2.37 <u>Need for Medium-Term Power Planning</u>

2.37.1 Stakeholders' Suggestions/Comments

1. It was submitted that Discoms petitions lack medium-term (5–10 year) planning despite major developments such as large-scale solar PV capacity under PM-KUSUM and Battery Energy Storage Systems (BESS). Absence of such planning may lead to over/under-estimation of costs, resulting in higher tariffs or increased fuel surcharge burden on consumers.

2. It was submitted that demand, generation and power procurement projections should be based on detailed 15-minute production cost modelling, considering agricultural load shifting, storage utilisation and flexible thermal operation. Discoms should submit such model-based projections for ARR approval.

2.37.2 Petitioners' Response:

Discoms submitted that Discoms are actively working on deployment of BESS to improve grid flexibility, manage peak demand, and optimize procurement costs, with installation being undertaken through RUVITL. However, BESS impact has not been included in FY 2026–27 projections and will be considered after commissioning and reflected during true-up. Discoms submitted that source-wise generation, cost projections, KUSUM solar details, and power purchase methodology have already been provided in the petition in line with Commission practices, and additional clarifications have been submitted in replies to deficiencies.

2.37.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto. The Discoms are directed to include the BESS impact separately in true up petition as well as in future ARR Tariff petition.

2.38 <u>Agriculture Demand Estimation</u>

2.38.1 Stakeholders' Suggestions/Comments

It was submitted that agriculture sales have shown sharp year-on-year increases, but actual status of functioning meters remains uncertain. Discoms have not completed studies to reassess agricultural consumption norms. Discoms may provide robust estimation using third-party studies, AMR/AMI data and feeder-level sampling.

2.38.2 Petitioners' Response:

Discoms submitted that Rajasthan Discoms have successfully transitioned all consumers previously billed under a flat rate system to a metered billing arrangement. The status of defective meters and consumption therein is also submitted as a part of reply to the data gaps. Therefore, requested to consider the submissions made.

2.38.3 Commission's View:

The Commission has taken note of the comments of the Stakeholders and reply of Discoms thereto.

Section -3: Analysis of True-Up of Discoms for FY 2024-25

Discoms have submitted petitions for truing up of ARR on the basis of audited accounts as follows:

(i) JdVVNL – FY 2024-25
(ii) JVVNL – FY 2024-25
(iii) AVVNL – FY 2024-25

Analysis of True Up of ARR for FY 2024-25– JdVVNL

Sale of Energy

3.1 The Discom has indicated total sale of 29756.07 MUs including 656.51 MUs sales to Agriculture flat rate category and 15681.81 MUs for agriculture metered category (including defective meters). It has been observed that at the beginning of the year, connected load of flat rate consumers was 644749 kW and after taking into account conversion of flat rate consumers to metered category the closing connected load became 6760 kW.

3.2 **Assessment of Flat rate and Defective meters consumers**: In the true up order for FY 2023-24, dated 18.09.2025, the Commission observed that Discom is continuously reporting the huge number under defective meters which was close to 40% of total consumers under this category. The Commission showed its serious concern, as according to RERC (Electricity Supply Code and Connected Matters) Regulations, 2021, no meter shall be allowed to remain defective for more than 2 billing cycle. In Commission's opinion huge number of defective meters for very long period is not appropriate, defy all purpose of energy audit and a back door practice of continuing flat rate consumers. Despite provisions in the regulations and order for conversion, the Discom is neither able to convert all flat rate consumers nor able to reduce number of defective meters. The Commission has viewed this practice as well as continuation of large number of defective meters seriously and is of the opinion that Discoms are duty bound to keep the meters in healthy condition and any such practice of keeping the meter defective is to be discouraged.

3.3 The Commission, for assessing the sales in the last true-up orders for FY 2021-22, FY 2022-23 & FY 2023-24 for consumers with defective meters, considered average connected load, Specific Consumption of working meters for 10 months and

Specific consumption of 1945 KWh/KW/year for 2 months, since Discoms are required to change the meter in two months.

3.4 Commission observed that during FY 2024-25 also, the Discom has reported huge number of defective meters as under:

Particulars	Consumers	Connected Load (KW)	Energy Sold (MU)
Ag. Working Meters	258939	3762118	5635
Ag Defective Meters	265688	5446659	10047
Total Ag Metered	**524627**	**9208777**	**15682**

3.5 In section 5 “Directive to Discoms” of ARR order for FY 2025-26 dated 03.10.2025, the Commission observed that while carrying out the truing up of ARR, the Commission has disallowed the higher sale assessed for defective meter and made it equivalent to sale of working meters. The Discom replied that replacement of meters is an ongoing process and Jodhpur Discom is continuously working to ensure the timely replacement of defective meters within stipulated timeframe. In Commission’s view the Discoms are duty bound to keep all the meters in correct condition and no relaxation can be granted to Discoms. The Commission again directs the Discoms to keep all meters in healthy condition and if a meter gets defective same should be replaced within 2 months. The Commission reiterates that it shall not allow higher consumption to be assessed in the garb of defective meters.

3.6 It has been observed that energy assessed for consumers with defective meters is nearly 1.8 times to consumers with working meters which clearly indicates distortion in assessment.

3.7 It is observed from the data submitted by Discom for FY 2024-25 that the defective meters are still approx. 50% of total metered agriculture consumers carrying 64% of consumption. Therefore, following the last year true up approach, for assessing the sales for FY 2024-25 for consumers with defective meters, Commission has considered average connected load, the Specific consumption of 1498 kWh/kW/year of working meters for 10 months and Specific consumption of 1945 kWh/kW/year for 2 months and the average for 12 months works out to be 1572 kWh/kW/year. Accordingly, the sales for consumers with defective meters is assessed as 8564 MUs against Discom claim of 10047 MUs. Thus, the Commission has disallowed 1483.55 MUs in defective meters sales on account of higher specific consumption of huge no. of defective meters.

3.8 Further, the sales of flat rate consumers have also been worked out based on average connected load and by considering 12 months average specific consumption 1572 kWh/kW/year used for computing the defective meter sales as above, accordingly, the sales approved for flat rate category shall be 512.17 MUs as against 656.51 MUs filed for flat rate consumers. Therefore, the Commission has disallowed 144.34 MUs sale under flat rate category.

3.9 **Assessment of Losses**: The Commission has noted that it has prescribed the target losses in its ARR order based on sales to end consumers and any consideration of sales to franchisee at input level will show reduction in losses whereas revenue accounted by the Discom already stands reduced due to lower rate at input level. As the franchisee is acting on behalf of the licensee, the Discom should ensure that franchisee also functions in an efficient manner and also make adequate investment so that impact of working of franchisee should be reflected in overall efficiency improvement and Discoms are also able to achieve target loss level based on end consumer sales.

3.10 It is further observed that the sale reported by Discom is inclusive of sale of power of 961.08 MUs to the Distribution Franchisee (DF). Whereas DF has sold 899.79 MUs to the end consumer. In accordance with view taken in previous true-up orders, Commission for the purpose of calculating distribution losses accepts the sales of energy to end consumer only.

3.11 In view of above, after disallowing sales of defective meters, flat rate and consideration of sales of DF at consumer level, the sales for FY 2024-25 is works out as 28066.88 MUs. Accordingly, the restated distribution loss if back calculated comes out to be 24.63% as against 20.10% indicated by the Discom.

Power Purchase Cost

3.12 Power purchase cost approved by the Commission for FY 2024-25 was Rs. 16974 Crore vide ARR order dated 26.07.2024. For the purpose of truing up, JdVVNL has claimed Rs. 19995.31 Crore as power purchase cost (including Short Term Power Purchases, Transmission & SLDC charges).

3.13 The Discom petitioned that it has purchased 41253.52 MUs out of which it has sold 424.18 MUs through exchange, which has been shown in revenue from sale of power through trading.

3.14 Details of power purchase cost as submitted by Discom is given in table below:

Table 1: Power Purchase Cost submitted by JdVVNL for FY 2024-25.

Sr. No.	Particulars	Units (MU)	Amount (Rs. Crore)	Average Rate
	Energy petitioned by Discom			
1	**Total Energy Purchased by Discom (A)**	41253.52	17897.23	4.34
2	Less: Purchase From Short term sources(B)	4037.73	2376.49	5.89
3	**Balance Energy from approved sources C= (A-B)**	37215.79	15520.74	4.17
4	**Add: Transmission and SLDC charges (D)**		2098.07	
5	**Total Power Purchase Cost claimed (A+D)**		**19995.31**	

3.15 The Discom submitted it has achieved distribution Losses of 20.10% as against a target of 15% approved by the Commission.

3.16 The Commission has observed that as the centrally sponsored scheme comprises funding from GoI and the resources of Discoms as per funding pattern of the schemes. Release of funds under the schemes from GoI is subject to the fulfillment of various conditions as stipulated in the guidelines of such schemes. In the last year true up process for FY 2023-24, considering the provisions of Electricity (Second Amendment) Rules, 2023 and considering the loss trajectory specified under RDSS scheme the Commission adopted the loss trajectory of RDSS scheme and allowed the losses as per trajectory of RDSS or actual losses worked out by the Commission (restated level) whichever is lower.

3.17 Discoms submitted that the approved target of Distribution losses for FY 2024-25 under RDSS scheme are 15.00% for JVVNL, 14.25% for AVVNL and 16.00% for JdVVNL.

3.18 In view of above, for the purpose of truing up, the Commission has considered the Distribution loss level as per RDSS scheme which is 16.00%

3.19 The Discom has furnished total transmission losses (inter and intra state) in MUs terms without any bifurcation into interstate and Intra state transmission losses. Despite direction of Commission, Discoms have not furnished the breakup of Transmission losses into intra state and interstate Losses hence Commission has considered the intra state losses as 4.25% based on RVPN True up petition for FY 2024-25 and Inter State Losses of 3.65% based on 52 weeks Average of All India transmission Losses from Grid India Website, which have been applied on inter-state projects and remaining excess interstate losses have been disallowed.

3.20 Accordingly, Inter State losses have been worked out as 594.35 MUs. The Commission vide order dated 03.10.2025 has observed that the analysis regarding the bifurcation of inter and intra state transmission losses are currently in progress by the Discoms. It was also observed that Discoms during earlier years have also replied that a committee has been formed and multiple deliberations have been done regarding segregation of inter and intra state transmission losses. This time also Discoms have filed that bifurcation of interstate & intrastate losses will be done from FY 2025-26 onwards. The Commission has viewed it seriously and Discoms are again directed to keep a separate account of interstate and intrastate losses and give bifurcation while filing next true up petitions, failing which the Commission may also impose a penalty apart from disallowing the excess transmission losses.

3.21 The Commission has worked out the power purchase requirement based on the approved distribution losses, transmission losses and sales as approved above.

3.22 Details of gross energy requirement worked out on the basis of sales and losses as indicated in foregoing para is given in the table below:

Table 2: Gross Energy Requirement of JdVVNL for FY 2024-25 (MUs)

Sr. No.	Particulars	Approved as per Order Dated 26.07.2024	Actual/ Audited	Restated Level	Normative Calculation
1	Gross Energy Requirement	35426	41253.52	41253.52	35914.56
2	Less:- Sale Through Exchange	0	424.18	424.18	424.18
3	Net Energy Requirement	35426	40829.35	40829.35	35490.38
4	Inter State Transmission Loss (MU)	419	1833.66	1935.48	594.35
5	Energy Availability at RVPN (MU)	35007	38995.68	38893.87	34896.03
6	Intra State Transmission Loss (%)	4.50%	4.50%	4.25%	4.25%

7	Intra State Transmission Loss(MU)	1575	1754.81	1652.99	1483.08
8	Energy Requirement at Distribution Periphery (MU)	33432	37240.88	37240.88	33412.95
9	Distribution Loss (%)	15.00%	20.10%	24.63%	16.00%
10	Distribution Loss (MUs)	5015	7484.81	9174.00	5346.07
11	Energy Sales (MUs)	28417	29756.07	28066.88	28066.88

3.23 It is observed that the as per above table Discom has purchased 5338.96 MUs in excess due to increase in distribution loss over the target considered by the Commission as per RDSS Scheme, consideration of sale of power to end consumer of DF, consideration of sale of defective meters & flat rate using specific consumption of working meters and higher transmission losses.

3.24 As per Regulation 75(5) of RERC Tariff Regulations, 2019, the losses on account of distribution licensees' failure to achieve the target set by the Commission are shared in the ratio of 50:50 between the distribution licensee & consumers.

3.25 It is further noted that during previous years and in the year under consideration, Discoms have made substantial investment in various loss reduction schemes with an objective of reduction of losses but still losses of Discoms are not as per trajectory set by the Commission vide its earlier tariff orders. Discoms are also not able to bring in requisite improvement in metering, billing & collection activities etc. Therefore, in Commission's view, the consumers should not be burdened on account of continuous non achievement of targets by Discoms despite every year being allowed requisite investment. Therefore, the Commission has decided not to allow sharing on account of continuous failure to achieve the targeted losses as done in the earlier orders and the respective Discom shall have to bear the burden of excess losses wherever applicable and meet the same in future years by improving their working.

3.26 Accordingly, the Commission allows energy requirement of 35914.56 MUs only based on targeted losses.

3.27 Discom has submitted that the total power purchase cost of Rs. 17897.23 Crore includes the provision for banking of Rs. (559.92) Crore and banking transaction cost of Rs. Nil. In the previous True-up orders, the Commission has not considered the provision for banking cost, hence in the present petition Commission is also not considering the reversal of banking provision of Rs. 559.92 Crore and accordingly added back the same to the power purchase cost as banking has been considered as cost neutral.

3.28 It is observed that in power purchase format, Discom has shown service charges to RUVNL of Rs. 17.47 Crore. Following the approach adopted earlier true up orders, the Commission has not considered the service charges to RUVNL as these are to be met by Discom from O&M expenses. Accordingly, the Commission has considered the total power purchase cost of Rs. 18439.68 Crore.

3.29 While disallowing the excess purchase of 5338.96 MUs by Discom, the Commission has first considered the power purchase of 4037.73 MUs from short term sources (UI, Exchange and others) and rest 1301.23 MUs from long term sources at average power purchase rate.

3.30 Discom has submitted an expense of Rs. 2098.07 Crore as Transmission and SLDC charges which have been allowed by the Commission. Accordingly, the total power purchase cost including transmission and SLDC charges for FY 2024-25 is Rs. 17599.62 Crore.

3.31 Details of power purchase cost as approved by the Commission after considering above deductions is given in table below:

Table 3: Power Purchase Cost of JdVVNL as approved for FY2024-25 (Rs. in Crore)

Sr. No.	**Particulars**	**Units (MU)**	**Amount**	**Average Rate**
	Energy approved by Commission:			
1	Total Energy Purchased by Discom (A)	41253.52	18439.68	4.47
2	Less: Disallowed short term sources (B)	4037.73	2376.49	5.89
3	Total Energy from approved sources (C=A-B)	37215.79	16063.19	4.32
4	Less: Disallowed approved sources (D)	1301.23	561.64	4.32
5	**Power Purchase Cost Allowed E=(A-B-D)**	**35914.56**	**15501.55**	
6	Add: Transmission and SLDC charges (F)		2098.07	
7	**Total Power purchase cost allowed (E+F)**		**17599.62**	

Operations and Maintenance (O&M) Expenses

3.32 The O&M expenses approved by the Commission for FY 2024-25 vide Tariff order dated 26.07.2024 were Rs. 2006 Crore including terminal benefit liability of Rs. 370 Crore. For the purpose of true up, JdVVNL has claimed Rs. 2611.08 Crore as O&M expenses (including terminal benefits based on actuarial valuation of Rs. 1250.11 Crore).

3.33 Regulation 82 of RERC (Terms & Conditions of Determination of Tariff) Regulations, 2019 provides for O&M expenses for the first year of the Control Period (i.e., FY 2019-20) as under:

a) Employees expenses: Rs. 0.48/ per unit of sale

b) A&G Expenses: Rs. 0.065/ per unit of sale

c) R&M Expenses: R&M Expenses for each year (n) of Control Period:

$$k \times GFA_{n-1} \times (1+ER)$$

Where,

'k' is a constant (expressed in %) governing the relationship between R&M expenses and Gross Fixed Assets (GFA) for the $(n-1)^{th}$ year and shall be considered as 1.2%;

'GFA' is the average value of the Gross Fixed Assets of the $(n-1)^{th}$ year;

'ER' means the escalation rate as specified in Regulation 24;

'n' is the year for which R&M expenses is to be determined.

3.34 Normative O&M expenses allowed at the commencement of the Control Period (i.e. FY 2019-20) under these Regulations shall be escalated at the rate of 3.63% per annum for each year of the Control Period.

3.35 Capitalization of O&M expenses has been considered as per actual percentage submitted by Discoms.

3.36 For computation of R&M expenses, the Commission has considered average approved GFA of Rs. 12334.63 Crore as on 31.03.2024, as per order dated 18.09.2025 for True-up of FY 2023-24.

3.37 As the O&M expenses of distribution area of DF are borne by the distribution franchisee (DF), therefore the normative O&M expenses have been calculated by duly deducting the sales of distribution franchisee from the total sales.

3.38 Details of normative O&M expenses as allowed are given in table below:

Table 4: O&M Expenses of JdVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particular	Amount
1	Energy Sales approved by Commission excluding sales by DF (in MU)	27167.09
2	Normative Employee cost for FY 2024-25 (Rs. 0.57368)/unit	1558.52
3	Normative A&G expenses for FY 2024-25 (Rs. 0.07769/unit)	211.05
4	Normative R&M expenses {K*Avg GFA(n-1)*(1+ER)}	153.39
5	Less: Proportionate Employee Cost Capitalized	323.49
6	Less: Proportionate A &G cost capitalized (A&G)	79.60
7	**Total O&M Expenses Allowed after True Up**	**1519.86**

3.39 During last year True up order dated 18.09.2025, the Commission has allowed additional amount spent over and above O&M expenses towards safety compliance in True up petition for FY 2023-24 and also directed the Discom to spend more amount on safety measures, the same shall be considered by the Commission over and above the O&M expenses of subsequent true up orders. To allow safety related expenditure over and above the O&M expenses, the intention of the Commission is to encourage Discoms to focus on safety. Commission would like Discoms to not to leave any corner untouched on safety aspect and to fully implement safety measures as per CEA Safety Regulations. In the instant petition, the Commission observed that the Discom has incurred expenses on safety device of Rs. 3.17 Crore, therefore the same is allowed in this true up order over and above O&M expenses.

Terminal Benefit

3.40 The Commission had approved Rs. 370 Crore towards terminal benefit liability vide its tariff order dated 26.07.2024. JdVVNL submitted that they have deposited a sum of Rs. 281 Crore as additional contribution towards terminal benefit liability to designated trust. Accordingly, as per the practice followed by the Commission in earlier True Up orders, the terminal benefit liability to the extent of actual amount of Rs. 281 Crore deposited by the JdVVNL has been considered.

3.41 It is observed that Discom has accounted Rs. 1110 Crore under other income head (Revenue from Grants, Subsidies & Subvention) under exceptional income. Government of Rajasthan (GoR) vide UO Note No.F.5(21) FWM/2014 Jaipur dated 28.08.2025 has agreed for assuming company's liability on account of actuarial valuation of the terminal benefits required to be charged in the Statement of Profit and loss for FY 2024-25, to be paid in 10 equal installments commencing from FY 2025-26.

3.42 However, it has been observed over the period that Discom's actual deposition towards terminal benefit is on lower side against the approved in ARR order. The Commission again shows its concern regarding non-funding of terminal benefit appropriately. Commission once again advises the Discoms & State Government to ensure appropriate funding towards terminal benefit liability so as to meet the liability of the Discom on this account. Further, Discoms should also ensure to obtain the amount against actuarial valuation of the terminal benefits taken over by the Government of Rajasthan as per above commitment and deposit the same to the appropriate Funds.

Depreciation

3.43 The depreciation approved by Commission for FY 2024-25 was Rs. 706 Crore vide Tariff order dated 26.07.2024 whereas the Discom has claimed Rs. 1090.79 Crore as depreciation.

3.44 It is observed in books of accounts that Rs. 1250.11 Crore has been shown towards terminal benefit expenses and employee cost capitalization of Rs. 190.89 Crore. However, JdVVNL vide its reply to data gap submitted that as the terminal benefit liability for FY 2024-25 has been taken over by the Govt. of Rajasthan, hence Discom has not considered any amount towards capitalization of the terminal benefit. Therefore, the Commission has not considered any deduction for capitalization of terminal benefit from the assets addition during FY 2024-25.

3.45 The Commission has worked out Depreciation as under:

a) The closing balance of depreciable assets for the previous year approved by the Commission in the true up order for FY 2023-24 has been considered as the opening balance for FY 2024-25. The same has been reduced by amount of assets deduction as per audited accounts.

b) Addition to capitalization for current year has been considered as per audited accounts after below mentioned adjustment.

c) The amount of Capitalization towards terminal benefit has been considered as per Discom submission.

d) Consumer Contribution has been considered based on Audited Accounts and Grants have been considered as discussed below.

e) The average depreciation rate as per Annual Audited Accounts has been considered for FY 2024-25.

3.46 **Revamped Distribution Sector Scheme (RDSS) and grant thereof:** Discom has consistently been asked to submit detail of scheme wise equity, grant and loans. Commission is allowing the investment under central sponsored schemes, and as per the provision of these scheme, Discom is also expected to meet the desired targets and efficiency level. The purpose of the direction of the Commission was to ensure efficiency of investment and to ensure that the Discom has performed according to the targets of that scheme and its impact is not passed on the consumer by way of non-receipt of grant. It is observed that during FY 2024-25, under central sponsored scheme such as RDSS, JDVVNL has incurred Rs. 560.28 Crore, Discom has indicated Rs. 336.17 Crore as grants receivable towards such works, whereas as per audited accounts of Discom Rs. 417.69 Crore has been shown as grant received during FY 2024-25. Thus the difference of grant ought to be received and actually received has been considered as notional grant by the Commission. However, the grant received is more than grant receivable and previous year the Commission has deducted the grant based on the notional grant, therefore the difference amount has been added back to capital cost.

3.47 It is again made clear that the Commission will not pass on the interest burden to consumers for the additional borrowings taken against the shortfall in the grant/equity to be received as per funding pattern approved in Schemes.

3.48 **Grant on release of New Agriculture Connection under RE Works:** It is observed from the data gap reply that during FY 2024-25 Discom has released 28474 Nos. of new agriculture connections. In the previous year true up orders it was brought to the notice of Commission that 50% of difference between actual expenditure incurred on release of new connection and amount deposited by consumer shall be given by GoR as grant to Discom.

3.49 It is observed that the RERC (Electricity Supply Code and Connected Matters), Regulations, 2021, specify the charges to be paid by a consumer who apply for a connection. The said Regulations also specify that supply in the matter of agriculture consumers such as application for supply, connection release priority, increase in connected load, shifting of connections, restoration of supply etc. shall be governed by the policy directives issued by the State Government from time to time under section 108 of the Electricity Act, 2003 so far as it is not inconsistent with the provisions of the Act. Therefore, in compliance of Government of Rajasthan Directions under Section 108 of Electricity Act 2003, Discoms issues the Agriculture policy, which specify the procedure and charges to be paid by farmers for agriculture connection. On comparison of charges for new connection under supply code (for all consumers other than agriculture) and agriculture policy (for farmers), it is observed that as per Supply Code Regulations, the consumers are required to pay cost of line as well as plant for release of connection, however as per agriculture policy only a small portion of total cost is recovered from agriculture consumers and rest is borne by the Discoms. This tantamount to shifting of burden of cost of release of agriculture connection to other category of consumers, who on the other hand are paying the charges for releasing of their connection as per Regulations.

3.50 In this context, Commission observed that in Hon'ble APTEL judgment dated 19.9.14 in Appeal No. 207 of 2013, the APTEL held that the State Commission in discharge of its function under the Electricity Act, 2003, has to be guided by the directions of the State Government under Section 108 of Electricity Act, 2003, but the same are not mandatory and binding upon the State Commission. Further, it is observed that despite all efforts, Discoms are still not able to recover their full cost from tariff and an accumulated gap still exist.

3.51 Accordingly in light of above, the Commission as per submission of Discom has considered average expenses of Rs. 379000 per connection and consumer contribution of Rs. 39575 per connection. The 50% difference of per connection expenses and consumer contribution of the above shall be Rs. 169713 per connection. Based on this the total grant from government towards release of 28474 new agriculture connections during the year works out to be Rs. 483.24 Crore.

3.52 The Discoms are directed to realize this amount from Government, as the burden of non-realization of grant from government cannot be passed on the other consumers at large.

3.53 Accordingly, the Commission has worked out the figure of grant on normative basis, in case of any discrepancy; Discom may come with actual figure of applicable grant and request to recalculate the impact of grant during next true up petition.

3.54 Discoms are required to indicate any liability to be discharged by government or to be paid by government such as tariff subsidy, capital subsidy, grants towards consumer contribution and any liability arising due to government directives and policy directives etc., as receivable in their audited accounts separately. The Commission finds that amount of grant towards consumer contribution receivable against release of agriculture connection, has not been accounted for. In view of above, Commission in the previous year True up order directed Discoms to account for amount of grant towards consumer contribution receivable against release of connection to certain categories from Govt. or any other state or central scheme under separate head of account. Further, if Discoms raise any loan due to nonpayment of subsidy/grant by government, the interest liability on such loan shall not be passed on to the consumer of the State. The Commission has observed that Discoms have not complied with above direction and viewed it very seriously and has not allowed any such liability in this order.

3.55 In view of above, the Commission has considered total capital outlay financed by consumers contribution and grant of Rs. 1228.66 Crore consisting of consumer contribution for services connection of Rs. 409.25 Crore, capital grant actually received of Rs. 417.69 Crore towards central sponsored scheme, grant of Rs. 483.24 Crore considered towards release of New Agriculture Connection under RE Works, and adjustment of excess grant received of Rs. (81.52) Crore from central sponsored scheme.

3.56 **Fixed Assets Register (FAR):** With regard to FAR, Discom vide reply to data gaps submitted the Fixed Assets Register as on 31.03.2025 for Seven circles—Bikaner DC, Jodhpur City Circle, DC Jodhpur, Hanumangarh, Pali, Phalodi and Sirohi and undertakes to submit the Fixed Assets Register for the remaining circles shortly. However, post hearing the Discom has submitted the FAR of remaining circles.

3.57 In the true up orders for FY 2021-22, FY 2022-23 and FY 2023-24, it was observed that in the FAR the Discoms have not filed the information of voltage wise assets and the reconciliation of same with scheme wise capitalization, further in compliance to Commission directives, the Discoms in previous true up exercise submitted that till date accounts are being prepared manually and field offices neither maintain voltage wise physical quantity of assets nor scheme wise assets. The above details can be maintained only after an effective implementation of ERP which facilitates the recording of assets voltage wise and details of scheme/end use is entered when material is issued from the stores. Further, Discoms also submitted that once the ERP successfully implemented, the required digitization of the assets register shall be completed.

3.58 The Commission in past, many times also directed the Discoms to make a time bound program clearly showing milestones and responsibilities of various officers regarding implementation of ERP. However, sincere efforts are not seen. Therefore, the Commission directs Discoms that they must plan implementation of ERP System, which will not only helps Discoms in better planning of power purchase, inventory and capital expenditure but also reduces the losses and improve the productivity of expenditure incurred and efficiency of human resources deployed for such purpose. Serious actions are required to be taken by Discoms for implementation of ERP.

3.59 In this regard, Commission also got carried out compliance audit of FAR of Discoms by M/s RFSDL, Govt. of Rajasthan. M/s RFSDL has submitted its report wherein M/s RFSDL has identified certain issues and furnished their recommendations for implementation of IT/ERP system among others. Report of which has already been shared with Discoms. Commission vide order dated 26.07.2024 has also directed Discoms to go through the report and take all necessary action including those material in the report to update their process and make asset register as per the requirement of the Regulations.

3.60 The Discom in its reply to the directives submitted that The RUVITL floated new tender for ERP on dt. 28.11.24. In due course after technical & financial evaluation the tender was dropped by RUVITL on dt. 28.07.2025 due to administrative reasons. In the new ERP Tender under RDSS Scheme the ERP user licenses are being re-worked to higher numbers than mentioned in the dropped tender to cater maximum no of Discom employees. New modules like E-Office, billing process and Audit modules are to be added to the existing modules defined in the said tender. Accordingly, new RFP has been prepared and new tender will be floated soon.

3.61 The Commission vide its true up order dated 18.09.2025 for FY 2023-24 has observed that though, Commission is not satisfied with the progress of implementation of ERP, till FY 2022-23 a substantial amount of JVVNL Rs. 489.52 Cr., AVVNL Rs. 340.65 Cr. JdVVNL Rs. 384.78 Cr. total amounting to Rs. 1214.95 Cr. has been withheld from Discoms. However, looking to the stressed financial position of the Discoms, Commission has decided to further withhold an amount of Rs. 50 Cr. only during FY 2023-24 for each Discom and directed the Discoms to effectively implement the ERP system for power purchase, inventory, loss reduction and capital expenditure planning and monitoring etc. After, satisfactory implementation of ERP the Discom may request to consider to allow the aforesaid deducted amount.

3.62 The Commission vide its order dated 03.10.2025 observed that despite directive and withholding the amount in true up proceedings, Discoms are not yet able to implement the ERP, whereas this should have been the top priority as implementation of IT will bring in necessary synergies and efficiency, control & decision making in the system. Accordingly, the Discoms are directed to make all out efforts for early implementation of IT & ERP across all modules. Discoms should also ensure that targets and benchmark of RDSS are achieved, so that Discoms can avail full grant available to them under RDSS.

3.63 In view of above, the Commission in the current year true up exercise also decided to withhold an amount of Rs. 50 Cr. After, satisfactory implementation of ERP the Discom may request to consider to allow the aforesaid deducted amount.

3.64 Details of depreciation charges allowed for FY 2024-25 are given in table below:

Table 5: Depreciation charges of JdVVNL for FY 2024-25 (Rs. in Crore)

S. No	Particular	Amount
1	Depreciable assets at the beginning of the year (closing balance of True up FY 2023-24)	12543.90
2	Less: Deductions as per audited accounts	64.70
3	Capitalization during the year	2508.92
4	Less Capitalization towards terminal benefit	0.00
5	Less: Capital Outlay financed by Consumer Contribution and grant	1228.66

6	Depreciable assets added during the year (3-4-5)	1280.26
7	Closing balance of GFA (1-2+6)	13759.46
8	Average depreciable assets during the year	13151.68
9	Average depreciation rate	**4.43%**
10	**Depreciation Allowed after True UP**	**583.03**

Interest and Finance Charges and Interest on Working Capital

3.65 The interest & finance charges approved by the Commission for FY 2024-25 were Rs. 2896 Crore including interest on working capital as per the ARR order dated 26.07.2024. For the purpose of true up, JdVVNL has claimed Rs. 4018.96 Crore as interest and finance charges including interest on working capital.

3.66 The interest and finance charges have been worked out by considering the following:

a) The closing balance of long term loans for previous year approved by the Commission in its True up order for FY 2023-24 has been considered as opening balance of long term loans for FY 2024-25.

b) Equity and consumer contribution have been considered on the basis of actual as per audited accounts. Grants have been considered as discussed in preceding paras.

c) Addition to long term loans during the year has been worked out by reducing the total capitalization by the amount of consumer Contribution, capital grants and equity received during the year and capitalization towards terminal benefit.

d) Repayment has been treated equal to the depreciation allowed for FY 2024-25.

e) Interest rate has been worked out as per Regulation 21 (5) of RERC Tariff Regulations, 2019 based on the information of term loan submitted by the Discom.

f) Finance charges and interest on security deposit of consumers are allowed as per actual. The Commission has not considered the delayed payment charges of power purchase and penalty on statutory dues.

3.67 With regard to Unfunded Gap, in the last true up order for FY 2023-24, the Commission has approved the unfunded gap of Rs. 16417.41 Crore till 31.03.2024. The same has been considered.

3.68 Jodhpur Discom has claimed finance charges of Rs. 409.87 Cr including delayed payment surcharge on power purchase of Rs. 121.10 Cr, interest to suppliers & contractors of Rs. 1.59 Cr., Interest to RVPNL of Rs. 2.8455 Cr. and penalty on statutory dues of Rs. 0.0001 Cr. Commission has not considered the same as part of finance charges.

3.69 Commission has allowed interest and finance charges as per the methodology explained in the above Para. The details are given in table below:

Table 6: Interest and Finance Charges of JdVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particular	Amount in crores
1	Opening balance of Long term Loan (LTL) (closing balance of True up FY 2023-24)	3284.98
2	Add: Capitalization during the year	2508.92
3	Less: Capital Outlay financed by Equity	0.00
4	Less: Capital Outlay financed by Consumer Contribution and grant	1228.66
5	Less Capitalization towards terminal benefit	0.00
6	Addition to LTL for Capital Outlay {2-(3+4+5)}	1280.26
7	Less: Repayments equal to depreciation	583.03
8	Closing balance of LTL (1+6-7)	3982.21
9	Average LTL	3633.59
10	Add: Revenue Gap recognized upto previous year FY 2023-24	16417.41
11	Total Long Term Loan Balance to be considered for allowing interest for FY 2024-25 (9+10)	20051.00
12	Average Interest rate of LTL	10.68%
13	Interest Charges on LTL and revenue gap	2141.24
14	Interest on security deposit from consumers - As per actual	76.82
15	Finance Charges-As per actual	284.34
16	**Total Interest and Finance Charges Allowed after True UP (13+14+15)**	**2502.40**

Interest on APRL Loan

3.70 Commission vide order dated 01.09.2022 (issued in the matter of recovery of additional power purchase cost incurred in order to comply with the orders of Hon'ble Supreme Court in the matter of change in law and allow recovery of additional power purchase cost through special FSA in the petition No. 2024 of 2022) allowed Discoms for recovery of Rs. 5996 Cr. paid to APRL along with financing cost of Rs. 1442 Cr. at the rate of Rs. 0.07/Unit (Revised vide order dated 01.07.2024 to Rs. 0.071/Unit) from the consumers being billed on monthly basis in 60 equal installments as special FSA from consumers.

3.71 Commission vide above order dated 01.09.2022 also directed Discoms to create a separate account head for this purpose and report the status of amount recovered as well as repayment of loan in each True up petition for consideration of the Commission.

3.72 Discoms have accounted the above cost of 5996 Cr in the annual accounts of FY 2021-22 for payment made upto FY 2020-21 of Rs. 5387 Cr. under exceptional expenditure head and for payment made in FY 2021-22 of Rs. 609 Cr. in relevant account heads. Discoms have also booked Rs. 5387 Cr. as exceptional income head and Rs. 619 Cr. (Rs. 609 plus Rs. 10 Cr. of interest liability for FY 2020-21) in relevant heads. Thus the total recoverable amount of FSA from consumers as on 31st March 2022 works out to Rs. 6006 Cr. Consisting of Rs. 5996 Cr for APRL liability plus interest liability for FY 2021-22 of Rs. 10 Cr.

3.73 Discoms vide data gap reply have filed the details of recovery of special fuel surcharge on account of APRL including interest liability on loan taken towards APRL. Discoms submitted that During the year FY 2022-23, 2023-24 & 2024-25 total interest liability was Rs. 575 Cr, Rs. 577 Cr. and Rs. 345 Cr respectively which was added to the recoverable amount of FSA of Rs. 6006 Cr and total recovery on account of FSA was Rs. 566 Cr, Rs. Rs. 1470 Cr. and Rs. 1414 Cr. respectively which was subtracted from the recoverable amount. Thus total recoverable amount at the end of FY 2024-25 was Rs. 4054 Cr. (JVVNL- Rs. 1586 Cr., AVVNL- Rs. 1146 Cr. and JdVVNL- Rs. 1322 Cr.)

3.74 Accordingly, during the current year 2024-25, JdVVNL has booked an interest liability of Rs. 69.94 Crore on the loans availed by the Discom to meet the APRL liability. The Commission has observed that against such expenses of totaling to Rs. 69.94 Crore, Discom has also submitted income of special fuel surcharge of Rs. 69.94 Crore.

3.75 Therefore, net impact of such expenses and revenue claimed by Discom is Nil. As such same amount is being considered in cost as well as income.

Interest on working capital

3.76 The Commission has approved the interest on working capital on normative basis as per Regulation 27 of RERC Tariff Regulations, 2019. In accordance with Regulation 27 of RERC Tariff Regulations, 2019, for the calculation of gain or loss on account of variation in interest rate, the Commission has considered the difference on account of interest rate submitted by Discom and normative interest rate allowed by the Commission. The details are given below:

a) O&M expenses as approved for FY 2024-25 have been considered for the purpose of calculation of working capital requirement.

b) Maintenance spares have been considered @15% of operation and maintenance expenses specified in Regulation 82.

c) Receivables have been considered based on the ARR after the true up of FY 2024-25.

d) Amount of security deposit as per audited accounts has been taken.

e) The normative rate of interest on working capital has been taken as 300 basis points higher than the average Base Rate (1 year MCLR) of State Bank of India prevalent during first six months of the year previous to the relevant year.

3.77 Details of Interest on working capital are given in table below.

Table 7: Interest on Working Capital of JdVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particular	Amount considering normative interest rate	Amount considering interest rate submitted by Discom
1	O&M expenses of one month	126.65	126.65
2	Maintenance spares @ 15% of operation and maintenance expenses specified in regulation 82;	227.98	227.98
3	Receivables equivalent to one and a half (1½) months billing of consumers	2547.87	2547.87
4	Less: Security deposit from consumers	1140.72	1140.72
5	Total working capital requirement(1+2+3-4)	1761.79	1761.79
6	Rate of Interest	11.52%	10.09%
7	Interest on working capital allowed after true-up	202.98	177.75
8	Less : 50% gain arising from variation in Interest rate as per regulation 27 of RERC, 2019	12.62	
9	**Net Interest on working capital**	**190.36**	

3.78 It may be seen that gain on account of variation in interest rate is Rs. 25.24 Crore. As per Regulation 27 of RERC Tariff Regulations, 2019, 50% of such gain is to be passed on as a rebate in tariff and the licensee is allowed to retain only 50% of such gain. Accordingly, 50% of the gain of Rs. 12.62 Cr. has been reduced from the amount of interest on working capital worked out on the basis of normative interest rate.

Prior Period Expenses

3.79 JdVVNL has claimed prior period expenses of Rs. (538.47) Crore. The details of prior period expenses as per audited accounts are as follows:

Table 8: Prior Period expenses **(Rs. in Crore)**

Particulars	For the year ended 31st March, 2025	
Short Prov. for Power Purchase in prev. yr.		0.44
Operating Exp. of previous year	1.63	
Employees Cost rel. to prev. yr.	20.34	
Depreciation Cost rel. to prev. yr.	(588.98)	
Int.& other fin.ch.rel.to prev. yr.	16.91	
Admin & general expenses	11.20	
Capitalization of Employee Cost (Prior Period)	0.00	(538.91)
Total		**(538.47)**

3.80 While carrying out the true up of any financial year, the Commission allows the capitalization, operating expenses, employee cost, depreciation, interest and finance charge and administrative and general expenses as per Tariff Regulations. Hence, expenses of Rs. (538.91) Crore on account of above expenses as shown in JdVVNL audited accounts have not been considered as prior period expenses as the Commission has already approved the above expenses in the earlier true up orders as per the norms specified in the Tariff Regulations.

3.81 Further, Discom has also claimed Rs. 0.44 Crore towards prior period power purchase mainly on account of GBI and PBI claims and inter-Discom adjustment related to power purchase, the Commission has considered the same.

3.82 Considering the above, for the purpose of current true up, the Commission has considered the prior period expenses of Rs. 0.44 Crore against the JdVVNL claim of prior period expenses of Rs. (538.47) Crore.

Insurance Expenses

3.83 As per regulation 25 of RERC Tariff Regulations, 2019 actual insurance expenses incurred by the generating company or licensee shall be allowed separately, subject to a ceiling of 0.2% of average Net Fixed Assets for the year. The Commission accordingly has considered the insurance charges of Rs. 0.50 Crore claimed by the Discom.

Other Debits

3.84 JdVVNL has claimed other debits of Rs. 42.57 Crore. It has been observed that the major item of other debits is the provision for bad and doubtful debts of Rs. 33.70 Crore, compensation in case of injury/death of Rs. 7.02 Crore and loss due to theft of fixed assets of Rs. 1.85.

3.85 While carrying out the true up exercise, the Commission has not considered any provision towards bad and doubtful debts. The expenses are allowed only to the extent of bad debts actually written off by the Discom subject to limit stipulated in the Regulation 26 of RERC Tariff Regulations, 2019. The Discom vide its reply to data gap has intimated that Nil amount has been written off as Bad debt during the year. Accordingly, Commission has considered nil amount towards bad debts actually written off as reported by the Discom.

3.86 Compensation paid towards injury /death of Rs. 7.02 Crore is considered as per actual.

3.87 Since the Commission has allowed the insurance charges, therefore the claim on account of loss due to theft of Fixed Assets of Rs. 1.85 Crore is not considered by the Commission.

3.88 The Commission accordingly has considered the other debit of Rs. 7.02 Crore against the Discom's claim of Rs. 42.57 Crore.

Rebate Allowed to Consumers

3.89 The Commission has considered recovery of DPS from consumers as part of Non-tariff income and also allowed it as a separate item under expenditure head as per Discom submission hence net effect of above on surplus/Gap will be nil.

3.90 In the note 28 of the audited accounts, it has been observed that JdVVNL has shown the rebate allowed to consumers as Rs. 140.12 Crore which is inclusive of LPS/DPS written off of Rs. 16.63 Crore, rebate allowed by the settlement committees of Rs. 5.67 Crore and rebate on account of defective meters of Rs. 16.47 Crore. As per Regulation 36 of RERC Tariff Regulations, 2019, the Commission has not considered the income towards DPS, therefore the expenditure on account LPS/DPS written off of Rs. 16.63 Crore is also not considered by the Commission.

3.91 Further, the Commission has also not considered rebate allowed by the settlement committees of Rs. 5.67 Crore and rebate on account of defective meters of Rs. 16.47 Crore.

3.92 Hence, Commission has considered the rebate allowed to consumer only to Rs. 101.36 Crore after adjustments as above.

Revenue Subsidy received from Government

3.93 Discom has filed revenue subsidy of Rs. 2540.20 Crore which includes Grant from GoI (Solar Rooftop) of Rs. 55.07 Crore and loss subsidy from State Govt of Rs. 2485.13 Cr.

3.94 Discom submitted that the Fifteenth Finance Commission (XV-FC) recommended power sector performance based additional borrowing space of 0.50 per cent of Gross State Domestic Product (GSDP) to States. The additional borrowing is contingent on the state meeting certain condition which includes 90% loss takeover for previous year (FY 2023-24) of a Discom by the concerned state as stipulated in UDAY scheme.

3.95 Discom further submitted that in compliance to this, Government of Rajasthan has taken over 90% of operational losses of FY 2023-24.

3.96 Discom also submitted that in the True-Up Order for FY 2023-24 the Rajasthan Electricity Regulatory Commission (RERC) approved a surplus of Rs. 2334.86 Crore. However, JdVVNL received an amount of Rs. 2485.13 crore, which corresponds to 90% of the actual audited losses for FY 2023-24. Therefore, JdVVNL is now claiming Rs. 2485.13 crore as revenue derived from the Gross State Domestic Product (GSDP) subsidy.

3.97 It is observed that under GSDP scheme, Government of Rajasthan has taken 90% of operational Losses of Discom for FY 2023-24, however, for the purpose of true up, Commission considers lower of prescribed % of the approved losses or actual loss subsidy receipt/receivable.

3.98 Further, the Commission has approved surplus of Rs. 2334.86 Crore during the true up of FY 2023-24. It would be appropriate that Commission consider the losses approved in true up for such purpose. As the Commission has not approved losses in FY 2023-24, therefore, the Commission has not considered any subsidy towards loss subsidy.

3.99 Accordingly, the Commission has considered the Grant form GoI of Solar Rooftop of Rs. 55.07 Crore.

Revenue

3.100 Revenue from sale of power, fuel surcharge, Wheeling Charges and Cross Subsidy Surcharge, additional surcharges and sale of power through trading as petitioned by Discom has been accepted. The Commission has not considered claim of prior period income of Rs. (38.61) Cr.

3.101 Commission in ARR orders always consider the Revenue from sale of power with 100% collection efficiency, Accordingly, in this order, Commission has considered the full revenue from sale of power as submitted by the Discom with 100% collection efficiency. Impact of pending subsidy, if any, has not been passed on to the Consumers. Discoms should recover full due amount from the consumers as well as amount of tariff subsidy provided by the Government as per section 65 of the Electricity Act.

3.102 **Fuel Surcharge/Special Fuel Surcharge**: Out of total income from sale of power, the income from fuel surcharge on account of regular fuel surcharge and special fuel surcharge on account of M/s APRL Ltd. as per audited accounts are Rs. 529.54 Crore and Rs. 69.94 Crore respectively, which are considered by the Commission in this Order.

3.103 **Non-Tariff Income**: During FY 2024-25, Discom has claimed total non-tariff income of Rs. 1187.51 Crore including deferred revenue income of Rs. 393.27 Crore and

DPS received from consumers of Rs. 236.55 Crore which have been dealt by the Commission as under:

3.104 **Delayed Payment Surcharge (DPS)**: The Discom has claimed Delayed Payment Surcharge (DPS) of Rs. 236.55 Crore as part of Non-Tariff Income (NTI) and also claimed the same as separate item of expenditure under DPS head.

3.105 The regulation 36 of RERC Tariff Regulations, 2019 provides that-

"All revenues including but not limited to transformer rent, income from fixed deposit/ statutory investment(s), income from rent on land/buildings, income from sale of scrap, income from sale of ash/rejected coal, income from advertisement, Interest on advances to suppliers/contractors, etc., shall be considered as Non-Tariff Income:

Provided that Late Payment Surcharge and Interest on Late Payment earned by the Generating Company or the Licensee shall not be considered under Non-tariff Income."

3.106 The Commission has shown Delayed Payment Surcharge (DPS) of Rs. 236.55 Crore as Non-Tariff income for the purpose of representation of this income and same time also allowed it as a separate item under expenditure head as per Discoms submission, which tantamount to non-consideration of DPS amount in non-tariff income in accordance with the Regulation 36 of RERC Tariff Regulations, 2019.

3.107 **Deferred Revenue Income**: Discom has stated that as per their accounting policies consumer contribution for service connection & line, capital grants and subsidies received towards cost of capital assets have not been reduced from the cost of assets. The same has been treated as Deferred Revenue Income which is being amortized/written off in 25 years from the year of its receipt. The depreciation pertaining to such fixed assets is fully charged to revenue.

3.108 However, while computing the depreciation, the Commission has reduced the capitalization amount funded by the consumer contribution, capital grant and subsidy received towards cost of capital assets during the year. Therefore, the Commission has not considered the depreciation benefit on such assets and consequently deferred revenue of Rs. 393.27 Crore is also not considered.

3.109 Accordingly, Commission has considered the non-tariff income of Rs. 794.24 Crore during FY 2024-25.

Exceptional Items

Exceptional Income

3.110 **Reversal of LPS-:** Discom submitted that it has accounted reversal of LPS of transmission charges from RVPNL of Rs. 43.71 Cr and reversal of LPS-SLDC charges from RVPNL of Rs. 0.292 Cr. as exceptional income during the year. Discom further submitted that since the Commission does not consider LPS/ DPS payable as a pass-through expense in the True-up/ ARR Orders, hence the Commission may not consider credit of LPS received from RVUN and RVPNL as a pass-through item. Therefore, net impact of such reversal of LPS shall be Nil.

3.111 **Other Income (Revenue from Grants, Subsidies and subventions):** Discom has accounted Rs. 1110 Crore under other income head (Revenue from Grants, Subsidies & Subvention) under exceptional income. Government of Rajasthan (GoR) vide UO Note No.F.5(21) FWM/2014 Jaipur dated 28.08.2025 has agreed for assuming company's liability on account of actuarial valuation of the terminal benefits required to be charged in the Statement of Profit and loss for FY 2024-25, to be paid in 10 equal installments commencing from FY 2025-26 and the same has been accounted-for as Revenue from Grants, Subsidies and Subventions under Exceptional Income.

3.112 **Revenue from Operations:** Discom has accounted Rs. 0.0483 Cr. against refund of RoE- SLDC charged for FY 2023-24 as per U.O.Note F. 5 (21) FWM/2014, Jaipur dated 28.08.2025 of Finance (W&M) Department, GoR. Accordingly, the amount has been accounted-for as Revenue from operation under Exceptional Income.

3.113 **Other operating Income:** Discom has accounted Rs. 201.91 Cr. against refund of RoE against Transmission charges charged for FY 2023-24, as per U.O.Note F. 5 (21) FWM/2014, Jaipur dated 28.08.2025 of Finance (W&M) Department, GoR.. Accordingly, the amount has been accounted-for as Revenue from other operating Income under Exceptional Income.

3.114 **Other Income (Other Non-operating Income):** Discom has submitted that AVVNL has issued ICT No. 02/2024-25 dt 16.09.2025 amounting to Rs. 1441. 47 Cr. against receivables/ inter-company receivables from JdVVNL as on 31.03.2025 as per UO Note No. F. 5 (21) FWM/2014 dated 28.08.2025 of Finance (Budget) Department, GoR. Accordingly, the amount has been accounted-for as "Other Non-Operating Income" under Exceptional Income.

3.115 **Other Income (Other Non-operating Income):** Discom has accounted Rs. 35.96 Cr. against Prompt Payment rebate from RVUNL for FY 2023-24 as per U.O.Note F. 5 (21) FWM/2014, Jaipur dated 28.08.2025 of Finance (W&M) Department, GoR. Accordingly, the amount has been accounted-for as "Other Non-Operating Income" under Exceptional Income.

3.116 The Commission observed that it has not considered the LPS/DPS payable as a pass-through expense in the earlier True-up/ ARR Orders, therefore, Discom in the present true up petition has not claimed the same as exceptional income hence Commission in this order also has not considered LPS from RVUN of Rs. 43.71 Cr. and LPS of SLDC of Rs. 0.292 Cr. from RVPNL as a pass through item.

3.117 Since the Commission is allowing actuarial liability of terminal benefits as per actual fund transferred to the superannuation and gratuity trusts hence exceptional income of Rs. 1110 Cr. under Revenue from Grants, Subsidies and subventions on account of actuarial valuation of the terminal benefits required to be charged in the Statement of Profit and loss for FY 2024-25 assumed by the State Government is also not considered. The Commission will consider the same on actual realization of the amount from GoR. Therefore, Discom is advised to claims the amount as income in the true up of the year in which such amount received from GoR. The Commission also advises the Discom to obtain the funds from the GoR as per their commitment and utilize the same to deposit into the appropriate funds. The Commission will accordingly allow the same as expenditure in the form of additional contribution separately.

3.118 As regards exceptional income of writing off of inter-company receivables from JdVVNL by AVVNL as on 31.03.2025 of Rs. 1441.47 Cr. the Commission observes that since the above adjustment has been made as per as per UO Note No. F. 5 (21) FWM/2014 dated 28.08.2025 of Finance (Budget) Department, GoR hence the Commission has considered the same.

3.119 The other exceptional income of refund of RoE from RVPNL and SLDC of Rs. Rs. 201.91 Cr and Rs. 0.0483 and prompt payment rebate from RVUNL of Rs. 35.96 Cr. has been considered by the Commission as petitioned by the JdVVNL.

3.120 Accordingly, Commission has considered Rs. 1679.38 Cr. (Rs. 2789.38 Cr. – Rs. 1110 Cr.) as exceptional income for the purpose of True up exercise.

Revenue Gap/Surplus

3.121 Based on above discussions and data provided by JdVVNL, prayer of Discom for True-up of the expenditure and revenue for FY 2024-25 based on the actual performance and for approval of the revenue gap of Rs. (188.46) Crore for the year has not been accepted as petitioned. The Commission has approved the same to the extent shown in following table.

Table 9: Summary of True up of JdVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particulars	As per ARR order dated 26.07.2024	As per petition	Approved After truing up
1	**Revenue**			
2	Sale of power	20662	20168.84	20168.84
3	Recovery of FSA for Qtr IV of FY 2022-23 & Qtr I of FY 2023-24	1437		
4	Fuel Surcharge		599.48	599.48
5	Non-tariff income and other income	406	1187.51	794.24
6	Wheeling charges, Cross Subsidy Surcharge and additional surcharge	1	2.09	2.09
7	Sale of power through trading	0	160.09	160.09
8	Prior Period Income	0	(38.61)	0
9	**Total Revenue, A**	**22506**	**22079.39**	**21724.73**
10	**Expenditure**			
11	Power purchase Cost	16974	19995.31	17599.62
12	**O & M Expenses**			
13	Employee cost	1329	728.80	1235.03
14	A&G expenses	148	101.03	131.45
15	R&M expenses	159	531.14	153.39
16	Terminal Benefits	370	1250.11	281.00
17	Insurance Expenses	26	0.50	0.50
18	Exp. on Safety Measures	0	0.00	3.17
19	Depreciation	706	1090.79	583.03
20	Interest & finance charges	666	1435.01	749.19
21	Interest on APRL Loan	0		69.94

Sr. No.	Particulars	As per ARR order dated 26.07.2024	As per petition	Approved After truing up
22	Interest on working capital	249	2583.95	190.36
23	Interest on Regulatory Assets	1981		1753.21
24	Prior period expenses	0	(538.47)	0.44
25	Other debits	0	42.57	7.02
26	Rebate allowed to consumers	0	140.12	101.36
27	Exceptional items	0	(2789.38)	(1679.38)
27	**Total Expenditure, B**	**22609**	**24571.49**	**21179.32**
28	**Surplus/deficit, C = (A-B)**	**(103)**	**(2492.11)**	**545.40**
29	Revenue subsidies received from State Government **D**	103	2540.20	55.07
30	Less: Delayed payment surcharge considered as part of NTI **E**	0	236.55	236.55
31	Revenue Surplus/ (Gap) for FY 2024-25, **F** =(C+D-E)	**0**	(188.46)	363.92
33	Deduction on account of non-implementation of ERP **G**	**0**	0.00	50.00
34	**Net Revenue Surplus/(Gap) for FY 2024-25 H=(F+G)**	**0**	**(188.46)**	**413.92**
35	Gap worked out as per last true up order, **I**	0.00	(16417.41)	(16417.41)
36	Cumulative Revenue Surplus/(Gap) to be carried forward, J=(H+I)	0.00	(16605.87)	(16003.48)
37	Cumulative Revenue Surplus/(Gap) till FY 2024-25		(34688.67)*	(16003.48)

*** As per audited accounts**

Analysis of True-Up of ARR for FY 2024-25 – JVVNL

Sale of Energy

3.122 The Discom has indicated total sale of 35392.24 MUs including 12049.81 MUs for agriculture metered category (including defective meter). The specific consumption of working Agriculture meters has been worked out as 2259 kWh/kW/year and 1945 kWh/kW/year for defective meters. Accordingly, the Commission has considered the specific consumption of working metered consumers as well as for defective metered consumers as per Discom's submission. The Commission has observed that the Discom has not filed any sale from Agriculture Flat Rate.

3.123 The Commission has noted that it has prescribed the target losses in its ARR Order based on sales to end consumers and any consideration of sales to franchisee at input level will show reduction in losses whereas revenue accounted by the Discom already stands reduced due to lower rate at input level. As the franchisee is acting on behalf of the licensee, the Discom should ensure that franchisee also functions in an efficient manner and also make adequate investment so that impact of working of franchisee should be reflected in overall efficiency improvement and Discoms are also able to achieve target loss level based on end consumer sale.

3.124 It is further observed that the above sale is inclusive of sale of power of 1852.73 MUs to the Distribution Franchisee (DF). Whereas DF has sold 1645.53 MUs to the end consumer. In accordance with view taken in previous true-up orders, Commission for the purpose of calculating distribution losses accepts the sales of energy to end consumer only i.e. 1645.53 MUs and allowed energy sale of 35185.04 MUs. Keeping in view allowed sales of 35185.04 MUs, the restated distribution loss comes out to be 14.26% as against 13.75% indicated by the Discom.

Power Purchase Cost

3.125 Power purchase cost approved by Commission for FY 2024-25 was Rs.20219 Crore vide ARR order dated 26.07.2024. For the purpose of truing up, JVVNL has claimed Rs. 22181.39 Crore as power purchase cost (including Short Term Power Purchases and Transmission & SLDC charges).

3.126 The Discom has petitioned that they have purchased 45458.44 MUs out of which they have sold 469.65 MUs through exchange, which has been shown in revenue from sale of power through trading.

3.127 Details of power purchase cost as submitted by Discom is given in the table below:

Table 10: Power Purchase Cost as submitted by JVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particulars	Units (MU)	Amount (in Crore)	Average Rate
	Energy petitioned by Discom			
1	**Total Energy Purchased by Discom (A)**	45458.44	19829.66	4.36
2	Less: Purchase From Short term (B)	4470.21	2469.18	5.52
3	**Balance Energy from approved Sources C= (A-B)**	40988.23	17360.48	4.24
4	**Add: Transmission and SLDC charges (D)**		2351.73	
5	**Total Power Purchase Cost claimed E (A+D)**		**22181.39**	

3.128 The Discom submitted that they have achieved distribution Losses target of 13.75% as against a target of 14.59% approved by the Commission.

3.129 The Commission has worked out the power purchase requirement based on the approved distribution losses, transmission losses and sales actually made to the end consumers as approved above.

3.130 The Discom has furnished total transmission losses (inter and intra state) in MUs terms, therefore, to segregate the same, the Commission has used the intra state losses of 4.25% based on RVPN true up petition for FY 2024-25 and the interstate transmission losses of 3.65% based on 52 Weeks average of All India transmission Losses as discussed in earlier paras of the order. Discom is again directed to keep a separate account of interstate and intrastate losses and give bifurcation while filing next true up petition. Failing which the Commission may also impose a penalty apart from disallowing the excess transmission losses.

3.131 Details of gross energy requirement worked out on the basis of sales and losses as indicated in foregoing Para is given in the table below:

Table 11: Gross Energy Requirement of JVVNL for FY 2024-25 (MUs)

Sr. No.	Particulars	Approved as per Order Dated 26.07.2024	Actual/ Audited	Restated Level	Normative Calculation
1	Gross Energy Requirement	42175	45458.44	45458.44	44149.04
2	Less:- Sale Through Exchange	0	469.65	469.65	469.65
3	Net Energy Requirement	42175	44988.79	44988.79	43679.39
4	Inter State Transmission Loss (MU)	463	2020.47	2132.65	653.77
5	Energy Availability at RVPN (MU)	41711	42968.32	42856.13	43025.62
6	Intra State Transmission Loss (%)	4.50%	4.50%	4.25%	4.25%
7	Intra State Transmission Loss(MU)	1877	1933.57	1821.39	1828.59
8	Energy Requirement at Distribution Periphery (MU)	39834	41034.75	41034.75	41197.03
9	Distribution Loss (%)	14.59%	13.75%	14.26%	14.59%
10	Distribution Loss (MUs)	5813	5642.51	5849.71	6011.99
11	Energy Sales (MUs)	34021	35392.24	35185.04	35185.04

3.132 It is observed that the Discom has purchased 1309.40 MUs in excess due to higher transmission losses and consideration of sale of power to end consumer of DF. Discom's restated distribution losses are 14.26% which is slightly lower than approved distribution losses of 14.59%.

3.133 As per Regulation 75(5) of RERC Tariff Regulations, 2019, the gains arising on account of distribution losses being lower than the target fixed for any year by the Commission, shall be shared in the ratio of 50:50 between the Distribution Licensee and the consumers.

3.134 As the Discom restated distribution losses level is lower than approved distribution losses, the total excess energy allowed by the Commission at Discom periphery is 162.28 MUs, whereas as per above regulation gains arising on account of distribution losses being lower than the target fixed for any year by the Commission, shall be shared in the ratio of 50:50 between the Distribution Licensee and the consumers. Accordingly, the 50 % of gain of 162.28 MUs i.e. 81.14 MUs shall be shared by Discom with consumers. As per table above, excess normative power requirement of 1309.40 MUs is to be disallowed and out of gain of 162.28 MUs, 50% is also shared with consumers in form of reduction of power purchase cost. Accordingly, disallowances towards this shall be considered as 1390.54 MUs. The impact of sharing of gain by Discoms is that the revenue gap for the year to that extent shall be reduced or revenue surplus shall be increased.

3.135 As such the Commission disallows excess purchase, i.e. 1390.54 MUs from actual purchase of 45458.44 MUs and accordingly purchase of energy allowed shall be 44067.90 MUs.

3.136 In view of discussion made earlier in this order, banking transactions are considered as cost neutral and no provision towards notional cost of banking is considered for true up of power purchase cost.

3.137 Discom has submitted the total power purchase cost of Rs. 19829.66 Crore including reversal of provision for banking of Rs. (619.77) Crore and banking transition cost of Rs. Nil. As the Commission in earlier true up orders has not considered the provision for banking cost hence during the year reversal of provision for banking of Rs. 619.77 Cr. has not been considered and accordingly added back the same to the power purchase cost. Further, as discussed earlier, the service charges to RUVNL of Rs. 19.32 Crore shown as inter Discom transaction with RUVNL is not considered by Commission. Accordingly, the Commission has considered the power purchase cost of Rs. 20430.11 Crore.

3.138 While disallowing the excess purchase of 1390.54 MUs by Discom, the Commission has considered the same from short term sources (UI, Exchange and others).

3.139 Transmission and SLDC charges of Rs. 2351.73 Crore as submitted by Discom have been allowed by the Commission. Accordingly, the total approved power purchase cost including Transmission and SLDC charges is Rs. 22013.75 Crore.

3.140 Details of power purchase cost as approved by the Commission is given in the table below:

Table 12: Power Purchase Cost of JVVNL as approved for FY 2024-25

(Rs. In Crore)

Sr. No	Particulars	Units (MU)	Amount	Average Rate
	Energy approved by Commission:			
1	Total Energy Purchased by Discom (A)	45458.44	20430.11	4.49
2	Less: Disallowed short term and unapproved sources (B)	1390.54	768.09	5.52
3	Total Energy from approved sources (C=A-B)	44067.90	19662.03	4.46
4	Less: Disallowed approved sources (D)	0.00	0.00	
5	**Power Purchase Cost Allowed E=(A-B-D)**	**44067.90**	**19662.03**	
6	Add: Transmission and SLDC charges (F)		2351.73	
7	**Total Power purchase cost allowed G= (E+F)**		**22013.75**	

Operations and Maintenance (O&M) Expenses

3.141 The O&M expenses approved by the Commission for FY 2024-25 were Rs. 2557 Crore including Terminal Benefit liability of Rs. 605 Crore vide Tariff order dated 26.07.2024. For the purpose of true up, JVVNL has claimed Rs. 3250 Crore as O&M expenses (including staff terminal benefits based on actuarial valuation of Rs. 1504 Crore).

3.142 The Commission has worked out the normative O&M expenses as per the methodology explained in earlier part of this order.

3.143 Details of normative O&M expenses as allowed are given in table below:

Table 13: O&M Expenses of JVVNL for FY 2024-25 **(Rs. in Crore)**

Sr. No	Particulars	Amount
1	Energy Sales approved by Commission excluding sales by DF (in MU)	33539.51
2	Normative Employee cost for FY 2024-25 (Rs. 0. 57368/Unit)	1924.09
3	Normative A &G expenses for FY 2024-25 (Rs. 0.07769/unit)	260.55
4	Normative R&M expenses (k x GFAn-1 x (1+ER))	223.59
5	Less: Proportionate Employee Cost Capitalized	217.16
6	Less: Proportionate A &G cost capitalized (A&G)	82.23
7	**Total O&M Expenses Allowed after True Up**	**2108.85**

3.144 As discussed in earlier para of the order, Commission allowed expenses towards safety over and above the normative O&M expense. In the instant petition, the Commission observed that the Discom has incurred expenses on safety device of Rs. 1.55 Crore, therefore the same is allowed in this true up order over and above O&M expenses.

Terminal Benefit

3.145 The Commission had approved Rs. 605 Crore towards Terminal Benefit liability vide its tariff order dated 26.07.2024. However, JVVNL submitted that they have deposited a sum of Rs. 20.00 Cr. as additional contribution towards terminal benefit liability. The Discom has also shown Rs. 9.81 Cr. towards additional contribution to PMCF fund. Accordingly, the terminal benefit liability to the extent of actual amount of Rs. 20.00 Crore towards superannuation fund and Rs. 9.81 Cr. towards PMCF funds deposited by JVVNL has been considered by the Commission.

3.146 It is observed that Discom has accounted Rs. 1473.58 Crore under other income head (Revenue from Grants, Subsidies & Subvention) under exceptional income. Government of Rajasthan (GoR) vide UO Note No.F.5(21) FWM/2014 Jaipur dated 28.08.2025 has agreed for assuming company's liability on account of actuarial valuation of the terminal benefits required to be charged in the Statement of Profit and loss for FY 2024-25, to be paid in 10 equal installments commencing from FY 2025-26.

3.147 As Discussed in earlier paras of the order, the Commission again advises the Discom & State Government to ensure appropriate funding towards terminal benefit liability so as to meet the liability of the Discom on this account. Further, Discoms should also ensure to obtain the amount against actuarial valuation of the terminal benefits taken over the Government of Rajasthan as per above commitment and deposit the same to the appropriate funds.

Depreciation

3.148 The depreciation approved by Commission for FY 2024-25 was Rs. 868 Crore vide Tariff order dated 26.07.2024 and Discom has claimed Rs. 1303.11 Crore as depreciation.

3.149 It is observed that in the books of accounts Rs. 1695.39 Crore has been shown towards terminal benefit expenses and out of total employee cost capitalization of Rs. 329.05 Crore, the terminal benefit capitalization is Rs. 191.35 Crore. The Discom must have added the aforesaid terminal benefit capitalization to assets addition during FY 2024-25. As the Commission in above paras has already considered and allowed the terminal benefit without capitalization, therefore, the Commission has deducted the capitalization of terminal benefit from the assets addition during FY 2024-25.

3.150 **FIP/SIP:** It is observed that JVVNL has filed the capital expenditure under FIP/SIP of Rs. 1.19 Crore, the Commission in the earlier Investment Plan Order has not considered investment under feeder Improvement Schemes and directed the Discoms to meet out the expenditure under O&M head. Thus the additional capitalization to the extent of Rs. 1.19 Crore is not considered by the Commission in this Order

3.151 **Grant under Revamped Distribution Sector Scheme (RDSS)**: Discom has consistently been asked to submit scheme wise equity, grant and loans. The Commission is allowing the investment under central sponsored schemes, and as per the provision of these schemes, Discom is also expected to meet the desired targets and efficiency level. The purpose of the direction of the Commission was to ensure efficiency of investment and to ensure that the Discom has performed according to the targets of that scheme and its impact is not passed on the consumer by way of non-receipt of grant. It is brought to the notice of Commission that Discoms are not able to get the full grant as envisaged under various schemes. It is observed that during FY 2024-25, under central sponsored scheme such as RDSS, JVVNL has incurred Rs. 1028.34 Crore. Discom has indicated Rs. 619.18 Crore as grants receivable towards such works, whereas as per audited accounts of Discom Rs. 385.74 Crore has been shown as grant received during FY 2024-25. Thus the difference of grant ought to be received and actually received has been considered as notional grant by the Commission. Accordingly, additional grant considered by the Commission is Rs. 233.44 Crore.

3.152 It is made clear that the Commission will not pass on the interest burden to consumers for the additional borrowings taken against the shortfall in the grant/equity to be received as per funding pattern approved in Schemes.

3.153 **Grant on release of New Agriculture Connection under RE Works:** It is observed that during FY 2024-25, Discom has indicated release of 28003 Nos. of new agriculture connections. As discussed in the earlier para of this order, the Commission has considered 50 % of difference between actual expenditure incurred on release of new agriculture connection and amount deposited by consumer as additional grant from the State Government which otherwise would have been paid by consumer as consumer contribution to Discoms.

3.154 The Commission as per reply of data gap has considered average expenses of Rs. 292000 per connection and consumer contribution of Rs. 26050 per connection. The 50% of difference of per connection expenses and consumer contribution of the above shall be Rs. 132975 per connection. Based on this the total grant from government towards release of 28003 new agriculture connection during the year work out to be Rs. 372.37 Crore.

3.155 In view of above, the Commission has considered total capital outlay financed by consumers contribution and grant of Rs. 1551.77 Cr. consisting of consumer contribution for services connection of Rs. 560.22 Crore, capital grant actually received of Rs. 385.74 Crore and notional grant of Rs. 233.44 Crore towards central sponsored scheme and grant of Rs. 372.37 Cr. towards release of New Agriculture Connection under RE Works.

3.156 The Commission in absence of detailed information has worked out the figure of grant on normative basis, in case of any discrepancy; Discom may come with actual figure of applicable grant and request to recalculate the impact of grant during next true up petition.

3.157 **Fixed Assets Register (FAR):** With regard to FAR, Discom submitted the FAR as on 31.03.2025 along with the data gap reply.

3.158 Further, the Discom submitted that Discom has undertaken the work of ERP (Enterprise Resource Planning) under which the procurement and asset management module is included. After implementation of the same the Fixed Assets Registers shall be placed on Discom Website.

3.159 As discussed earlier, the Commission directs JVVNL to plan implementation of ERP System, which will not only help Discom in better planning of power purchase, inventory and capital expenditure but also reduces the losses and improve the productivity of expenditure incurred and efficiency of human resources deployed for such purpose. Serious actions are required to be taken by Discoms for implementation of ERP. This year also the Commission has decided to withhold Rs. 50 Crore of JVVNL on this account and directs the Discom to effectively implement the ERP system for power purchase, inventory, loss reduction and capital expenditure planning and monitoring etc. After the satisfactory implementation of ERP the Discom may request to consider allowing the aforesaid withheld amount.

3.160 The Commission has followed the methodology given earlier in the order for the calculation of depreciation being allowed.

3.161 Details of depreciation charges allowed for FY 2024-25 are given in table below:

Table 14: Depreciation Charges of JVVNL for FY 2024-25 (Rs. in Crore)

Sr. No	Particulars	Amount
1	Depreciable assets at the beginning of the year (closing balance of True up FY 2023-24)	18460.36
2	Less: Deductions as per audited accounts	216.85
3	Capitalization during the year	3048.81
4	Less Capitalization towards terminal benefit	191.35
5	Less: Capital Outlay financed by Consumer Contribution and grant	1551.77
6	Depreciable assets added during the year (3-4-5)	1305.69
7	Closing balance of GFA (1-2+6)	19549.19
8	Average depreciable assets during the year	19004.78
9	Average depreciation rate	4.36%
10	**Depreciation Allowed after True UP**	**828.35**

Interest and Finance Charges and Interest on Working Capital

3.162 The interest & finance charges approved by Commission for FY 2024-25 were Rs. 3425 Crore including interest on working capital as per the ARR order dated 26.07.2024. For the purpose of true up, JVVNL has claimed Rs. 3953.88 Crore as interest and finance charges including interest on working capital.

3.163 Interest and finance charges have been calculated as per the methodology explained earlier. The details are given in table below:

Table 15: Interest and Finance Charges of JVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particulars	Amount
1	Opening balance of Long term Loan (LTL) (closing balance of True up FY 2023-24)	7004.34
2	Add: Capitalization during the year	3048.81
3	Less: Capital Outlay financed by Equity	0.00
4	Less: Capital Outlay financed by Consumer Contribution and grant	1551.77
5	Less Capitalization towards terminal benefit	191.35
6	Addition to LTL for Capital Outlay {2-(3+4+5)}	1305.69
7	Less: Repayments equal to depreciation	828.35
8	Closing balance of LTL (1+6-7)	7481.68
9	Average LTL	7243.01
10	Add: Revenue Gap recognized upto previous year FY 2023-24	20343.89
11	Total Long Term Loan Balance to be considered for allowing interest for FY 2024-25 (9+10)	27586.90
12	Average Interest rate of LTL	10.53%
13	Interest Charges on LTL and revenue gap	2904.39
14	Interest on security deposit from consumers - As per actual	133.53
15	Finance Charges-As per actual	252.37
16	**Total Interest and Finance Charges Allowed after True UP (13+14+15)**	**3290.29**

Interest on APRL Loan

3.164 From the Note 24.11 of the audited accounts it has been observed that the recovery of payment of Rs. 5996 Cr. (JVVNL share Rs. 2374.30 Cr.)on account of FSA to M/s APRL along with future interest burden of Rs. 1442.18 Cr. (JVVNL Share Rs. 573.25 Cr.) was allowed by the Commission vide order dated 01.09.2022 which is to be passed on to the consumers. During the year JVVNL has restricted the interest amount upto total interest portion of Rs. 573.25 Cr. as allowed by the Commission.

3.165 As discussed earlier, Discoms have filed the details of special fuel surcharge from APRL including interest liability towards APRL payment. JVVNL has booked an interest liability of Rs. 112 Crore on the loans availed by the Discom to meet the

APRL liability for FY 2024-25, the Commission has observed that against such expenses Discom has also submitted income of special fuel surcharge of Rs. 112 Crore.

3.166 Therefore, net impact of such expenses and revenue claimed by Discom is Nil. As such same amount is being considered in cost as well as income.

Interest on working capital

3.167 The Commission has approved the interest on working capital as per Regulation 27 of RERC Tariff Regulations, 2019. The details of Interest on working capital are given in table below:

Table 16: Interest on Working Capital of JVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particular	Amount considering normative interest rate	Amount considering interest rate submitted by Discom
1	O&M expenses of one month	175.74	175.74
2	Maintenance spares @ 15% of operation and maintenance expenses specified in regulation 82;	316.33	316.33
3	Receivables equivalent to one and a half (1½) months billing of consumers	3397.03	3397.03
4	Less: Security deposit from consumers	2064.66	2064.66
5	Total working capital requirement(1+2+3-4)	1824.44	1824.44
6	Rate of Interest	11.52%	10.04%
7	Interest on working capital allowed after true-up	210.20	183.22
8	Less : 50% Gain arising from variation in Interest rate as per regulation 27 of RERC, 2019	13.49	
9	**Net Interest on working capital**	**196.71**	

3.168 It may be seen that gain on account of variation in interest rate is Rs. 26.98 Crore. As per Regulation 27 of RERC Tariff Regulations, 2019, 50% of such gain is to be passed on as a rebate in tariff and the licensee is allowed to retain only 50% of such gain. Accordingly, 50% of the gain, amounting to Rs. 13.49 Cr. has been reduced from the amount of interest on working capital worked out on the basis of normative interest rate.

Prior Period Expenses

3.169 JVVNL has claimed prior period expenses of Rs. 285.87 Crore. The detail of prior period expenses as per audited accounts are as follows:

Table 17: Prior Period expenses **(Rs. In Crore)**

Particulars	**For the year ended 31st March 2025**	
Prior Period Adjustment of Power Purchase		1.46
Employee cost	6.85	
Depreciation	0.20	
Interest & Other Financial Charges	(0.29)	
Administration & General Expense	277.65	284.41
Total		**285.87**

3.170 While carrying out the true up of any financial year, the Commission allows the employee cost, depreciation, interest and finance charges and administrative and general expenses as per Tariff Regulations. Hence, expenses of Rs. 284.41 Crore on account of above expenses as shown in JVVNL audited accounts is disallowed as prior period expenses as the Commission has already approved the above expenses in the earlier true up orders as per the norms specified in the Tariff Regulations.

3.171 Further, Discom has also claimed Rs. 1.46 Crore towards prior period power purchase, which is on account of wrong booking of amount receivable from IREDA in FY 2016-17 and FY 2018-19; hence the Commission has considered the same.

3.172 Considering the above, for the purpose of current true up, the Commission has considered the prior period expenses of Rs. 1.46 Crore against the JVVNL claim of prior period expenses of Rs. 285.87 Crore.

Insurance Expenses

3.173 As per regulation 25 of RERC Tariff Regulations, 2019 actual insurance expenses incurred by the generating company or licensee shall be allowed separately, subject to a ceiling of 0.2% of average Net Fixed Assets for the year. The Commission accordingly has considered the insurance charges of Rs. 1.38 Crore claimed by the Discom.

Other Debits:

3.174 JVVNL has claimed other debits of Rs. 266.34 Crore. It has been observed that major item of other debits are provision for bad and doubtful debts of Rs. 200.86 Crore, loss on sale of scrap/fixed assets of Rs. 5.09 Crore, loss on valuation of inventory of Rs. 14.89 Crore, loss due to theft of fixed assets of Rs. 1.32 Crore, compensation in case injury/death of Rs. 6.56 Crore and loss on exchange rate variation of Rs. 37.62 Crore.

3.175 While carrying out the true up exercise, the Commission has not considered any provision towards bad and doubtful debts. The expenses are allowed only to the extent of debts actually written off by the Discom subject to limit stipulated in the Regulation 26 of RERC Tariff Regulations, 2019. Discom in data gap reply has reported that an amount of Rs. 1.24 Cr. has been written off as bad & doubtful debts. Accordingly, the same is allowed by the Commission.

3.176 Since the Commission has allowed the insurance charges, therefore the claim on account of loss due to theft of Fixed Assets of Rs. 1.32 Crore is not considered by the Commission.

3.177 Compensation in case injury/death of Rs. 6.56 Crore, loss on exchange rate variation of Rs. 37.62 Crore and loss on sale of fixed assets of Rs. 5.09 Crore are considered as per actual.

3.178 The Commission has not considered loss on valuation of Inventory amount to Rs. 14.89 Crore.

3.179 Accordingly, the Commission has considered the other debit of Rs. 50.51 Crore against the Discom's claim of Rs. 266.34Crore.

Rebate Allowed to Consumers

3.180 JVVNL has shown the rebate allowed to consumers of Rs. 408.67 Crore which is inclusive of LPS/DPS waiver of Rs. 22.73 Crore and rebate to consumers under Amnesty scheme of Rs. 3.87 Cr. and rebate of defective meters of Rs. 2.04 Crore. As per Regulation 36 of RERC Tariff Regulations, 2019, the Commission has not considered the income towards DPS, therefore, the expenditure on account of waiver of LPS/DPS of Rs. 22.73 Crore and rebate to consumers under Amnesty scheme are also not considered by the Commission. Further, Discom has shown rebate of Defective meter of Rs. 2.04 Crore which is also not considered in this order as it is the duty of the Discom to keep the meters correct and replace defective meters within the specified time.

3.181 Hence the Commission has considered the rebate allowed to consumer only to Rs. 380.03 Crore after adjustments as above.

Revenue Subsidy received from Government

3.182 Discom has filed revenue subsidy of Rs. 77.17 Crore which is Loss subsidy from State Govt.

3.183 Discom submitted that The Fifteenth Finance Commission (XV-FC) recommended power sector performance based additional borrowing space of 0.50 per cent of Gross State Domestic Product (GSDP) to States. The additional borrowing is contingent on the state meeting certain condition which includes 90% loss takeover for previous year (FY 2023-24) of a Discom by the concerned state as stipulated in UDAY scheme. During the FY 2024-25, GoR has taken over 90% of adjusted operational losses of FY 2023-24 amounting to Rs. 196.60 Crore.

3.184 The Discom however submitted that the losses reflected in the Annual Accounts is a sum total of losses which is approved by the Commission order as Regulatory Assets in the respective year’s True-up Order and the losses which was not approved by the Commission and were to be borne by the Discoms.

3.185 Discom further submitted that in the true-up order for the FY 2023-24, the Commission approved a revenue surplus of Rs. 509.35 crore for the Jaipur Discom. After adjusting for UDAY interest of amounting to Rs. 520 Crore, the effective position reflects a deficit of Rs. 10.65 crore. The percentage of regulatory assets approved by the Commission against total audited annual losses was 39.25%. Accordingly, the revenue gap for FY 2023-24 should be adjusted through loss takeover only to the extent of approved losses, in proportion to the total losses of the Discom. JVVNL received an amount of Rs. 196.20 crore, which corresponds to 90% of the actual audited losses for FY 2023-24. Therefore, JVVNL is now claiming Rs. 77.17 crore as revenue derived from the Gross State Domestic Product (GSDP) subsidy.

3.186 It is observed that under GSDP scheme, Government of Rajasthan has taken 90% of adjusted operational Losses of Discom for FY 2023-24, however, in the last true up for FY 2023-24, Commission has considered lower of prescribed % of the approved losses or actual loss subsidy receipt.

3.187 Further, as the Commission has approved surplus of Rs. 509.35 crore during the true up of FY 2023-24, therefore, the Commission has not considered any loss subsidy in this order.

Revenue

3.188 Revenue from sale of power, fuel surcharge, Wheeling Charges, Cross Subsidy Surcharge, additional surcharge, sale of power through trading as petitioned by Discom has been accepted. The Commission has not considered Discom claim of prior period income of (34.77) Cr.

3.189 As discussed earlier, Commission has considered the full revenue from sale of power as submitted by the Discom with 100% collection efficiency. Impact of pending subsidy, if any, has not been passed on to the Consumers. Discoms should recover full due amount from the consumers as well as amount of tariff subsidy provided by the Government as per section 65 of the Electricity Act.

3.190 **Fuel Surcharge/Special Fuel Surcharge:** Out of total income from sale of power, the income from fuel surcharge i.e. on account of regular fuel surcharge and special fuel surcharge on account of M/s APRL as per audited accounts is Rs. 991.93 Crore and Rs. 112 Crore respectively, which is considered by the Commission in this Order.

3.191 **Non-Tariff Income:** During FY 2024-25, Discom has claimed total non-tariff income of Rs. 1413.11 Crore including deferred revenue income of Rs. 366.69 Crore and DPS received from consumers of Rs. 299.49 Crore, which have been dealt as under:

3.192 **Delayed Payment Surcharge (DPS):** The Discom has claimed Delayed Payment Surcharge (DPS) of Rs. 299.49 Crore as part of Non-Tariff Income (NTI) and also claimed the same as separate item of expenditure under DPS head.

3.193 The Commission has shown Delayed Payment Surcharge (DPS) of Rs. 299.49 Crore as Non-Tariff income for the purpose of representation of this income and same time also allowed it as a separate item under expenditure head as per Discoms submission, which tantamount to non-consideration of DPS amount in non-tariff income in accordance with the Regulation 36 of RERC Tariff Regulations, 2019.

3.194 **Deferred Revenue Income:** Discom has stated that in their accounting policies consumer contribution for service connection & line, capital grants and subsidies received towards cost of capital assets have not been reduced from the cost of assets. The same has been treated as Deferred Revenue Income which is being amortized/written off in 25 years from the year of its receipt. The depreciation pertaining to such fixed assets is fully charged to revenue.

3.195 However, while computing the depreciation, the Commission has reduced the capitalization amount funded by the consumer contribution, capital grant and subsidy received during the year. Therefore, the Commission has not considered the depreciation benefit on such assets and consequently deferred revenue of Rs. 366.69 Crore is not considered.

3.196 Accordingly, Non-Tariff Income of Rs. 1046.42 Crore is considered in this order.

Exceptional Items

Exceptional Income

3.197 **Reversal of LPS-:** Discom submitted that it has accounted reversal of LPS from RVPNL of Rs. 36.28 Cr as exceptional income during the year. Discom further submitted that since the Commission does not consider LPS/ DPS payable as a pass-through expense in the True-up/ ARR Orders, hence the Commission may also not consider credit of LPS received from RVUN and RVPNL as a pass-through item. Therefore, net impact of such reversal of LPS shall be Nil.

3.198 **Other Income (Revenue from Grants, Subsidies and subventions):** Discom has accounted Rs. 1473.58 Crore under other income head (Revenue from Grants, Subsidies & Subvention) under exceptional income. Government of Rajasthan (GoR) vide UO Note No.F.5(21) FWM/2014 Jaipur dated 28.08.2025 has agreed for assuming company's liability on account of actuarial valuation of the terminal benefits required to be charged in the Statement of Profit and loss for FY 2024-25, to be paid in 10 equal installments commencing from FY 2025-26 and the same has been accounted-for as Revenue from Grants, Subsidies and Subventions under Exceptional Income.

3.199 **Revenue from Operations (Other Operating Income):** Discom has accounted Rs. 223.34 Cr. against refund of RoE against Transmission charges charged for FY 2023-24, as per U.O.Note F. 5 (21) FWM/2014, Jaipur dated 28.08.2025 of Finance (W&M) Department, GoR. Accordingly, the amount has been accounted-for as Revenue from operations under Exceptional Income.

3.200 **Other Operating Income:** Discom has accounted Rs. 41.32 Cr. against Prompt Payment rebate from RVUNL for FY 2023-24 as per U.O.Note F. 5 (21) FWM/2014, Jaipur dated 28.08.2025 of Finance (W&M) Department, GoR. Accordingly, the amount has been accounted-for as "Other Operating Income" under Exceptional Income.

3.201 **Other Income (Other Non-operating Income):** Discom has submitted that AVVNL has issued ICT No. 01/2024-25 dt 16.09.2025 amounting to Rs. 522.509 Cr. against receivables/ inter-company receivables from JVVNL as on 31.03.2025 as per UO Note No. F. 5 (21) FWM/2014 dated 28.08.2025 of Finance (Budget) Department, GoR. Accordingly, the amount has been accounted-for as "Other Non-Operating Income" under Exceptional Income

3.202 It is observed that the Commission has not considered the LPS/DPS payable as a pass-through expense in the earlier True-up/ ARR Orders, Discom in the present true up petition has not claimed the same as exceptional income hence Commission in this order also has not considered LPS from RVPNL of Rs. 36.28 Cr. as a pass through item.

3.203 As discussed in earlier para of the order, since the Commission is allowing actuarial liability of terminal benefits as per actual fund transferred to the superannuation and gratuity trusts only hence exceptional income of Rs. 1473.58 Cr. under Revenue from Grants, Subsidies and subventions on account of actuarial valuation of the terminal benefits required to be charged in the Statement of Profit and loss for FY 2024-25 assumed by the State Government is also not considered. The Commission will consider the same on actual realization of the amount from GoR. Therefore, Discom is advised to claims such amount as income in the true up of the year in which such amount received from GoR. The Commission also advises the Discom to obtain the funds from the GoR as per their commitment and utilize the same to deposit into the appropriate funds. The Commission will accordingly allow the same as expenditure in the form of additional contribution separately.

3.204 As regards exceptional income of writing off of inter-company receivables from JVVNL by AVVNL as on 31.03.2025 of Rs. 522.509 Cr. the Commission observes that since the above adjustment has been made as per as per UO Note No. F. 5 (21) FWM/2014 dated 28.08.2025 of Finance (Budget) Department, GoR hence the Commission has considered the same.

3.205 The other exceptional income of refund of RoE from RVPNL of Rs. Rs. 223.34 Cr. and prompt payment rebate from RVUNL of Rs. 41.32 Cr. has been considered by the Commission as petitioned by the JVVNL.

3.206 Accordingly, Commission has considered Rs. 787.17 Cr. as exceptional income for the purpose of True up exercise.

Revenue Gap/Surplus

3.207 JVVNL in its audited accounts for FY 2024-25 has shown Loss of Rs. 706.49 Cr. It is observed that as per GSDP scheme Government of Rajasthan has to take over 100% of the loss for the year 2024-25 and provide the same as loss subsidy. As per methodology adopted for losses taken over in the previous ARR orders, the Commission considers lower of loss subsidy received/receivable or % of approved losses.

3.208 The Commission in earlier tariff orders has already made it clear that it would not create any gap to be carried forward in the regulatory assets in future as per conditions of RDSS. Since, the Commission has approved gap of Rs. 358.68 Cr. as per table given below, which is less than the audited losses of Rs. 706.49 Cr. Hence, Commission has considered the 100% of Rs. 358.68 Cr. as loss subsidy in respect of JVVNL for FY 2024-25.

3.209 Based on above discussions and data provided by JVVNL, the prayer of Discom for True-up of the expenditure and revenue for FY 2024-25 based on the actual performance and for approval of the revenue gap of Rs. (1161.70) Crore for the year has not been accepted as petitioned. The Commission has approved the same to the extent shown in following table:

Table 18: Summary of True up of JVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particulars	As per ARR order dated 26.07.2024	As per petition	Approved After truing up
1	**Revenue**			
2	Sale of power	26912	25785.91	25785.91
3	Recovery of FSA for Qtr IV of FY 2022-23 & Qtr I of FY 2023-24	1642		
4	Fuel Surcharge		1103.93	1103.93
5	Non-tariff income and other income	568	1413.11	1046.42
6	Wheeling charges, Cross Subsidy Surcharge and additional surcharge	5	4.84	4.84
7	Sale of power through trading	0	177.25	177.25
8	Prior Period Income	0	(34.77)	0.00
9	**Total Revenue, A**	**29127**	**28450.26**	**28118.34**
10	**Expenditure**			
11	Power purchase Cost	20219	22181.39	22013.75
12	**O & M Expenses**			
13	Employee cost	1533	1082.37	1706.93
14	A&G expenses	192	185.95	178.33
15	R&M expenses	228	477.38	223.59
16	Terminal Benefits	605	1504.04	29.81
17	Insurance Expenses	38	1.38	1.38
18	Exp. on Safety Measures		0.00	1.55
19	Depreciation	868	1303.11	828.35
20	Interest & finance charges	1050	1224.88	1148.45
21	Interest on APRL Loan	0		112
22	Interest on working capital	225	2729.00	196.71
23	Interest on Regulatory Assets	2150		2141.84
24	Prior period expenses	0	285.87	1.46
25	Other debits	0	266.34	50.51
26	Rebate allowed to consumers	0	408.67	380.03
27	Exceptional items	0	(2260.75)	(787.17)
27	**Total Expenditure, B**	**27107**	**29389.65**	**28227.53**
28	**Surplus/deficit, C = (A-B)**	2020	(939.38)	(109.18)
29	Revenue subsidies received from State Government **D**	54	77.17	0.00
30	Less: Delayed payment surcharge	0	299.49	299.49

Sr. No.	Particulars	As per ARR order dated 26.07.2024	As per petition	Approved After truing up
	considered as part of NTI **E**			
31	Revenue Surplus/ (Gap) for FY 2024-25, **F** =(C+D-E)	2074	(1161.70)	(408.68)
32	Deduction on account of non-implementation of ERP **G**	0	0.00	50.00
33	**Net Revenue Surplus/(Gap) for FY 2024-25 H=(F+G)**	**2074**	**(1161.70)**	**(358.68)**
34	Loss Subsidy considered by the Commission for FY 2024-25 **(I)**	0	0	358.68
35	**Net Revenue Surplus/(Gap) for FY 2024-25 after loss subsidy J= (H+I)**	**2074**	**(1161.70)**	**0.00**
36	Gap worked out as per last true up order, **K**		(20343.89)	(20343.89)
37	Cumulative Revenue Gap to be carried forward, **L** = (K+J)		(21505.59)	(20343.89)
38	Cumulative Revenue Gap till FY 2024-25		(30051.95)*	(20343.89)

***As per audited accounts**

Analysis of True-Up of ARR for FY 2024-25– AVVNL

Sale of Energy

3.210 The Discom has indicated total sale of 26859.76 MUs including 8570.49 MUs for agriculture metered category (including defective meter). It has been observed that Ajmer Discom has converted all the agriculture Flat Rate consumers into metered one and there is no Flat Rate Consumer during the year.

3.211 In data gap reply, the Discom has filed the detail of number of working meters, defective meters, their connected load and sales of such consumers as under:

Particulars	Consumers	Connected Load (KW)	Energy Sold (MU)
Ag. Working Meters	565439	3377475	4721.74
Ag. Defective Meters	136729	2039934	3848.75
Total Ag. Metered	**702168**	**5417409**	**8570.49**

3.212 It is observed from the above data that Discom is reporting defective meters which are close to 19% of total consumers under this category carrying 45% of consumption. The Commission expresses its serious concern, as according to RERC (Electricity Supply Code and Connected Matters) Regulations, 2021, no defective meter shall be allowed to remain for more than 2 billing cycle.

3.213 As discussed in earlier para of the order, for computing the defective meters sales for FY 2024-25, Commission has considered average connected load, the Specific consumption of 1398 kWh/kW/year of working meters for 10 months and Specific consumption of 1945 kWh/kW/year for 2 months and the average for 12 months works out to be 1489 kWh/kW/year. Accordingly, the sales to consumers with defective meters work out to be 3037.82 MUs against Discom's claim of 3848.75 MUs. Thus, the Commission has disallowed 810.93 MUs in sales on account of higher specific consumption of defective meters as compared to working meters.

3.214 The Commission has noted that it has prescribed the target losses in its ARR Order based on sales to end consumers and any consideration of sales to franchisee at input level will show reduction in losses whereas revenue accounted by the Discom already stands reduced due to lower rate at input level. As the franchisee is acting on behalf of the licensee, the Discom should ensure that franchisee also functions in an efficient manner and also make adequate investment so that impact of working of franchisee should be reflected in overall efficiency improvement and Discoms are also able to achieve target loss level based on end consumer sale.

3.215 It is further observed that the above sale is inclusive of sale of power of 679.04 MUs to the Distribution Franchisee (DF). Whereas DF has sold 634.76 MUs to the end consumer. In accordance with view taken in previous true-up orders, Commission for the purpose of calculating distribution losses accepts the sales of energy to end consumer only, in view of above, after disallowing sales of defective meters and consideration of energy sales of DF at consumer level, the energy sales for FY 2024-25 is work out to be as 26004.55 MUs, accordingly, the restated distribution loss comes out to be 10.58% as against 7.63% indicated by the Discom.

Power Purchase Cost

3.216 Power purchase cost approved by the Commission for FY 2024-25 was Rs. 15616 Crore vide ARR order dated 26.07.2024. For the purpose of truing up, AVVNL has claimed Rs. 15450.73 Crore as power purchase cost (including Short Term Power purchases and Transmission & SLDC charges).

3.217 The Discom has petitioned that they have purchased 32220.58 MUs out of which they have sold 338.53 MUs through exchange, which has been shown in revenue from sale of power through trading.

3.218 Details of power purchase cost submitted by Discom are given in the table below:

Table 19: Power purchase cost submitted by AVVNL for FY 2024-25

Sr. No.	Particulars	Units (MU)	Amount (in Crore)	Average Rate
	Energy petitioned by Discom			
1	Total Energy Purchased by Discom (A)	32220.58	13715.54	4.26
2	Less: Purchase From Short term sources (B)	3238.39	1658.79	5.12
3	Balance Energy from approved Sources C= (A-B)	28982.20	12056.75	4.16
4	Add: Transmission and SLDC charges (D)		1735.20	
5	Total Power Purchase Cost claimed E=(A+D)		**15450.73**	

3.219 The Discom submitted it has achieved Distribution losses of 7.63% as against a target of 10.00% approved by the Commission, further, Commission appreciate the Discom to achieve target distribution losses for FY 2024-25.

3.220 The Commission has worked out the power purchase requirement based on the approved distribution losses, transmission losses and sales approved above.

3.221 The Discom has furnished total transmission losses (inter and intra state) in MUs terms, therefore, to segregate the same, the Commission has used the intra state losses of 4.25% based on RVPN true up petition for FY 2024-25 and the inter-state transmission losses of 3.65% based on 52 weeks Average of All India Transmission Losses as discussed in earlier paras of the order. Discom is again directed to keep a separate account of interstate and intrastate losses and give bifurcation while filing next true up petitions. Failing which the Commission may also impose a penalty apart from disallowing the excess transmission losses.

3.222 Details of gross energy requirement worked out on the basis of sales and losses as indicated in foregoing Para is given below in table:

Table 20: Gross Energy Requirement of AVVNL for FY 2024-25 (MUs)

Sr. No.	Particulars	Approved as per Order Dated 26.07.2024	Actual/Audited	Restated Level	Normative Calculation
1	Gross Energy Requirement	32540	32220.58	32220.58	31003.61
2	Less:- Sale Through Exchange	0	338.53	338.53	338.53
3	Net Energy Requirement	32540	31882.05	31882.05	30665.09
4	Inter State Transmission Loss (MU)	357	1431.84	1511.34	487.39
5	Energy Availability at RVPN (MU)	32184	30450.22	30370.71	30177.70
6	Intra State Transmission Loss (%)	4.50%	4.50%	4.25%	4.25%
7	Intra State Transmission Loss(MU)	1448	1370.26	1290.76	1282.55
8	Energy Requirement at Distribution Periphery (MU)	30735	29079.96	29079.96	28895.15
9	Distribution Loss (%)	10.00%	7.63%	10.58%	10.00%
10	Distribution Loss (MUs)	3075	2220.20	3075.41	2890.60
11	Energy Sales (MUs)	27661	26859.76	26004.55	26004.55

3.223 It is observed that at approved distribution loss level of 10.00%, Discom has purchased 1216.97 MUs in excess due to consideration of sale of power to end consumer of DF, consideration of sale of defective meters using specific consumption of working meters and high transmission losses. During FY 2024-25, Discom restated distribution losses are 10.58% which is slightly higher than approved distribution losses of 10.00%.

3.224 As discussed in earlier paras, the Commission does not wish to burden the consumer on account of Discom inefficiency. As such, the Commission disallows 100% of such excess purchase, i.e. 1216.97 MUs from actual purchase of 32220.58 MUs and accordingly purchase of energy allowed shall be 31003.61 MUs.

3.225 In view of discussion made earlier in this order, banking transactions are considered as cost neutral and no provision towards notional cost of banking is considered for true up of power purchase cost.

3.226 Discom has submitted the total power purchase cost of Rs. 13715.54 Crore including provision of banking of Rs. (470.40) Crore and banking transaction cost of Rs. Nil. As the Commission in earlier true up orders has not considered the provision for banking cost hence during the year reversal of provision for banking of Rs. 470.40 Cr. has not been considered and added back to the power purchase cost. Further, as discussed in earlier paras, the service charges to RUVNL of Rs. 13.92 Crore are not considered by Commission. Accordingly, the Commission has considered the power purchase cost of Rs. 14172.02 Crore.

3.227 Details of power purchase cost as approved by the Commission is given in the table below:

Table 21: Power Purchase Cost of AVVNL as approved for FY 2024-25

(Rs. In Crore)

Sr. No.	Particulars	Units (MU)	Amount	Average Rate
	Energy approved by Commission:			
1	Total Energy Purchased by Discom (A)	32220.58	14172.02	4.40
2	Less: Disallowed short term and unapproved sources (B)	1216.97	623.36	5.12
3	Total Energy from approved sources (C=A-B)	31003.61	13548.65	4.37
4	Less: Disallowed approved sources (D)	0.00	0.00	0.00
5	**Power Purchase Cost Allowed E=(A-B-D)**	31003.61	13548.65	
6	Add: Transmission and SLDC charges (F)		1735.20	
7	**Total Power purchase cost allowed G= (E+F)**		**15283.85**	

3.228 While disallowing the excess purchase of 1216.97 MUs by Discom, the Commission has considered the same from short term sources (UI, Exchange and Others).

3.229 Transmission and SLDC charges of Rs. 1735.20 Crore have been allowed by the Commission. Accordingly, the total power purchase cost including transmission & SLDC charges for FY 2024-25 is Rs. 15283.85 Crore.

Operations and Maintenance (O&M) Expenses

3.230 The O&M expenses approved by the Commission for FY 2024-25 were Rs. 2151 Crore including terminal benefit liability of Rs. 570 Crore vide ARR order dated 26.07.2024. For the purpose of true up, AVVNL has claimed Rs. 2290.42 Crore as O&M expenses (including terminal benefits of Rs. 771.38 Crore).

3.231 The Commission has worked out the normative O&M expenses as per the methodology explained in earlier part of this order.

3.232 Details of normative O&M expenses as allowed are given in table below:

Table 22: O&M Expenses of AVVNL for FY 2024-25 (Rs. in Crore)

Sr. No	Particulars	Amount
1	Energy Sales approved by Commission excluding sales by DF (in MU)	25369.78
2	Normative Employee cost for FY 2024-25 (Rs. 0.57368/unit)	1455.41
3	Normative A &G expenses for FY 2024-25 (Rs. 0.07769/unit)	197.09
4	Normative R&M expenses (k x GFAn-1 x (1+ER))	183.53
5	Less: Proportionate Employee Cost Capitalized	284.91
6	Less: Proportionate A&G cost capitalized (A&G)	28.03
7	**Total O&M Expenses Allowed after True Up**	**1523.09**

3.233 As discussed in earlier para of the order, Commission allowed expenses towards safety over and above the normative O&M expense. In the instant petition, the Commission observed that the Discom has incurred expenses on safety device of Rs. 4.98 Crore, therefore the same is allowed in this true up order over and above O&M expenses.

Terminal Benefit

3.234 The Commission had approved Rs. 570 Crore towards terminal benefit liability vide its tariff order dated 26.07.2024. AVVNL submitted that they have deposited a sum of Rs. 142 Crore as additional contribution towards terminal benefit liability. Accordingly, the terminal benefit liability to the extent of actual amount of Rs. 142 Crore deposited by the AVVNL has been considered by the Commission.

3.235 As discussed in earlier paras of the order, the Commission advises the Discom & State Government to continue ensure appropriate funding towards terminal benefit liability so as to meet the liability of the Discom on this account. Further, Discoms should also ensure to obtain the amount against liquidation of OPS liability from Government of Rajasthan as per MOU executed in previous year.

Depreciation

3.236 The depreciation approved by Commission for FY 2024-25 was Rs. 701 Crore vide ARR order dated 26.07.2024 and Discom has claimed Rs. 1118.53 Crore as depreciation charges for the purpose of true up.

3.237 It is observed that Rs. 898.76 Crore has been shown towards terminal benefit expenses and out of total employee cost capitalization of Rs. 323.09 Crore, the terminal benefit capitalization is Rs. 127.38 Crore. The Discom must have added the aforesaid terminal benefit capitalization to assets addition during FY 2024-25. As the Commission in above paras has already considered and allowed the terminal benefit without capitalization, therefore, the Commission has deducted the capitalization of terminal benefit from the assets addition during FY 2024-25.

3.238 **Grant under Revamped Distribution Sector Scheme (RDSS):** Discom has consistently been asked to submit scheme wise equity, grant and loans. Commission is allowing the investment under central sponsored schemes and as per the provision of these schemes; Discom is also expected to meet the desired targets and efficiency level. The purpose of the direction of the Commission was to ensure efficiency of investment and to ensure that the Discom has performed according to the targets of that scheme and its impact is not passed on the consumer by way of non-receipt of grant. It is observed that during FY 2024-25, under central sponsored scheme such as RDSS, AVVNL has incurred Rs. 660.02 Crore and in reply to data gap Discom has indicated Rs. 396.01 Crore as grants receivables towards such works, whereas as per audited accounts of Discom Rs. 290.35 Crore has been shown as grant received during FY 2024-25. The difference of grant ought to be received and actually received has been considered as notional grant by the Commission. Accordingly, additional grant has been added by the Commission of Rs. 105.66 Crore.

3.239 It is made clear that the Commission will not pass on the interest burden to consumers for the additional borrowings taken against the shortfall in the grant/equity to be received as per funding pattern approved in Schemes.

3.240 **Grant on release of New Agriculture Connection under RE Works:** It is observed that during FY 2024-25, Discom has released of 42912 Nos. of new agriculture connections. As discussed in the earlier para of this order, the Commission has considered 50% of difference between actual expenditure incurred on release of new agriculture connection and amount deposited by consumer as additional grant from the State Government which otherwise would have been paid by consumer as consumer contribution to Discoms.

3.241 The Commission as per reply of data gap of Discom has considered an average expenses of Rs. 261000/- per connection and consumer contribution of Rs. 25000 per connection. The 50% difference of per connection expenses and consumer contribution of the above shall be Rs. 118000 per connection. Based on this the total grant from government towards release of 42912 new agriculture connection during the year work out to be Rs. 506.36 Crore.

3.242 While dealing with Jodhpur Discom in the earlier paras of this order, the Commission has considered this amount as additional grant, Discom may obtain this amount from State Government.

3.243 In view of above, the Commission has considered total capital outlay financed by consumers contribution and grant of Rs. 1288.02 Cr. consisting of consumer contribution for services connection of Rs. 385.65 Crore, capital grant actually received of Rs. 290.35 Crore towards central sponsored scheme, grant of Rs. 506.36 Cr. towards release of New Agriculture Connection under RE Works and additional notional grant of Rs. 105.66 Crore from central sponsored scheme.

3.244 The Commission in absence of detailed information has worked out the figure of grant on normative basis, in case of any discrepancy; Discom may come with actual figure of applicable grant and request to recalculate the impact of grant during next true up petition.

3.245 **Fixed Assets Register (FAR):** With regard to FAR, Discom has submitted that work of preparation of FAR for FY 2024-25 is under process and shall be submitted shortly.

3.246 Further, as discussed earlier, the Commission directs AVVNL to plan implementation of ERP System, which will not only helps Discom in better planning of power purchase, inventory and capital expenditure but also reduces the losses and improve the productivity of expenditure incurred and efficiency of human resources deployed for such purpose. Serious actions are required to be taken by Discoms for implementation of ERP. As discussed earlier in this order, this year also the Commission has decided to withhold Rs. 50 Crore of AVVNL on this account and directs the Discom to effectively implement the ERP system for power purchase, inventory, loss reduction and capital expenditure planning and monitoring etc. After the satisfactory implementation of ERP the Discom may request to consider to allow the aforesaid disallowed amount.

3.247 The Commission has followed the methodology given earlier in the order for the calculation of depreciation being allowed.

3.248 Details of depreciation charges allowed for FY 2024-25 are given in table below:

Table 23: Depreciation Charges of AVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particulars	Amount
1	Depreciable assets at the beginning of the year (closing balance of Tue up FY 2023-24)	15121.13
2	Less: Deductions as per audited accounts	114.67
3	Capitalization during the year	1747.67
4	Less Capitalization towards terminal benefit	127.38
5	Less: Capital Outlay financed by Consumer Contribution and grant	1288.02
6	Depreciable assets added during the year (3-4-5)	332.27
7	Closing balance of GFA (1-2+6)	15338.72
8	Average depreciable assets during the year	15229.93
9	Average depreciation rate	4.42%
10	**Depreciation Allowed after True UP**	**673.91**

Interest and Finance Charges and Interest on Working Capital

3.249 The interest & finance charges approved by Commission for FY 2024-25 was Rs. 2445 Crore including interest on working capital as per the ARR order dated

26.07.2024. For the purpose of true up, AVVNL has claimed Rs. 2919.09 Crore as interest and finance charges including interest on working capital.

3.250 Interest and finance charges have been calculated as per the methodology given earlier in the order as shown in table below:

Table 24: Interest and Finance Charges of AVVNL for FY 2024-25

(Rs. in Crore)

Sr. No	Particulars	Amount
1	Opening balance of Long term Loan (LTL) (closing balance of true up 2023-24)	5609.74
2	Add: Capitalization during the year	1747.67
3	Less: Capital Outlay financed by Equity	0.00
4	Less: Capital Outlay financed by Consumer Contribution and grant	1288.02
5	Less Capitalization towards terminal benefit	127.38
6	Addition to LTL for Capital Outlay {2-(3+4+5)}	332.27
7	Less: Repayments equal to depreciation	673.91
8	Closing balance of LTL (1+6-7)	5268.09
9	Average LTL	5438.92
10	Add: Revenue Gap recognized upto previous year FY 2023-24	13080.52
11	Total Long Term Loan Balance to be considered for allowing interest for FY 2024-25 (9+10)	18519.43
12	Average Interest rate of LTL	10.69%
13	Interest Charges on LTL and revenue gap	1980.27
14	Interest on security deposit from consumers - As per actual	79.05
15	Finance Charges-As per actual	193.89
16	**Total Interest and Finance Charges Allowed after True UP (13+14+15)**	**2253.21**

Interest on APRL Loan

3.251 As discussed earlier, Discoms have filed the details of special fuel surcharge from APRL including interest liability towards APRL payment, AVVNL has booked an interest liability of Rs. 163.17 Crore on the loans availed by the Discom to meet the APRL liability, the Commission has observed that against such expenses Discom has also submitted income of special fuel surcharge of Rs. 163.17 Crore.

3.252 It is observed that the Commission vide its order dated 01.09.2022 allowed the recovery of special FSA of Rs. 5996.40 Cr. (AVVNL share (Rs. 1622.05 Cr.) and also allowed future interest burden of Rs. 1442.18 Cr. (AVVNL share Rs. 390.32 Cr.) to be recovered from the consumers. The Commission observed that till FY 2024-25 AVVNL has booked amount of Rs. 476.90 Cr. towards interest to APRL as special fuel surcharge in revenue head from FY 2022-23 to 2024-25 which is in excess of Rs. 86.58 Cr. over the Commission's allowed amount of Rs. 390.32 Cr.

3.253 After post hearing, AVVNL submitted that average quarterly consumption of AVVNL for FY 2021-22 was 5037.14 MUs and with allowed special FSA @ 0.071/Unit for 5 years, total recoverable amount works out to Rs. 2145.82 Cr. which is more than total Special FSA accrued upto FY 2024-25 amounting to Rs. 2,098.97 Crore.

3.254 However, the Commission observed that total FSA allowed to Rajasthan Discoms as per order dated 01.09.2022 was Rs. 5996 along with future interest burden of Rs. 1442 Cr. in which share of AVVNL was Rs. 1622 Cr. and Rs. 390 Cr. for FSA and future interest burden respectively totaling to Rs. 2012 Cr. As per the information submitted, AVVNL has booked future interest of Rs. 476.90 Cr. till FY 2024-25 which is more than the amount allowed of Rs. 390.32 Cr.

3.255 It is observed that the Commission has already allowed Rs. 313.73 Cr. towards future interest burden to APRL upto FY 2023-24 to the AVVNL. Therefore, Commission has considered to allow balance Rs. 76.59 Cr. during FY 2024-25 against future interest burden to APRL which is upto the limit of Rs. 390.32 Cr.

3.256 The Commission vide its order dated 01.09.2022 and 01.07.2024 has allowed special FSA at the rate of Rs. 0.142/ unit to be recovered from the consumers being billed on bimonthly basis in 30 equal installments and at the rate of Rs. 0.071/Unit to be recovered from the consumers being billed on monthly basis in 60 equal installments considering average quarterly units of Rajasthan Discoms as a whole. At the end of 5 years, Commission will finally look into the recovery made by each Discoms and take a further view in future true up petitions as per realized amount.

Interest on working capital

3.257 The Commission has approved the interest on working capital as per Regulation 27 of RERC Tariff Regulations, 2019. Details of Interest on working capital are given in table below:

Table 25: Interest on Working Capital of AVVNL for FY 2024-25 (Rs. in Crore)

Sr. No	Particular	Amount considering normative interest rate	Amount considering interest rate submitted by Discom
1	O&M expenses of one month	126.92	126.92
2	Maintenance spares @ 15% of operation and maintenance expenses specified in regulation 82;	228.46	228.46
3	Receivables equivalent to one and a half (1½) months billing of consumers	2743.63	2743.63
4	Less: Security deposit from consumers	1650.68	1650.68
5	Total working capital requirement(1+2+3-4)	1448.34	1448.34
6	Rate of Interest	11.52%	9.97%
7	Interest on working capital allowed after true-up	166.87	144.41
8	Less : 50% Loss arising from variation in Interest rate as per regulation 27 of RERC, 2019	11.23	
9	**Net Interest on working capital**	**155.64**	

3.258 It may be seen that gain on account of variation in interest rate is Rs. 22.45 Crore. As per Regulation 27 of RERC Tariff Regulations, 2019, 50% of such gain is to be passed on as a rebate in tariff and the licensee is allowed to retain only 50% of such gain. Accordingly, 50% of the gain, amounting to Rs. 11.23 Cr. has been reduced from the amount of interest on working capital worked out on the basis of normative interest rate.

Prior Period Expenses

3.259 AVVNL has claimed prior period expenses of Rs. 20.80 Crore. The details of prior period expenses as per audited accounts are as follows:

Table 26: Prior Period expenses (Rs. in Crore)

Particulars	For the year ended 31st March, 2025	
Short Provisions for Power purchase in previous year		7.54
Operating Expenses	12.73	
Employee Cost	0.04	
Depreciation	0.23	
Interest & Other Financial Charges	0.03	
Administrative Expenses	0.25	13.26
Total		**20.80**

3.260 While carrying out the true up of any financial year, the Commission allows the operation expenses, employee cost, depreciation, Interest & other financial charges and administrative expenses as per Tariff Regulations. Hence, expenses of Rs. 13.26 Crore on account of these as shown in AVVNL audited accounts have not been considered as prior period expenses as the Commission has already approved the above expenses in the earlier true up orders as per the norms specified in the Tariff Regulations.

3.261 Further, Discom has also claimed Rs. 7.54 Crore towards prior period power purchase in respect of GBI claim for FY 2016-17 & 2018-19 and PBI claims for FY 2022-23 and AG POMs for FY 2022-23. Hence the same has been considered as claimed by Discom.

3.262 Considering the above, for the purpose of current true up, the Commission has considered the prior period expenses of Rs. 7.54 Crore against the AVVNL claim of prior period expenses of Rs. 20.80 Crore.

Insurance Expenses

3.263 As per regulation 25 of RERC Tariff Regulations, 2019 actual insurance expenses incurred by the generating company or licensee shall be allowed separately, subject to a ceiling of 0.2% of average Net Fixed Assets for the year. The Commission accordingly has considered the insurance charges of Rs. 0.99 Crore claimed by the Discom.

Other Debits

3.264 AVVNL has claimed other debits of Rs. 71.95 Crore. It has been observed that major item of other debits are the compensation in case of injury/death of Rs. 16.75 Crore, Loss on obsolescence of fixed assets of Rs. 41.48 Crore, Loss due to theft of assets of Rs. 7.02 Crore, Loss on PMCF Trust of Rs. 7.01 Crore, Shortage on physical verification of stock of Rs. 0.28 Crore, Provision for loss of cash of Rs. 1.46 Crore and Bad & doubtful debts provision of Rs (2.06) Crore.

3.265 While carrying out the true up exercise, the Commission has not considered any provision towards bad and doubtful debts. The expenses are allowed only to the extent of debts actually written off by the Discom subject to limit stipulated in the Regulation 26 of RERC Tariff Regulations, 2019. Therefore, the Commission has not considered the provision for bad and doubtful debts of Rs. (2.06) Cr.

and considered the actual bad debts written off of Rs. 6.70 Crore as submitted by the Discom in reply of data gap.

3.266 Further, compensation in case of injury /death of Rs. 16.75 Crore and Loss on obsolescence of fixed assets Rs. 41.48 Crore are considered at actual.

3.267 Since the Commission has allowed insurance charges, therefore the claim on account of loss due to theft of assets of Rs. 7.02 Crore is not considered by the Commission.

3.268 Further, Loss on PMCF Trust of Rs. 7.01 Crore is considered at actual. The commission has not considered shortage on physical verification of stock of Rs 0.28 Crore and Provision for loss of cash of Rs. 1.46 Crore.

3.269 Accordingly, the Commission has considered the other debit of Rs. 71.95 Crore against the Discom's claim of Rs. 71.95 Crore.

Rebate Allowed to Consumers

3.270 AVVNL has shown rebate allowed to consumers of Rs. 336.74 Crore which is inclusive of LPS/DPS waived of Rs. 16.95 Crore and rebate on account of defective meters of Rs. 0.84 Crore. As per Regulation 36 of RERC Tariff Regulations, 2019, the Commission has not considered the income towards DPS, therefore the expenditure on account LPS/DPS waived of Rs. 16.95 Crore has also not been considered by the Commission. Further, Discom has shown rebate of Defective meter of Rs. 0.84 Crore which is also not considered in this order as it is the duty of the Discom to keep the meters correct and replace defective meters within the specified time.

3.271 Hence commission has considered the rebate allowed to consumer of Rs. 318.94 Crore after adjustment as above.

Revenue

3.272 Revenue from sale of power, Wheeling Charges, Cross Subsidy Surcharge, Additional Surcharge, sale of power through trading and Prior Period Income as petitioned by Discom has been accepted.

3.273 As discussed earlier, Commission has considered the full revenue from sale of power as submitted by the Discom with 100% collection efficiency. Impact of pending subsidy, if any, has not been passed on to the Consumers. Discoms should recover full due amount from the consumers as well as amount of tariff subsidy provided by the Government as per section 65 of the Electricity Act.

3.274 **Fuel Surcharge/Special Fuel Surcharge:** Out of total income from sale of power, the income from fuel surcharge on account of regular fuel surcharge and special fuel surcharge on account of M/s APRL as per audited accounts is Rs. 731.79 Crore and Rs. 163.17 Crore respectively which has been considered by the Commission. As discussed earlier, while allowing the interest on APRL, the Commission has allowed Rs. 76.59 Cr. against the booking of special fuel surcharge of Rs. 163.17 Cr. However, the Commission has considered to allow special fuel surcharge of Rs. 163.17 Cr. during the year under this head. AVVNL is advised to adjust the excess booked amount of interest of Rs. 86.58 Cr. in next year annual account and further submit the figures in next year true up petition for Commission's consideration.

3.275 **Non-Tariff Income**: During FY 2024-25, Discom has claimed total non-tariff income of Rs. 843.28 Crore including deferred revenue income of Rs. 318.37 Crore and DPS received from consumers of Rs. 133.69 Crore, which have been dealt as under.

3.276 **Delayed Payment Surcharge (DPS):** The Discom has claimed Delayed Payment Surcharge (DPS) of Rs. 133.69 Crore as part of Non-Tariff Income (NTI) and also claimed the same as separate item of expenditure under DPS head.

3.277 The Commission has shown Delayed Payment Surcharge (DPS) of Rs. 133.69 Crore as Non-Tariff income for the purpose of representation of this income and same time also allowed it as a separate item under expenditure head as per Discoms submission, which tantamount to non-consideration of DPS amount in non-tariff income in accordance with the Regulation 36 of RERC Tariff Regulations, 2019.

3.278 **Deferred Revenue Income**: Discoms have stated that in their accounting policies consumer contribution for service connection & line, capital grants and subsidies received towards cost of capital assets have not been reduced from the cost of assets. The same has been treated as Deferred Revenue Income which is being amortized/written off in 25 years from the year of its receipt. The depreciation pertaining to such fixed assets is fully charged to revenue.

3.279 However, while computing the depreciation, the Commission has reduced the capitalization amount funded by the consumer contribution, capital grant and subsidy received during the year. Therefore, the Commission has not considered the depreciation benefit on such assets and consequently deferred revenue of Rs. 318.37 Crore is not considered.

3.280 Accordingly, Non-Tariff income of Rs. 524.92 Crore is considered in this Order.

Revenue Subsidy received from Government

3.281 Discom has not filed any revenue subsidy and the same has been shown as Rs. Nil.

3.282 It is observed that under GSDP scheme, Government of Rajasthan has taken 90% of adjusted operational Losses of Discom for FY 2023-24, however, in the last true up for FY 2023-24, Commission has considered lower of prescribed % of the approved losses or actual loss subsidy receipt.

3.283 Further, as the Commission has approved surplus of Rs. 1137.65 crore during the true up of FY 2023-24, therefore, the Commission also has not considered any loss subsidy in this order.

3.284 Accordingly, no revenue subsidy is considered by the Commission for AVVNL in this order.

Exceptional Items

Exceptional Income

3.285 **Transfer from Capital Reserve – UDAY Grant re-classification:** Discom has accounted Rs. 4090.41 Crore under exceptional income as per directions issued by the Finance (Ways & Means) Department, Government of Rajasthan (GoR) vide U.O. Note No. F.(5) (21) FWM/ 2014, Jaipur dated 28-08-2025. Discom submitted that the grant under UDAY released by the GoR in FY 2019-20 amounting to Rs. 4,090.41 Crore which had been treated as a capital-nature subsidy and transferred to the capital reserve in that year, the same has now been reclassified and recognized as revenue subsidy so as to align with the classification adopted by the State Government.

3.286 It is observed that AVVNL had treated the grant under UDAY amounting to Rs. 4,090.41 Cr. released by the GoR in FY 2019-20 as a capital-nature subsidy and transferred to the capital reserve account in the said year. However, GoR had classified the above grant under Revenue Grant, now the AVVNL has reclassified and recognized the capital grant as revenue subsidy as per GoR directions vide U.O. Note No. F. (5) (21) FWM/ 2014, Jaipur dated 28-08-2025.

3.287 The Commission observes that UDAY Scheme was launched in FY 2016-17 vide which Government of Rajasthan has taken over 75% of outstanding loans of Rajasthan Discoms. The GoR during FY 20215-16 & FY 2016-17 had taken over the total loans of Rs. 62421.96 Cr. of the Discoms and granted the same as Equity of Rs. 8700 Cr. Revenue subsidy of Rs. 9000 Cr. and as loan under UDAY scheme of Rs. 44721.96 Cr. during FY 2015-16 & FY 2016-17.

3.288 During the FY 2017-18 to FY 2019-20, GoR also converted the loans under UDAY of Rs. 44721.96 Cr. into Equity of Rs. 6905.49 Cr., Revenue Grant of Rs. 33726.05 Cr. and capital grant of Rs. 4090.41 Cr. Therefore, the said Rs. 4090.41 Cr. transferred by AVVNL as capital reserve in FY 2019-20 was also a part of Rs. 62421.96 Cr.

3.289 It is also observed that Commission vide its true up order dated 28.05.2018 for FY 2016-17, while dealing with interest on unfunded gap, has considered the regulatory assets lower of the accumulated losses as per balance sheet after adjustment of total loans of Rs. 62421 Cr. taken over under UDAY which worked out to RS. 36027 Cr. as on 31.03.2016.

3.290 The Commission has already considered the total loans of Rs. 62421.96 Cr. taken under UDAY by GoR in the true up order for FY 2016-17 which also included the capital grant of Rs. 4090.41 Cr.

3.291 As the Commission had already considered the total loans takeover by the GoR in true up order for FY 2016-17, Discoms had also not considered such revenue or capital grant converted from loans under UDAY during true up exercise of the FY 2017-18 to FY 2019-20. The Discoms have also claimed the interest on Rs. 44721.96 Cr. of loans granted under UDAY till the same was converted into equity and grants which has been allowed by the Commission.

3.292 In view of above position the AVVNL was not required to claim such grant and conversion thereof for current true up purpose and has erroneously claimed/filed the grant of Rs. 4090.41 Cr. as exceptional income in its true up petition.

3.293 As the Commission has already adjusted the above UDAY grant in earlier true ups orders of Discoms, hence the Commission is not considering revenue grant of Rs. 4090.41 Cr. accounted by the Discoms under the exceptional income head during the year as again considering this amount will cause double accounting of grant which has already been considered by the Commission.

Exceptional Expenditure

3.294 **Writing-off of Inter-Company Receivables:** Discom has accounted Rs. 1963.98 Crore as write off of inter-company receivables under exceptional expenditure. The Government of Rajasthan (GoR) vide U.O. Note No. F.(5) (21) FWM/ 2014, Jaipur dated: 28-08-2025 and dated:- 03-09-2025, has advised to write off of inter-company receivables of JVVNL and JdVVNL outstanding as on 31.03.2025 of Rs. 1963.98 Crore and accordingly same is being considered as Exceptional Expenditure.

3.295 **Written-off of Receivable from GoR against OPS liability:** Discom has accounted Rs. 144 Cr. as write off of receivable from GoR against OPS liability. Discom submitted that in the FY 2023-24, the financial impact of Old Pension scheme (OPS) on the Statement of Profit and Loss account as per the actuarial valuation report amounting Rs. 1,443.60 Crore was depicted as "Exceptional Expenditure". Further, looking to the adverse financial position of Discoms and also considering GoR's commitment to take over the losses of Discoms under the additional borrowing space of 0.50% of GDSP, a Memorandum of Understanding (MoU) was signed by and between the Government of Rajasthan and the Ajmer Discom on dated:- 30-08-2024 as a one-time measure to bear and takeover this additional financial burden on Discoms on account of implementation of OPS, to the extent of liability of Rs.1,443.60 Crore was actuarially valued by Ajmer Discom till 31st March 2024. The impact of said MoU on the Statement of Profit and Loss for the financial year 2023-24 was depicted as "Exceptional Income".

As per the said MoU, the amount of OPS liability is to be paid by GoR in 10 equal annual installments, starting from FY 2024-25. Subsequently, the Finance (Ways & Means) Department, Government of Rajasthan, vide U.O. Note No. F.5(41) FWM/2025/OPS, Jaipur, dated 09.09.2025, has decided not to release the amount towards OPS due for FY 2024-25 and issued direction to reduce the amount receivable from GoR against OPS liability to that extent. Accordingly, the amount receivable from the GoR in FY 2024-25 of Rs. 144 Crore on account of implementation of Old Pension Scheme (OPS) has been written off and shown under the head "Exceptional Expenditure".

3.296 As the Commission has already considered the exceptional income of Rs. 522.51 Cr. and Rs. 1441.47 Cr. respectively for JVVNL and JdVVNL (outstanding as on 31.03.2025) as Write off of inter-company payables as per GoR directions as discussed earlier, therefore, the Commission has allowed the exceptional expenditure of Rs. 1963.98 Cr. written off as inter- company receivables for AVVNL.

3.297 It may be noted that net impact of above adjustments for Rajasthan Discoms as a whole will be nil. However, it has impacted profits/ loss position of these companies individually. Had AVVNL not passed on the credits in the form of write off under exceptional expenditure to other companies, JVVNL and JdVVNL would have been in loss which could have attracted higher loss subsidy from GoR.

3.298 As during the true up exercise of FY 2023-24, the Commission had neither considered takeover of liability arising out of OPS liability of AVVNL of Rs. 1443.60 Cr. by GoR duly supported with the execution of MoU which was to be liquidated in 10 years starting from FY 2024-25 as exceptional income nor considered the provision of actuarial liability of OPS of Rs. 1443.60 Cr. as exceptional expenditure.

Therefore, the Commission has not considered write off of Rs. 144 Cr. receivable from GoR for FY 2024-25.

3.299 Accordingly, the Commission has not allowed exceptional income of Rs. 4090.41 Cr. and exceptional expenditure of Rs. 144 Cr. as discussed above and considered only Rs. 1963.98 Cr. as exceptional expenditure of write off of inter-company receivables for this order.

Revenue Gap/Surplus

3.300 The AVVNL has shown surplus of Rs. 1875.82 Cr. for FY 2024-25 after considering revenue of Rs. 4090.41 Cr. under exceptional items in the audited accounts. Without considering the exceptional income of Rs. 4090.41 Cr. audited loss would have been Rs. 2214.59 Cr.

3.301 As per conditions of GSDP scheme, the Government of Rajasthan will take over the 100% losses of Discoms for FY 2024-25 and onwards, accordingly, there would have been a loss subsidy of Rs. 2214.59 Cr. from GoR for AVVNL in that case.

3.302 As discussed in earlier para of the order. The Commission has not considered revenue of Rs. 4090.41 Cr. to avoid double booking as it has already considered the same during the true up of FY 2016-17 while working out the unfunded gap.

3.303 While carrying out the true up, the Commission has allowed losses subject to target prescribed under RDSS and disallowed excess transmission and distribution losses. O&M Cost, interest cost and other costs have also been allowed on normative basis. Accordingly, for current year the true up, the Commission has worked out a gap of Rs. 776.10 Cr.

3.304 The Commission in earlier tariff orders has already made it clear that it would not create any gap to be carried forward in the form of regulatory assets in future as per conditions of RDSS. Therefore, the Commission is not inclined to pass the current year gap to the consumers.

3.305 Further, in light of Hon'ble Supreme Court order dated 06.08.2025, the Commission is committed to wipe out the entire Regulatory Assets of Rajasthan Discoms by 31.03.2031. In last tariff order dated 03.10.2025 the Commission has already levied a Regulatory Surcharge. Creation of any new Regulatory Assets will lead to non-recovery of Regulatory Assets by the said date.

3.306 Had the AVVNL not given the credit of Rs. 522.51 Cr. and Rs. 1441.47 Cr. to JVVNL and JdVVNL, it would have been in surplus of Rs. 1214.62 Cr. However, the AVVNL has transferred such amount as per UO Note dated 28.08.2025 of Finance Department. Therefore the Commission is of the view that loss of Rs. 776.10 Cr. for current year has to be make good by the State Government only.

3.307 Accordingly, the Commission has considered the approved gap of Rs. 776.10 Cr as loss subsidy receivable from the GoR. The Discom shall obtain the same from the GoR as loss subsidy.

3.308 Further the Commission is of the view that such exceptional income are part of financial adjustment and does not contribute to cash flow or working capital of the Discom and mask the real financial position of the Discoms and also result in insufficient receipt of cash support from Govt. which ultimately impact Discom's viability.

3.309 Based on above discussions and data provided by AVVNL, prayer of Discom for True-up of the expenditure and revenue for FY 2024-25 based on the actual performance and for approval of the revenue surplus of Rs. 1742.13 Crore for the year has not been accepted as petitioned. The Commission has approved the same to the extent shown in following table

Table 27: Summary of True up of AVVNL for FY 2024-25 (Rs. in Crore)

Sr. No.	Particulars	As per ARR order dated 26.07.2024	As per petition	Approved After truing up
1	**Revenue**			
2	Sale of power	21181	20030.76	20030.76
3	Recovery of FSA for Qtr IV of FY 2022-23 & Qtr I of FY 2023-24	1370		
4	Fuel Surcharge	0	894.96	894.96
5	Non-tariff income and other income	497	843.28	524.92
6	Wheeling charges, Cross Subsidy Surcharge and additional surcharge	4	2.72	2.72
7	Sale of power through trading		127.76	127.76
8	Prior Period Income		203.15	203.15
9	**Total Revenue, A**	**23052**	**22102.64**	**21784.27**
10	**Expenditure**			
11	Power purchase Cost	15616	15450.73	15283.85
12	**O & M Expenses**			
13	Employee cost	1231	804.06	1170.50
14	A&G expenses	166	268.69	169.06
15	R&M expenses	185	446.29	183.53
16	Terminal Benefits	570	771.38	142.00
17	Insurance Expenses	30	0.99	0.99
18	Exp. on Safety Measures	0	0.00	4.98
19	Depreciation	701	1118.53	673.91
20	Interest & finance charges	798	1010.01	854.52
21	Interest on APRL Loan	0		76.59
22	Interest on working capital	158	1909.07	155.64
23	Interest on Regulatory Assets	1489		1398.69
24	Prior period expenses		20.80	7.54

Sr. No.	Particulars	As per ARR order dated 26.07.2024	As per petition	Approved After truing up
25	Other debits		71.95	71.95
26	Rebate allowed to consumers		336.74	318.94
27	Exceptional items		(1982.43)	1963.98
27	**Total Expenditure, B**	**20943**	**20226.81**	**22476.68**
28	**Surplus/deficit, C = (A-B)**	2109	1875.82	(692.41)
29	Revenue subsidies received from State Government **D**	18	0.00	0.00
30	Less: Delayed payment surcharge considered as part of NTI **E**	0	133.69	133.69
31	Revenue Surplus/ (Gap) for FY 2024-25, **F** =(C+D-E)	2126	1742.13	(826.10)
33	Deduction on account of non-implementation of ERP **G**	0	0.00	50.00
34	Net Revenue Surplus/(Gap) for FY 2024-25 **H**=(F+G)	2126	1742.13	(776.10)
35	Loss Subsidy considered by the Commission for FY 2024-25 **(I)**		0.00	776.10
36	**Net Revenue Surplus/(Gap) for FY 2024-25 after loss subsidy J= (H+I)**	**2126**	**1742.13**	**0.00**
37	Gap worked out as per last true up order, **K**	0	(13080.52)	(13080.52)
38	Cumulative Revenue Gap to be carried forward, **L** = (K+J)	0	(11338.38)	(13080.52)
39	Cumulative Revenue Gap till FY 2024-25		(25562.55)*	(13080.52)

***As per audited accounts**

<u>Section-4 : Annual Revenue Requirement and Investment Plan</u>

4. Annual Revenue Requirement for FY 2026-27:

4.1 Determination of ARR requires assessment of energy sales as well as cost of various elements like power purchase cost, O&M expenses, interest cost and depreciation, etc. Projection of the Discoms with respect to various components of ARR, the Commission's analysis thereon after consideration of views expressed by the Stakeholders and decision with respect to items given below are discussed in the following paras:

(1) Energy sales
(2) Losses, both transmission and distribution
(3) Power purchase cost, including transmission charges and SLDC charges
(4) Operation and maintenance expenses
(5) Interest and finance charges and interest on working capital
(6) Depreciation
(7) Revenue from existing tariff
(8) Non-tariff and other income
(9) Revenue gap/surplus based on existing tariff

Energy Sales

4.2 Discoms in the petition have worked out the energy sales for FY 2026-27 on the basis of past growth in consumers, connected load and energy sales to forecast the category-wise energy sales. Projections are based on the methodology approved by the Commission in the past tariff orders. Discoms have computed category wise sales' CAGR for 3 years, 5 years and 7 years based on the historical data. The consumer category wise sales projected by the three Discoms and the energy sales being approved now by the Commission have been discussed in the following sub-paras.

4.3 The Discoms have projected the energy sales for FY 2026-27 for the following consumer categories:

(1) All consumer categories, except agriculture
(2) Agriculture consumers (Metered)
(3) Agriculture consumers (Flat Rate)

Petitioners' Submission

Energy Sales for Metered Categories (except Agriculture)

4.4 The Discoms have submitted that energy sales for FY 2025-26 projected on the basis of historic sales data using the category wise CAGR as per the methodology approved by the Commission in the previous year tariff orders. For all consumer categories except the agriculture category, past trends have been used while estimating sales. Wherever possible, the Discoms have also considered anticipated change on consumption patterns, as a result of the major changes that are encompassing Distribution Licensees across the country.

4.5 To forecast the sales for FY 2026-27, the Discoms have considered the past trend of number of consumers, connected load and energy sales as per the consumer category in compliance with the provisions of Regulation 73 of the Tariff Regulations 2025. In addition to this approach, various other factors influencing energy consumption across different consumer categories have been carefully taken into account during the projection process.

4.6 For Domestic category, the sales grew at CAGR of 7% for JVVNL, AVVNL & JdVVNL from FY 2015-16 to FY 2024-25.

4.7 For Non-domestic category last five years except FY-2020-21 have shown an increasing trend in the energy sales. For FY 2020-21, the sales for Industrial and Non-Domestic categories were negatively impacted as compared to FY 2019-20 due to disruption in industrial and commercial activity owing to COVID pandemic. However, the sales of this category have shown reasonable growth from FY-22 onwards.

4.8 For Public Street Lights, Public Water Works and Mixed Load categories, energy sales are projected on the basis of historical data, using category wise CAGR, as per the methodology approved by the Commission in the previous year tariff orders.

4.9 Discoms submitted that in the tariff order for FY 2019-20 dated 06.02.2020, two new categories were introduced, namely Traction Load and EV charging stations. JVVNL and JdVVNL submitted that Electric Vehicle Charging Stations category has started to witness addition of consumers and has witnessed nearly 50% and 100% growth for JVVNL and JdVVNL respectively in one year. However, AVVNL submitted that energy sales for Traction consumers are estimated based on historical data and anticipated growth, energy sales for EV Charging Stations have been projected on the basis of anticipated market conditions. Accordingly, the sales have been projected for EV & traction category considering the marginal entry of consumers in this category.

4.10 Discoms submitted that the impact of solar energy generation (MU) from kusum C pump level solarisation and from rooftop solar systems under MNRE's "PM-Surya Ghar : Muft Bijli Yojana" / Rooftop Program have been adjusted in the consumer category wise sales projections.

4.11 Discoms also submitted that Under the recent budget announcement, Government of Rajasthan intends to provide more benefits to the beneficiary families under the 'Mukhyamantri Nishulk Bijli Yojana' by increasing the amount of electricity from 100 to 150 units per month in a phased manner by installing free rooftop solar plants under PM Surya Ghar: Muft Bijli Yojana while controlling the rising financial burden on the state exchequer.

Energy Sales to Agriculture Metered (M) Consumers

4.12 For FY 2026-27, energy sales for agriculture metered category has been estimated on the basis of the following factors:

(a) Existing Consumers at the start of the Financial Year
(b) Proposed addition in the consumers during the Financial Year based
(c) Consumers converted from 'Agriculture Flat' to 'Agriculture Metered' category
(d) Connected load per consumer
(e) Estimated specific energy consumption

Agriculture Consumption = No. of consumers × Connected load per consumer × Specific Consumption

4.13 The Discoms submitted that they have considered the following specific consumption and connection load per consumer for working out Agriculture(M) Consumption:

Table 28 : Specific consumption for FY 2026-27

Year	Specific Consumption (KWh/KW/Year)		
	JVVNL	AVVNL	JdVVNL
FY 2026-27	2338	1613	1702

Table 29 : Connected load /consumer for FY 2026-27

Year	Connection load/consumer (KW)		
	JVVNL	AVVNL	JdVVNL
FY 2026-27	8.34	7.95	18.30

4.14 Discoms also submitted the opening balance of number of consumers, addition during the year and closing balance of consumers for FY 2026-27 as detailed below:

Table 30 : : Details of number of consumers for FY 2026-27

Particulars	JVVNL	AVVNL	JdVVNL
Opening balance as on 01.04.2026	706788	743284	578185
Addition during the year	45830	50000	30000
Closing consumer as on 31.03.2027	752718	793284	608185

4.15 For sales projection of agriculture metered category, Discoms have considered the impact of KUSUM-C pump level solarisation.

4.16 Accordingly, the Discoms have proposed the energy sale to agriculture consumers based on number of metered consumers, connected load per consumer and specific consumption as detailed below:

Table 31 : : Details of Energy Sale (MU) proposed for FY 2026-27

Particulars	JVVNL	AVVNL	JdVVNL
Sales based on opening number of consumers & connected load	13267	9254	17343
Add: Sales for consumer added during the year	447	320	467
Less : Units generated under Kusum C pump level solarisation	0.38	12.81	1.39
Sales of Agriculture Metered consumers proposed for FY 2026-27	13714	9561	17808

Energy Sales for Agriculture Flat Rate (FR) Consumers

4.17 Discoms submitted that they have converted all flat rate consumers to metered category. Therefore, Discoms have not projected any energy sales to flat rate consumers in FY 2026-27.

Total Energy Sales projected by Discoms:

4.18 The projection of energy sales of different consumer categories at end consumer level discussed in preceding sub-paras is given in the following table:

Table 32 : Total Energy Sales for FY 2026-27-Discoms' Projection (MU)

Particular	JVVNL	AVVNL	JdVVNL	Total
Domestic	9,155	7,420	7,514	24,089
Non-Domestic	3,758	2,044	2,227	8,028
Public Street Light	194	110	90	394
Agriculture (Metered)	13,714	9,561	17,808	41,083
Agriculture (Flat)	0	0	0	0
Small Industry	461	319	255	1,035
Medium Industry	1,149	847	819	2,816

Particular	JVVNL	AVVNL	JdVVNL	Total
Large Industry	9,554	8,110	3,074	20,738
Public Water Works (S)	429	454	443	1,326
Public Water Works (M)	60	41	119	220
Public Water Works (L)	552	486	901	1,939
Mixed Load / Bulk Supply	79	126	475	680
EV	19	8	4	31
Railway traction	29	134	105	268
Total	**39,152**	**29,660**	**33,835**	**102,647**

Commission's Analysis

Energy Sales for Metered Categories (except Agriculture Metered and Flat Rate Category)

4.19 For sales projection of FY 2026-27, considering approach followed in order dated 03.10.2025 and submission of the Discoms in the present petition, the Commission has computed the 3, 5 & 7 year CAGR (from FY 2017-18 to FY 2025-26):

4.20 For Electric traction the Commission has considered the actual energy sale from April-25 to December-25 for FY 2025-26, which is further extrapolated for 12 months with 5% increase for FY 2026-27~~.~~

4.21 With regard to EV, as no past data is available, as such sales projection for FY 2026-27 has been estimated as filed by Discoms.

4.22 While computing the aforesaid CAGR the Commission has considered the actual energy sale from April-25 to December-25 as submitted with reply of data gaps, which is further extrapolated for 12 months for projecting sale for FY 2025-26 in the ratio of actual sales of January-March 2025 to April-December 2024.

4.23 Sales to Domestic, Non-Domestic and Large Industrial category have been escalated by 7 year CAGR and sales to Public Street Light, Small Industry, Medium Industry, PWW(S), PWW (M), and PWW (L) have been escalated by 5 year CAGR for all Discoms, Sales to Mixed Load has been escalated by 3 year CAGR for JVVNL, AVVNL and 5 year CAGR for JdVVNL. Sales to small industry and PWW (S) of JVVNL escalated by 7 year CAGR. However, due to negative or vary nominal growth sales to PSL category of JdVVNL, the same has been escalated by 2%.

Table 33 : Growth Rate and Energy Sale for FY 2026-27 – JVVNL

Particulars	Energy Sales (MU) Provisional FY 25-26	JVVNL			Growth Rate Adopted by Commission	Energy Sale (MU) Estimated
		3-Year CAGR	5-Year CAGR	7-Year CAGR		FY 27
Domestic	8,656	8.53%	7.74%	6.96%	6.96%	9259
Non-Domestic	3,226	6.07%	10.75%	4.34%	4.34%	3366
Public Street Light	181	-1.00%	0.31%	0.75%	0.31%	182
Small Industry	450	4.01%	8.55%	4.94%	4.94%	472
Medium Industry	988	3.34%	6.27%	2.86%	6.27%	1050
Large Industry	9,344	5.63%	11.28%	4.96%	4.96%	9808
Public Water Works (S)	406	-1.01%	0.05%	4.23%	4.23%	424
Public Water Works (M)	52	2.31%	8.16%	8.16%	8.16%	56
Public Water Works (L)	509	7.42%	5.45%	6.66%	5.45%	537
Mixed Load / Bulk Supply	231	2.89%	7.36%	2.90%	2.89%	238
Electric Traction	25	0.00%	0.00%	0.00%	5.00%	26
EV	13	0.00%	0.00%	0.00%	As filed	19
Total	**24,082**					**25436**

Table 34 : Growth Rate and Energy Sale for FY 2026-27 - AVVNL

Particulars	Energy Sales (MU) Provisional FY 25-26	JVVNL			Growth Rate Adopted by Commission	Energy Sale (MU) Estimated
		3-Year CAGR	5-Year CAGR	7-Year CAGR		FY-27
Domestic	6,522	9.53%	7.51%	8.63%	8.63%	7085
Non-Domestic	1,895	7.55%	11.20%	6.08%	6.08%	2010
Public Street Light	105	1.25%	3.58%	3.11%	3.58%	108
Small Industry	294	0.56%	1.38%	1.07%	1.38%	298
Medium Industry	782	-2.73%	0.48%	-1.23%	0.48%	786
Large Industry	7,665	-2.54%	13.98%	8.35%	8.35%	8305
Public Water Works (S)	423	2.42%	2.24%	2.39%	2.24%	433
Public Water Works (M)	39	3.77%	1.29%	1.10%	1.29%	40
Public Water Works (L)	464	6.40%	7.51%	8.39%	7.51%	499
Mixed Load / Bulk Supply	122	3.65%	6.32%	1.41%	3.65%	127
Electric Traction	111	0.00%	0.00%	0.00%	5.00%	117
EV	2	0.00%	0.00%	0.00%	As filed	8
Total	**18,425**					**19816**

Table 35 : Growth Rate and Energy Sales FY 2026-27 - JdVVNL

Particulars	Energy Sales (MU) Provisional FY 25-26	JDVVNL			Growth Rate Adopted by Commission	Energy Sale (MU) Estimated
		3-Year CAGR	5-Year CAGR	7-Year CAGR		FY 27
Domestic	6,134	10.52%	8.57%	8.57%	8.57%	6659
Non-Domestic	1,890	8.59%	11.03%	6.55%	6.55%	2014
Public Street Light	82	-3.44%	-3.27%	-2.45%	2.00%	83
Small Industry	251	3.67%	3.98%	2.18%	3.98%	261
Medium Industry	773	1.49%	4.14%	1.94%	4.14%	805
Large Industry	3,007	4.47%	16.11%	9.12%	9.12%	3281
Public Water Works (S)	416	6.90%	5.70%	5.40%	5.70%	440
Public Water Works (M)	115	4.25%	4.88%	2.09%	4.88%	120
Public Water Works (L)	838	3.96%	5.83%	7.29%	5.83%	887
Mixed Load / Bulk Supply	441	3.43%	4.93%	1.70%	4.93%	463
Electric Traction	135	0.00%	0.00%	0.00%	5.00%	142
EV	2	0.00%	0.00%	0.00%	As filed	4
Total	**14,083**					**15159**

4.24 It is observed that Discoms' energy sale projection of Large Industrial category is lower than the estimation of the Commission as per above CAGR. Looking to the large number of MoUs executed in recently held rising Rajasthan summit, the Commission is of the opinion that sales to Large Industrial category will be on higher side and accordingly has considered the energy sale worked out as per Commission's estimation.

4.25 Further, it is also observed that energy sale of mixed load category of JVVNL for FY 2026-27 as per petition is much lower than actual energy sale of FY 2024-25 and estimated energy sale of FY 2025-26. Hence, the Commission has considered the energy sale of mixed load category of JVVNL for FY 2026-27 as per commission's estimation.

4.26 On comparison of estimated energy sale as above with the energy sale as per petition, it is observed that there is minor difference (except sales to AG consumers). In view of above, for projection of energy sale other than AG and categories discussed above the Commission has considered sales equal to energy sale as petitioned by the Discoms.

Agriculture Metered (M) consumers

4.27 For FY 2026-27, the Commission has accepted Discoms' submissions in respect of number of new consumers and consumers to be converted from flat rate to metered category.

4.28 For projecting the sale to metered agriculture consumers, connected load and specific consumption as filed for metered category have been considered for existing consumers and for 6 months in case of new consumers and those converted from flat rate for working out their sales for FY 2026-27.

4.29 Further, Discoms have projected the impact of KUSUM Component C: pump solarisation on agriculture sales. The solar generation of KUSUM C pump level solarisation to the extent of self-consumption by consumers has been reduced from the sales. The Discoms have filed separate information of additional capacity during FY 2026-27 and accordingly, Commission has considered the same. The Excess generation have been shown as power purchase under renewable energy.

Accordingly, for FY 2026-27, based on information of connected load, specific consumption and consumers as filed by Discoms, the Commission has worked out the normative sale to agriculture metered category for FY 2026-27 as follows:

Table 36 : Agriculture (M) sales for FY 2026-27-JVVNL

	Consumers (Nos.)	Connected Load per consumer (kW)	Total Connected Load (kW)	Specific consumption (kWh/kW/year)	Consumption (Sales) MU
Existing Consumers	706,788	8.34	5,897,463	2,338	13,788
Add: New Consumers	45,830	8.34	382,407	2,338	447
Add: converted from flat rate					
Less: impact of Kusum C (pump level solarisation)					0.28
Total	**752,618**		**6,279,870**		**14,235**

Table 37 : Agriculture (M) sales for FY 2026-27-AVVNL

	Consumers (Nos.)	Connected Load per consumer (kW)	Total Connected Load (kW)	Specific consumption (kWh/kW/year)	Consumption (Sales) MU
Existing Consumers	743,284	7.95	5,905,677	1,613	9,528
Add: New Consumers	50,000	7.95	397,269	1,613	320
Add: converted from flat rate					
Less: impact of Kusum C (pump					7.87

level solarisation)					
Total	**793,284**		**6,302,946**		**9,841**

Table 38 : Agriculture (M) sales for FY 2026-27-JdVVNL

	Consumers (Nos.)	**Connected Load per consumer (kW)**	**Total Connected Load (kW)**	**Specific consumption (kWh/kW/year)**	**Consumption (Sales) MU**
Existing Consumers	578,185	18.30	10,580,786	1,702	18,008
Add: New Consumers	30,000	18.30	549,000	1,702	467
Add: converted from flat rate					
Less: impact of Kusum C (pump level solarisation)					0.90
Total	**608,185**		**11,129,786**		**18,475**

4.30 It is observed that sales projection of JVVNL, AVVNL & JdVVNL as per Commission works out to 14235 Mus, 9841 MUs & 18475 Mus respectively on normative basis, Discoms have submitted actual sales to AG metered category from April-25 to December-25, which is further extrapolated for 12 months for projection of FY 2025-26 in the ratio of actual sales of January-March 2025 to April-December 2024 which are 11930 MUs, 8037 MUs & 17393 MUs including DF for JVVNL, AVVNL and JdVVNL respectively. The same is also subject to true up where Commission considers the actual load and consumption of correct meters. It is likely that during the true up process the reported sale of 2025-26 will be reduced based on the position of defective meters.

4.31 Looking to the huge difference in the sales projection for FY 2026-27 of AG category by the Commission and actual data of FY 2025-26 as worked out by the Commission on the basis of actual data submitted by Discoms from April-25 to December-25, Commission has also considered the sales to AG metered category consumers of Discoms at consumer level (including DF) as per petition filed by the Discom for FY 2026-27 which are 13714 Mus, 9561 Mus and 17808 Mus for JVVNL, AVVNL and JdVVNL respectively. The Commission will review the actual sale during the true up exercise.

4.32 During FY 2025-26, the Discoms have projected to release 125830 number of new Agriculture connections which is going to impact their sales as well as power requirement. The Commission has accepted the specific consumption filed by Discoms. However, the Commission would like to put a word of caution to Discoms to keep all the meters healthy and working else the Commission shall consider disallowances during the true up.

Energy Sales for Agriculture Flat Rate (FR) Consumers

4.33 In Compliance to the tariff order dated 26.07.2024, Discoms have not projected any sale from flat rate consumers for FY 2026-27. It is observed that JVVNL and AVVNL have already converted the flat rate consumers into metered one. JdVVNL vide its reply to compliance of directives has also submitted that Discom has converted all its Agricultural flat rate consumers to Agricultural metered consumers. Accordingly, no sales have been projected by Commission under flat rate category for FY 2026-27 and in future also no sales will be allowed under this category. In the next tariff petition, the Discoms shall move a proposal to remove the tariff for flat rate consumers from "Tariff for Supply of Electricity".

Energy Sales approved by the Commission for all categories

4.34 With regard to sales projection for Distribution Franchisee (DF) of FY 2026-27, Commission has considered the compounded annual growth rate (CAGR) adopted as discussed above for sale projection of consumers, accordingly, the sale projection for DF consumers for FY 2026-27 is as under:

Table 39 : Total Energy Sales of DF approved by the Commission for FY 2026-27 (MU)

Particular	JVVNL	AVVNL	JdVVNL	Total
Domestic	964	363	536	1864
Non-Domestic	282	148	155	584
Public Street Light	29	6	9	44
Agriculture (Metered)	8	8	61	77
Agriculture (Flat)	0	0	0	0
Small Industry	17	9	20	46
Medium Industry	52	16	63	130
Large Industry	282	151	142	575
Public Water Works (S)	1	0	2	3
Public Water Works (M)	1	1	7	9
Public Water Works (L)	70	0	15	85
Mixed Load / Bulk Supply	47	15	58	120
Electric Traction	0	0	0	0
EV	0	0	0	0
Total	**1754**	**716**	**1068**	**3538**

4.35 Based on the approach as discussed in the preceding paragraphs, the energy sales for Discoms including sale to consumers of DF area are being approved as under:

Table 40 : Energy Sales approved by the Commission for FY 2026-27 (MU)

Particular	JVVNL	AVVNL	JdVVNL	Total
Domestic	9,155	7,420	7,514	24,089
Non-Domestic	3,758	2,044	2,227	8,028
Public Street Light	194	110	90	394
Agriculture (Metered)	13,714	9,561	17,808	41,083
Agriculture (Flat)	-	-	-	-
Small Industry	461	319	255	1,035
Medium Industry	1,149	847	819	2,816
Large Industry	9,808	8,305	3,281	21,394
Public Water Works (S)	429	454	443	1,326
Public Water Works (M)	60	41	119	220
Public Water Works (L)	552	486	901	1,939
Mixed Load / Bulk Supply	238	126	475	839
Electric Traction	29	134	105	268
EV	18.51	8.29	4.31	31.10
Total	**39565**	**29855**	**34043**	**103463**

Note: The above sale is for projection purpose only, Commission will examine the actual figures and consumer mix at the time of True up.

<u>Transmission and Distribution losses</u>

Distribution Losses

Petitioners' Submission

4.36 The Discoms submitted that in the tariff order for FY 2024-25 dated 26.07.2024, the Commission approved a distribution loss of 14.59% for JVVNL, 10% for AVVNL & 15% for JdVVNL. However, the actual Distribution loss for FY 2024-25 have been reported by the Discoms are 13.75% for JVVNL, 7.63% for AVVNL & 20.10% for JdVVNL.

4.37 Discoms submitted that they aim to reduce Distribution and Commercial losses through a multifaceted plan, including network upgrades, improved metering, and enhanced billing and collection efficiency.

4.38 JVVNL & JdVVNL have submitted following key measures taken for reduction of Distribution losses and improvement in consumer services.

- Various activities such as load research, visits to industries & commercial establishments were carried out and suggestions given to the consumers regarding conservation of energy resulting in reducing their energy bills. Various demonstrations of energy saving equipment's were arranged from time to time.

- The PM Surya Ghar programme is implemented at a large scale to install roof top solar on the residential households. A demand aggregation study is being undertaken to find out the prospective consumers for installation of roof top
- Decentralized Solar plants upto 5 MW are being installed near the 33/11 kV substations under the PM KUSUM schemes to give quality day time power to the Agriculture consumers and to reduce the burden of Discom by availability of cheaper solar power and reducing the losses.

- Laying of three phase or single phase armoured cable / ABC of proper rating in place of existing overhead LT lines to feed single/three phase load to prevent theft of electricity

JVVNL also submitted that:

- At present SCADA system is working in Jaipur city covering about 55 Nos. of 33 kV substations. In order to cover all the 33 kV substation of Jaipur city and 4000 Nos. of Distribution transformers also and to have an integrated Distribution automation to provide the real time monitoring and control the distribution system. The execution work is completed and the project is helping for better operational efficiency as well as for reduction in Distribution losses.
- The Jaipur Discom is installing capacitors, gradually upgrading primary distribution voltage from 11 kV to 33 kV and constantly reorganizing / reinforcing of the network resulting reduction of losses in Distribution System. Thrust is also being given for providing LT connections for step down point to individual consumers including farmers for energizing of wells and system improvement.
- In order to ensure uninterrupted and quality power supply and to maintain 11 kV feeders properly, the Company has started an incentive scheme for the technical employees of the concerned 'Fault Free Feeder' especially in Industrial areas.

Research and Development (R&D) and Technology absorption:

- Low loss distribution transformer with metering cum protection box for housing 1-2 energy meter with MCCB and LT capacitor duly sealed and welded for prevention of theft in FRP and one transformer for one agriculture connections introduced for new connections.
- Use of Insulated ACSR rabbit conductor and single phase and three phase Aerial Bunched Cable in theft prone areas.
- Use of piercing connectors (Specially designed as per NFC standards) for piercing Aerial Bunched Cable and inserting service cable.
- Use of suspension and tension clamps in single phase and three phase AB cables as per NFC standards.

- Use of Energy Meters with specifically designed meter case and Meter Box. Meter case ultrasonically welded with two Nos. molded polycarbonate seals having same serial number as that of meter including terminal cover seal. Meter box having push fit arrangement and again with two Nos. molded polycarbonate seals having same Sr. No. as of Meter.
- Use of 'Roaster' group operating switch (RGOS) specially designed for operating from ground for making through three phase supply or single phase supply or isolating all the three phases and neutral to regulate domestic single phase supply round the clock.

4.39 Discoms also submitted that they are participating in the Revamped Distribution Sector Scheme (RDSS), launched by the Government of India on July 20, 2021.

4.40 The objective of the scheme is to bring down pan-India AT&C losses to 12 – 15% level, reduce ACS-ARR gap to Zero by 2024-25 and improve reliability and quality of power to consumers.

Key Activities under Loss Reduction

(i) New 33/11KV Substations: Establishment of new substations to improve distribution.
(ii) 33KV and 11KV Feeder Bifurcation: Segmentation of feeders to address issues of overloading.
(iii) 11KV Mixed Feeder Segregation: Separation of agricultural and non-agricultural feeders for better management.
High Voltage Distribution System (HVDS) Work: Implementation of HVDS to reduce losses.
(iv) LT AB & UG Cabling Work: Installation of low-tension aerial bunched and underground cables in areas prone to theft.
(v) Shunt Capacitor Installation: Installation for agricultural consumers to improve efficiency.
(vi) EV Charging Infrastructure: Development of infrastructure to support electric vehicle charging stations.

4.41 Other works planned/ Technological Integration under the RDSS include:
(i) Unified Billing Software, ERP, IT/OT Technologies: Integration of these technologies for efficient operations.
(ii) Modernization with SCADA and DMS: Use of Supervisory Control and Data Acquisition (SCADA) and Distribution Management Systems (DMS) for network modernization.

Proposed Benefits

(i) Financial Improvement: Reduction in technical and commercial losses will enhance the financial health of Discoms.
(ii) Efficiency Enhancement: Utilization of advanced technologies like SCADA, DMS, and smart metering to improve operational efficiency.
(iii) Renewable Energy Integration: Modern infrastructure will facilitate the integration of renewable energy sources.
(iv) Industrial Support: Reliable power supply will support industrial productivity and attract new investments.
(v) Environmental Impact: Improved infrastructure will lead to reduced carbon emissions through optimized energy use.
(vi) Consumer Services: Enhanced distribution infrastructure equipped with advanced technology will provide better services to consumers.

4.42 Accordingly, during FY 2026-27, Discoms have projected the following Distribution Losses:

Table 41 : Distribution Losses: Projections of Discoms (%)

Year	JVVNL	AVVNL	JdVVNL
FY 2026-27	13.00%	7.50%	13.00%

4.43 Discoms also requested the Commission for approving the Distribution and AT&C losses trajectory (considering 100% collection efficiency) as submitted above.

Commission's Analysis

4.44 For FY 2026-27, JVVNL, AVVNL and JdVVNL have projected distribution losses at 13.00%, 7.50% and 13.00% respectively.

4.45 The actual distribution losses reported by Discoms viz-a-viz the approved losses for the period FY 2016-17 to FY 2024-25 are as under:

Table 42 : Distribution Losses of Discoms (%) (As reported by Discoms)

YEAR	JVVNL		AVVNL		JdVVNL	
	Approved	Actual	Approved	Actual	Approved	Actual
2016 – 17	22.00	25.48	20.00	22.10	18.00	21.69
2017 – 18	18.50	21.06	17.50	20.15	16.50	19.33
2018 – 19	15.00	20.54	15.00	18.03	15.00	23.12
2019 – 20	15.00	17.21	15.00	14.48	15.00	19.38
2020 – 21	15.00	19.44	15.00	15.15	15.00	22.46
2021 – 22	15.00	16.81	15.00	12.73	15.00	21.88

YEAR	JVVNL		AVVNL		JdVVNL	
	Approved	**Actual**	**Approved**	**Actual**	**Approved**	**Actual**
2022 – 23	15.00	14.59	14.60	10.00	15.00	20.99
2023 – 24	15.00	15.77	12.73	10.82	15.00	23.58
2024 – 25	14.59	13.75	10.00	7.63	15.00	20.10

4.46 From the above table it is observed that in earlier years Discoms have not achieved the approved losses (Except Ajmer Discom for five years and Jaipur Discom for two years). However, after implementation of RDSS, Discoms are reducing the distribution losses over the years and are trying to match the losses as per target. It is observed that JdVVNL is also making lot of investment for reducing the AT&C losses but the desired results are still not visible.

4.47 The Commission has also noted that the actual distribution losses reported by Discoms for FY 2024-25 as per True up petitions are 14.59% for JVVNL, 7.63% for AVVNL & 20.10% for JdVVNL. The JdVVNL is lagging behind in achieving the loss target set by the Commission, which they should make all efforts to meet.

4.48 The Commission has also made enabling provisions in this regard in first proviso to the Regulation 74 (3) of RERC Tariff Regulations, 2025 which is reproduced as under:

"Provided that the Distribution Licensee shall also submit the Aggregate Technical and Commercial loss reduction trajectory agreed by the State Government and approved by the Central Government under any national scheme or program or otherwise."

4.49 The Rule 20 (1) of the Electricity (Second Amendment) Rules 2023 also provides that the Aggregate Technical and Commercial loss reduction trajectory to be approved by State Commission for tariff determination shall be in accordance with the trajectory agreed by the respective State Government and approved by the Central Government under any national scheme or programme or otherwise.

4.50 In view of above, in Commission's view if the Discoms require any change in trajectory looking to the present conditions and considering their target under RDSS, they should have requested Commission to consider the revised trajectory of the distribution loss level based on target set under RDSS in their ARR petition for FY 2026-27 and future years giving a due justification.

4.51 However, Discoms themselves have proposed a lower target stating that they are taking up various works and capex under RDSS and taking benefits of grants under the scheme and it would be appropriate that Discoms meet the target set by them.

4.52 The Regulation 7 (1) of the RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025 requires the Commission to approve a trajectory for the Control

Period for certain variables like transmission losses, distribution losses and collection efficiency, having regard to the past performance.

4.53 With regard to distribution losses the Commission in earlier years has already set a benchmark of 15% distribution loss and 100% collection efficiency for Discoms. As Discoms have proposed lower losses, the Commission appreciates and accepts that. Accordingly, the Commission approves the target for distribution losses at 13.00% for JVVNL, 7.50% for AVVNL & 13% for JdVVNL and collection efficiency at 100%.

4.54 The summary of proposed distribution losses by Discoms and distribution losses approved by the Commission have been provided below:

Table 43 : Proposed and Approved Distribution Losses (%)

YEAR	JVVNL		AVVNL		JdVVNL	
	Proposed	Approved	Proposed	Approved	Proposed	Approved
FY 2026-27	13.00%	13.00%	7.50%	7.50%	13.00%	13.00%

4.55 Discoms submitted that over the years systematic investments have been made in various schemes which have been aimed at reducing the existing distribution loss levels of Discom. The relentless pursuit of Discom has resulted in reduced losses over the years. Discoms shall be putting in their best efforts to improve upon their existing losses and operational parameters during the control period. Accordingly, the Commission will consider the distribution losses for further years of control period as per Discoms' submission in next year tariff filing.

4.56 Further, the Commission has also made provisions in the Tariff Regulations, 2025 that all the losses shall be borne by the Distribution Licensee in case the AT&C loss crosses the level of 15%. Discoms should keep this in their consideration while proposing future trajectory.

Collection Efficiency

4.57 The Discoms have projected 100% collection for FY 2026-27. The Commission has considered the collection efficiency at 100%, therefore the AT&C losses and Distribution Losses have been considered at same level, even if actual collection efficiency may be lower than 100%, adoption of lower collection efficiency will increase the revenue gap of Discoms which will indirectly burden the consumers of the State. Hence the target for collection efficiency shall be 100%.

Transmission Losses

4.58 The Discoms have filed the Intra-state transmission losses of 4.05% as per the Transmission loss trajectory approved in the ARR & Tariff order of RVPNL for FY 2025-26 and inter-state transmission losses of 3.65 % as approved by the Commission in its order dated 03.10.2025.

4.59 The Commission has considered the Intra-state transmission loss of 4.05% as per Transmission loss trajectory approved in ARR and Tariff order dated 18.06.2025 for FY 2025-26 of RVPN as submitted by the Discoms.

4.60 As regards Inter State Losses, CERC has notified CERC (Sharing of Inter State Transmission Charges and Losses) Regulation, 2020. As per clause 10 of these regulations, transmission losses for ISTS shall be calculated on all India average basis for each week. The Commission has considered the above and accordingly, has considered the average losses from 01.01.2025 to 31.12.2025 for FY 2026-27 i.e. 3.76% on all central power stations.

4.61 The Commission vide its earlier orders directed Discoms to keep a separate account of interstate and intrastate transmission losses and give bifurcation while filing next ARR petitions, However, Discoms have not submitted the same despite repeated directions, Hence the Commission in this ARR order has considered to deduct an amount of Rs. 10 Crore from ARR of each Discom towards non-compliance. Discoms may furnish bifurcation of the same in next year tariff petition and request to allow the deducted amount.

4.62 In view of above discussions, the levels of transmission losses as proposed by the Discoms and considered by the Commission for FY 2026-27 have been shown in the following table:

Table 44 : Levels of Transmission Loss (%)

Particulars	Proposed for FY 2026-27	Approved for FY 2026-27
Intra-State Transmission Losses	4.05%	4.05%
Inter-State Transmission Losses	3.65%	3.76%

Energy Requirement as approved vis-à-vis Petitioners' submission

4.63 On the basis of the sales and distribution & transmission losses discussed above, the energy requirement proposed by Discoms and approved by the Commission for FY 2026-27 are given in the following table:

Table 45 : Energy Requirement for FY 2026-27 (MU)

Particulars	JVVNL		AVVNL		JdVVNL		Total	
	Proposed	Approved	Proposed	Approved	Proposed	Approved	Proposed	Approved
Estimated Sales	39,152	39,565	29,660	29855	33835	34043	102647	103463
Distribution Loss (%)	13.00%	13.00%	7.50%	7.50%	13.00%	13.00%	11.48%	11.48%
Add: Distribution Loss (MU's)	5,850	5,912	2,405	2,421	5,056	5,087	13311	13420
Energy Required at Discom Periphery	45,002	45,477	32,065	32,276	38,891	39,130	115958	116882
Intra-State Transmission Loss (%)	4.05%	4.05%	4.05%	4.05%	4.05%	4.05%	4.05%	4.05%
Intra-State Transmission Loss (MU's)	1,900	1,920	1,353	1,362	1,642	1,652	4,895	4934
Energy Required at State Periphery	46,902	47,396	33,419	33,638	40,533	40,782	120853	121816
Inter-State Transmission Loss (%)	3.65%	3.76%	3.65%	3.76%	3.65%	3.76%	3.65%	3.76%
Inter-State Transmission Loss (MU's)	452	554	326	399	408	500	1186	1453
Gross Energy Requirement	**47,354**	**47,950**	**33,744**	**34,037**	**40,941**	**41,282**	**122,039**	**123,269**

Power Purchase Cost

Petitioners' Submission

4.64 The Discoms have submitted that the energy availability for FY 2026-27 is projected on the basis of estimated generation from existing stations and projected generation from new stations. The Discoms submitted that the power purchase quantum applicable for FY 2026-27 for the existing stations has been estimated based on the actual energy received during FY 2025-26 till the month of September- 25, subsequently projecting for the remaining part of the year. After analyzing the existing power scenario the power purchase has been accordingly projected by the Discoms considering the energy requirement and has also backed down certain plants based on the merit order principles as well as previous trends.

4.65 The Discoms further submitted that while estimating availability of power purchase consideration has been given to the forthcoming addition to new generation capacity in FY 2025–26, including the commissioning of RAPP Unit-8 (350 MW) in January 2026, the phased addition of 5,690 MW from PM KUSUM solar plants and 2,370 MW from other solar projects, and a 37 MW biomass power plant. For FY 2026-27. Discom aims to maintain a surplus in FY 2026-27. For FY 2025-26, short-term power purchases have been projected based on actual consumption and procurement data available to date. The anticipated surplus in FY 2026-27 reduces the need for additional short-term power procurements, thereby promoting a more efficient and cost-effective power procurement strategy. However, considering the dynamic nature of power sales and purchases through the exchange, there may still be occasions when short-term power acquisitions are necessary. Any such transactions will be duly reported and addressed during the True-up process.

4.66 The Discoms also submitted their strategic initiative for implementation of Battery Energy Storage Systems (BESS) to improve grid flexibility, system reliability, and peak demand management while optimizing power procurement costs. The BESS will operate by charging during surplus or low-cost power periods and discharging during peak demand, with each system designed for two daily discharge cycles of about two hours each. However, BESS has not been included in the power purchase projections for FY 2026–27, as its impact will be assessed and incorporated only after successful commissioning and operational experience.

4.67 Discoms also submitted the list of new upcoming plants with total installed capacity (MW) and their Rajasthan share (MW) which they have considered for power projection for FY 2026-27.

Impact of KUSUM scheme on power purchase projections

4.68 Discoms submitted that impact of solar PV plant capacities being added or to be added under Component A and Component C (feeder level solarisation) of KUSUM scheme have been considered while projecting power availability of the Discoms.

4.69 Discoms submitted that they are making sincere efforts to fulfill their Renewable Purchase Obligation and has continuously increased the purchase from renewable sources. Discoms submitted that they are planning significant capacity additions in renewable energy (RE) generation, including new projects under the KUSUM scheme, for the financial year 2026-27. With these developments, they are aiming to meet the Renewable Purchase Obligation (RPO) targets as specified and approved by the Commission. The increased generation capacity from these renewable energy sources is expected to contribute substantially towards fulfilling the mandated RPO percentages. However, the actual achievement of RPO compliance will be assessed and verified during the true-up process, where the Discoms' performance will be reviewed against the approved targets based on actual data and circumstances prevailing in FY 2026-27.

4.70 Discoms further submitted that they have successfully reduced the power purchase cost for the FY 2025-26 to Rs. 4.85 per unit (as per latest available provisional data). Furthermore, for the FY 2026-27, the projected power purchase cost is projected to decrease further to Rs. 4.76 per unit owing to the planned capacity addition of solar projects.

4.71 Summary of the power purchase quantum and cost as submitted by Discoms are as under:

Table 46 : Power Purchase (MU) and Cost (Rs. Cr.) for FY 2026-27 submitted by Discoms

Particulars	JVVNL		AVVNL		JdVVNL		Rajasthan	
	Total Energy (MU)	Total Cost of Energy Received (Rs. Crore)	Total Energy (MU)	Total Cost of Energy Received (Rs. Crore)	Total Energy (MU)	Total Cost of Energy Received (Rs. Crore)	Total Energy (MU)	Total Cost of Energy Received (Rs. Crore)
Power from sources other than RVUNL (Net of surplus)	32439	12293	23382	8861	29298	11103	85119	32258
Power from RVUNL sources	15034	7773	10837	5603	13579	7020	39450	20396
Transmission Charges		2552		1839		2304		6695
Total Power Purchase	**47473**	**22618**	**34219**	**16303**	**42877**	**20428**	**124569**	**59349**

Commission's Analysis

4.72 While estimating energy availability and power purchase cost for FY 2026-27, the Commission has considered the generation in MUs and cost in Rs. Crore from State and Central generating units based on the 8 months actual data (except RUVN plants) for FY 2025-26, as per data gap reply filed by the Discoms, which is further extrapolated to 12 months.

4.73 The Commission has considered the generation from RVUN Plants based on 10 months actual data for FY 2025-26 as per post hearing submission which is further extrapolated to 12 months.

4.74 For 2026-27, for all plants other than renewable energy, the Commission has considered energy availability for FY 2025-26 as per information filed by the Discoms and 2% escalation over FY 2025-26 for projection energy availability of FY 2026-27.

4.75 For Renewable plants, such as solar, wind, hydel and bio-mass, Commission has considered energy availability for FY 2026-27 at the same level of FY 2025-26.

4.76 Further, for plants other than NPCIL, RVUN, JSW (Energy) Barmer (Formerly Known as Rajwest Ltd.) and renewable based sources, the Commission has considered cost for FY 2025-26 as per information filed by the Discoms and 2% escalation over FY 2025-26 for projection of cost for FY 2026-27. For NPCIL, RVUN and JSW (Energy) Barmer the Commission has considered cost on the basis of latest available relevant orders or actuals. Whereas for cost of Renewable plants, such as Solar, wind, hydel and bio-mass, Commission has dealt with same in the RPO section.

4.77 Discoms in their petition have submitted list of upcoming power plants, their respective capacities, and the Scheduled Commercial Operation Dates (SCOD) which are expected in FY 2026-27 which are detailed below. The same has been considered accordingly for working out energy availability and power purchase cost.

Table 47 : List of upcoming power plants in the FY 2026-27

Sr. No	Plant	Contracted Capacity (MW)	SCOD / Tentative Commissioning
	Solar		
1	NTPC RE Ltd	500	Dec-25
2	NLC India Ltd.	247.17	Dec-25
3	SJVN Green Energy Ltd	250	Dec-25
4	GREENKO Power (Solar with PSP)	490	Dec-25
5	Jakson Limited*	100	Dec. 2025 (SCD- 14.09.2025
6	Shiva Corporation India Limited*	50	Dec. 2025 (SCD- 14.09.2025)
7	Mahindra Susten Private Limited*	200	Dec. 2025 (SCD- 15.09.2025)
8	SJVN Green Energy Limited*	100	April 2026 (SCD- 04.10.2025)
	Total	**1937.17**	
	Biomass/Waste to energy		
9	Gee Tee Green Power Pvt. Ltd.	8	Mar-26
10	VCA Power Pvt. Ltd.	14.90	—

11	Nano Green Power Pvt. Ltd.	8	Apr-26
12	Jindal Urban Management Waste Ltd. (Jodhpur)	6	Aug-26
	Total	**36.90**	
	Nuclear		
13	RAPP 8	350	FY 2026-27
	Total	**350**	

**Projects are delayed*

4.78 However, Discoms in reply to data gaps have also submitted some additional information of upcoming plants in respect of hydel sources which is as under:

Sr. No	Plant	Contracted Capacity (MW)	SCOD / Tentative Commissioning
	Hydel		
1	Vishnugard HEP	37.30	Jun-26
2	Tehri PSP	25.00	Under trial run
3	Subansiri	93.00	FY 2026-27
	Total	**155.30**	

4.79 For estimating the power purchase cost, the Commission has considered availability from various sources for the State as a whole. For working out Discom wise availability and cost, the allocation of power to JVVNL, AVVNL and JdVVNL from all generating stations has been considered as per GoR, Energy Department, order dated 31.01.2025 in the ratio of 38.11%, 27.47% and 34.42% respectively, except that 100% allocation of RFF and Waste to Energy plants installed in area of Jaipur and Jodhpur Discom, 100% share has been considered for JVVNL and JdVVNL.

Energy Availability and Cost for FY 2026-27

RVUN Stations

4.80 For RVUN generating stations, including KTPS (Unit 1-7) & STPS (Unit 1-6), supercritical units i.e. SSCTPS Unit no. 7&8, CTPP unit no. 1to 4, CSCTPP Unit no. 5-6 , RGTPS (Stage I, II & III), Kalisindh (Unit 1&2) and Mahi, the Commission has considered actual purchase from April-2025 to January -2026 i.e. ten months of FY 2025-26, received as per post hearing submission. The same has been further extrapolated for 12 months with 2% escalation for projection to project the availability for FY 2026-27 subject to normative generation.

4.81 The fixed and energy charges of RVUN plants for FY 2026-27 have been considered as per latest available Tariff order of the RVUN.

4.82 Tariff of Mini/Micro (MMH) plants have been considered as per Regulation 56 of RERC Tariff Regulations, 2025 which is Rs. 4.58 per Kwh.

4.83 For the purpose of computing fixed charges of RVUN Stations, actual availability (provisional) upto January-2026 of FY 2025-26 has been considered by the Commission. There may be a situation that Discoms may have to purchase higher quantum of energy from these plants due to higher power requirement or shortfall in any other sources. The actual impact will be considered in true up. The Discoms while making power purchase should strictly follow the Merit Order Dispatch. The Discoms are also directed to monitor the availability of these plants and pay fixed charges in accordance with provision of RERC Tariff Regulations.

4.84 The energy availability and cost of RVUN's generating stations as considered by the Commission have been shown in the table below:

Table 48 : Energy Availability (MU) and Cost (Rs. In Cr.)- RVUN Stations for FY 2026-27

Station	Energy Availability (MU)	Cost (Rs. In Cr.)
KTPS(1 to 7)	6376	3151
STPS(1 to 6)	4955	2867
SSCTPP (7) &(8)	7095	3761
CTPP (1-4)	5814	2555
CTPP (5&6)	6111	2514
RGTP(1,2 & 3)	658	432
KaTPP#1 &2	6548	3115
MAHI	175	37
MAHI MMH	0	0
MANGROL	0	0
STPS MMH	2	1
Total RVUN	**37735**	**18433**

Lignite based projects

4.85 The lignite based projects include Giral Lignite Power Limited, JSW Energy (Barmer) and Neyveli Lignite Corporation Limited.

4.86 For Giral Unit 1 & 2, the Commission has not determined any tariff for FY 2026-27 as these Units are not functioning for long period of time.

4.87 For Neyveli Lignite, the Commission has considered the energy availability and fixed charges for FY 2026-27 based on the eight months actual for FY 2025-26 which is further extrapolated for 12 months with 2% escalation over FY 2025-26 for projection of FY 2026-27.

4.88 For JSW (Energy) Barmer the Commission has considered the energy availability based on the eight months actual for FY 2025-26 which is further extrapolated for 12 months with 2% escalation over FY 2025-26 for projection of FY 2026-27. The fixed and energy charges for FY 2026-27 have been considered as per additional submission of Discoms. The above energy and cost has been considered for estimation purpose only.

4.89 The energy availability and total power purchase cost for Lignite based projects have been summarized in the table below:

Table 49 : Energy Availability (MU) and Cost (Rs. In Cr.)- Lignite Plants for FY 2026-27

Station	Energy Availability (MU)	Cost (Rs. In Cr.)
JSW (Energy) Barmer	6073	2334
Neyveli Lignite Corporation Ltd.	1365	425
Total	**7437**	**2758**

Nuclear Power Corporation of India Ltd. (NPCIL)

4.90 The energy availability of NPCIL has been considered based on eight months actual purchase for FY 2025-26 which is further extrapolated for 12 months with 2% escalation over FY 2025-26 for projection of FY 2026-27.

4.91 The Cost of NPCIL power plants has been considered as per DAE notification dated 22.03.2018.

4.92 The Commission has also considered energy from RAPP unit 7 which has been commissioned in April 2025 and unit 8 which is expected to be commissioned in FY 2026-27. Energy charges have been considered as Rs. 4.83/unit as per actual data submitted by Discom for Unit 7 for estimation purpose. The energy availability and total power purchase cost for NPCIL plants have been summarized in the table below:

Table 50 : Energy Availability (MU) and Cost (Rs. In Cr.)- NPCIL for FY 2026-27

Station	Energy Availability (MU)	Cost (Rs. In Cr.)
NPCIL	6642	2785

Partnership Projects (PP)

4.93 The energy availability and cost of partnership projects have been considered at eight months actual purchase for FY 2025-26, which is further extrapolated for 12 months for projection of FY 2026-27.

4.94 Energy availability and total power purchase cost for partnership projects have been summarized in the table below:

Table 51 : Energy Availability (MU) and Cost (Rs. In Cr.)- Partnership Projects for FY 2026-27

Station	Energy Availability (MU)	Cost (Rs. In Cr.)
Partnership Projects	3273	185

NTPC, NHPC & Others

4.95 The energy availability and cost of NTPC, NHPC and others have been considered based on eight months actuals for FY 2025-26, which is further extrapolated for 12 months with 2% escalation over FY 2025-26 for projection of FY 2026-27.

4.96 The energy availability and total power purchase cost for NTPC, NHPC and other plants have been summarized in the table below:

Table 52 : Energy Availability (MU) and Cost (Rs. In Cr.)- NTPC & NHPC and Other Generating Stations for FY 2026-27

NTPC & NHPC and Other Generating Stations		
Station	FY 2026-27	
	Energy Availability	Cost
NTPC Stations	11574	4798
NHPC Stations	2631	859
Others		
SJVNL-NATHPA-JHAKRI	1006	215
Rampur	276	124
ARAVALI POWER CO PVT LTD	98	87
NVVN BUNDLED POWER -Solar	367	386
NVVN BUNDLED POWER – Thermal	1828	713
COASTAL GUJRAT	780	369
ADANI POWER RAJASTHAN LIMITED	7460	3483
SASAN POWER LTD	2817	416
PTC (KARCHAM WANGTOO)	635	115
PTC (DB)	2382	1019
PTC (MARUTI)	1500	566
Tehri Hydro	378	153
Koteshwar	163	95
TPSS	153	107
KHURJA	1277	650
Tala	44	10

NTPC & NHPC and Other Generating Stations		
Station	**FY 2026-27**	
	Energy Availability	**Cost**
RFF	187	72
Total	**35556**	**14238**

4.97 While projecting the power purchase quantum for FY 2026-27, the Discoms have not considered power from five NTPC stations namely Anta GTPS, Auriya GTPS, Dadri GTPS, FGUTTPS Unit 1 and FSTPS. The same has not been considered as per the Commission's Order dated 28.10.2021 in which the Commission has allowed the Discoms to exit the PPAs due to the expiry of term of these PPAs.

4.98 Accordingly, Commission has not considered the energy availability and cost from these stations, the above is subject to true up during FY 2026-27.

Non-Conventional Energy Sources

Discoms submitted that in order to meet the RPO target they are planning significant capacity additions in renewable energy (RE) generation, including new projects under the KUSUM scheme and also submitted renewal purchase from new plants which have been discussed in preceding para.

Commission analysis:

4.99 As discussed in earlier paras of the order, Discoms through petition and reply in data gap have submitted the anticipated dates and capacities of upcoming Plants which have been considered for estimating power purchase cost.

4.100 The Commission has specified RPO targets to be met by Discoms during the FY 2026-27 under the RERC (Renewable Purchase Obligation) Regulations, 2023. For FY 2026-27 Commission has specified RPO targets as 4.29% Wind RPO, 1.80% HPO and 29.86% Other RPO totaling to 35.95%. To meet their RPO targets for FY 2026-27, in addition to their existing tie ups, Discoms will have to procure additional renewable energy.

4.101 Accordingly, considering total Energy Requirement as 123269 MU the energy requirement of the Discoms to fulfill RPO during FY 2026-27 works out as under:

Table 53 : RPO

S.No.	Particulars	Percentage	Energy required (MU)
1	Wind RPO	4.29%	5288
2	HPO	1.80%	2219
3	Other RPO	29.86%	36808
4	**Total RPO**	**35.95%**	**44315**

4.102 To meet the above RPO requirement, self-consumption by the Roof top Solar, shall be part of Discoms other RPO, without any cost burden. The Discoms submitted that till August 2025 total 2199 MW of RTS have been commissioned. Further, Discoms have projected that total 3169 MUs will be generated from Roof top solar for FY 2026-27.

4.103 Accordingly, the Commission has considered 3169 MUs shall be available from RTS as per Discoms submission which shall form part of RPO, accordingly, the other RPO of 36808 MUs shall be reduced by 3169 MUs. However implementation of PM Suryaghar will also help to add more generation and reduce this liability further.

4.104 Further, vide data gap reply, Discoms have submitted power purchase data for eight months of FY 2025-26 i.e upto November 2025 which have been extrapolated to 12 months to project the energy availability for FY 2026-27. the Commission has projected that 17290 MU of energy will be available from solar power projects set up till 31.03.2026 (including Kusum A & C Feeder level solarisation). In post hearing submission, Discoms submitted that 551.86 MW under Kusum A and 2462.90 MW under Kusum C feeder level solarisation have been installed till 06.02.2026. Accordingly, the Commission has worked out that 5282 MUs will be generated in FY 2026-27 from existing capacity under Kusum A&C. Further, in reply to data gaps, Discoms also submitted that during FY 2026-27 total 5690 MW will be installed under Kusum C feeder level solarisation with generation of 6874 MU. Accordingly, the Commission has considered additional 6874 MUs for FY 2026-27 under Kusum C feeder level solarisation considering the Commissioning of plants as per Discom submission during the year.

4.105 Discoms have filed information of upcoming solar plants with their COD as discussed in earlier para. Accordingly, Commission has considered 2606 Mus from upcoming solar plants of 1487 MW based on their COD. Discoms should file the requisite information at the time of true up for consideration of the Commission. Hence, total availability of solar energy for procurement is considered as 26770 MUs.

4.106 The Commission has estimated 962 MU of energy will be available from the existing Biomass power projects. Around 16 MW of Biomass projects and 6 MW of waste to energy plant capacity is expected to come during FY 2026-27 from which about 123 MUs energy (including 16 MUs form waste to energy plant) are expected based on their COD. Hence, total availability from Biomass and waste to energy plants are considered as 1085 MUs.

4.107 Further, the RERC (Renewable Purchase Obligation) Regulations, 2023, provides that

"Provided that Wind RPO Shall be met by energy produced from Wind Power Projects (WPPs) commissioned after 31.03.2022 and the wind energy consumed over and above 7% from WPPs commissioned till 31.03.2022. Hydro power Purchase Obligation (HPO) shall be met only by energy produced from Hydro Power Projects (Including PSPs and Small Hydro Pumps (SHPs)), commissioned after 8th March 2019. Other RPO may be met by energy produced from any RE based /green energy based power project not mentioned in Wind RPO and HPO."

4.108 The Commission has estimated that the Energy availability from wind projects during FY 2025-26 will be 7535 MU (commissioned before 01.04.2022) and as per the Regulations, the same is to be counted towards other RPO for FY 2026-27. Further, in the reply to data gap, Discoms have not projected any new wind project to be commenced in FY 2026-27. Accordingly, 7535 Mus from existing projects energy availability has been assessed for FY 2026-27 towards RPO fulfillment.

4.109 As far as hydel power is concerned, the Commission has projected that 9206 MU energy will be available during FY 2025-26 (commissioned before 08.03.2019) and as per the Regulations the same is to be counted towards "Other RPO". Around 155.30 MW of Vishnugard, Tehri PSP and Subansiri projets are expected to become available to the State Discoms during FY 2026-27. Accordingly, 9206 MU from existing projects and 895 MUs energy availability from new project totaling to 10101 Mus has been assessed for FY 2026-27 towards RPO fulfillment.

4.110 In view of above, the RPO energy requirement for FY 2026-27 would be as under:

Table 54 : RPO Notional Requirement

S.No.	Particulars	Energy required (MU)
1	Wind RPO	5288
2	HPO	2219
3	Other RPO*	33639
	Total RPO	**44149**

** after adjustment of RTS power*

4.111 For the purpose of current ARR, Commission has considered the power purchase from renewable sources at current level of FY 2025-26 and additional capacities to be commissioned during FY 2026-27. Accordingly, the Commission has considered the following power purchase from Renewable Sources as under.

Table 55 : Renewable Energy projection for FY 2026-27 (Mus)

Particular	Units	Wind	Hydel	solar	Biomass	Total
Existing Sources	MUs	7535	9206	17290	962	34993
From New Sources	MUs	0	895	9479	123	10498
Total		**7535**	**10101**	**26770**	**1085**	**45490**

4.112 For above renewable power projection for FY 2026-27, the Commission has considered cost of existing sources at FY 2025-26 level and for new capacities as per their PPA and approved tariffs. Accordingly, the power purchase cost is worked out as under:

Table 56 : Renewable Energy projection for FY 2026-27

Particular	Units	Wind	Hydel	Solar*	Biomass	Total
Existing Sources	Rs. in Crore	3288	2028	5401	747.29	11464
Rate per Unit	Rs. /kWh	4.36	2.20	3.12	7.77	3.28
From New Sources	Rs. in Crore	0	440	2898	95	3434
Rate per Unit	Rs. /kWh	0	4.92	3.06	7.71	3.27

*Including KUSUM

4.113 Further, RPO shall be met through wheeling by consumers for captive/third party consumption who would not claim RE attributes as per the relevant regulations/orders of the Commission. The Discoms should also maximize purchase of Renewable Energy coupled with storage which is now available at low price and meet RPO targets.

4.114 As the present exercise is for assessment of energy availability to the Discoms during FY 2026-27, shortfall in meeting the RPO, if any, shall be dealt separately in accordance with provisions of the RERC (Renewable Purchase Obligation) Regulations, 2023 read with RERC (Renewable Energy Certificate and Renewable Purchase Obligation Compliance Framework) Regulations, 2010 as amended from time to time based on the petition filed by the State nodal agency.

Renewable Consumption Obligations (RCO):

4.115 Commission has specified the RPO targets for the Discoms from FY 2024-25 to FY 2029-30 vide the RERC (Renewable Purchase Obligation) Regulations 2023.

4.116 In terms of section 14 (x) of the Amended Energy Conservation Act 2001, the Ministry of Power, through a notification dated 20.10.2023, has specified the minimum share of consumption of renewable energy by the electricity distribution licensee as a percentage of total share of energy consumption, effective from 1st April 2024. According to the MoP clarification dated 06.04.2025, after the said notification, all the earlier notifications related to RPO issued by MoP, including clarification dated 1.10.2019 related to captive users, have been suppressed and are not applicable w.e.f 1.04.2024. Therefore, as per MoP, all stakeholders, including SERCs and captive users, should follow the notification dated 20.10.2023. Any deviation from such targets would be considered as the non-compliance and would be liable for action as per provisions under the Energy Conservation Act, 2001, as amended from time to time.

4.117 Subsequently, MoP has issued Notification S.O. 4421(E) dated 27.09.2025 under section 14 (n) and (x) of the Energy Conservation Act, 2001 superseding notification dated 20.10.2023 specifying component-wise Renewable Consumption Obligation (RCO) targets for designated consumers from FY 2024-25 to FY 2029-30.

4.118 Presently, by way of the RERC (RPO) Regulations 2023, RPO targets specified by the Commission are in force. However, in view of the MoP's notification 27.09.2025, the Commission has also published draft RERC (Renewable Purchase Obligation) (First Amendment) Regulations, 2026 aligning RPO targets as per above notification which is presently under consideration.

4.119 Meanwhile, in exercise of the powers under Section 86 (1) (e) of the Electricity Act, 2003 read with regulation 6 power to remove difficulties of the RERC RPO Regulations 2023, the Commission vide its order dated 19.03.2026 has issued certain directions for implementation of the RCO framework issued vide notification dated 27.09.2025.

4.120 Therefore, Discoms are directed to comply with the order dated 19.03.2026. In case of the non-fulfillment of RPO, the appropriate view will be taken at the time of true up.

Short term Sources

4.121 Discoms submitted that the below mentioned contingency situations compel the Discoms to resort to power exchange:

I. The time blocks when there is energy shortage due to non-availability of power from long term tied up sources due to planned or unplanned shutdown of generating station, unavailability of transmission network, coal related issues etc.

II. When the cost of power from exchange is cheaper than the variable cost of some of the tied-up long term sources. In such cases in order to optimize the overall power purchase cost, the Discom backs-down the costlier power plant and purchases power from exchange.

4.122 The Discoms submitted that the sale and purchase of power through exchange is a dynamic process. The market clearing prices in exchange are dependent on the bids submitted by buyers and other sellers and the power available in the entire market. It is important to note that the Petitioner has no control over the mentioned factors. With the increasing surplus energy across the nation, the market prices are further expected to reduce.

4.123 The Discoms further submitted that in the FY 2024-25, the petitioner had to purchase short-term power at a rate of Rs. 5.18 per unit. However, for the FY 2026-27, the

Discoms have not included plans for short-term power procurement. This is based on the addition of new power generation capacities and Injection of Solar generation in the state. Consequently, the Discom anticipates that there will be no need to purchase power through the exchange in FY 2026-27. Nonetheless, since the sale and purchase of power through the exchange is a dynamic process, the Discoms may still need to procure short-term power in some time blocks. Any such transactions will be submitted during the True-up process.

Commission's View

4.124 Regulation 9 (1) (e) of the RERC Tariff Regulations, 2025 specifies that variation in power purchase expenses for the distribution licensee is a "uncontrollable factor".

4.125 After considering the energy available to Discoms based on their respective allocated shares, the Commission has estimated a surplus in energy availability for FY 2026-27.

4.126 It is observed that Discoms are facing several challenges in ensuring power supply to consumers with minimal disruptions for which it had to resort to purchase power from power exchanges at high prices. It is pertinent to note that the Commission has taken cognizance of situation wherein the Rajasthan Discoms may have to resort to short term power purchase, which shall be taken into consideration under Regulation 77(6) of Tariff Regulations, 2025.

4.127 The Commission has indicated a ceiling tariff for procurement of short-term power at Rs. 4.89/unit in the ARR Order for FY 2025-26. As observed, the Discoms had to resort to procure power at costs which may be higher than the ceiling limit mandated by the Commission to meet with the electricity demands of the State consumers. Furthermore, in accordance with Rajasthan Electricity Regulatory Commission (Terms and Conditions for Determination of Tariff) Regulations, 2025, under Regulation 77(6)(d) Discoms may carry out power procurement at a rate higher than the ceiling rate as approved by the Commission under unforeseen circumstances/ emergency conditions that hamper network stability. The Commission estimated the Rajasthan state to be in surplus of 1362.57 MU for FY 2026-27. However, the Regulation 77(6) provides that the Commission shall indicate a tariff for procurement of short term power. In view of above the Commission deems it proper to fix the rate of short term purchase for the purpose of Regulation 77 (6) equivalent to variable cost of STPS i.e. Rs. 4.59 per unit considered by the Commission in this order.

4.128 It is further noted that provisions to Regulation 77 (6) provides as under:

"Provided that the Distribution Licensee may carry out power purchases in above mentioned situations at a rate higher or lower than the ceiling rate approved by the Commission for purchase of short-term power"

4.129 The energy requirement for Discoms has been calculated based on sales estimated in this order and normative losses. There may be a situation when Discoms may have to purchase higher quantum of energy due to higher sales, losses or shortfall in generation from other sources.

4.130 The Discoms while making power purchase should strictly follow the Merit Order Dispatch. The Discoms are also directed to monitor the availability of plants and pay fixed charges in accordance with provisions of appropriate regulations.

4.131 It is observed that Discoms have to procure the short term power mainly on account of failure to get the power supply from regular power sources such as central and state generating stations, with which they have long term PPA or in contingent situations as far as certain peak loads are concerned

4.132 However, in case generator fails to supply power, Discoms do not have to pay fixed charges to generator for such non supply by Generator. Thus, it is pertinent to mention here that in case of failure to supply power by generators, Discoms are also likely to save on fixed charges payable to generators unless the plant is backed down or boxed up by Discoms.

4.133 Therefore, if the short term power is purchased through transparent bidding mode, the Discoms can purchase the same, not exceeding actual exchange prices prevailing during the hours when power is procured by the Discoms, further if the Discoms in their true up brings an average rate over and above Rs. 4.59/Unit, they should also place before the Commission the saving on account of aforesaid nonpayment of Fixed charges during the true up of relevant year for consideration of the Commission for allowing short term power purchase.

4.134 Discoms should also use Battery Energy Storage System (BESS) to charge them during surplus hours with cheap solar power and meet intermittent shortfall in demand in peak hours. Discoms may chalk out innovative modal for BESS along with distributed energy Resources so as to obviate the need of purchase of costly short term power.

4.135 The Commission notes that Rajasthan power sector companies have floated tenders for BESS and it has also adopted tariff for various BESS projects. Discoms are directed to closely monitor timely installations and commissioning of the same and ensure that maximum benefit of these is to be passed to consumers of Rajasthan.

Total Power Purchase Cost

4.136 Based on the above, the summary of source wise breakup of power purchase quantum and cost for FY 2026-27 as considered by the Commission for the three Discoms is given in the table below and details are given at

Annexure-D:

Table 57 : Energy Availability (MU) and Cost for FY 2026-27 (Units in MU &Rs. in Crore)

Station	FY 2026-27							
	JVVNL		AVVNL		JdVVNL		Total	
	Units	Cost	Units	Cost	Units	Cost	Units	Cost
NTPC	4411	1829	3179	1318	3984	1651	11574	4798
NHPC	1003	328	723	236	905	296	2631	859
NATHPA-JHAKRI	383	82	276	59	346	74	1006	215
RAMPUR	105	47	76	34	95	43	276	124
NEYVELI LIGNITE CORPORATION LTD	520	162	375	117	470	146	1365	425
ARAVALI POWER CO PVT LTD	37	33	27	24	34	30	98	87
NVVN BUNDLED POWER -Solar	140	147	101	106	126	133	367	386
NVVN BUNDLED POWER -Thermal	697	272	502	196	629	245	1828	713
COASTAL GUJRAT	297	141	214	101	268	127	780	369
ADANI POWER RAJASTHAN LIMITED	2843	1327	2049	957	2568	1199	7460	3483
SASAN POWER LTD	1074	159	774	114	970	143	2817	416
PTC (KARCHAM WANGTOO)	242	44	175	32	219	40	635	115
PTC (DB)	908	388	654	280	820	351	2382	1019
PTC (MARUTI)	572	216	412	155	516	195	1500	566
NPCIL	2531	1061	1825	765	2286	959	6642	2785
TEHRI+Koteshwar+Tehri PSP+ Kurja+ Tala	768	387	554	279	694	350	2015	1015
RVUN/ State Generation	14381	7025	10366	5063	12989	6344	37735	18433
RAJWEST POWER LIMITED	2314	889	1668	641	2090	803	6073	2334
SHARED PROJECTS	1248	71	899	51	1127	64	3273	185
R.F.F.	187	72	0	0	0	0	187	72
NCES	12996	4436	9310	3155	11681	3965	33987	11555
TOTAL	**47656**	**19114**	**34159**	**13684**	**42816**	**17157**	**124631**	**49955**
Less/add: Short Term*	294	135	-122	0	-1535	0	-1363	135
Net power Purchase	**47950**	**19249**	**34037**	**13684**	**41282**	**17157**	**123269**	**50089**

*Note: AVVNL and JdVVNL have surplus energy of 122 MUs and 1535 MUs of Rs. 56 Cr. and 704 Cr. respectively. The Commission has considered the above amount of surplus energy as revenue from trading instead of deducting from cost of power. However, as the JVVNL has shortfall of 294 Mus of Rs. 135 Cr. the same has been considered as part of cost of Power.

Transmission Charges

Petitioners' Submission

4.137 The Discoms have considered a nominal annual escalation of 2% over that as projected in FY 2025-26, while projecting transmission charges for FY 2026-27.

4.138 The details of the PGCIL, RVPN, RLDC and SLDC charges submitted by Discoms have been summarized in the table below:

Table 58 : Transmission Charges & SLDC Charges for FY 2026-27 (Rs. in Crore)

Particulars	Discoms' submission			
	JVVNL	**AVVNL**	**JdVVNL**	**Total**
PGCIL Charges	858	618	775	2252
RVPN, POC and Others Charges	1681	1211	1518	4410
RLDC Charges	2	1	2	5
SLDC Charges	11	8	10	29
Total Transmission Charges	**2552**	**1839**	**2304**	**6695**

Commission's Analysis

4.139 The Commission has considered the latest available tariff order for RVPN Transmission charges and SLDC charges for projecting the RVPN transmission charges and SLDC charges for FY 2026-27. The transmission charges of other Transmission Licensees have been considered as per Discoms' filing.

4.140 Further, the Commission has considered PGCIL & RLDC charges for FY 2026-27 as per filing of Discoms.

4.141 The transmission & SLDC charges approved by the Commission for FY 2026-27 are as under:

Table 59 : Transmission Charges approved by the Commission for FY 2026-27 (Rs. in Crore)

Particulars	**APPROVED**			
	JVVNL	**AVVNL**	**JdVVNL**	**Total**
PGCIL Charges,	858	618	775	2252
RVPN Charges, POC and Others Charges	1649	1189	1490	4328
RLDC Charges	2	1	2	5
SLDC Charges	13	9	12	34
Total Transmission Charges	**2522**	**1818**	**2278**	**6618**

<u>Investment Plan for FY 2026-27</u>

4.142 The Discoms have proposed investment under various projects/schemes to be executed along with the proposed targets in FY 2026-27 as detailed below:

Table 60 : Proposed Capital Expenditure for FY 2026-27 (Rs. in Crore)

Sr. No.	Name of schemes	Proposed for F.Y. 2026-27			
		JVVNL	AVVNL	JdVVNL	TOTAL
	Plan Work				
1	Sub Transmission & Distribution Program	1356	700	1045	**3101**
2	Rural Electrification Works	1338	1520	2044	**4902**
3	RDSS				
3.1	RDSS (Infrastructure)	959	700	807	**2466**
3.2	RDSS (RMS & IT/OT)	50	64	61	**175**
3.3	RDSS Smart Metering *	207	0	0	**207**
3.4	RDSS (DA-JGUA and Left Out Household)	67	21	250	**338**
3.5	RDSS (Electrification of left out RHH's)	0	0	142	**142**
3.6	RDSS (Feeder segregation)	1642	2242	775	**4659**
3.7	RDSS (Two Block Supply for supply of Agriculture Consumers)	0	0	290	**290**
	Total	**5618**	**5248**	**5414**	**16280**

** Expenditure under RDSS smart metering component for Ajmer Discom & Jodhpur Discom are Rs. 393.77 Cr. & Rs. 272 Cr. for FY 2026-27 respectively. However, for the purpose of capital investment, expenditure attributed towards the smart metering component has not been included, as it is to be implemented on Total Expenditure (TOTEX) mode. Jaipur Discom have indicated the expenditure related to smart metering component of RDSS, but however, the same has not been considered in the computation of ARR.*

4.143 To execute the above work, the Discoms have proposed the funding from following sources:

Table 61 : Source wise details of funding for FY 2026-27 (Rs. in Crore)

S.No.	Sources of funding	JVVNL	AVVNL	JdVVNL	Total
1	Loan	2016	1414	2588	**6017**
2	Grant	1857	1828	1395	**5080**
3	Equity	1633	1881	1113	**4627**
4	Consumer Contribution	112	125	318	**555**
	Total	**5618**	**5248**	**5414**	**16280**

4.144 Discoms submitted that The Capital Investment Plan for FY 2026-27 has been prepared, keeping intact the principle of the least cost plan, required to undertake the strengthening and augmentation of distribution system to meet the requirement of load growth, reduction in distribution losses, improvement of quality of supply, system reliability etc.

4.145 The proposed Capital Investment Plan is based on the philosophy focused on the following areas:

(a) Creation of new sub-transmission and distribution network to meet the increasing demand within the area of supply of Discoms.

(b) Strengthening of the existing sub-transmission and distribution network to cope up with the growing demand and connectivity to the new areas under development.

(c) Rural electrification to create distribution infrastructure in villages and release electricity connections in villages

(d) Scaling up of IT infrastructure and strengthening of IT backbone to improve the efficiency, capacity and reliability of distribution network.

(e) Demand side management for efficient and optimum utilization of distribution network capacity.

4.146 Discoms submitted that the proposed Capital Investment Plan incorporates the basis and details pertaining to the budget allocation under various schemes, associated targets and sources of funding.

4.147 Discoms submitted that the capital investment planning plays a pivotal role in efficiency improvement of the Discoms. The growing number of consumers, load and per capita consumption, burdens the existing networks resulting to frequent outage and energy spillages. Therefore, the Capital Investment Plan requires to be planned appropriately.

Sub Transmission and Distribution Infrastructure Works:

4.148 The Discoms have proposed a total investment of Rs. 3100.90 Crore in FY 2026-27 for sub transmission and distribution infrastructure works. The Discoms wise proposed investment and physical targets are provided below:

Table 62 : Proposed Investment and physical target for sub-transmission & distribution works in FY 2026-27

Sr. No.	Name of Schemes	Proposed Investment & Physical targets for F.Y. 2026-27			
		Units	**JVVNL**	**AVVNL**	**JdVVNL**
1	Sub- Transmission & Distribution				
a.	Proposed Investment	(Rs. in Crore)	1355.60	700.00	1045.30
b.	33/11 KV S/s	MVA	850	400	277
		Nos.	60	50	88
c.	33 KV Lines	KMs	1020	300	704

4.149 The Discoms submitted that these schemes are identified on need basis, with the objective to increase reliability of the network, to strengthen the network and for improvement of the system to meet the demand growth; the circle planning department initiate the proposals along with the detailed technical due-diligence & after cost-benefit analysis of the proposed investment to be undertaken in the field. The proposals are being forwarded to the headquarters for approval. The planning circle at headquarters selects the schemes on the priority and sanction allowed by the Government. All the projects under Sub-Transmission and Distribution works, RE works are under Rs. 10 Cr. and the same are being implemented after administrative, technical and financial sanctions of the competent authority and delegation of powers (DOP) given to the field offices.

Rural Electrification Works:

4.150 Discoms have proposed a total investment of Rs. 4901.93 Crore in FY 2026-27 respectively for rural electrification works which includes expansion of distribution network to release agriculture connection, reduction in system losses along with improvement of reliability parameters, providing domestic connections in rural areas and energization of wells with a view to increase water supply for irrigation purposes. The Discom wise proposed investment and physical targets are provided in table given below:

Table 63 : Discom wise proposed investment for RE works in FY 2026-27

Sr. No	Name of Schemes	Proposed Investment & Physical targets for F.Y. 2026-27			
		Units	**JVVNL**	**AVVNL**	**JdVVNL**
1	Rural Electrification Works				
a.	Proposed Investment	(Rs. in Crore)	1338.23	1520.00	2043.70
b.	Domestic connection rural	Nos.	180000	120000	89000
c.	Agriculture Pump Set RE	Nos.	45830	50,000	45,000

REVAMPED DISTRIBUTION SECTOR SCHEME (RDSS)

4.151 Discoms have proposed a total investment of Rs. 8276.84 Cr. Including feeder segregation works of Rs. 4658.86 Crore in FY 2026-27 under Revamped Distribution Sector Scheme.

4.152 Discoms submitted that the GoI has notified the RDSS to enable Discoms across the country to improve their financial and operational efficiencies. An indicative list of works planned under the scheme is given below:

- Construction of new substations and augmentation of substations

- Provision of Armoured /Aerial Bunched Cables (ABC) or High Voltage Distribution System in high loss areas.
- Segregation/ Bifurcation of feeders and other allied works.
- Replacements of conductors which are old /frayed.
- Additional HT lines to improve quality of supply.
- IT/OT Works
- Supervisory Control and Data Acquisition (SCADA) and Distribution Management System (DMS) in urban areas.
- Work like new-feeders, capacitors, etc. for loss reduction.
- Under-ground cabling works

Any other works required for system strengthening and loss reduction

4.153 Discoms submitted that segregation of feeders planned to be solarized under the PM-KUSUM will be solarized on priority.

4.154 Discoms also submitted the following activities are be included for loss reduction under RDSS :

- New 33/11KV Substation
- 33KV Feeder Bifurcation due to overloading
- 11KV Feeder Bifurcation due to overloading
- 11KV Mixed Feeder Segregation (Agriculture & Non Agriculture)
- High Voltage Distribution System (HVDS) Work
- LT AB & UG cabling work in theft prone area
- Installation of shunt capacitor for agriculture Consumer
- Infra of Electrical Vehicle (EV) charging Station: In RDSS works development of infra required for releasing of EV charging station has been taken.

4.155 Discoms also submitted the proposed benefits of the scheme as under:

- Improvement of Financial condition of the Discoms due to reducing of technical & commercial losses.
- Improvement of efficiency of Distribution sector through appropriate use of advanced technologies like SCADA, DMS, Smart Metering and automation that resulted the improved operational capabilities of Discoms.
- Facilitating renewable energy integration through modern distribution infrastructure.
- Reliable power/mechanisms to support industrial productivity and encourage new investments.
- Improved infrastructure has led to reduced carbon emissions through optimized and efficient energy use
- To provide better consumer services through distribution infrastructure equipped with advanced technology

Table 64 : RDSS Component wise expenditure plan for FY 2026-27 (Rs. in Cr)

Sr. No	Particulars	JVVNL	AVVNL	JdVVNL	Total
1	RDSS (Infrastructure)	959.03	700.00	806.71	**2465.74**

2	RDSS (RMS & IT/OT)	50.00	64.15	61.00	**175.15**
3	RDSS Smart Metering *	207.04	0.00	0.00	**207.04**
4	RDSS (DA-JGUA and Left Out Household)	66.58	21.17	250.00	**337.75**
5	RDSS (Electrification of left out RHH's)	0.00	0.00	142.30	**142.30**
6	RDSS (Feeder segregation)	1641.56	2242.30	775.00	**4658.86**
7	RDSS (Two Block Supply for supply of Agriculture Consumers)	0.00	0.00	290.00	**290.00**
	Total*	**2924.21**	**3027.62**	**2325.01**	**8276.84**

Note: ** Expenditure under RDSS smart metering component for Ajmer Discom & Jodhpur Discom are Rs. 393.77 Cr. & Rs. 272 Cr. for FY 2026-27 respectively. However, for the purpose of capital investment, expenditure attributed towards the smart metering component has not been included, as it is to be implemented on Total Expenditure (TOTEX) mode. Jaipur Discom have indicated the expenditure related to smart metering component of RDSS, but however, the same has not been considered in the computation of ARR.*

Analysis of the Commission and decision:

4.156 The capital expenditure in past years and the envisaged plan of FY 2026-27 is as under:

Table 65 : Actual capital expenditure in past years and investment proposed for FY 2026-27 **(Rs in Cr.)**

Sr.No.	Financial Year	JVVNL	AVVNL	JdVVNL	TOTAL
1	2017-18 (ACTUAL)	1573	1349	1318	4241
2	2018-19 (ACTUAL)	2767	2454	2195	7417
3	2019-20 (ACTUAL)	1783	2405	2199	6388
4	2020-21 (ACTUAL)	1130	1169	1308	3607
5	2021-22 (ACTUAL)	1692	1416	1307	4415
6	2022-23 (ACTUAL)	1973	1741	1724	5438
7	2023-24 (ACTUAL)	3236	2389	2550	8175
8	2024-25 (ACTUAL)	3171	2369	2435	7975
9	2025-26 (APPROVED)	5766	4687	5849	16303*
10	2026-27 (PROPOSED)	5618	5248	5414	16280

* Including RDSS.

4.157 For investment approval, Commission has relied on Hon'ble APTEL judgment in appeal no. 84 of 2006, which has been discussed in subsequent paras.

4.158 The issue of according approval by Regulatory Commission of investment plan of a utility had come up before Hon'ble APTEL in appeal no. 84 of 2006. The said appeal had arisen against order of the Karnataka State Regulatory Commission, wherein investment plan of the State Transmission Utility was reduced by the Commission.

4.159 Hon'ble APTEL in that case had examined at length the powers and functions of the Regulatory Commission as regards investment approval and observed in following para as under:

"**XXXX**

9. *The only provision, if at all which has a relevance is Section 86 (2), which is advisory in nature. This being the position it is obviously clear that the legislature has left it to the utilities to decide their plans of investment or improvement of system or expansion to meet the demand of power within their area including up gradation and maintenance for a better and quality generation, transmission or supply as the case may be. It is the commercial decision of the utility and its source to raise funds which falls within the domain of the utility and not liable to be interfered, except at the stage when utility claims for return on such investment, interest on capital expenditure and depreciation. It is at that stage the Commission shall undertake a prudent check and if deemed fit allow the claim. In appropriate cases the Commission may disallow such claims of utility and it is for the utility to bear the brunt of such investment and it cannot pass it on to consumers.*

…………

22. *The consumers interest also do not arise at this stage for consideration nor they could be an objector in respect of proposal or plan or investment by utility as the liability of the consumers, if any, arise or there could be a passing by way of return on equity or interest etc. as such contingency arises only when the Regulatory Commission subject to its prudent check allows such expenditure, while fixing the annual revenue requirement and determining the tariff. Till then, the consumers have no say and there could be no objection from their side. When the consumers complain poor service or failure to maintain supply, to face such a situation the utility has to plan in advance, invest in advance, execute the project or scheme for better performance and maintain."*

4.160 In the said judgment, it has been concluded that Regulatory Commission should confine itself to exercising prudent check on investment being made by licensee and should not delve in the area of micro management of utility. This inference has been drawn by Hon'ble APTEL after careful examination of the provisions of Electricity Act, 2003. Suffice to say that any control by a Regulatory Commission on investment plan of a licensee beyond requirement of prudent check would not be in consonance with Electricity Act, 2003.

4.161 In view of above, Hon'ble APTEL has clear findings on the subject of investment approval, that the Commission would be exercising only prudent check on the investment of the licensee and allow/dis-allow expenditure based on such prudent check instead of according project/scheme-wise approvals. Regulations have to be seen and applied within the overall mandate and objective of the Electricity Act.

4.162 For exercising prudence check of the proposed investment plan, the Commission has kept in view the following:

a) The ceiling limit on investment as per investment guidelines attached with RERC (Investment Approval) Regulations, 2006;
b) The schemes and programme of Central Govt. like RDSS etc. which are formulated, approved and implemented as per guidelines of the Govt. of India;
c) Items/works not eligible for inclusion in investment plan;
d) The nature of proposed investment and reasons thereof.

4.163 Para E of investment guidelines as attached with RERC (investment approval) Regulation, 2006 provides that the size of the annual investment plan (including deposit works of the other agency and consumer/user's contribution) shall not exceed the ceiling limit determined, based on growth of load/sales and annual inflation rate. The deposit works shall be committed only to the extent such work do not affect annual works planned by the licensees. The annual size of investment plan will be based on criterion that with the addition of assets, cost of generation, transmission and distribution shall not exceed the respective current cost by the inflation rate. For transmission and distribution licensees, it shall not exceed the following ceiling limits:

Annual plan=k*GFA *[(1+inflation rate)*(1+growth rate)-1]

Where k=constant to convert GFA at the end of previous year to current cost of assets. Till same is worked out it shall be taken as 1.30.

Inflation rate = ratio of WPI as on 1^{st} April of previous year and current year.
Growth rate = growth of sales envisaged for current year over that of previous year.
GFA = Gross Fixed Assets

4.164 For working out inflation rate, the Commission has considered latest available data of December 2025. It is observed that while computing the ceiling limit, the inflation rate as per December-2025 over December 2024 is work out to be 0.83 %, however, as the no. of consumers and load is still growing, therefore the Commission has considered inflation of 2% for working out the ceiling limit for FY 2026-27.

4.165 Based on above formula, the ceiling limit for FY 2026-27 works out to be as under:

Table 66 : Ceiling Limit for investment plan for FY 2026-27 (Rs. in Crore)

Sr. No.	Particulars	JVVNL	AVVNL	JdVVNL	Total
1	GFA closing figure of 2025-26 (as per tariff petition)-Rs. Crores	35013.04	29268.01	31470.47	95751.52
2	K	1.30	1.30	1.30	1.30
3	Sale for FY 26(MU) as per petition	36743.89	27906.93	31784.63	96435.45
4	Sale for FY 27(MU) as per petition	39151.97	29660.34	33835.14	102647.45

5	Growth rate for sale (%)	6.55%	6.28%	6.45%	6.44%
6	Inflation (%)	2.00%	2.00%	2.00%	2.00%
7	**Annual Plan ceiling -Rs. Crores**	**3953.04**	**3199.39**	**3510.33**	**10662.75**

4.166 It was observed that the total Investment proposed by Discoms are not within ceiling Limit. With reference to proposed investment plan is exceeding ceiling limit, in reply to data gap, Discoms submitted that RDSS is flagship scheme of Government of India and Discoms plans to fully leverage the RDSS to modernize distribution network infrastructure, improve reliability and quality of supply, improve consumer services, adopt state-of-the-art technology and thereby improve operational efficiency. Additionally, projects envisaged under the RDSS would also enable the Discom to ensure the provision of 24x7 clean, reliable and quality supply of electricity to the consumer.

4.167 In this regard, Commission observes that as per RERC (Investment approval) Regulations, 2006 all schemes of Discoms except for reduction in T&D losses, system improvement and capacitor installation, emerging out of Discoms' obligation to supply shall not be subjected to cost – benefit analysis. These will be governed by availability of financial resources and criterion of least cost out of various possible alternative or maximum spread of facility among consumers with available finance. Also capital expenditure on Institutional strengthening, consumer services and preliminary works shall not require cost benefit analysis.

4.168 Commission also observes that almost 51% of the total plan is required for executing RDSS scheme, which is central government flagship scheme. RDSS scheme is essential for Reduction in AT&C Losses, Financial Sustainability, Infrastructure Modernization, Smart Metering & Accountability, Reliability and Quality of Supply, Enabling Energy Transition, Improved Customer Service etc. RDSS will also help Discoms to meet their universal service obligations. It is also observed that RDSS is largely funded by grant. The Discoms during the year have proposed grant of Rs. 5080 Cr. against total expenditure of Rs. 8277 Cr. under RDSS and implementation of this scheme will be beneficial to the Distribution sector in Rajasthan.

4.169 The Commission considering the above and in compliance to aforesaid Hon'ble APTEL Judgment has confined itself to exercising prudence check on Investment proposal as under:

4.170 In respect of Sub Transmission and Distribution works, the Commission has observed that normally financial expenditure in Discoms is not commensurate with the physical target in a year and has exceeded the amount of the investment planned in past years. Care should be taken to initiate an investment in consonance with physical target or augmentation proposed. Unlike centrally sponsored scheme, the Discoms themselves are required to exercise prudence and control over such investment.

4.171 The Commission observes that apart from discharging the prime responsibility of quality, reliable and affordable power supply to consumers through operationally efficient distribution system with the best use of manpower. The Discoms must ensure continues watch on investment made so they reap the maximum benefit to both consumers and Discoms.

4.172 It is observed that against the planned allocation, JVVNL, AVVNL & JdVVNL have incurred approx. 97%, 76% and 78% respectively during FY 2025-26 upto December-2025 under ST&D Head. It is observed that JdVVNL is lagging behind the targets. Accordingly, Commission allows, 100% of JVVNL, 80% of AVVNL claim and JdVVNL claim of the approved capital expenditure plan under Sub-Transmission & Distribution as Rs. 1355.60 Crore, Rs. 560.00 Crore and Rs. 836.24 Crore respectively.

4.173 **Rural Electrification Works**: In this scheme every year the Discoms proposes the capital expenditure for release of new connection for domestic category in rural areas and for agriculture pump sets. The details of physical target sets for number of rural domestic connection and agriculture pump set for FY 2025-26 and FY 2026-27 are as under:

Particulars	FY 2025-26	FY 2026-27
JVVNL		
Domestic Connections Rural	200000	180000
Energization of wells	37783	45830
AVVNL		
Domestic Connections Rural	100000	120000
Energization of wells	40000	50000
JDVVNL		
Domestic Connections Rural	85000	89000
Energization of wells	45000	30000*

* Note: - JdVVNL has proposed 45000 no. of energization of wells in the Investment plan however, the same has been considered as 30000 numbers as per sales projections of AG (Metered) for FY 2026-27. Actual impact shall be considered at the time of true up.

4.174 Accordingly, the capital expenditure has been proposed from FY 2025-26 and FY 2026-27 in Rs. Cr. are as under:

Particular	FY 2025-26	FY 2026-27
JVVNL	1103	1338
AVVNL	1224	1520

JdVVNL	1960	2044

4.175 The Commission while allowing sales has considered the additional no. of agriculture connection as proposed by Discoms. The Commission in the true up order for FY 2024-25 and earlier orders has considered 50% of cost of agriculture connection as grant as the amount to be paid by Ag consumers is not being charged to them as per Agriculture policy of government. Hence, Commission for the purpose of ARR also has considered 50% cost as grant receivable from the Government in this order. The Commission observed that Discoms are continuously releasing large number of Agriculture connections, therefore, Discoms should take up the matter for funding the cost except consumer contribution from the State Government.

4.176 It is also observed that during FY 2025-26 against the planned allocation JVVNL, AVVNL and JdVVNL have incurred approx. 101%, 76% and 81% respectively. Accordingly, Commission allows 100% of JVVNL and 90% of AVVNL claim. It is observed that under this scheme also JdVVNL is lagging behind the targets. Further, looking to the past trend of achievement in physical targets of JdVVNL, it is likely that some slippages will be there. Accordingly, the Commission has considered the 80% of the proposed investment by JdVVNL to be incurred during FY 2026-27. However, the Commission will consider the actual cost at the time of true up.

4.177 **RDSS**: Discoms have proposed a substantial amount of capital investment under Revamped Distribution Sector Scheme with the objective to improve the quality, reliability and affordability of power supply to consumers through a financially sustainable and operationally efficient distribution sector. The Scheme aims to reduce the AT&C losses to pan-India levels of 12-15% and ACS-ARR gap to zero by 2024-25 by improving the operational efficiencies and financial sustainability of all DISCOMs/ Power Departments.

4.178 It is observed that Expenditure under RDSS smart metering component for FY 2026-27 is Rs. 207 Crore, Rs. 394 Crore and Rs. 272 Crore for JVVNL, AVVNL and JdVVNL respectively. However, for the purpose of capital investment, expenditure attributed towards the smart metering component has not been included by AVVNL and JdVVNL and included by JVVNL but the same has not been considered in the computation of ARR. As it is to be implemented on Total Expenditure (TOTEX) mode, therefore, the same is not considered for the current investment plan of JVVNL. It is further observed that the metering is an important part of RDSS scheme. Discoms have almost included all the consumers in RDSS scheme for metering purpose. However, at the time of true up, the Commission will consider the actual expenditure made.

4.179 The RDSS scheme is a centrally sponsored initiative aimed at reducing distribution losses and ensuring the financial sustainability of Discoms, among other objectives. A key benefit of the scheme is the provision of grant ranging from 60% to 100%. DA-JGUA is also central sponsored scheme. The Commission is of the view that Discoms should proactively avail the full benefit of this grant, as it would not only strengthen their operations but also ultimately benefit consumers through improved service delivery and financial stability. Accordingly, Commission consider following investment plan for RDSS:

Table 67 : Investment plan for RDSS/CSS (Rs. in Crore)

Sr. No	Particulars	JVVNL	AVVNL	JdVVNL	Total
1	RDSS (Infrastructure)	959.03	700.00	806.71	**2465.74**
2	RDSS (RMS & IT/OT)	50.00	64.15	61.00	**175.15**
3	RDSS (DA-JGUA and Left Out Household)	66.58	21.17	250.00	**337.75**
4	RDSS (Electrification of left out RHH's)	0.00	0.00	142.30	**142.30**
5	Feeder segregation under RDSS	1641.56	2242.30	775.00	**4658.86**
6	Two Block Supply for supply of Agriculture Consumers	0.00	0.00	290.00	**290.00**
	Total*	**2717.17**	**3027.62**	**2325.01**	**8069.80**

4.180 It has been observed that centrally sponsored scheme comprises funding from GoI/GoR and the resources of Discoms as per funding pattern of the schemes. Release of funds under the schemes from GoI/GoR is subject to the fulfillment of various conditions as stipulated in the guidelines of such scheme. Therefore, Discoms should ensure release of entire funds from GOI/GOR as per prescribed funding pattern.

4.181 The Commission in its various orders has stressed on the need of Compliance of CEA (Measures relating to Safety and Electric Supply) Regulations, 2010 and CEA (Safety requirements for construction, operation and maintenance of electrical plants and electric lines) Regulations, 2011 as amended from time to time and to ensure safety for its workmen, Public and Livestock. In the true up order for FY 2024-25, Commission has already approved expenditure towards safety of Rs. 9.71 Crore. The Commission reiterates that if Discoms need to spend any money for compliance of the Safety Regulations, the same can be claimed through Investment Plan/ARR and the Commission reiterate that it is willing to consider any additional amount spent on training of employees and for compliance of Safety Regulations.

4.182 It is observed that the Discoms have not proposed any specific investment on account of compliance of safety Regulation in ARR. The Discoms may file the details of additional amount, if any, spent over and above O&M expenses towards safety compliance in True up petitions.

4.183 The Commission reiterates that it is the duty of the Discoms to ensure that safety tools/ devices are made available to each and every worker and training has been imparted to each and every technical worker/officer of the Discom. They should also provide a copy of safety manual in Hindi to each and every workmen and officer. Danger plates should be affixed everywhere, guarding/fencing should be provided wherever it is required and earthling and other protection should be checked /provided as per safety Regulations. Every circle officer should ensure that each line, plant or meter is checked from safety point of view as per the periodicity decided by the Discoms in accordance with safety Regulations. System of line patrolling must be followed vigorously and complaints related to safety must be given overriding priority. If need be, the Discoms may review their staffing pattern and working appropriately.

4.184 As per RERC (Investment Approval) Regulations, 2006 Distribution Licensee can spent upto 1% of its Investment Plan on institutional strengthening. The Discoms can accordingly plan for training program & refresher program for all its employees and officers.

4.185 Discoms should also plan system augmentation and up gradation keeping in view the need for integrating Distributed Solar generation viz. Rooftop Solar, Kusum A&C, VNM, GNM, EV charging, BESS and also reactive power management.

4.186 In the light of the position discussed above, the Commission considers it appropriate to allow the investment in respect of Discoms as under:

Table 68 : Investment plan other than RDSS / DA-JGUA for FY 2026-27 (Rs. in Crore)

Sr. No.	Name of schemes	JVVNL	AVVNL	JdVVNL	TOTAL
1	Sub Transmission & Distribution Program	1355.60	560.00	836.24	**2751.84**
2	Rural Electrification Works	1338.23	1368.00	1634.96	**4341.19**
	Total	**2693.83**	**1928.00**	**2471.20**	**7093.03**

Table 69 : Investment plan for RDSS/CSS (Rs. in Crore)

Sr. No	Particulars	JVVNL	AVVNL	JdVVNL	Total
1	RDSS (Infrastructure)	959.03	700.00	806.71	2465.74
2	RDSS (RMS & IT/OT)	50.00	64.15	61.00	175.15

3	RDSS (DA-JGUA and Left Out Household)	66.58	21.17	250.00	337.75
4	RDSS (Electrification of left out RHH's)	0.00	0.00	142.30	142.30
5	Feeder segregation under RDSS	1641.56	2242.30	775.00	4658.86
6	Two Block Supply for supply of Agriculture Consumers	0.00	0.00	290.00	290.00
	Total	**2717.17**	**3027.62**	**2325.01**	**8069.80**

4.187 Discoms may take up these works as per above table after due analysis about the benefits and availability of funds at their level.

4.188 The Commission for the purpose of this order has considered 80% capitalization as proposed by Discoms. The Commission shall consider the actual expenditure at the time of True up. Further Discoms should ensure that works across schemes are carried out through proper planning and coordination and works under different schemes should not overlap.

4.189 Accordingly, Commission directs that Discoms should ensure that full grant is received by fulfillment of various conditions as stipulated in the guidelines of sponsored schemes and also ensures fund availability to meet the expenditure and due procedure is made at their level before making investment.

4.190 Post hearing, Discoms vide their additional submission submitted trajectory for capital investment Plan for remaining control period of MYT i.e. from FY 2027-28 to 2029-30. Discoms submitted that a well-structured long-term capital investment plan is very-much crucial for the overall growth and stability of the system network of a Distribution utility. Such a plan offers a clear strategic vision, ensuring that the utility is well-prepared to meet the challenges of evolving energy demands, infrastructure modernization, and integration of emerging technologies over the years.

4.191 This provides the Discoms with a roadmap for future growth, enabling it to set priorities in line with State Government policies and regulatory frameworks. This clarity helps optimize resource allocation, avoid ad-hoc spending, and ensure systematic development of the distribution network. With Rajasthan’s unique energy landscape, characterized by rapid urbanization and rural electrification initiatives leading to an ever increasing consumer base, a strategic vision is essential to deliver reliable and affordable electricity to all consumers.

4.192 Discoms also submitted that Rajasthan is a leader in renewable energy adoption, especially solar power. This growing penetration of renewable energy, especially decentralized solar power, imposes new demands on the distribution network, necessitating significant investments in network strengthening and modernization. Having a clear plan enables the utility to upgrade infrastructure such as transformers, substations, and distribution lines to handle bidirectional energy flows, manage intermittency, and ensure seamless integration of distributed generation sources. Renewable energy sources, while environmentally beneficial, introduce variability and uncertainty in power supply. It supports the utility's ability to swiftly detect and isolate faults, manage load variations, and maintain consistent voltage and frequency levels. This enhances consumer satisfaction and reduces power losses.

4.193 A disciplined capital investment strategy helps the utility manage finances effectively by phasing investments based on demand forecasts and technological readiness. It also fosters confidence among financial institutions, regulators, and consumers by demonstrating a commitment to sustainable growth and transparent governance.

4.194 With respect to the above-mentioned benefits of having a long-term plan, the Discoms have submitted an anticipated CAPEX plan for the remaining control period i.e from FY 2027-28 till FY 2029-30 as under:

S. No	Name of Scheme	FY 2027-28			
		JVVNL	**AVVNL**	**JdVVNL**	**Rajasthan**
1	Sub-transmission and Distribution Works	1,258	700	723	2681
2	Rural Electrification Works	308	1,000	1624	3932
3	RDSS IT/OT	260	-	1708	1969
	Total	**2,827**	**1,700**	**4,055**	**8,581**

S. No	Name of Scheme	FY 2028-29			
		JVVNL	**AVVNL**	**JdVVNL**	**Rajasthan**
1	Sub-transmission and Distribution Works	1,220	750	805	2775
2	Rural Electrification Works	1,285	1,090	1640	4015
3	RDSS IT/OT	-	-	34	34
	Total	**2,505**	**1,840**	**2,479**	**6,824**

S. No	Name of Scheme	FY 2029-30			
		JVVNL	**AVVNL**	**JdVVNL**	**Rajasthan**
1	Sub-transmission and Distribution Works	1,250	805	884	2939
2	Rural Electrification Works	1,261	1,189	1657	4107
3	RDSS IT/OT	-	-	5	35
	Total	**2,511**	**1,994**	**2,576**	**7,081**

4.195 With respect to distribution losses, the Discoms also submitted their proposed loss reduction trajectory for the remaining control period. AVVNL has submitted that it has significantly reduced distribution losses from 22.10% in FY 2016-17 to 7.63% in FY 2024-25, outperforming the targets under RDSS, and has proposed further marginal reduction in losses. JVVNL and JdVVNL have proposed a gradual reduction in distribution losses during the remaining control period.

4.196 The proposed distribution loss trajectory submitted by the Discoms is summarized below:

Discom	**FY 2027-28**	**FY 2028-29**	**FY 2029-30**
JVVNL	12.00%	11.75%	11.50%
AVVNL	7.48%	7.46%	7.44%
JdVVNL	12.00%	11.75%	11.50%

4.197 The Commission acknowledges that long term capital investment plan helps in systematic development and strengthening of the electricity distribution network. It enables timely augmentation of substations, lines, transformers, and other infrastructure to meet future growth in electricity demand. Such planning improves the reliability and quality of power supply, reduces technical losses and outages.

4.198 Rajasthan is a leader in renewable energy adoption, especially solar power. This growing penetration of renewable energy, especially decentralized solar power, imposes new challenges on the distribution network, necessitating significant investments in network strengthening and modernization to support the integration of renewable energy sources into the grid.

4.199 It also enhances operational efficiency through modernization and automation, such as smart metering and grid management systems. Further, a long-term investment plan provides financial and regulatory certainty, allowing utilities and regulators to assess capital expenditure in advance, control costs, and ensure that investments ultimately lead to better consumer services and sustainable financial performance of Discoms.

4.200 Further, Discoms are vouching for continuous reduction of Distribution losses and has provided the trajectory for next three years which will also require system upgradation and investment in technical interventions.

4.201 The Commission observes that prudent and forward-looking capital investment planning is essential to ensure system reliability, network adequacy, and efficient integration of growing demand and renewable energy. In the absence of a structured multi-year capital expenditure roadmap, long-term infrastructure development may lack optimal prioritization. A rolling planning framework would enable better alignment of network strengthening works with demand projections and financial sustainability.

4.202 In view of above, the Commission deems it appropriate to approve the trajectory for Distribution loss and Capital Investment Plan as proposed by the Discoms for FY 2027-28 to 2029-30 subject to further review and prudence check while considering ARR and Investment plan petitions for future years based on future demand and actual growth of renewable energy sources.

Capitalization

Petitioners' Submission

4.203 The capital investment and capitalization proposed by the Discoms are shown in the table below:

Table 70 : Capital Expenditure and Capitalization proposed for FY 2026-27

(Rs. in Crore)

FY 2026-27				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Capital Expenditure	5411	5248	5414	16073
Capitalization	5078	4844	5459	15382

Commission's Analysis

4.204 Following the methodology adopted in ARR order for FY 2025-26, the Commission has considered 80% of the proposed capitalization in this ARR order for FY 2026-27.

4.205 Accordingly Capitalization has been considered as Rs. 12306 Crore for FY 2026-27.

Table 71 : Projected Capitalization approved by the Commission for FY 2026-27

(Rs. in Crore)

FY 2026-27				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Capitalization	4063	3875	4367	12306

Operation and maintenance Expenses

Petitioners' Submission

4.206 Discoms have estimated O&M expenses based on the O&M norms specified in RERC Tariff Regulations, 2025.

4.207 The Operation and Maintenance (O&M) expenses comprises of Employee expenses, Repair and Maintenance (R&M) expenses and Administration and

General (A&G) expenses.

4.208 The norms for Employee expenses and Administration and General (A&G) expenses components of O&M expenses for the distribution business are based on per unit of energy sold and are specified under Regulation 81 of the RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025.

4.209 The employee and A&G expenses are determined by multiplying the norms specified in Regulation 81 of the RERC (Terms and Conditions for Determination of Tariff) Regulations 2025 and the projected energy sales for the year. The R&M expense is computed based on the projected Gross Fixed Assets and the 'k' factor.

4.210 The Normative Employee expenses and Administration and General (A&G) expenses allowed at the commencement of the Control Period (i.e. FY 2025-26) under the aforesaid Tariff Regulations are to be escalated at the rate of 5.25% per annum for each year of the Control Period.

4.211 The O&M expenses projected by Discoms for FY 2026-27 have been summarized below:

Table 72 : Operation and Maintenance Expenses for FY 2026-27

(Rs. in Crore)

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**TOTAL**
Employee Costs	2019	1530	1745	5294
Administrative & General Costs	297	225	256	778
Repairs & Maintenance Costs	635	530	549	1713
Total O&M Costs	2951	2284	2550	7785
Less: Expenses to be Capitalized	415	387	460	1261
Net O&M Costs charged to revenue	**2536**	**1897**	**2091**	**6524**

Installation of Smart Meters under TOTEX mode and its impact on O&M expenses

4.212 Discoms submitted that as per the Gazette notification dated 17.08.2021 also; the MoP has mandated installation of Prepaid Smart Meters in phases (as per timelines stipulated under RDSS Scheme) for all Discoms irrespective of the participation of the Discoms in the RDSS scheme. In order to comply with the notification, Rajasthan Discoms need to install prepaid smart meters for all consumers (other than agriculture) in phases under the RDSS Scheme.

4.213 Discoms further submitted that The Ministry of Power (MoP) recommends implementing smart metering under the TOTEX model through PPP, where a single agency is responsible for supply, operation, and maintenance of the metering infrastructure. Under the scheme, the Central Government will provide 15% grant of the approved smart metering cost (including operational costs), while the remaining cost is paid by the DISCOM over the operation and maintenance period.

4.214 As per Scheme, payments to AMISP are treated as operational expenditure (OPEX) in Discom accounts and must be considered as such in ARR and tariff petitions before the State Electricity Regulatory Commission.

4.215 The Discoms had filed a separate petition before the Commission for allowing the expenses incurred in the execution of smart metering works under RDSS, over and above the current normative O&M expenses.

4.216 Subsequently, the Commission issued order dated 21.10.2022, directing the Discoms to submit all relevant details including actual amount of payment made to AMISP, saving in various components of O&M cost and benefit derived from implementation of smart metering under TOTEX mode along with the true up petition of relevant year for consideration of the Commission. Accordingly, the details of such operational expenditure on Smart Meters shall be submitted by the Discoms at the time of Truing up of relevant year.

Commission's Analysis

4.217 Commission has allowed O&M expenses in accordance with Regulation 81 of RERC Tariff Regulations, 2025.

4.218 The per unit norms for following component for first year of the control period FY 2025-26 are as follows:

- Employee expenses-Rs. 0.49/per unit of sale
- A&G expenses-Rs. 0.072/ per unit of sale
- R&M Expenses – R&M Expenses for each year (n) of Control Period: k x GFAn-1 x (1+ER)

  Where, 'k' is a constant (expressed in %) governing the relationship between R&M expenses and Gross Fixed Assets (GFA) for the (n-1)th year and shall be considered as 1.82%;

  GFA is the average value of the Gross Fixed Assets of the (n-1)th year;

  ER means the escalation rate as specified in Regulation 24; 'n' is the year for which R&M expenses is to be determined.

4.219 The Normative O&M expenses allowed at the commencement of the Control Period (i.e. FY 2025-26) under the aforesaid Tariff Regulations are to be escalated at the rate of 5.25% per annum for each year of the Control Period.

4.220 It is observed that stakeholders submitted that while working out the O&M expense, the sales should be excluding DF sales. Therefore, in view of above comments of stakeholder and view taken by the Commission in the last ARR Order the Commission has not considered O&M expenses on sales in DF area and also accounted for revenue of DF separately in this Order. For projecting normative O&M expenses sale of Distribution franchisee i.e. JVVNL 1754 MUs, AVVNL of 716 MUs and JdVVNL of 1068 MUs for FY 2026-27 respectively have not been considered. Commission has considered the sales (excluding sale by DF) allowed for FY 2026-27 for projecting normative O&M expenses.

4.221 Capitalized O&M expenses have been considered in the same ratio as projected by Discoms.

4.222 O&M expenses approved by the Commission for Discoms for FY 2026-27 have been summarized below:

Table 73 : Operation and Maintenance Expenses approved for FY 2026-27

(Rs. in Crore)

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**TOTAL**
Employee Costs	1950	1503	1701	5153
Administrative & General Costs	287	221	250	757
Repairs & Maintenance Costs	396	312	288	996
Total O&M Costs	**2633**	**2035**	**2238**	**6907**
Less: Expenses to be Capitalized	370	345	403	1118
Net O&M Costs charged to revenue	**2263**	**1691**	**1835**	**5788**

4.223 With regard to Smart Meters under TOTEX mode it has been observed that Discoms had filed a separate petition on dated 29.07.2022 to allow expenditure incurred in execution of Smart metering works over and above normative O&M expenses. Further, Commission in the aforesaid petition has issued order dated 21.10.2022, directing the Discoms to submit all relevant details including actual amount of payment made to AMISP, saving in various components of O&M cost and benefit derived from implementation of smart metering under TOTEX mode along with the true up petition of relevant year. It is observed that in this petition no such information has been filed by Discoms. Accordingly, the details of such operational expenditure on Smart Meters shall be examined in Truing up of subsequent relevant year.

Terminal Benefit Expenses

Petitioners' Submission

4.224 For determination of terminal benefits liability, the Discoms have adopted the guidelines specified under AS-15 (Employee benefit). The guidelines of implementing AS-15 states that the benefit involving employer established provident funds, which require interest shortfall to be provided, are to be considered as defined benefit plans. In compliance to the provisions of the AS-15, the company has provided for the shortfall in the terminal benefits in respect to pension and gratuity each year.

4.225 Discoms submitted that contributions have been estimated based on the trend over the last 4 years and assuming a nominal hike of 3% that will be made towards terminal benefits for FY 2026-27.

4.226 Terminal benefit expenses submitted by the Discoms for FY 2026-27 have been tabulated below:

Table 74 : Terminal Benefit Expenses for FY 2026-27 (Rs. in Crore)

Particulars	JVVNL	AVVNL	JdVVNL	TOTAL
Terminal Benefit Expense	1596	818	1326	3740

Commission's Analysis

4.227 Regulation 81 of the RERC Tariff Regulations, 2025 specifies as under:

> *"……..Provided further that terminal liabilities based on actuarial valuation over and above the normative O&M Expenses, subject to prudence check shall be allowed separately. The Commission may allow recovery of such terminal liabilities through tariff in Rs/kWh."*

4.228 The Commission has considered terminal benefit expenses for FY 2026-27 as submitted by Discoms. However, the Commission shall allow the payment made towards actuarial valuation liability in the true up of FY 2026-27 only to the extent of funds actually transferred to the designated Fund.

Table 75 : Terminal Benefit Expenses for FY 2026-27 (Rs. in Crore)

Approved				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**TOTAL**
Terminal Benefit Expense	1596	818	1326	3740

4.229 In the True up order for FY 2024-25, Commission observed that against the approved amount of terminal benefits of Rs. Rs 605 Cr., Rs. 570 Cr. and Rs. 370 Cr. respectively for JVVNL, AVVNL and JdVVNL in the ARR order for FY 2024-25, JVVNL, AVVNL and JdVVNL have deposited only Rs. 30 Cr., 100 Cr. And Rs. 281 Cr. respectively as additional contribution. This amount is being allowed to Discoms to meet its future liabilities in a planned manner.

4.230 Stakeholders have also shown concern that there is huge shortfall in the terminal benefit funds due to non-funding of amount into the Trust as per actuarial liability of all the Discoms and requested the Commission to direct the power sector companies to ensure to deposit the above pending liabilities in a time bound manner and thereafter deposit the current due amount regularly. The Commission has time and again shows its serious concern regarding the continuous default in depositing the requisite amount by Discom. Accordingly, Commission directs the Discoms that they should deposit the required amount in the funds and also take up the matter with the State Government and also make a plan to meet their liability towards terminal benefit based on actuarial analysis.

4.231 The Discoms should also comply with the statutory provisions of other laws/Acts applicable to the terminal benefits. The Discoms should ensure to deposit pending liabilities and regular contributions to the designated superannuation and Gratuity funds otherwise the Commission may consider to take an action under section 142 of the Act.

4.232 The Commission also advises to the State Government to ensure continued and adequate funding towards terminal benefit liabilities by Discoms, especially in light of the significant actuarial liability and existing deficit in the pension funds. This is essential to enable Discoms to meet their obligation on this account in a timely and sustainable manner.

Interest on Loans and Finance Charges & Lease rental

Petitioners' Submission

4.233 The Discoms submitted that closing balance of the normative loan for FY 2024-25 has been considered as the opening loan balance for FY 2025-26. The total capitalization during the year (or additions to GFA) has been reduced by the grant amount, arrived at by proportioning it on the basis of grants against the proposed capital investment plan. The remaining capitalization has been considered to be funded through equity and loans, which are again proportioned on the basis of equity and loans proposed against the Investment Plan for the year. The loan portion has been considered as addition to long term loans during the year.

4.234 Discoms submitted that in accordance with the Regulation 21 of the RERC (Terms and Conditions for Determination of Tariff), Regulations, 2025 the loan repayment has been considered, equal to the depreciation charged for the year. The closing normative loan is considered after deducting repayment for the year.

4.235 The interest on long term loans is estimated on the basis of actual weighted average interest rate for long term loans and applied on the average of normative loans (average of opening and closing normative loan) which works out to be 10.53%, 10.69% and 10.68% for JVVNL, AVVNL and JdVVNL respectively.

4.236 The Discoms have submitted that they have considered interest on security deposit for FY 2026-27 on the basis of average of actual security deposit per consumer in the previous two years as per the audited accounts and the projected growth in number of consumers. The interest rate has been considered equivalent to RBI Bank Rate, which is in accordance with the RERC norms.

4.237 Discoms have projected the finance charges or other borrowing cost based on an increase by 5% per annum from actual of previous year.

Interest on unfunded revenue gap for past years

4.238 Discoms submitted that revenue gap for FY 2024-25 are Rs. 1162 cr. & Rs. 188 Cr. for JVVNL and JdVVNL and revenue surplus of Rs. 1742 Cr for AVVNL which has been detailed out in True up petition for FY 2024-25. The average unfunded gap for FY 2025-26 is arrived at by considering the opening balance for FY 26, additions during the year and closing balance. The same approach has been considered for FY 2026-27.

4.239 In order to calculate the interest on unfunded revenue gap, the Discoms have considered the weighted average rate of interest as per the audited accounts for FY 2024-25.

4.240 Accordingly, the interest charges and finance charges for FY 2026-27 have been summarized in the table below:

Table 76 : Interest and Financing Charges for FY 2026-27 (Rs. in Crore)

Particulars	JVVNL	AVVNL	JdVVNL	Total
Opening balance of LTL (A)	9248	7856	11390	28494
Capitalization (B)	5078	4844	5459	15382
Capital expenditure financed by Equity (C)	1533	1881	1122	4536
Capital expenditure financed by Consumer Contribution and grants (D)	1654	1953	1728	5334
Receipt of LTL for Capital expenditure E=(B-C-D)	1892	1414	2609	5915
Principal Repayment(F)	1956	1663	1796	5415
Closing balance of LTL, G=(A+E-F)	9183	7607	12204	28994
Average LTL, H=(A+G)/2	9216	7731	11797	28744
Average Interest rate of LTL (%)(I)	10.53%	10.69%	10.68%	
Interest Charges on LTL, J=(HXI)	970	827	1260	3057
Interest on Security Deposit (K)	166	108	89	362
Finance Charges & Lease Rental (L)	278	214	453	945
Gross Interest Charges, M=(J+K+L)	**1414**	**1148**	**1801**	**4364**
Interest Expenses Capitalized (N)	47	106	138	291
Total Interest & Financing Charges (O)	**1367**	**1042**	**1664**	**4073**

Particulars	JVVNL	AVVNL	JdVVNL	Total
Average unfunded Gap upto 2026-27 (p)	**17,679**	**7,605**	**14,658**	**39942**
Interest on Carry Forward Revenue Gap, Q=(PXI)	**1862**	**813**	**1565**	**4240**
Total Interest & Financing Charges after interest on carry forward Gap (O+Q)	**3228**	**1856**	**3229**	**8313**

Commission's Analysis

4.241 The interest and finance charges have been calculated by the Commission considering the following:

a) The closing balance of long-term loans for FY 2024-25 in true up order for FY 2024-25 has been considered by the Commission as the opening balance for FY 2025-26.

b) Capitalization, capital expenditure financed by equity, capital expenditure financed by consumer contribution and grants and receipt of long term loan for capital expenditure for FY 2025-26 have been considered as per order dated 03.10.2025 and principal repayment for FY 2025-26 has been considered equal to deprecation for FY 2025-26 to arrive at the opening balance of loan of FY 2026-27.

c) Capitalization for FY 2026-27 has been considered as discussed in foregoing paragraphs. Since only 80% capitalization has been allowed by the Commission, consumer contribution and grants have also been taken to the extent of 80% of the total projection by the Discoms.

d) The long-term loans required for capitalization during the FY 2026-27 have been reduced by the amount of consumer contribution, capital grants and equity projected for the year.

e) Repayment for FY 2026-27 has been considered equal to the depreciation allowed by the Commission.

f) Unfunded Gap- For computing the carrying cost, the unfunded gap upto FY 2024-25 has been considered as per above true up section for FY 2024-25. The above unfunded gap has been adjusted by surplus of RVUNL of Rs. 283.80 Cr. and SLDC of Rs. 1.58 Cr allowed by the Commission in the true up for FY 2024-25. Thereafter the aforesaid unfunded gap has been adjusted by approved surplus of Rs. 2087 Crore and recovery from Regulatory Surcharge of Rs. 3341 Cr. for FY 2025-26 (considered with revised tariff from 01.10.2025).

g) The weighted average interest rate has been considered at 10.53%, 10.69% and 10.68% as claimed by JVVNL, AVVNL and JdVVNL respectively.

h) Finance charges and interest on security deposit has been considered as submitted by Discoms.

4.242 **Grant on release of New Agriculture Connection under RE Works:** Discoms have indicated release of 45830, 50000 & 30000 Nos. of new agriculture connections in their ARR for JVVNL, AVVNL and JdVVNL respectively.

4.243 The Commission while allowing sales has considered the submissions of Discoms. The Commission in the true up order for FY 2024-25 has considered 50% of cost of connection as grant. Hence, Commission for the purpose of ARR also has considered 50% cost as grant receivable from Government in this ARR order. The Commission observed that Discoms are continuously releasing large number of Agriculture connections, therefore, Discoms should take up the matter for funding the 50% cost except consumer contribution from the State Government for FY 2026-27 also.

4.244 Further, the Discoms in the data gap reply filed the per connection cost of Rs. 292000, Rs. 261000 and Rs. 379000 with consumer contribution of Rs. 26050, Rs. 25000 and Rs. 39575 per consumer for JVVNL, AVVNL and JdVVNL respectively. Accordingly, the 50% grant works out to be Rs. 609.42 Crore, Rs. 590 Crore and Rs. 509.14 Crore for JVVNL, AVVNL and JdVVNL respectively.

4.245 The Commission has considered this amount as additional grant, Discoms may obtain this amount from the State Government.

4.246 The Commission in absence of detailed information has worked out the figure of grant on normative basis, in case of any discrepancy, Discoms may come up with actual figure of applicable grant and may request for recalculating the impact of grant during true up petition of respective year.

4.247 Based on the above, the approved interest and finance charges (with respect to the assets capitalized) approved for FY 2026-27 for the three Discoms have been summarized in the tables below:

Table 77 : Interest and Finance Charges approved by the Commission for FY 2026-27 **(Rs. in Crore)**

FY 2026-27				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Opening balance of LTL (A)	8180	5864	5091	19135
Capitalization (B)	4063	3875	4367	12306
Capital expenditure financed by Equity (C)	676	552	773	2001
Capital expenditure financed by Consumer Contribution and grants (D)	1810	2034	1789	5634

FY 2026-27				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Receipt of LTL for Capital expenditure E=(B-C-D)	1576	1289	1805	4670
Principal Repayment(F)	1001	803	780	2583
Closing balance of LTL, G=(A+E-F)	8756	6350	6116	21222
Average LTL, H=(A+G)/2	8468	6107	5603	20179
Average Interest rate of LTL (%)(I)	10.53%	10.69%	10.68%	
Interest Charges on LTL, J=(HXI)	892	653	598	2143
Interest on Security Deposit (K)	166	108	89	362
Finance Charges & Lease Rental (L)	278	214	319	811
Gross Interest Charges, M=(J+K+L)	1336	975	1007	3317
Interest Expenses Capitalized (N)	45	90	77	212
Total Interest & Financing Charges (O)	1291	885	930	3105
Unfunded Gap up to 2026-27 (P)	18358	10506	14849	43714
Interest on Carry Forward Revenue Gap, Q=(PXI)	1933	1123	1586	4642
Total Interest & Financing Charges after interest on carry forward Gap (O+Q)	**3224**	**2008**	**2515**	**7747**

4.248 The Commission vide ARR and Tariff order dated 03.10.2025 for FY 2025-26 has allowed recovery from Regulatory Surcharge to recover the Regulatory Assets accumulated over the previous years and has dealt the same in the tariff section of this order. The Commission has assessed the recovery from Regulatory surcharge of Rs. 3331 Cr. for JVVNL, Rs. 2477 Cr. for AVVNL and Rs. 2855 Cr. for JdVVNL and totalling to Rs. 8663 Cr. during the FY 2026-27.

4.249 The Commission vide order dated 03.10.2025 has also directed Discoms to account for the revenue from Regulatory Surcharge under separate account head and utilise this amount for payment of outstanding loans to reduce the interest burden which will ultimately reduce the cost of supply and benefit of the same shall be passed on to the consumers in future tariff.

4.250 In view of above, Discoms shall be saving in interest cost upon utilising the amount from recovery from Regulatory Surcharge for repayment of loans during the year 2026-27 and it will ultimately affect the interest on unfunded gap. Accordingly, the Commission has considered the saving in interest cost on average basis in the interest on unfunded gap as under:

Particulars	JVVNL	AVVNL	JdVVNL	Total
Likely saving in interest for FY 2026-27 due to recovery of Regulatory Assets	175	132	152	460

4.251 Accordingly, the Commission has worked out the interest on unfunded gap for the year 2026-27 as under :

Particulars	JVVNL	AVVNL	JdVVNL	Total
Net Interest & Finance Charges on Long Term Loans considered for ARR	1,758	991	1,433	4,182

Interest on Working Capital

Petitioners' Submission

4.252 Discoms estimated their working capital requirement for FY 2026-27 as per Regulation 26(1) (3) of the RERC Tariff Regulations, 2025 and the same has been tabulated below:

Table 78 : Interest on Working Capital for FY 2026-27 (Rs. in Crore)

Particulars	JVVNL	AVVNL	JdVVNL	Total
O&M expenses (as per norms)	211	158	174	544
Maintenance Spare (as per norms)	380	285	314	979
Receivables (as per norms)	3,718	2,774	2,982	9,474
Less: Security deposit of Consumers	2,454	1,597	1,318	5,369
Total Working Capital	1,855	1,620	2,152	5,627
Interest Rate (%)	12.25%	12.25%	12.25%	
Interest on Working Capital	227	198	264	689

4.253 Discoms submitted that they have considered rate of interest as per the average Base Rate (1 year MCLR) as on 01.04.2025 plus 325 basis points.

Commission's Analysis

4.254 The normative working capital requirement along with interest thereon has been calculated as per regulation 26(1)(3) of RERC Tariff Regulations, 2025, by the Commission as under:

a) Operation and Maintenance expenses for 30 days ; **plus**
b) Maintenance spares @15% of Operation & Maintenance expenses as per Regulation 81 of the RERC Tariff Regulations, 2025; **plus**
c) Receivables equivalent to 45 days of billing of consumers; **Less**

Amount held as security deposits from Distribution System Users (Open Access consumers) and retail supply consumers except the security deposits held in the form of Bank Guarantees.

The rate of interest on working capital as per RERC Tariff Regulations, 2025, shall be 325 basis points higher of one year marginal cost of funds based lending rate (MCLR) of the State Bank of India (SBI) as on 1st April of each of the financial year during the tariff period 2026-30. In view of above, the Commission has considered the 325 basis points higher of one year marginal cost of funds based lending rate (MCLR) as on 15.03.2026 as per latest available which works out to 11.95% for FY 2026-27.

4.255 Accordingly, the interest on working capital considered by the Commission is as under:

Table 79 : Interest on Working Capital approved by the Commission for FY 2026-27

(Rs. in Crore)

Description	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
O&M expenses (as per norms)	189	141	153	482
Maintenance Spare (as per norms)	339	254	275	868
Receivables (as per norms)	3672	2554	3214	9440
Less:				
Security deposit of Consumers	2454	1597	1318	5369
Total Working Capital	1746	1352	2324	5422
Interest Rate (%)	11.95%	11.95%	11.95%	
Interest on Working Capital	**209**	**162**	**278**	**648**

Depreciation

Petitioners' Submission

4.256 The Discoms have submitted that for computation of depreciation they have considered the specified rates as provided in the Regulation 22 of RERC (Terms and Condition for Determination of Tariff) Regulations, 2025 in Annexure-I based on Straight Line Method (SLM).

4.257 The depreciation has been determined by applying applicable depreciation rates on the average balance of opening and closing Gross Fixed Assets.

4.258 The Discoms have submitted the following Depreciation for FY 2026-27:

Table 80 : Depreciation for FY 2026-27 **(Rs. in Crore)**

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Depreciation	1956	1663	1796	5415

Commission's Analysis

4.259 Commission has considered depreciation based on the following consideration:

a) The closing balance of depreciable assets allowed in the above true up order for FY 2024-25 has been considered by the Commission as the opening balance for FY 2025-26.

b) The capitalization during the year, capital expenditure financed by consumer contribution & grants and depreciable assets added during FY 2025-26 has been considered as per order dated 03.10.2025 to arrive at the opening balance of FY 2026-27.

c) Commission has considered 80% of the amount proposed by the Discoms as capitalization and capital expenditure financed by consumer contribution & grants during FY 2026-27 respectively.

d) Depreciable assets for FY 2026-27 have been reduced by the amount of consumer contribution and capital grants projected for the year.

e) Average depreciation rate has been considered as per above true up order for FY 2024-25, in which average depreciation rate are approved at 4.36%, 4.42% and 4.43% for JVVNL, AVVNL and JdVVNL respectively.

Fixed Asset Register:

4.260 The issue of fixed assets register has been discussed in True up order for FY 2024-25. The Discoms are required to comply with Commission's directive in this regard. It is observed that JVVNL and JdVVNL have submitted FAR upto FY 2024-25, however, the AVVNL has not submitted the FAR upto 2024-25. The Commission observed that Discoms have not filed the information of voltage wise assets and reconciliation of the same with scheme wise capitalization. As per Discoms submission the FAR can further be prepared after implementation of ERP for which Commission has already withheld certain amount. In view of above, the Commission directs Discoms to prepare FAR as per provisions of Tariff Regulations. Discoms are also advised to place the updated Fixed Assets Register on their website.

4.261 Depreciation allowed by the Commission for each of the three Discoms have been tabulated below:

Table 81 : Depreciation allowed by the Commission for FY 2026-27 (Rs. in Crore)

Particulars	JVVNL	AVVNL	JdVVNL	TOTAL
Depreciable Assets at the beginning of the Year (A)	21835	17220	16295	55350
Capitalization during the year (B)	4063	3875	4367	12306
less: Consumer Contribution and Capital Grants during the year (C)	1810	2034	1789	5634
Depreciable Assets added during the Year D=(B-C)	2252	1841	2578	6671
Depreciable Assets at the end of the Year (E= (A+D))	24087	19061	18873	62021
Average Depreciable Assets during	22961	18140	17584	58685

the Year (F=(A+E)/2)				
Average Depreciation Rate (G)	4.36%	4.42%	4.43%	
Depreciation (FXG)	**1001**	**803**	**780**	**2583**

Return on Equity

Petitioners' Submission

4.262 Discoms submitted that as per Regulation 20 of Rajasthan Electricity Regulatory Commission (Terms and Conditions for Determination of Tariff) Regulations, 2025"

(1) Return on equity shall be computed in rupee terms, on the equity base determined in accordance with Regulation 19.

(2) Return on equity shall be computed at the rate of 14% for Transmission Licensees and SLDC, 15% for Generating Companies and 16% for Distribution Licensees".

4.263 Discoms submitted that considering the additional burden on the consumers, it is in the interest of stakeholders that return on equity should not be claimed and therefore, Discoms are not claiming Return on Equity.

Commission's Analysis

4.264 It is observed that Discoms have not claimed RoE on Equity base. Therefore, the Commission has not allowed Return on Equity for FY 2026-27.

Non-Tariff Income and Wheeling Charges

Petitioners' Submission

4.265 Discoms submitted that for FY 2026-27 the non-tariff income has been projected as per the norms in RERC (Terms and Conditions for Determination of Tariff) Regulations 2025.

4.266 Income from wheeling charges, cross subsidy surcharge and additional surcharge have been considered based on actuals of FY 2024-25, the same cost parameters have been projected for FY 2026-27. The non-tariff income and income from wheeling, cross subsidy and additional surcharge charges are summarised below:

Table 82 : Non-Tariff Income for FY 2026-27 (Rs. in Crore)

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Interest Income from FDR & SD	10	14	0	23
interest on loans and advances to staff	0	0	20	20
Interest income (others)	11	9	0	20
Incentives for timely payment	0	6	0	6
Rental and others	0	0	0	0

Particulars	JVVNL	AVVNL	JdVVNL	Total
Sale of Scrap	53	87	84	224
Gain on sale of stock	0	0	1	1
gain on sale of fixed assets	0	0	27	27
Miscellaneous Receipts	71	147	84	302
Delayed payment charges from consumers	0	134	0	134
Recoveries for theft of Power/ Malpractice	24	21	30	76
Meter Rent/Service Line Rental/transformer rent	32	19	25	76
Income from Testing Charges	14	0	3	16
Sale Of Tender Forms	2	0	6	7
Registration fees	1	0	1	2
Revenue from use of Poles	0	6	14	19
MIS Receipt on trading	0	0	2	2
income from RTI	0	0	0	0
Rebate discount availed	0	0	6	6
Miscellaneous charges from consumers	289	103	0	392
Total	**505**	**546**	**302**	**1353**

Income from wheeling charges, cross subsidy Surcharge and Additional Surcharge				
FY 2026-27				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Income from Wheeling Charges	5	2	3	10
Cross Subsidy Surcharge	1	0	-	1
Additional Surcharge	0	0	-	1
Total	**5**	**3**	**3**	**11**

Commission's Analysis

4.267 The Commission has considered the non-tariff income for FY 2025-26 excluding delayed payment surcharge as projected by AVVNL of Rs. 134 Crore.

4.268 Further the Commission has considered wheeling charges, Cross Subsidy Surcharge and additional Surcharge and other income as per Discoms' filing. However, actual income from these charges due to impact of this order shall be considered at the time of true up.

Table 83 : Non-Tariff Income for FY 2026-27 (Rs. in Crore)

Particulars	JVVNL	AVVNL	JdVVNL	Total
Non-Tariff Income	505	412	302	1220
Total	**505**	**412**	**302**	**1220**

Income from wheeling charges, cross subsidy Surcharge and Additional Surcharge				
FY 2026-27				
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Income from Wheeling Charges	5	2	3	10
Cross Subsidy Surcharge	1	0	-	1
Additional Surcharge	0	0	-	1
Total	**5**	**3**	**3**	**11**

Aggregate Revenue Requirement

Petitioners' Submission

4.269 The Annual Revenue Requirement for FY 2026-27 proposed by the three Discoms have been given in the table below:

Table 84 : Summary of ARR for FY 2026-27 – Discoms' submission (Rs. in Crore)

Sr. No	Particulars	FY 2026-27			
		JVVNL	AVVNL	JdVVNL	Total
		Submission	Submission	Submission	Submission
1	Power Purchase Expenses	20,066	14,464	18,123	52654
2	Transmission charges				
	PGCIL	858	618	775	2252
	RVPN &others	1,681	1,211	1,518	4410
	RLDC	2	1	2	5
	SLDC	11	8	10	29
3	Operation & Maintenance Expenses	2,536	1,897	2,091	6524
4	Terminal Benefits	1,596	818	1,326	3740
5	Interest and Finance Charges	1,367	1,042	1,664	4073
6	Interest on Working Capital	227	198	264	689
7	Interest of Regulatory assets	1,862	813	1,565	4240
8	Depreciation	1,956	1,663	1,796	5415
9	**Aggregate Revenue Requirement**	**32,161**	**22,736**	**29,133**	**84031**
10	Less: Non-Tariff Income	505	546	302	1353
11	Less: Income from wheeling charges	5	2	3	10
12	Less: Cross Subsidy Surcharge	0.52	0.09	-	0.61
13	Less: Additional Surcharge	0.21	0.31	-	0.53
14	**Net Aggregate Revenue Requirement from Retail Tariff**	**31,650**	**22,188**	**28,828**	**82666**

Commission's Approval

4.270 Commission has approved the ARR for FY 2026-27 based on the items of expenditure discussed in the preceding sections and the same has been summarized in the table below:

Table 85 : Summary of ARR for all the three Discoms for FY 2026-27– Approved by Commission **(Rs. in Crore)**

Sr. No.	Particulars	FY 2026-27			
		JVVNL	AVVNL	JdVVNL	Total
		Approved	Approved	Approved	Approved
1	Power Purchase Expenses	19,249	13,684	17,157	50089
2	**Transmission charges**				
	PGCIL	858	618	775	2252
	RVPN	1,649	1,189	1,490	4328
	RLDC	2	1	2	5
	SLDC	13	9	12	34
3	Operation & Maintenance Expenses	2,263	1,691	1,835	5788
4	Terminal Benefits	1,596	818	1,326	3740
5	Interest and Finance Charges	1,291	885	930	3105
6	Interest on Working Capital	209	162	278	648
7	Interest of Regulatory assets	1,758	991	1,433	4182
8	Depreciation	1,001	803	780	2583
9	**Aggregate Revenue Requirement**	**29,887**	**20,851**	**26,016**	**76754**
10	Less: Non-Tariff Income	505	412	302	1220
11	Less: Income from wheeling charges	5	2	3	10
12	Less: Cross Subsidy Surcharge	0.52	0.09	-	0.61
13	Less: Additional surcharge	0.21	0.31	-	0.53
14	**Net Aggregate Revenue Requirement from Retail Tariff**	**29,376**	**20,436**	**25,712**	**75524**

Revenue and Revenue Deficit based on Existing Tariff

Petitioners' Submission

Revenue on Existing Tariff

4.271 Discoms have projected the revenue based on energy sales forecasts for FY 2026-27 and the applicable retail tariff as per the RERC's Tariff Orders.

4.272 The revenue in FY 2026-27 from existing tariff as per Discoms' submission is as under:

Table 86 : Revenue from existing tariff for FY 2026-27 – Discoms' submission **(Rs. in Crore)**

FY 2026-27				
Particular	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Domestic	6909	5488	5544	17941
Non-Domestic	4085	2237	2361	8683
Public Street Light	157	97	101	356
Agriculture (Metered)	7590	5330	10174	23094

FY 2026-27				
Agriculture (Flat)	0	0	0	0
Small Industry	376	242	221	839
Medium Industry	1115	665	772	2551
Large Industry	8588	7130	3031	18749
Public Water Works (S)	287	382	313	982
Public Water Works (M)	47	33	95	175
Public Water Works (L)	428	368	705	1501
Mixed Load / Bulk Supply	122	126	434	682
EV	15	9	5	29
Railway traction	25	92	100	217
Total	**29745**	**22198**	**23856**	**75799**

FPPAS and Regulatory Surcharge

4.273 Discoms submitted for FY 2026-27, they have adopted approach based on the actual FPPAS observed during the first six months of FY 2025-26, which was approximately Rs. 0.11 per unit, the Discoms have projected the FPPAS for FY 2026-27 to be Rs. 0.14 per unit. This value represents half of the base FSA of Rs. 0.28 per unit for FY 2025-26.

4.274 The Discoms also submitted that this base FSA rate has been adopted considering the current downward trend in the actual FSA for the ongoing year, reflecting a conservative yet realistic assumption.

4.275 Accordingly, Discoms have projected recovery from Base FSA at the rate of Rs. 0.14/kWh and recovery from Regulatory Surcharge at Rs. 0.56 per unit for domestic consumers consuming up to 100 units, and Rs. 0.86 per unit for all other consumers and summarized in the table below:

Recovery from Base FSA

	FY 2026-27			
Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Rajasthan**
Base FSA (Rs. /kWh)	0.14	0.14	0.14	0.14
Sales (MU)	39,152	29,660	33,835	102,647
Revenue from Base FSA (Rs. Crore)	548	415	474	1437

Recovery from Regulatory Surcharge

Particulars	**Regulatory Surcharge excluding Base FPPAS at Existing Tariff submitted by Discoms**			
	JVVNL	**AVVNL**	**JdVVNL**	**Total**
Regulatory Surcharge from Domestic Consumption upto 100	133	168	137	438

Units				
Regulatory Surcharges from Other Consumers	3162	2292	2700	8155
Total Regulatory Surcharge excluding FPPAS	**3296**	**2461**	**2837**	**8593**

Revenue from Trading

4.276 During FY 2026-27 Discoms have projected revenue from trading of power through exchange of Rs. 49 Crore, Rs. 194 crore and Rs. 790 Crore for JVVNL, AVVNL and JdVVNL respectively.

Revenue from Parallel Operation Charge

4.277 During FY 2026-27 Discoms have projected revenue from Parallel operation charge of Rs. 10 Crore, Rs. 45 crore and Rs. 20 Crore for JVVNL, AVVNL and JdVVNL respectively.

Subvention and Subsidy

4.278 Discom submitted that the State Government used to provide subvention against ED and subsidy against compounding charges. However, going forward, no subvention against ED shall be provided by the State Govt. hence no such projections have been for same are included in the current petition.

4.279 Discoms have shown Subsidy against loss subsidy under FRBM scheme for FY 2026-27 as under:

Table 87 : Subvention and subsidy for FY 2026-27 (Rs. in Crore)

FY 2026-27				
Particular	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Loss Subsidy from GoR	0	0	2259	2259
Total	**0**	**0**	**2259**	**2259**

Revenue Surplus/Deficit at Existing Tariff

4.280 The revenue deficits submitted by Discoms for FY 2026-27 at the existing tariff have been provided in the table below:

Table 88 : Revenue Surplus/Deficit at existing tariff for FY 2026-27 (Rs. in Crore)

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
	FY 2026-27			
Net Aggregate Revenue Requirement (A)	31,650	22,188	28,828	82,666
Revenue from Existing tariff (B)	29,745	22,198	23,856	75,799

Revenue From Trading Income (C)	49	194	790	1,032
Base FSA (D)	548	415	474	1,437
Revenue from Parallel Operation Charge (E)	10	45	20	76
Subsidy from Appropriate Govt. (F)	0	0	0	0
Deficit including Carrying cost (B+C+D+E+F)-A	**(1,298)**	**664**	**(3,689)**	**(4,323)**
Loss Subsidy under FRBM Scheme	0	0	2,259	2,259
Net Surplus/(Gap) for the year	**(1,298)**	**664**	**(1,429)**	**(2,063)**
Revenue from Regulatory Surcharge	3296	2461	2837	8593
Net Surplus/(Gap) after Revenue from Regulatory Surcharge	**1998**	**3125**	**1407**	**6530**

Commission Analysis

Revenue

4.281 Commission has calculated the category wise revenue from existing tariff at tariff approved in order dated 03.10.2025 on the basis of consumer category wise energy sales (excluding DF sales) approved by the Commission in this order. The revenue from sale of power to DF has been computed separately. Further impact of ToD rebate, incremental consumption rebates and various other rebates have been considered which are subject to true up.

Base FSA and Regulatory Surcharge

4.282 It is observed that Discoms have filed revenue from Base FPPAS of Rs. of Rs. 1437 Crore @ 0.14/kWh for FY 2026-27. However, such revenue realization from base FPPAS is towards the likely additional cost on account of increase in exiting power purchase cost (fuel surcharge). Further base FPPAS will be converted in FPPAS only if their power purchase cost is more than what is estimated in the order. As such revenue accrued on this account will be set off only against the increase in Cost and will not result in any revenue surplus. As the approval of power purchase cost approved in current ARR will work as base cost for calculation of future FPPAS, therefore, the expenses and revenue on this account shall be examined by the Commission at the time of true up of respective year and as such Commission is not considering revenue from base FPPAS for the purpose of calculation of surplus in the ARR order of FY 2025-26. Further, as regards recovery from Regulatory Surcharge, the Commission has dealt the same later in this order.

Revenue from Trading

4.283 During FY 2026-27 Discoms have projected revenue from trading of power through exchange of Rs. 1032 Cr. The Commission has worked out surplus/shortfall in the power purchase while dealing with the power purchase cost. Accordingly, Commission has estimated that AVVNL and JdVVNL have surplus energy of 122 MUs and 1535 MUs amounting to Rs. 56 Cr. and Rs. 704 Cr. respectively. The Commission has considered the amount of Rs. 56 Cr. and Rs. 704 Cr. of surplus energy of AVVNL and JdVVNL as revenue from trading and considered the same while calculating approved Surplus/Deficit. However, as the JVVNL has shortfall of 294 MUs which will be purchased at estimated cost of Rs. 135 Cr. the same has been considered as part of cost of Power.

Revenue from Parallel Operation Charge

4.284 Discoms have projected revenue from Parallel operation charge of Rs. 10 Crore, Rs. 45 crore and Rs. 20 Crore for JVVNL, AVVNL and JdVVNL respectively. The Commission has considered the same as per Discoms' projection.

4.285 The estimated revenue at existing tariff for different consumer categories for all the three Discoms for FY 2026-27 have been summarized in the table below:

Table 89 : Revenue from Existing Tariff for FY 2026-27 Approved by the Commission (Rs. in Crore)

FY 2026-27				
Particular	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Domestic	6072	5170	5116	16358
Non-Domestic	3796	2073	2202	8071
Public Street Light	145	106	78	329
Agriculture (Metered)	7595	5336	10154	23085
Agriculture (Flat)	0	0	0	0
Small Industry	362	235	206	802
Medium Industry	1076	656	723	2455
Large Industry	8573	7170	3058	18800
Public Water Works (S)	288	405	312	1005
Public Water Works (M)	46	32	90	169
Public Water Works (L)	381	368	696	1446
Mixed Load / Bulk Supply	197	112	382	692
EV	14	7	3	24
Railway Traction	23	92	90	205
Total	**28568**	**21762**	**23111**	**73441**
add DF income	1418	452	756	2626

FY 2026-27				
Particular	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
less: Rebate*	420	332	137	889
Total	**29567**	**21883**	**23729**	**75179**

***Rebate: ToD rebate, incremental rebate etc.**

Subvention and Subsidy

4.286 Discoms submitted that GoR, as part of the FRBM scheme, has provided an undertaking to the GoI for taking over of future losses of the Discoms as per the following trajectory:

2022-2023	2023-2024	2024-2025	2025-2026 onwards
60% of the loss for the year 2021-22	75% of the loss for the year 2022-23	90% of the loss for the year 2023-24	100% of the loss for the year 2024-25 & onwards

4.287 As per methodology adopted for losses taken over in the previous ARR orders, the Commission considers lower of loss subsidy received/receivable or % of approved losses.

4.288 Since, the Discoms has not filed any revenue subsidy other than loss subsidy for FY 2026-27, the Commission has considered subvention and subsidy for FY 2026-27 as filed by Discoms. However, Discoms have shown gap in current year operation excluding recovery of Regulatory Surcharge which will be met from loss subsidy only as per FRBM Scheme. The amount of loss subsidy as considered by the Commission has been shown separately after working out Revenue Surplus/Deficit.

Revenue Surplus/Deficit at Existing Tariff

4.289 Considering the ARR and Revenue at existing tariff and subsidy & subvention as determined by the Commission, the revenue surplus/(Gap) for all the three Discoms for FY 2026-27 has been worked out as under:

Table 90 : Revenue Surplus/Deficit at existing tariff for FY 2026-27 Approved by the Commission (Rs. in Crore)

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
	FY 2026-27			
Net Aggregate Revenue Requirement (A)	29376	20,436	25,712	75,524
Revenue from Existing tariff (B)	29567	21,883	23,729	75,179
Revenue From Trading Income (C)	0	56	704	760
Revenue from Parallel Operation Charge (D)	10	45	20	**76**
Revenue Subsidy from Govt. (E)	0	0	0	**0**
Surplus /(Gap) D= (B+C+D+E-A)	**200**	**1,548**	**(1,258)**	**490**

Add: reduction in ARR on account of non-segregation of intra and interstate transmission losses	**10**	**10**	**10**	**30**
Surplus/(Gap)for the year before Loss subsidy	**210**	**1,558**	**(1,248)**	**520**
Revenue from Loss subsidy	**0**	**0**	**1,248**	**1,248**
Surplus/(Gap) after Loss Subsidy	**210**	**1,558**	**0**	**1,768**

Section- 5 Tariff Proposals and Approved Tariff

5.1 Tariff proposal for FY 2026-27

5.1.1 Discoms projected net ARR of Rs. 82666 Crore and net surplus of Rs. 6530 Crore after receipt of loss subsidy under FRBM at existing tariff for FY 2026-27 wherein they have projected recovery of Rs. 1437 Cr. as base FPPAS and Rs. 8593 Cr. as recovery from Regulatory Surcharge. Without considering base FPPAS and Regulatory Surcharge there would be revenue gap of Rs. 3500 Cr.

5.1.2 The Commission in section 4 has worked out ARR for the three Discoms wherein after considering distribution losses as per approved trajectory and considering other costs on normative basis, the Commission has determined the net ARR as Rs. 75524 Crore with a net surplus of Rs. 1768 Crore for all Discoms taken together at existing tariff after considering loss subsidy of Rs. 1248 Cr. for JdVVNL as there is 100% loss subsidy under FRBM scheme for FY 2026-27

5.1.3 The Commission would like to mention that as per True up section of this order for FY 2024-25 the combined unfunded gap up to FY 2024-25 is Rs. 49428 Cr. for all Discoms. The above unfunded gap has been adjusted by surplus of RVUNL of Rs. 283.80 Cr. and SLDC of Rs. 1.50 Cr allowed by the Commission in the true up for FY 2024-25. After adjusting this with approved estimated surplus of Rs. 2087 Cr. and recovery from Regulatory Surcharge of Rs. 3341 Cr. for FY 2025-26 as per order dated 03.10.2025 (considered with tariff applicable from 01.10.2025) unfunded gap at the end of FY 2025-26 would be Rs. 43714 Crore which is subject to true up of FY 2025-26.

5.1.4 For recovery of unfunded gap/regulatory assets, the Commission in last year tariff order dated 03.10.2025 approved levy of Regulatory Surcharge @ Rs. 0.70/unit from Domestic Consumers having consumption upto 100 units/month and @ Rs. 1.00/unit from other consumers. It has been repeatedly mentioned by the Commission that in future years the Commission will not create any additional Regulatory Assets as per guidelines of RDSS and various directions of MoP, APTEL and Supreme Court. The Commission has also made provisions for amortisation of Regulatory Assets in the Tariff Regulations, 2025. The Commission in this order has approved a combined surplus of Rs. 1768 Crore for 2026-27 at existing tariff.

5.1.5 As per this order and after considering impact of true up of FY 2024-25, the unfunded gap as on 31.03.2027 shall be Rs. 33298 Cr. after recovery of Regulatory surcharge for FY 2026-27 which has been dealt in foregoing paragraph.

5.1.6 Hence no new regulatory assets have been created in this order, rather the Commission has taken one step forward to further reduce the Regulatory Assets and the Commission vouch to amortize the unfunded gap as on 01.04.2024 of Rs. 49842 Cr. by 31.03.2031 as per order of the Hon'ble Supreme Court and expect Discoms to continue to keep good performance so as not to create any further losses.

5.1.7 The tariff has been determined for each category without considering any subsidy. The subsidy, if provided by the Govt., would result in reduced amount payable by consumer of such category. Further, the Government, if it provides subsidy, should pay such subsidy in advance as per RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025.

5.1.8 It is observed that Discoms have not filed any proposal for revision in tariff However, Discoms have proposed certain tariff rationalisation measures which are discussed hereunder.

5.1.9 There are other proposals in the petition of Discoms which require consideration of the Commission i.e. Green tariff, wheeling charges, Cross subsidy surcharge and Additional surcharge which are discussed after below mentioned tariff rationalisation measures.

Tariff Rationalisation Proposals

(i) Reduction in minimum energy charges for Medium Industrial Service (Schedule MP/HT-3)

5.1.10 The Discoms submitted that under Medium Industrial Service, the energy charges are presently fixed at Rs. 6.50 per unit. After accounting for all applicable rebates, the minimum energy charge for HT-3 category consumers works out to Rs. 6.30 per kWh.

5.1.11 Discoms proposed to revise the minimum effective energy charge for MIP (HT-3) consumers to Rs. 6.00 per unit after all rebates, while keeping the base energy charge rate unchanged at Rs. 6.50 per unit. This adjustment aims to provide relief and more competitive rates for medium industries. The revision aims to enhance affordability, support industrial growth in Rajasthan, and aligns with market conditions and cost-of-supply trends while maintaining Discoms' financial viability

5.1.12 In reply to data gaps, Discoms have submitted that there would be impact of Rs. 24 Cr. for JVVNL, Rs. 22 Cr. for AVVNL and 8 Cr. JdVVNL.

Commission's View

5.1.13 The Commission observes that the base energy charge remains unchanged. The proposal merely rationalizes the minimum effective charge after rebates, enabling intended rebate mechanisms to operate meaningfully. The measure supports industrial competitiveness in the State, which is consistent with the broader objectives of the National Tariff Policy and the State's industrial development policy.

5.1.14 The Commission also observes that above adjustment aims to provide relief and more competitive rates to medium industrial consumers, thereby incentivizing industrial growth, enhancing affordability, and supporting economic development in the state. As the above proposal is in the interest of industrial growth, enhancing affordability, and supporting economic development in the state, the Commission has approves the above proposal.

5.1.15 The Commission observes that in reply to data gaps, Discoms have submitted that there would be impact of Rs. 24 Cr. for JVVNL, Rs. 22 Cr. for AVVNL and 8 Cr. JdVVNL totaling to Rs. 54 Cr. As the amount of rebate cannot be quantified based on the available data and may vary from consumer to consumer, the Commission estimates the same as 50 % of above for the purpose of this order. Accordingly, the Commission approves rebate of Rs. 12 Cr., 11 Cr. and of Rs. 4 Cr. for JVVNL, AVVNL and JdVVNL respectively. The Commission also considers it appropriate to note that the aggregate impact of Rs. 27 Crore is limited in the context of the overall Annual Revenue Requirement (ARR) of the Rajasthan Discoms. The financial impact is therefore not material enough to adversely affect the operational sustainability of the Discoms, particularly considering improved consumption levels and retention of industrial consumers. Accordingly, the Commission accepts the proposal of the Discoms. However, the actual impact will be seen at the time of true up.

(ii) Removal of Time-of-Day (ToD) Tariff for Public Street Lighting (PSL) Category

5.1.16 The Discoms proposed to remove the application of Time-of-Day (ToD) tariff for the Public Street Lighting (PSL) consumer category as Public street lighting installations primarily operate during evening and early night hours, typically from sunset until midnight or early morning and cannot shift load to off-peak periods which is the core intent of ToD tariffs. Hence these consumers neither benefit from the lower tariff applicable during solar hours nor can avoid peak-hour surcharges making ToD application inequitable.

5.1.17 The Discoms also submitted that PSL consumers have a load pattern that does not leave any scope for shifting to off-peak times, which essentially is the very basic purpose for implementation of ToD tariff regime. PSL consumers cannot benefit from the lower tariff applicable during solar hours. They are disproportionately impacted by the surcharge applicable during peak hours, as their operational schedule coincides with evening peak periods. This results in an inequitable application of ToD tariffs for PSL consumers, as the mechanism was designed to incentivize load shifting and promote energy efficiency for consumers with flexible consumption patterns the conditions that do not apply to street lighting.

5.1.18 The Discoms also submitted that The MoP guidelines emphasize rational tariff design that reflects consumer usage patterns and promotes fairness. ToD tariffs are primarily intended for categories where consumers can adjust their load to off-peak hours, thereby aiding demand-side management. Since PSL consumers cannot shift their loads due to public safety requirement and have fixed operational schedule aligned with sunset, hence applying ToD tariffs to PSL does not serve the intended purpose of demand management and instead imposes an undue financial burden on municipal bodies.

5.1.19 Discoms in reply to data gaps also submitted the financial impact of Rs. of Rs. 46 Cr. for JVVNL, Rs. 26 Cr. for AVVNL, Rs. 22 Cr. for JdVVNL totaling to Rs. 94 Cr.

Commission's View

5.1.20 The Discoms have proposed to remove the application of Time-of-Day (ToD) tariff for the Public Street Lighting (PSL) consumer category as Public Street lighting installations primarily operate during evening and early night hours, typically from sunset until midnight or early morning and cannot shift load to off-peak periods which is the core intent of ToD tariffs.

5.1.21 The Discoms also submitted that PSL consumers have a load pattern that does not leave any scope for shifting to off-peak times, which essentially is the very basic purpose for implementation of ToD tariff regime and also cannot benefit from the lower tariff applicable during solar hours. Therefore, PSL consumers are disproportionately impacted by the surcharge applicable during peak hours, as their operational schedule coincides with evening peak periods.

5.1.22 The Commission observes that the purpose of introduction of ToD tariff is to balance the load curve and ideally the ToD tariff should be revenue neutral. The Commission also observes that the application of ToD tariff to Public Street Lighting consumers does not serve the intended objective of demand-side management. As the PSL category consumers primarily operate during evening and early night hours and are not able to shift load to off-peak periods and PSL loads are non-flexible, predictable, and essential for public safety. Therefore, the Commission approves the Discoms' proposal of removal of ToD tariff for PSL category.

5.1.23 The Commission observes that in reply to data gaps, Discoms have submitted that there would be an impact of Rs. 46 Cr. for JVVNL, Rs. 26 Cr. for AVVNL and 22 Cr. JdVVNL totaling to Rs. 94 Cr. However, the Commission has worked out the impact of removal of ToD tariff on PSL consumers based on the approved energy sale, approved energy charges and approved ToD tariff. Accordingly, the Commission has considered impact of removal of ToD tariff on PSL consumers as Rs. 5 Cr., 3 Cr. and of Rs. 2 Cr. for JVVNL, AVVNL and JdVVNL respectively.

5.1.24 However, the actual impact will be seen at the time of true up.

(iii) Introduction of Single-Part Tariff for Electric Vehicle (EV) Charging Stations:

5.1.25 Discoms submitted that Ministry of Power issued the Guidelines for Installation and Operation of EV Charging Infrastructure 2024 on 17.09.2024. Clause 9 of above Guidelines mandates a single-part tariff for EV charging stations, capped at the Average Cost of Supply (ACoS) till 31.03.2028.The Distribution Licensee will charge 0.7 times the Average Cost of Supply (ACoS) during solar hours (9:00 AM to 4:00 PM) and 1.3 times ACoS during nonsolar hours (remaining hours of the day). To align with these guidelines and to promote the setting up of EV charging infrastructure in Rajasthan, the Discoms have proposed that the existing tariff for EV Charging Stations be modified to single-part tariff.

5.1.26 Discoms in their petitions have submitted that there would be impact of Rs. 4 Cr. for JVVNL, Rs. 4 Cr. for AVVNL and 2 Cr. JdVVNL.

Commission's View

5.1.27 The Commission observes that the Discoms have proposed for Introduction of Single-Part Tariff for Electric Vehicle (EV) Charging Stations in compliance of guidelines issued by the Ministry of Power on dated 17.09.2024 for Installation and Operation of EV Charging Infrastructure. Clause 9 of above Guidelines mandates a single-part tariff for EV charging stations, capped at the Average Cost of Supply (ACoS) till 31.03.2028.

5.1.28 In reply to data gaps, Discoms submitted that Rajasthan is actively promoting electric vehicles under its EV-friendly policies, imposing higher tariffs would contradict the state's efforts and make the steps taken to encourage EV adoption redundant. The existing tariff regime has been designed to support affordability and sustainability for consumers.

5.1.29 In reply to data gaps in respect of charging of rate @ 0.7 times the Average Cost of Supply (ACoS) during solar hours (9:00 AM to 4:00 PM) and 1.3 times the ACoS during nonsolar hours (remaining hours of the day), Discoms submitted that the projected Average Cost of Supply (ACoS) for FY 2026-27 is Rs. 8.08/unit, while the approved ACoS as per the Tariff Order for FY 2025-26 is Rs. 7.88/unit. Discoms also submitted that charging 0.7 times ACoS during solar hours (9:00 AM to 4:00 PM) and 1.3 times ACoS during non-solar hours would result in a significantly higher tariff compared to the existing structure hence, they would evaluate the proposal and propose adjustments in accordance with MoP guidelines.

5.1.30 The Commission observes that the above proposal is to promote the Electric Vehicle in accordance with the guidelines issued by the Ministry of Power and EV friendly policies of the Government of Rajasthan. With a view to promote EV charging stations, the Commission accepts the proposal of Discoms for now and directs Discoms to eventually move towards the tariff design as per MoP Guidelines in future years.

5.1.31 The Commission also observes that the Discoms in the petition provided the revenue from tariff after tariff rationalization of Single-Part Tariff for Electric Vehicle (EV) Charging Stations with an impact of Rs. 10 Cr. for all the three Discoms. However, the Commission has worked out the revenue as per as per approved energy sale which are Rs. 3 Cr., Rs. 2 Cr. and Rs. 1 Cr. for JVVNL, AVVNL and JdVVNL and appropriately considered the same.

(iv) Proposal for Amendment to Definition 17 of Tariff for Supply of Electricity – 2024

5.1.32 Discoms submitted that existing Definition 17 of Tariff for Supply of Electricity currently states as under:

> *"Changeover from LT to HT supply shall be effected if the Maximum Demand, as recorded by the MDI, exceeds 50 kVA more than two times in a financial year. The consumer, in such a case, shall be required to take supply at 11 kV within a period of two months from the date of notice issued by the concerned Assistant Engineer after the Maximum Demand has exceeded for the third time in a financial year. Failure to comply shall result in disconnection of the consumer's connection."*

The Discoms proposed to amend Definition 17 of the Tariff for Supply of Electricity by replacing the phrase "more than two times" with "three times." as under:

"-----Changeover from LT to HT supply shall be effected if the Maximum Demand, as recorded by the MDI, exceeds 50 kVA three times in a financial year---------."

The Discoms also submitted that the current wording is ambiguous because it mentions "more than two times" while requiring action after the third occurrence which is inconsistent of the requirement as per Clause 4.8(b) of the TCOS–2021.which is as under:

"The recorded monthly maximum demand, if it exceeds the threshold maximum demand of a particular supply voltage as mentioned in Table 4.1 by more than 5%, three times in the same financial year, shall attract changeover."

To maintain consistency and clarity between the Tariff provisions and TCOS, the phrase "more than two times" should be replaced with "three times." This amendment will harmonize both documents and eliminate interpretational issues.

Commission's View

5.1.33 The commission observed that the Discoms have proposed to amend the definition of the Tariff for Supply of Electricity to remove the ambiguity in the definition and also to align with the provision of the TCOS. Therefore, the Commission approves the proposed amendment and allows Discoms to make necessary amendment in the above definition in the Tariff for Supply of Electricity to align the same with TCOS.

(v) Merging of Slabs in Non-domestic category for consumers with load up to 5 kW

The Discoms submitted that the current Non-Domestic (NDS) tariff structure is complex and may lead to operational difficulties and consumer confusion. To enhance transparency, ease of understanding and equitable tariff application to simplify tariff application, Discoms have proposed to merge Non-Domestic consumption slabs up to 200 units into a single slab. Accordingly, for NDS consumers with sanctioned load up to 5 kW, the Discoms have proposed a revised unified tariff structure as under:

<table>
<tr><th colspan="3">Existing Tariff</th><th colspan="3">Proposed Tariff</th></tr>
<tr><th>Particulars</th><th>Energy Charges</th><th>Fixed Charges</th><th>Particulars</th><th>Energy Charges</th><th>Fixed Charges</th></tr>
<tr><td colspan="3">NDS up to 5 kW of SCL (Type 1) Consumption up to 100 units / month</td><td colspan="3">NDS up to 5 kW of SCL (Type 1) Consumption up to 200 units / month</td></tr>
<tr><td>Entire Consumption up to 100 units / month</td><td>Rs. 7.00 / unit</td><td>Rs. 350 per connection / month</td><td rowspan="2">Consumption up to first 100 units/month</td><td rowspan="2">Rs. 7.00 / unit</td><td rowspan="4">Rs. 350 / connection / month</td></tr>
<tr><td colspan="3">NDS up to 5 kW of SCL (Type 2) Consumption up to 200 units per month</td></tr>
<tr><td>Consumption up to first 100 units /month</td><td>Rs. 7.00 / unit</td><td rowspan="2">Rs. 350 per connection / month</td><td rowspan="2">Consumption above 100 units and up to 200 unit / month</td><td rowspan="2">Rs. 8.50 / unit</td></tr>
<tr><td>Consumption above 100 Units and up to 200 Units / Month</td><td>Rs. 8.50 / unit</td></tr>
</table>

Commission's View

5.1.34 The Commission observes that the Discoms submitted the proposal to merge Non-Domestic consumption slabs up to 200 units into a single slab in NDS tariff structure with sanctioned load up to 5 kW to enhance transparency and simplification of tariff application. As there is no change in the effective tariff and there is no impact on consumer, the proposal is only to enhance transparency and simplifying the tariff application, the Commission approves the above proposal.

(vi) Reintroduction of Capping Limit on Fixed Charges for Public Street Light Category:

5.1.35 The Discoms submitted that as per the review of the existing tariff structure of the Tariff Order for FY 2025–26, the recovery of fixed charges under the Public Street Light (PSL) category has been observed to be exorbitantly high. This situation may adversely impact the PSL consumers, particularly municipal bodies and local authorities responsible for public lighting. Such consumers have multiple lamp points associated with a service connection. Presently, the fixed charges for such consumers are computed on per lamp point basis.

5.1.36 The Discoms submitted that In order to mitigate this impact and to ensure affordability, Discoms have proposed to reintroduce a capping limit on the fixed charges per service connection for the PSL category. This measure is intended to promote financial sustainability for municipal bodies, thereby supporting public welfare objectives without compromising Discom revenue requirements. The proposed Tariff structure for PSL Category existing and proposed are as under:

Existing Tariff			**Approved Tariff**		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
Population <1 Lakh	Rs. 7.00/ unit	Rs. 150/ Lamp point / month	Population <1 Lakh	Rs. 7.00/ unit	Rs 150/ lamp point/month subject to maximum of Rs. 3000 / service connection / month
Population = >1 Lakh	Rs. 7.50/ unit	Rs. 200/ Lamp point /month	Population = >1 Lakh	Rs. 7.50/ unit	Rs 200/ lamp point/month subject to maximum of Rs. 8000 /service connection /month

5.1.37 The Discoms In reply to data gaps, also submitted that there would be an financial impact of Rs. 50 Cr. for JVVNL, Rs. 36 Cr. for AVVNL, Rs. 41 Cr. for JdVVNL.

Commission's View

5.1.38 The Commission observes that during the tariff proposal for FY 2025-26 the Discoms had not proposed the capping limit for fixed charges based on per service connection and accordingly the Commission allowed the tariff while issuing ARR and Tariff order for FY 2025-26. Now, Discoms submitted that recovery of existing fixed charges have become very high and this situation may adversely impact the PSL consumers, particularly municipal bodies and local authorities responsible for public lighting as such consumers have multiple lamp points associated with a service connection and the fixed charges for such consumers are computed on per lamp point basis.

5.1.39 As this measure supports public welfare objectives without compromising Discom revenue requirements. The Commission also observes that prior to last tariff order there was always a capping provision which indicates that such a mechanism was considered appropriate and prudent in past tariff determinations. The current uncapped structure has led to disproportionate financial burden in certain cases and may escalate the average billing rate for PSL to unreasonable level as historically there has always been a cap in term of number of lamp.

5.1.40 Therefore, the Commission accepts the proposal of the Discoms to reintroduce a capping limit on the fixed charges per service connection for the PSL category as per submission of the Discoms.

5.1.41 The Commission observes that in reply to data gaps, Discoms submitted that there would be an impact of Rs. 50 Cr. for JVVNL, Rs. 36 Cr. for AVVNL, Rs. 41 Cr. for JdVVNL. To assess the fixed charges, the Commission in last ARR and Tariff order dated 03.10.2025 had assessed 15 lamp points per connection in rural area and 30 lamp points per connection in urban area and assessed the fixed charges considering these. However, Discoms in this petition have proposed for maximum ceiling of Rs. 3000 for below 1 lakh consumers and Rs. 8000 for population equal to and more than 1 lakh population which will lead to higher assessment. Accordingly, Commission has considered the revenue from fixed charges from PSL category based on the proposal of Discoms.

Other Proposals

5.2 Proposal for Green Power Tariff

5.2.1 The Discoms submitted that the Commission in last tariff order dated 03.10.2025 for FY 2025-26 has approved Green Power of Rs. 0.05/kWh, which is over and above the normal tariff of the respective category as per tariff order to be levied to the consumers opting for meeting their demand of green energy. The Green Power is based on calculation of various parameters.

5.2.2 Discoms submitted that Green Power Tariff to be levied over and above the normal tariff of a particular category, Hon'ble Commission had determined the incremental cost of renewable energy over the variable cost of conventional power. The same was then fixed at 50% of the incremental cost so determined.

5.2.3 Discoms also submitted that they are aggressively pushing towards the capacity addition of solar power at low tariff. The planned capacity addition has led to the ideal scenario wherein the cost of renewable power has reduced and is at par or lower than the variable cost of conventional power.

5.2.4 Discoms submitted the projections the cost of renewable power and variable cost of conventional power as under:

Table 91 : Cost of renewable power and variable cost of conventional power submitted by the Discoms

Particulars	**Energy (MU)**	**Amount (Rs. Cr.)**	**(Rs/kWh)**
Wind	8,606	3,757	4.37
Hydel	10,224	2,299	2.25
Others	26,388	8,429	3.19
Total renewable sources	45,218	14,486	3.20
Conventional Sources	79,352	27,219	3.43

5.2.5 As the planned additional solar capacity has reduced the cost of renewable energy. In such a scenario the Discom proposes not charging any premium on the consumers, opting for Green Power from the Discoms. The Green power shall be provided at the same rate as applicable for a particular category.

Commission's View

5.2.6 Commission observes that RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) (First Amendment) Regulations, 2023 provide as under;

"94A. Green Energy Tariff
(1) Any consumer may elect to purchase green energy either up to a certain percentage of the consumption or its entire consumption and they may place a requisition for this with their distribution licensee, which shall procure such quantity of green energy and supply it and the consumer shall have the flexibility to give separate requisition for solar and non-solar;
(2) The consumer may purchase on a voluntary basis, more renewable energy, than he is obligated to do and for ease of implementation, this may be in steps of Twenty- five per cent and going up to Hundred per cent;

(3) The tariff for the green energy shall be determined separately by the Commission through a separate order, considering various cost components of the Distribution Licensee;
(4) Any requisition for green energy from a distribution licensee shall be for a minimum period of one year;
(5) The quantum of green energy shall be pre-specified for at least one year;
(6) The green energy purchased from distribution licensee or from Renewable Energy sources other than distribution licensee in excess of Renewable Purchase Obligation of obligated entity shall be counted towards Renewable Purchase Obligation compliance of the distribution licensee;
(7) The Accounting of renewable energy supplied at distribution licensee level shall be on a monthly basis.

5.2.7 In view of above, in addition to the normal retail tariff, the Commission is also required to determine the tariff for supply of green energy (in place of normal mix energy) for the consumers opting for same under aforesaid Regulation 94A of RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) (First Amendment) Regulations, 2023.

5.2.8 In order to formulate the methodology for determination of green power tariff, Commission has also examined the methodologies being followed by the other State Commissions.

5.2.9 Some of the other State Commissions i.e. MERC, MPERC, UPERC and Telangana and Punjab are already determining the Green energy Tariff for certain category of consumers based mainly on the following methodology;

i) The amount of energy consumed by consumer remains the same and only source of such energy is considered to be 100% RE. Thus quantum of energy flow remains unchanged. However, since the Distribution Licensees would have to incur additional expenses for arranging RE for such consumers, the same need to be recovered from them without burdening other consumers.
ii) As such, consumers who opt for Green Energy should bear the additional power purchase cost of Renewable Energy sources over and above the normal tariff approved for such consumers.
iii) However, no separate administrative cost is considered as Distribution licensee, it has to undertake power purchase irrespective of consumer opting for 100% of RE power or otherwise.
iv) Accordingly, the Green Power Tariff is worked out as the difference between pooled power purchase cost of non-conventional and conventional sources of energy (only variable cost) in the State.
v) Also, as the distribution licensee would be able to use such power consumed by consumers towards fulfillment of its RPO target, certain benefit of the same needs to be passed on to concerned consumers. Hence, the levy shall be only 50% of charge determined as Green Power Tariff.

5.2.10 The Commission in last tariff order has followed the above methodology, based on above and considering the power purchase cost approved for FY 2026-27, the Green Energy tariff for FY 2026-27, for consumers opting for same under the RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) (First Amendment) Regulations, 2023 and Electricity (Promoting Renewable Energy through Green Energy Open Access) Rules, 2022, works out as under:

Table 92 : Green energy tariff approved by the Commission

	RE Power Purchase			**Conventional**	
Particular	**MU**	**Rs in Crore (fixed +variable)**	**RE Power (Rs/kWh) (A)**	**Variable cost of Conventional Sources (Rs/kWh) (B)**	**Difference (A-B)**
Wind	7535	3288			
Hydel	10101	2468			
Others	27855	9142			
	45490	**14898**	**3.27**	**3.15**	**0.12**
50% of Difference (Rs/kWh)					**0.06**

5.2.11 The Commission in last tariff order has approved green tariff of Rs. 0.05/KWh over and above the normal tariff. As per above methodology the Green tariff for FY 2026-27 comes to Rs. 0.06/KWh. However, with a view to promote adoption of Green Tariff and give benefit to consumers, the Commission considered it appropriate not to increase the rate of green tariff and keep it at the level of last year. Accordingly, the Commission approves green tariff of Rs. 0.05/KWh, which shall be provided over and above the normal tariff of the respective category subject to overall availability of the Discoms.

5.3 Proposal for Approval of tariff for dual source supply

5.3.1 Discoms vide additional submission dated 23.01.2026 (JVVNL & AVVNL) and 24.01.2026 (JdVVNL) submitted that they had filed petition to seek formal approval for allowing dual source supply to PHED (Public Health Engineering Department) and other HT/EHT category consumers, including data centers and essential service providers.

5.3.2 Discoms further submitted that the Commission issued the order on the said petition on dated 21.01.2026 and approved the proposal. The relevant para of the order are as detailed below:

"31. Accordingly, after due consideration of the Petitioners" submissions, stakeholder comment and the reply of the Discoms, the Commission orders as under:

(i) The following definition shall be added in Tariff for Supply of Electricity, 2025:- "Dual source of supply": Electricity supply given from two sources with simultaneous / standby use of electricity from both sources."

(ii) In all HT and EHT tariff schedules of the Tariff, the following Note shall be added:- "Note: Consumer availing dual source of supply either with simultaneous/standby use shall be charged double the fixed charges applicable to the relevant category of tariff."

5.3.3 Discoms also submitted that approval of tariff for dual source supply with related amendments/provisions as indicated in above para has been granted for Tariff for Supply of Electricity, 2025. Hence Discoms requested the Commission to consider the approval of dual source supply granted via above mentioned order along with related provisions for Tariff for Supply of Electricity for FY 2026-27 also.

Commission's view

5.3.4 The Commission observed that Discoms vide petition No. 2365/2025 filed petition for approval of dual source supply to HT/EHT consumers, including PHED and other essential service categories. The Commission after following due procedures issued order in the said petition vide its order dated 21.01.2026 and approved the proposal for dual source supply.

5.3.5 The Discoms vide additional submission dated 23.01.2026 requested the Commission for approval of the dual source supply with related provision as approved in petition No. 2365/2025 for Tariff for Supply of Electricity for FY 2026-27 also. As the Commission has already approved the tariff for above dual source supply for Tariff for Supply of Electricity for FY 2025-26, hence commission has considered appropriate to allow the above tariff for FY 2026-27 also and allows Discoms to make appropriate provision in the tariff for supply of Electricity for FY 2026-27.

5.4 Wheeling Charges

5.4.1 The Discoms have projected the wheeling charges as per the Regulation 85 of RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025 estimated voltage- wise losses and the projected ARR for FY 2026-27 in line with the RERC regulations.

5.4.2 Discoms submitted that wheeling charges for open access consumers have been computed based on the following assumptions. Further, post hearing Discoms have also resubmitted the calculation of wheeling charges.

Basis for Apportionment of network costs & losses at each voltage

i. Apportionment at 132 KV Level: As per the provisions under Regulation 85 (4), the wheeling charges so worked out shall be apportioned supply voltage wise on the basis of fixed asset at each voltage level. The Discoms have submitted that at present they do not have any fixed assets at 132 KV Voltage level, however, the Discoms help the open access consumers in installation of lines & poles and claim fee on account of customer service cost (mainly costs associated with metering, billing and collection at this voltage).

   The Discoms also submitted that although the cost associated with metering, billing and collection at 132 KV level has increased but the Discoms do not propose any change in the wheeling charges at 132 kV level of Rs. 0.01/kWh at 132 KV level as the cost of providing customer service to 132 KV level consumers.

   Discoms submitted that practically there is no apportionment of gross fixed assets at 132 KV level as the assets attributable to supply at 132 KV level include transformers (220/132 KV) and lines (132 KV). The transformers belong to RVPN and are considered in transmission charges. The Discoms submitted that there are minor system losses at 132 KV level. The procurement of power happens at the periphery of Discom (i.e. GSSs of RVPN). Therefore, transmission charges & losses - whether inter-state or intra-state, have already been considered in determining cost of power purchase in the ARR and tariff petition and accordingly, distribution losses at 132 KV are considered as nil.

ii. Apportionment at 33 KV, 11 KV and LT Level: The cost of wheeling has been apportioned voltage wise on the basis of the length of network lines and transformation capacity for voltage wise segregation of GFA. Similar methodology is followed by other SERCs like MPERC, PSERC, etc.

5.4.3 Further, Discoms submitted that RERC in its Order dated 19th September 2006 has also considered the voltage-wise length of lines and transformation assets as basis for apportionment of wheeling cost at all voltages. The relevant extract of the above-mentioned Order has been summarized below:

"As current cost was to form only the basis of inter-se allocation of operating cost of distribution system among 33 KV, 11 KV & LT distribution systems, current cost of lines and substations, based on that of AVVNL, have been considered for the voltage wise line length plus substation of each Discom. Accordingly, percentile allocation of 33 KV, 11 KV & LT system, worked out as 11.81%, 53.14% and 35.04% has been considered."

Discoms submitted that to even out any difference due to geography and pace of development, the operational cost and sales for all Discoms has been considered together for apportionment at each voltage. This is in line with the methodology adopted by the Commission in Order dated 19 September 2006. The relevant extract of the above-mentioned Order has been summarized below:

"Distribution system of three Vitran Nigam differs due to geographical conditions and pace of development. The present proportion may get altered in later years. Further, as apportionment is based on assumptions that may reflect the realistic values, so considering them separately for each Discoms may not be appropriate. Considering operational cost and sales for three Discoms together in determining wheeling charges, will even out differences."

5.4.4 The Discoms have submitted the following assumptions to segregate the assets into voltage levels as shown below:

a. Network Statistics as on 31st March 2025 has been considered as the basis for segregation of assets and losses. 33 KV lines have been considered to constitute the assets at 33 KV level, both 11 KV lines and transformation capacity at 33/11 KV have been considered to constitute the assets at 11 KV level and both LT lines and transformation capacity at 11/0.4 KV have been considered to constitute the assets at LT level. These voltage-wise network statistics as on 31 March 2025 have been summarized in following tables.

Table 93 : Network Length in KM

S. No.	Lines at Voltage Level (KV)	JVVNL	AVVNL	JdVVNL	Total
1	132	-	-	-	**-**
2	33	17,432	17,389	26,412	**61,233**
3	11	210,539	195,291	309,604	**715,434**
4	LT	175,660	216,228	193,760	**585,648**
Total		**403,631**	**428,908**	**529,776**	**1,362,315**

Table 94 : Network Transformation Capacity in MVA

S. No	Transformation Capacity at Voltage Level (KV)	JVVNL	AVVNL	JdVVNL	Total
1	33/11	15,815	11,796	14,499	**42,111**
2	11/0.4	21,789	20,538	21,372	**63,699**

b. The existing distribution network of Rajasthan is a mixture of old and new assets. Also, the Discoms updated fixed asset register upto 31st March 2025 for these assets, owing to which the present cost of these assets cannot be ascertained. Therefore, the Discoms have apportioned the Gross Fixed Asset as on 31 March

2025 in proportion to the cost of voltage wise distribution lines and transformation capacity as determined through cost estimates from Store Rates issued on 1st April 2025.

c. Estimated cost of single circuit dog conductor having span of 66 meters with 9 meter PCC pole line and single circuit weasel conductor having span of 66 meters with 8 meter PCC pole line has been considered for reckoning the average line cost of 33 KV lines and 11 KV lines respectively.

d. Similarly, the estimated cost of three phase aerial bunch conductor line, for the supply of industrial connection, having span of 40 meter with 8 meter PCC pole line, has been considered for computation of average cost of LT lines.

Table 95 : Average cost of lines

S.No.	Voltage Level (kV)	Per Unit Cost (Lakh Rs./Km)
1	33	11.36
2	11	4.23
3	LT	3.08

e. Transformation cost of 33/11 KV substation has been determined by averaging the estimated cost of 3.15 MVA substation of all the three Discoms, calculated based on the Store Rates issued on the 1st April, 2025. The Discoms also submitted the transformation cost of 11/0.4 KV Substation as under:

Table 96 : Average transformation cost on substation

S.No.	Transformation Capacity (MVA)	Per Unit Cost (Lakh Rs./MVA)
1	33/11 KV	50.33
2	11/0.4 KV	80.13

f. On the basis of network statistics and average cost as mentioned above, the estimated voltage-wise network cost for Rajasthan Discoms is shown below:

Table 97 : Voltage-wise Infrastructure network cost **(in Rs lakh)**

S No	Line at voltage Level (KV)	JVVNL	AVVNL	JdVVNL	Total
1	132	-	-	-	-
2	33	198,044	197,558	300,064	**695,666**
3	11	891,125	826,584	1,310,427	**3,028,136**
4	LT	541,888	667,033	597,723	**1,806,645**

g. The cost of transformation capacity for three Discoms is summarized as under:

Table 98 : Infrastructure transformation capacity cost (in Rs. lakh)

S. No.	Transformation Capacity at Voltage Level (KV)	JVVNL	AVVNL	JdVVNL	Total
1	33/11	795,938	593,703	729,736	**2,119,378**
2	11/0.4	1,745,887	1,645,615	1,712,414	**5,103,916**

h. The Discom-wise total infrastructure cost derived on the basis of the above data is as under:

Table 99 : Total infrastructure cost derived (in Rs. lakh)

S. No	Network at Voltage Level	JVVNL	AVVNL	JdVVNL	Total
1	132 KV Line Only	-	-	-	**-**
2	33 KV Lines Only	198,044	197,558	300,064	**695,666**
3	11 KV Lines and 33/11 KV S/S	1,687,063	1,420,288	2,040,163	**5,147,513**
4	LT Lines and 11/0.4 KV S/S	2,287,775	2,312,648	2,310,137	**6,910,560**
Total (As per GFA)		**4,172,883**	**3,930,494**	**4,650,363**	**12,753,740**

i. The above apportionment of estimated cost at each voltage level is being determined to apportion the approved value of depreciable gross fixed assets (as on 31st March 2027) as submitted in the ARR and Tariff petition for FY 2026-27. This voltage wise break-up of fixed assets along with the network usage is worked out to calculate the wheeling charges at 33 KV, 11 KV and LT level.

Table 100 : Apportionment of original cost of Fixed Assets (in Rs. lakh)

S.No.	Network at Voltage Level	JVVNL	AVVNL	JdVVNL	Total
1	132 kV	-	-	-	-
2	33 kV	1,903	1,715	2,383	6,000
3	11 kV	16,209	12,327	16,202	44,737
4	LT	21,980	20,071	18,345	60,397
Gross fixed Asset		**40,091**	**34112**	**36,930**	**1,11,133**

j. Sales Projections for FY 2026-27 for Jaipur, Ajmer and Jodhpur Discoms have been apportioned to the voltage levels based on the approved character of service. The wire costs at higher voltage levels has been further apportioned to lower voltage levels, since the HT system is also being used for supply to the LT consumers. The apportioned sales as per above estimates and losses for EHT and HT consumers have been considered as per the Commission's order dated 19.09.2006 (in absence of voltage wise losses at EHT and HT level), to calculate the input energy at various voltage levels. The balance losses have been allocated to the LT level. The calculations are provided below for Jaipur, Ajmer and Jodhpur.

k. Apportionment of sales of Rajasthan Discoms for FY-2026-27 is as under:

Table 101 : Apportionment of voltage-wise sales- JVVNL

Voltage Level	Wheeling Cost in Rs Crores	Input (MU)	Sales (MU)	Losses in %age	Assets (Rs Cr.)
132 KV	8454	2,741	2,741	0.00%	0
33 KV		3,256	3,132	3.80%	1,903
11 KV		6,439	5,873	8.80%	16,209
LT		32,566	27,406	15.84%	21,980
Total		**45,002**	**39,152**	**13.00%**	**40091**

Table 102 : Apportionment of voltage-wise sales- AVVNL

Voltage Level	Wheeling Cost in Rs Crores	Input (MU)	Sales (MU)	Losses in %age	Assets (Rs Cr.)
132 KV	5505	2,076	2,076	0.00%	-
33 KV		2,467	2,373	3.80%	1,715
11 KV		4,878	4,449	8.80%	12,327
LT		22,644	20,762	8.31%	20,071
Total		**32,065**	**29,660**	**7.50%**	**34112**

Table 103 : Apportionment of voltage-wise sales- JdVVNL

Voltage Level	Wheeling Cost in Rs Crores	Input (MU)	Sales (MU)	Losses (%)	Assets (Rs Cr.)
132 KV	7970	2,368	2,368	0.00%	-
33 KV		2,814	2,707	3.80%	2,383
11 KV		5,565	5,075	8.80%	16,202
LT		28,144	23,685	15.84%	18,345
Total		**38,891**	**33,835**	**13.00%**	**36930**

l. Discoms have considered overall distribution losses at LT level which includes commercial losses which is in line with methodology followed by PSERC and other SERCs also. Moreover, as open access can be availed by consumers having contract demand of 1 MVA and above, such consumers can be connected at voltages of 11 kV and above only. The Commission is requested to allow the segregation of losses at LT level as per the methodology proposed by the Discoms and followed by other SERCs.

m. Based on the voltage wise asset segregation, the Discoms have allocated the wheeling cost to the asset at respective voltage levels which is depicted in the table below:

Table 104 : Wheeling cost allocation into assets at different voltage levels

(Rs. in Crore)

Wheeling Cost Allocation into Assets at different Voltage Levels	JVVNL	AVVNL	JdVVNL
33KV	401	277	514
11KV	3,418	1,989	3,497
LT	4,635	3,239	3,959
Total	**8,454**	**5,505**	**7,970**

n. The assessed wheeling cost (as derived above) at each voltage level has been reallocated to the different voltage levels in the proportion of their contribution to energy input at each voltage levels:

Table 105 : Wheeling cost apportioned on the basis of network usage

(Rs in Crore)

Derived wheeling cost, apportioned on the basis of usage of network	JVVNL	AVVNL	JdVVNL
33KV	31	23	40
11KV	564	353	577
LT	7,859	5,130	7,353
Total	**8,454**	**5,505**	**7,970**

o. The apportioned wheeling cost as estimated above is used to calculate the wheeling charge applicable at each voltage level on the basis of estimated sales at each voltage level for Rajasthan.

5.4.5 The Discoms submitted that since uniform tariff is prevailing in the State of Rajasthan, therefore, the proposal of average wheeling charges is to be made applicable as the wheeling charges for the open access users in the Rajasthan. Thus, the Discoms have proposed following charges at each voltage to maintain uniform wheeling tariff across the State.

Table 106 : Proposed Wheeling Charges for FY 2026-27

Wheeling Charges at 132 KV Voltage Level (Rs. /kWh)	0.01
Wheeling Charges at 33 KV Voltage Level (Rs. /kWh)	0.11
Wheeling Charges at 11 KV Voltage Level (Rs. /kWh)	0.88
Wheeling Charges at LT Voltage Level (Rs. /kWh)	2.44

Commission's view:

5.4.6 For Computation of wheeling charges, Regulation 86 (3) of the RERC tariff

Regulations, 2025 provides the following:

" *85 (3)* in case complete accounting segregation has not been done between the Distribution Wires Business and Retail Supply Business of the Distribution Licensee, *Wheeling charges of a Distribution Licensee, shall be computed by deducting the following amounts from its aggregate revenue requirement worked out under Regulation 75 (1):*

(a) Cost of power purchase as per Regulation 77,
(b) Interest payable on security deposits of consumers,
(c) Transmission & SLDC charges and
(d) 10% of O&M expenses

86 (4) Wheeling charges so worked out shall be apportioned supply voltage-wise on the basis of fixed asset at each voltage level, as submitted by the Distribution Licensee:

Provided that the Distribution Licensee shall work out the voltage wise asset allocation and losses within one year of coming into force of these Regulations or the extended period as approved by the Commission. The Distribution Licensee shall also give the basis of allocation of fixed costs to the different voltage levels, energy supplied at each voltage level and prevalent distribution losses at each voltage level in the petition for determination of wheeling charges.

Provided further that till the time Distribution Licensee submits the actual allocation of fixed assets at each voltage level, the Commission shall apportion fixed assets at each voltage level on the basis of length of distribution lines in ckt. km and transformation capacity in MVA as furnished by the Distribution Licensee or any other methodology which it feels appropriate,

86 (5) Payment of wheeling charges:
Wheeling charges may consist of the following or any one or combination thereof:
(a) Fixed charge in Rs. per month per KW of contracted power.
(b) A charge in Rs. per KWh of energy wheeled separately for
(i) Wire business
(ii) Installation, operation and maintenance of meters, metering system and any other equipment at consumer's premises.
(iii) Billing & collection of payment
(iv)Consumer services.
(c) Connectivity fee.
(d) Reactive energy charge / incentive

5.4.7 Discoms submitted that, presently they do not have audited accounts for voltage wise assets. As per present accounting practices of Rajasthan Discoms, it is difficult to segregate the GFA among the voltage levels directly. Moreover, voltage wise gross fixed asset register would also require the original cost of each asset to be determined, present cost after applying depreciation and allocation to voltage level. Thus, the study is a time intensive exercise considering the quantum of work and data limitation.

5.4.8 Discoms have requested to consider the apportionment of present value of fixed assets and losses based on the network cost, transformation capacity at 33 KV, 11 KV and LT level and system losses to determine the voltage wise wheeling charges and losses.

5.4.9 Discoms have proposed uniform wheeling charges based on the combined figure of three Discoms. Accordingly, the Commission has also determined uniform wheeling charges.

5.4.10 In view of above regulations and submission of Discoms, the Commission has worked out the segregation of wheeling charges at each voltage level based on the cost of line and transformer submitted by the Discoms and losses as approved in earlier orders have been considered. Further, to work out the per unit wheeling charges, sales as approved in the instant order have been considered.

5.4.11 The Commission has determined the wheeling charges for FY 2026-27 based on ARR for FY 2026-27.

a) Based on the approved ARR for FY 2026-27, the wheeling charges as per Regulation 85 of RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025 is as under:

Table 107 : Wheeling Charges **(Rs in Crore)**

S. No	Particulars	FY 2026-27			
		JVVNL	**AVVNL**	**JdVVNL**	**Total**
1	**Net Aggregate Revenue Requirement**	29376	20436	25712	75524
2	Cost of Power Purchase	19249	13684	17157	50089
3	Interest Payable on security deposit of consumers	166	108	89	362
4	Transmission Charges	2522	1818	2278	6618
5	10% of O&M Expenses	386	251	316	953
	Subtotal	22322	15860	19840	58023
6	**Wheeling Charges (in Crores)**	**7054**	**4575**	**5872**	**17501**

b) As regards wheeling charges at 132 KV and above the Commission accepts submission of the Discoms.

c) Based on the following cost of lines and Transformer as submitted by the Discoms, the aforesaid wheeling charges has been segregated at each voltage level in the following percentage:

Table 108 : Cost of lines and Transformer (Rs. In Lakhs)

S. No.	Network at Voltage Level	FY 2026-27			
		JVVNL	**AVVNL**	**JdVVNL**	**Total**
1	132 KV Line Only	-	-	-	**-**

2	33 KV Lines Only	198,044	197,558	300,064	695,666
3	11 KV Lines and 33/11 KV S/S	1,687,063	1,420,288	2,040,163	5,147,513
4	LT Lines and 11/0.4 KV S/S	2,287,775	2,312,648	2,310,137	6,910,560
	Total	**4,172,883**	**3,930,494**	**4,650,363**	**12,753,740**
132 KV Line Only		-	-	-	
33 KV Lines Only		4.75%	5.03%	6.45%	
11 KV Lines and 33/11 KV S/S		40.43%	36.14%	43.87%	
LT Lines and 11/0.4 KV S/S		54.82%	58.84%	49.68%	
Total		**100.00%**	**100.00%**	**100.00%**	

d) Based on the aforesaid percentage, the assets as on 31st March, 2026 has been segregated at each voltage level as under:

Table 109 : Assets Allocation at different Voltage Levels (Rs in Crore)

	JVVNL	AVVNL	JdVVNL
33KV	1,903	1,715	2,383
11KV	16,209	12,327	16,202
LT	21,980	20,071	18,345
Total	**40,091**	**34,112**	**36,930**

e) Further, based on the losses as approved in order dated 01.12.2016 and sales as approved in the instant order has been considered at each voltage level as under:

Table 110 : JVVNL sales and losses at each voltage level

Voltage Level	Wheeling Cost in Rs Crore	FY 2026-27				
		Input (MU)	Sales (MU)	Losses in %age	Loss (in MU)	Assets (Rs. Crore)
132 KV	7054	2770	2770	0.00%	0	0
33 KV		3290	3165	3.80%	125	1903
11 KV		6507	5935	8.80%	573	16209
LT		32910	27695	15.84%	5214	21980
Total		**45477**	**39565**	**13.00%**	**5912**	**40091**

Table 111 : AVVNL sales and losses at each voltage level

Voltage Level	Wheeling Cost in Rs Crore	FY 2026-27				
		Input (MU)	Sales (MU)	Losses in %age	Loss (in MU)	Assets (Rs. Crore)
132 KV	4575	2090	2090	0.00%	0	0
33 KV		2483	2388	3.80%	94	1715
11 KV		4910	4478	8.80%	432	12327
LT		22793	20898	8.31%	1894	20071
Total		**32276**	**29855**	**7.50%**	**2421**	**34112**

Table 112 : JdVVNL sales and losses at each voltage level

Voltage Level	Wheeling Cost in Rs Crore	FY 2026-27				
		Input (MU)	Sales (MU)	Losses in %age	Loss (in MU)	Assets (Rs. Crore)
132 KV	5872	2383	2383	0.00%	0	0
33 KV		2831	2723	3.80%	108	2383
11 KV		5599	5106	8.80%	493	16202
LT		28317	23830	15.84%	4486	18345
Total		**39130**	**34043**	**13.00%**	**5087**	**36930**

f) Based on the voltage wise asset segregation, Commission has allocated the wheeling cost to the asset at respective voltage levels which is depicted in the table below:

Table 113 : Wheeling cost allocation into assets at different voltage levels

(Rs.in Cr.)

Wheeling Cost Allocation into Assets at different Voltage Levels	**JVVNL**	**AVVNL**	**JdVVNL**
33KV	335	230	379
11KV	2852	1653	2576
LT	3867	2692	2917
Total	**7054**	**4575**	**5872**

g) The assessed wheeling cost (as derived above) at each voltage level have been reallocated to the different voltage levels in the proportion of their contribution to energy input at each voltage levels:

Table 114 : Wheeling cost apportioned on the basis of network usage (Rs in Cr.)

Derived wheeling cost, apportioned on the basis of usage of network	**JVVNL**	**AVVNL**	**JdVVNL**
33KV	26	19	29
11KV	471	293	425
LT	6557	4263	5417
Total	**7,054**	**4,575**	**5,872**

h) The apportioned wheeling cost as estimated above is used to calculate the wheeling charge applicable at each voltage level on the basis of estimated input at each voltage level for Rajasthan.

5.4.12 Per unit wheeling charges approved in this order is as under:

Table 115 : Per unit Wheeling charges

Wheeling Charges for	Existing FY 2025-26	Approved FY 2026-27
Wheeling Charges at 132 KV and above Voltage Level (Rs/kWh)	0.01	0.01
Wheeling Charges at 33 KV Voltage Level (Rs/kWh)	0.12	0.09
Wheeling Charges at 11 KV Voltage Level (Rs/kWh)	0.62	0.69
Wheeling Charges at LT Voltage Level (Rs/kWh)	Not applicable during last year. Discom proposal for 26-27 is Rs. 2.44/KWh	1.93

5.4.13 The above Wheeling Charges shall be levied and collected with effect from the date of applicability of this order and remain in force till Wheeling Charges are re-determined by the Commission. Wheeling losses which are in force shall also be continued to remain applicable. For LT voltages, wheeling losses shall be as proposed by the Discoms as mentioned in tables as above.

5.5 Cross Subsidy Surcharge

5.5.1 The Discoms have projected the cross-subsidy surcharge for FY 2026-27 as per the formula provided by the Commission in RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025. The relevant clause of the said regulations for cross-subsidy surcharge is as under.

*"**89. Cross-subsidy Surcharge***

The surcharge payable by consumers opting for open access on the network of the Distribution Licensee or transmission Licensee will be determined by the Commission as per the following Formula:

$S = T - [C /(1 - L/ 100) + D+R]$

Where,

***S** is the surcharge;*

***T** is the Tariff payable i.e., Average Billing Rate of the relevant category of consumers;*

***C** is the per unit weighted average cost of power purchase by the Licensee;*

***D** is the aggregate of transmission, distribution and wheeling charges applicable to the relevant voltage level;*

L *is the aggregate transmission, distribution and commercial losses, expressed as percentage applicable to the relevant voltage level;*

R *is the per unit cost of carrying Regulatory Assets or unfunded gap recognised by the Commission:*

Provided that if S is computed to be negative as per above Formula, S shall be considered as zero.

Provided further that the Cross-subsidy surcharge, determined by the Commission shall not exceed twenty percent of the average cost of Supply for each category of the consumers."

5.5.2 Discoms submitted that categories of consumers for whom cross-subsidy surcharge is applicable are Large Industries, Mixed Load-HT & Non-Domestic-HT. The details of the tariff for said categories of consumers at different voltage levels is provided below:

Table 116 : Tariff for FY 2026-27

Category	Tariff (Rs./kWh)		
	11 kV	33 kV	132 kV
LIP	9.12	8.85	8.75
Mixed Load	11.62	11.27	11.15
NDS (HT)	11.41	11.07	10.96

5.5.3 The Discoms have considered distribution losses at different voltage levels for calculation of cross-subsidy surcharge as per the Commission's Order dated 01.12.2016. The transmission losses have been considered as per the losses projected in ARR for FY 2026-27. The details of the same are provided below:

Table 117 : Transmission and Distribution losses considered for cross-subsidy surcharge

Losses	11kV	33kV	132kV
Distribution	12.60%	3.80%	0.00%
Transmission	5.16%	5.16%	5.16%
Total	**17.76%**	**8.96%**	**5.16%**

5.5.4 The Discoms submitted that so far open access consumers are only in the HT category. For these categories, the collection efficiency is 100% and as such there is no commercial loss. So, in calculation of 'L', commercial losses are taken as 0%.

5.5.5 The Discoms submitted that Transmission Cost per unit has been considered as per the projected transmission cost and sales in ARR for FY 2026-27. The aggregate transmission and wheeling cost at different voltage levels has been summarized below:

Table 118 : Wheeling and Transmission Costs for FY 2026-27

Discom	Cost per unit (Rs/kWh)	11kV	33kV	132kV
JVVNL	Wheeling cost	0.63	0.11	0.01
	Transmission cost	0.65	0.65	0.65
	Total	**1.28**	**0.76**	**0.66**
AVVNL	Wheeling cost	0.63	0.11	0.01
	Transmission cost	0.62	0.62	0.62
	Total	**1.25**	**0.73**	**0.63**
JdVVNL	Wheeling cost	0.63	0.11	0.01
	Transmission cost	0.65	0.65	0.65
	Total	**1.28**	**0.76**	**0.66**
RAJASTHAN	Wheeling cost	0.63	0.11	0.01
	Transmission cost	0.65	0.65	0.65
	Total	**1.28**	**0.76**	**0.66**

5.5.6 The per unit carrying cost of Regulatory Assets (element 'R') for FY 2026-27 has been determined on the basis of approved interest on unfunded gap by the Commission. The summary of carrying cost for FY 2026-27 is summarized below:

Table 119 : Carrying Cost of Regulatory Assets for FY 2026-27

Discom	Interest on unfunded gap (Rs. Cr.)	Total Sales (MU)	Carrying Cost (Rs./unit)
JVVNL	1,862	39,152	0.48
AVVNL	813	29,660	0.27
JdVVNL	1,565	33,835	0.46
RAJASTHAN	**4,240**	**102,648**	**0.41**

5.5.7 Based on the above cost parameters, the cross-subsidy surcharge for FY 2026-27 as submitted by Discoms is as under:

Table 120 : Cross Subsidy Surcharge for FY 2026-27 –JVVNL, AVVNL & JdVVNL

Category	Voltage (kV)	Tariff (Rs./ kWh)	Weighted average power purchase cost (Rs./kWh)	Aggregate T&D and commercial losses (%)	Aggregate transmission, distribution and wheeling charges (Rs./kWh)	Carrying cost of regulatory assets (Rs./kWh)	CSS (Rs./kWh)	20% of ACOS (Rs./kWh)	Applicable CSS (Rs./kWh)
LIP	132 kV	8.75	4.23	5.16%	0.66	0.41	3.22	1.75	1.75
	33 kV	8.85	4.23	8.96%	0.76	0.41	3.03	1.75	1.75

Category	Voltage (kV)	Tariff (Rs./ kWh)	Weighted average power purchase cost (Rs./kWh)	Aggregate T&D and commercial losses (%)	Aggregate transmission, distribution and wheeling charges (Rs./kWh)	Carrying cost of regulatory assets (Rs./kWh)	CSS (Rs./kWh)	20% of ACOS (Rs./kWh)	Applicable CSS (Rs./kWh)
	11 kV	9.12	4.23	17.76%	1.28	0.41	2.28	1.75	1.75
Mixed Load-HT	132 kV	11.15	4.23	5.16%	0.66	0.41	5.62	1.75	1.75
	33 kV	11.27	4.23	8.96%	0.76	0.41	5.45	1.75	1.75
	11 kV	11.62	4.23	17.76%	1.28	0.41	4.78	1.75	1.75
NDS-HT	132 kV	10.96	4.23	5.16%	0.66	0.41	5.42	1.75	1.75
	33 kV	11.07	4.23	8.96%	0.76	0.41	5.25	1.75	1.75
	11 kV	11.41	4.23	17.76%	1.28	0.41	4.58	1.75	1.75

Commission's view:

Computation of Cross Subsidy Surcharge

5.5.8 Commission has observed that Discoms have submitted uniform proposal for Cross subsidy Surcharge. Therefore, Commission has determined uniform Cross subsidy Surcharge as the tariff for these category is uniform across all the Discoms.

5.5.9 Discoms in their petition have submitted the calculation of Cross Subsidy Surcharge for FY 2026-27. The Commission has also determined the ARR for FY 2026-27. Thus, the Commission has determined the Cross Subsidy Surcharge for FY 2026-27 based on approved ARR for FY 2026-27.

5.5.10 For the purpose of computation of Cross Subsidy Surcharge for FY 2026-27, the Commission has considered the formula as specified in the RERC Tariff Regulations, 2025. Based on the formula as per Tariff Regulations, 2025, the item wise computation of Cross Subsidy Surcharge is as follows:

(1) **"T" (Average Billing Rate of the relevant category of consumers):**

As per Regulation 90 of the Rajasthan Electricity Regulatory Commission (Terms and Conditions for Determination of Tariff) Regulations, 2025, T is the Tariff payable i.e., Average Billing Rate of the relevant category of consumers.

Table 121 : Calculation of "T" for FY 2026-27

Particulars	Avg. Realisation (Rs./per Unit) FY2026-27
Non Domestic Category (NDS)	10.67
Bulk Supply for Mixed Load (ML)	9.32
Large Industries (LIS)	8.96

(2) **"C" (is the per unit weighted average cost of power purchase by the Licensee):**

Based on the figures as approved in foregoing paras, the weighted average cost of power purchase is worked out to be Rs. 4.06/unit for FY 2026-27.

(3) **"L" (is the aggregate transmission, distribution and commercial losses, expressed as percentage applicable to the relevant voltage level):**

Commission has considered voltage wise distribution losses as per the Commission's Order dated 01.12.2016. The transmission losses have been considered average of Intra and Interstate transmission losses as per the losses approved in foregoing paras as under :

Table 122 : Transmission and Distribution losses considered for FY 2026-27

Losses	11kV	33kV	132KV
Distribution	12.60%	3.80%	0.00%
Transmission	5.17%	5.17%	5.17%
Total	**17.77%**	**8.97%**	**5.17%**

(4) **"D" (is the aggregate of transmission, distribution and wheeling charges applicable to the relevant voltage level):**

Table 123 : Transmission, Distribution and Wheeling Charges for 2026-27

Cost per unit (Rs/kWh)	11kV	33kV	132kV
Wheeling cost	0.69	0.09	0.01
Transmission cost	0.64	0.64	0.64
Total	**1.33**	**0.73**	**0.65**

(5) **"R" (is the per unit cost of carrying Regulatory Assets or unfunded gap recognized by the Commission):**

While working out the per unit cost of Regulatory Assets, Commission has considered interest on unfunded gap as approved in forgoing paras.

Table 124 : Carrying Cost of Regulatory Assets

Particulars		FY 2026-27
Interest on unfunded gap	Rs. in Crore	4182
Total Sales	(MU)	103463
Carrying Cost	(Rs./unit)	0.40

(6) **"S" (is the surcharge) i.e.,**

S = T - [C /(1 - L/ 100) + D+R]

5.5.11 Commission observed that Discoms while proposing Cross Subsidy Surcharge has capped it at the rate of 20% of Average Cost of Supply as per Tariff Regulations, 2025.

5.5.12 There is no dispute that the CSS should be reduced progressively but the reduction should relate to the actual cost and not to historical facts. While determining CSS in the present order, the Commission has to rely on the present values and accordingly has taken the values as approved in its Tariff Order for FY 2026-27.

5.5.13 Accordingly, in this order the Commission has capped CSS at the rate of 20% of Average cost of supply as per provisions of Tariff Regulations, 2025.

5.5.14 Based on the above discussions, the Cross Subsidy Surcharge payable for FY 2026-27 by the open access consumers works out as below:

Table 125 : Cross Subsidy Surcharge for FY 2026-27

(Rs./kWh)

CATEGORY OF CONSUMER	VOLTAGE LEVEL	TARIFF (T)	WEIGHTED AVERAGE COST OF POWER (C)	SYSTEM LOSSES (L)	TRANSIMISSION, DISTRIBUTION AND WHEELING CHARGES (D)	PER UNIT COST OF CARRYING REGULATORY ASSETS (R)	CROSS SUBSIDY SURCHARGE (S) S=T-[C/(1-L/100)+D+R]	20% of Acos	Cross Subsidy Surcharge to be Levied
		(A)	(B)	(C)	(D)	(E)	(F)	G	H=Min (F,G)
NON DOMESTIC SERVICE	11 KV	10.67	4.06	17.77%	1.33	0.40	3.99	1.48	1.48
	33 KV	10.35	4.06	8.97%	0.73	0.40	4.75	1.48	1.48
	132 KV	10.24	4.06	5.17%	0.65	0.40	4.90	1.48	1.48
MIXED LOAD/ BULK SUPPY	11 KV	9.32	4.06	17.77%	1.33	0.40	2.64	1.48	1.48
	33 KV	9.04	4.06	8.97%	0.73	0.40	3.45	1.48	1.48
	132 KV	8.95	4.06	5.17%	0.65	0.40	3.61	1.48	1.48
LARGE INDUSTRIAL SERVICE	11 KV	8.96	4.06	17.77%	1.33	0.40	2.28	1.48	1.48
	33 KV	8.69	4.06	8.97%	0.73	0.40	3.10	1.48	1.48
	132 KV	8.60	4.06	5.17%	0.65	0.40	3.27	1.48	1.48

5.5.15 In view of above, the Commission has decided to keep CSS capped at the rate of 20% of the Average Cost of Supply and the Cross Subsidy Surcharge payable for FY 2026-27 by Open Access Consumers of the respective category (except captive) who are liable to pay CSS in accordance with the Electricity Act, 2003 and Rules and Regulations made there under shall be as given below:

Table 126 : CSS as Approved by the Commission

Category of Open Access Consumer	Cross Subsidy Surcharge (Rs./Unit) FY 2026-27
All Categories-All Voltage Level	1.48

5.5.16 The above Cross Subsidy Surcharge shall be levied and collected with effect from the date of applicability of this order and remain in force till CSS is re-determined by the Commission.

5.6 Additional Surcharge

5.6.1 The Discoms have submitted that Section 43 of the Electricity Act, 2003 provides for a duty on the distribution licensees of the area of supply to develop and maintain an efficient, coordinated and economical distribution system and to supply electricity to all in the area in accordance with the provisions of the Act. Section 43 (1) of the Electricity Act reads as under:

"Section 43. (Duty to supply on request): --- (1) 1[Save as otherwise provided in this Act, every distribution] licensee, shall, on an application by the owner or occupier of any premises, give supply of electricity to such premises, within one month after receipt of the application requiring such supply:
Provided that where such supply requires extension of distribution mains, or commissioning of new sub-stations, the distribution licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as may be specified by the Appropriate Commission: Provided further that in case of a village or hamlet or area wherein no provision for supply of electricity exists, the Appropriate Commission may extend the said period as it may consider necessary for electrification of such village or hamlet or area.
1[Explanation.- For the purposes of this sub-section, "application" means the application complete in all respects in the appropriate form, as required by the distribution licensee, along with documents showing payment of necessary charges and other compliances.]"

5.6.2 To meet the universal supply obligation, Discoms have entered into long term PPAs with Generating Companies which inter-alia provide for payment of the guaranteed fixed charges payable irrespective of the fact whether Discoms are able to off take the entire power made available over the plant load factor.

5.6.3 In exercise of the powers under Section 181 of the Electricity Act, 2003, the State Commission has notified the Open Access Regulations, 2016, inter alia, providing for a person with contract demand of one MVA and above to draw electricity from sources other than the distribution licensees of the area through the Open Access.

5.6.4 Whenever any consumer opts for open access, the Petitioner continues to pay fixed charges to its contracted generation stations as per the PPAs. However, the Petitioner is not able to sufficiently recover such fixed cost obligation from the open access consumers. The cost recovered from fixed tariff schedule is less than the fixed costs incurred by the Petitioner which leads to the situation where the Petitioner is saddled with the stranded cost on account of its universal supply obligation.

5.6.5 To ensure that the burden of fixed cost of stranded power due to open access does not adversely impact the Discoms and is also not passed onto the general consumers at large, the Discoms are entitled to collect Additional Surcharge as per Section 42 (4) of the Electricity Act, 2003.

"Section 42 (4): Where the State Commission permits a consumer or class of consumers to receive supply of electricity from a person other than the distribution licensee of his area of supply, such consumer shall be liable to pay an additional surcharge on the charges of wheeling, as may be specified by the State Commission, to meet the fixed cost of such distribution licensee arising out of his obligation to supply."

5.6.6 Regulation 17 of the RERC (Terms and Conditions for Open Access) Regulations, 2016 also entitle the Petitioners to collect additional surcharge from consumers opting for open access.

"17. Additional Surcharge

(1) A consumer availing open access and receiving supply of electricity from a person other than the Distribution Licensee of his area of supply shall pay to the Distribution Licensee an additional surcharge, in addition to wheeling charges and cross subsidy surcharge, to meet the fixed cost of such Distribution Licensee arising out of his obligation to supply as provided under sub-section (4) of section 42 of the Act."

5.6.7 *The Commission in its order dated 24th August 2016 has determined the additional surcharge payable by open access consumers using the following methodology.*

"114. The lower of the back-down quantum and open access quantum has been considered as power surrendered due to open access for each of the 96 time blocks in a day, i.e., if the back down quantum is more than the open access quantum, the open access quantum has been considered, and if the back down quantum is less than the open access quantum, then the back down quantum has been considered as the quantum stranded due to Open Access Consumers not sourcing power from Discoms. This ensures that only the power stranded because of Open Access Consumers is taken.

115. Since the quantum of power surrendered every day is not from a specific power plant, and fixed cost associated with every power plant is different, the Commission has calculated an effective per unit fixed cost for every month by calculating weighted average fixed cost per unit based on the relevant tariff order of generating station against fixed charges and the quantum of energy drawn from each station for FY 2015-16 (up to Jan 2016).

116. To work out a total effective per unit fixed cost of generation backed down, *the fixed costs for the individual power plant units as per tariff order have been taken in the same proportion as the proportion in which individual power plant units have contributed to the surrendering of power. As compared to the consideration of actual payments made to generators, taking the fixed costs as per tariff orders eliminates all apprehensions about the period for which payments pertain. Thus, the rates of fixed costs are consistent.*

117. This fixed cost has been considered for calculating the amount of total fixed charges that the Petitioner has paid because of the total stranded power owing to corresponding open access for FY 2015-16 (up to Jan.16).

118. To compute the Additional Surcharge recoverable, the effective per unit fixed cost obtained as explained above is multiplied to the quantum of stranded power (in MUs) which has been considered to be surrendered because of consumers opting for open access.

119. To compute per unit Additional Surcharge to be levied on Open Access Consumers, it has been assumed that the Open Access scenario will remain the same in FY 2016-17. Therefore, the total Additional Surcharge recoverable for the FY 2015-16 (up to Jan.16) computed above has been spread over the total open access quantum for the FY 2015-16 (up to Jan.16) to arrive at Additional Surcharge of Rs. 0.80 per unit."

5.6.8 Accordingly, the computation of additional surcharge for FY 2026-27 is based on the following methodology.

The lower of the stranded power (back down quantum + box up quantum) and open access quantum has been considered as power surrendered due to open access for each of the 96 time blocks in a day, i.e., if the quantum of stranded power is more than the open access quantum, the open access quantum has been considered, and if the stranded power quantum is less than the open access quantum, then the stranded power quantum has been considered as the quantum stranded due to Open Access Consumers not sourcing power from Discoms. This ensures that only the power stranded because of Open Access Consumers is taken.

Since the quantum of power surrendered every day is not from a specific power plant, and fixed cost associated with every power plant is different, the Discoms have calculated an effective per unit fixed cost by calculating weighted average fixed cost per unit based on the relevant tariff order of generating station against fixed charges and the quantum of energy drawn from each station for FY 2024-25.

To work out a total effective per unit fixed cost of generation stranded, the fixed costs for the individual power plant units as per tariff order have been taken in the same proportion as the proportion in which individual power plant units have contributed to the surrendering of power. As compared to the consideration of actual payments made to generators, taking the fixed costs as per tariff orders eliminates all apprehensions about the period for which payments pertain. Thus, the rates of fixed costs are consistent.

This fixed cost has been considered for calculating the amount of total fixed charges that the Petitioner has paid because of the total stranded power owing to corresponding open access for FY 2024-25.

To compute the Additional Surcharge recoverable, the effective per unit fixed cost obtained as explained above is multiplied to the quantum of stranded power (in MUs) which has been surrendered because of consumers opting for open access.

To compute per unit Additional Surcharge to be levied on Open Access Consumers in the FY 2026-27, it has been assumed that the Open Access scenario will remain the same in FY 2026-27 as in FY 2024-25. Therefore, the total Additional Surcharge recoverable for the FY 2024-25 computed above has been spread over the total open access quantum for the FY 2024-25 to arrive at the payable Additional Surcharge.

For the sake of brevity, the daily block wise details of station wise power backed down, power boxed up and bilateral purchases along with net open access have been provided.

5.6.9 Based on the above submission, the Discoms proposed additional surcharge for FY 2026-27 based on data of FY 2024-25 below.

5.6.10 Stranded power due to Open Access (MW):

Table 127 : Stranded power due to Open Access (MW):

Month	Back down Aggregated over 96 Time Blocks	Boxup Aggregated over 96 Time Blocks	Boxup + Back down aggregated over 96 time blocks	Open Access Aggregated over 96 Time Blocks	Backdown due to Open Access Aggregated over 96 Time Blocks
	1	2	3	4	5
	MW	MW	MW	MW	MW
April	1227989	3420385	4648374	621854	492579
May	606927	1504250	2111177	2971806	1055179
June	787125	533500	1320625	2538934	778999
July	1025157	3733525	4758682	1395953	1095737

August	3152861	4516645	7669506	560929	556381
September	1639431	1775490	3414921	1990707	319960
October	1251378	2054120	3305498	932718	669209
November	1959797	2108680	4068477	1813307	1027907
December	3121396	2589930	5711326	980259	733570
January	3212079	2446170	5658249	331124	310625
February	1582870	2148830	3731700	631381	519109
March	2944307	6481215	9425522	1165176	1148247
Total	**22511318**	**33312740**	**55824058**	**15934148**	**8707502**

5.6.11 It may be observed that there is continuous stranded capacity over the entire period for which data has been submitted. It has to be noted that stranded capacity may vary in a day, a month and the year depending upon the load conditions and therefore, the overall situation needs to be considered. It is clearly demonstrable through the data that there is stranded capacity occurring on account of the consumers availing open access to source power from sources other than Discoms.

5.6.12 Effective fixed cost of generation stranded (Rs./kWh):

Table 128 : Effective fixed cost of generation stranded (Rs./kWh)

Station	Power Stranded in FY 2024-25 (MU)	% of surrender	Fixed charges (approved Rs./kWh)	Component of fixed cost
KHTPP	12	0.09%	1.05	0.001
DADRI T2	143	1.03%	1.36	0.01
UNCHAHAR 2	118	0.84%	1.12	0.01
UNCHAHAR 1	24	0.17%	1.05	0
UNCHAHAR 3	70	0.50%	1.21	0.01
UNCHAHAR-4	171	1.23%	1.66	0.02
SSTTP	18	0.13%	0.76	0
MEJA	35	0.25%	2.25	0.01
TANDA II	116	0.83%	1.46	0.01
KAHALGAON 1	12	0.08%	1.05	0
KAHALGAON 2	43	0.31%	0.92	0
AURIYA-GF	2	0.01%	0.78	0
ANTA-GF	3	0.02%	0.63	0
PTC MCCPL	20	0.14%	1.73	0
CGPL	509	3.65%	0.9	0.03
PTC DB POWER	56	0.40%	2.18	0.01
SINGRAULI	58	0.41%	0.76	0
RIHAND 1 STPS	22	0.16%	0.83	0
RIHAND 2 STPS	25	0.18%	0.78	0
RIHAND 3 STPS	25	0.18%	1.47	0
Sasan	28	0.20%	0.17	0

Station	Power Stranded in FY 2024-25 (MU)	% of surrender	Fixed charges (approved Rs./kWh)	Component of fixed cost
JHAJJAR	35	0.25%	1.56	0
Kudgi	33	0.24%	1.66	0
Ramagudam I & II	33	0.23%	0.78	0
TELANGANA	5	0.04%	1.61	0
Vallur	14	0.10%	1.69	0
Ramagudam III	8	0.06%	0.85	0
NTPL Tuticorin	15	0.11%	1.55	0
Simhadri	7	0.05%	1.43	0
MSTPS-I	6	0.04%	1.69	0
MSTPS-II	9	0.07%	1.58	0
GSTPP	9	0.06%	2.07	0
NLCIL TPS-II	5	0.04%	2.04	0
NLCIL TPS-II Stage-I SR	2	0.01%	0.92	0
NLCIL TPS-II Stage-II SR	2	0.01%	0.92	0
NLCIL TPS-I	1	0.01%	0.99	0
NNTPS	1	0.01%	1.92	0
VSTPS-I	2	0.02%	0.92	0
VSTPS-V	1	0.01%	1.72	0
VSTPS-II	2	0.01%	0.78	0
VSTPS-III	1	0.01%	0.91	0
VSTPS-IV	3	0.02%	1.67	0
SIPAT-II	2	0.01%	0.98	0
SIPAT-I	2	0.02%	1.26	0
KSTPS	2	0.02%	0.76	0
KSTPS-7	2	0.02%	1.13	0
LSTPP	3	0.02%	2.28	0
Talchar II	1	0.01%	0.82	0
NUPPL	1	0.00%	3.4	0
STPS-(I-VI)	6126	43.89%	0.68	0.3
KTPS Unit(I-VII)	2728	19.55%	0.6	0.12
KALISINDH	597	4.28%	1.3	0.06
CHABRA1,2,3,4	612	4.38%	1.01	0.04
ADANI	1244	8.91%	1.07	0.1
RAJWEST POWER	201	1.44%	1.7	0.02
CTPP-V,VI	260	1.87%	1.5	0.03
NLC Barsinghsar	9	0.07%	2.2	0
STPS-VII&VIII	461	3.30%	1.61	0.05
Total	**13956**	**100%**		**0.83**

5.6.13 Additional surcharge to be levied in the FY 2026-27:

Table 129 : Additional surcharge to be levied in the FY 2026-27

	Open Access Aggregated over each time block	Total Open Access	Back-down due to Open Access Aggregated over 96 Time Blocks	Back-down due to Open Access	Effective Fixed Cost	Additional Surcharge
	MW	MU	MW	MU	Rs. / kWh	Rs. Cr.
Total	22511318	5628	8707502	2177	0.87	185.81
Additional Surcharge Recoverable per unit considering same open access scenario for the next year (Rs./kWh) (Total Additional Surcharge/Total Open Access*10)						**0.47**

Commission View

5.6.14 The Commission has determined the Additional Surcharge for FY 2026-27 based on data submitted by Discoms.

5.6.15 Since the quantum of power surrendered every day is not from a specific power plant, and fixed cost associated with every power plant is different, the Commission has calculated an effective per unit fixed cost for every month by calculating weighted average fixed cost per unit based on the relevant tariff order of generating station against fixed charges and the quantum of energy drawn from each station for FY 2026-27.

5.6.16 To work out a total effective per unit fixed cost of generation backed down, the fixed costs for the individual power plant units as per tariff order have been taken in the same proportion as the proportion in which individual power plant units have contributed to the surrendering of power. As compared to the consideration of actual payments made to generators, taking the fixed costs as per tariff orders eliminates all apprehensions about the period for which payments pertain. Thus, the rates of fixed costs are consistent.

5.6.17 It is observed that Discoms have considered power stranded from unallocated sources received from central sector PSUs while calculating Additional Surcharge. However, Discoms have not projected such power for calculating the energy availability for FY 2026-27. Therefore, for the purpose of calculations of additional surcharge the Commission has not considered the power stranded from unallocated sources.

5.6.18 The fixed cost has been considered as per ARR order for FY 2026-27 and in case ARR order of plant for FY 2026-27 is not available, the latest prevailing order or as per submission of Discoms has been considered.

5.6.19 To compute the Additional Surcharge recoverable, the effective per unit fixed cost obtained as explained above is multiplied to the quantum of stranded power (in MUs) which has been considered to be surrendered because of consumers opting for open access.

Calculation of Additional Surcharge based on the above method

5.6.20 In view of the above, Additional Surcharge for FY 2026-27 is worked out as below:

i. Calculation of back down due to Open Access (MW):

Table 130 : back down due to Open Access (MW)

Month	Backdown Aggregated over 96 Time Blocks	Boxup Aggregated over 96 Time Block	Boxup + Backdown aggregated over 96 time blocks	Open Access Aggregated over 96 Time Blocks	Backdown due to Open Access Aggregated over 96 Time Blocks
	MW	MW	MW	MW	MW
April	1227989	3420385	4648374	621854	492579
May	606927	1504250	2111177	2971806	1055179
June	776107	533501	1309608	2538934	778999
July	950037	3733526	4683563	1395953	1095737
August	2900497	4516646	7417143	560929	556381
September	1527828	1775490	3303318	1990707	319960
October	1144134	2054120	3198254	932718	669209
November	1889096	2108680	3997776	1813307	1027907
December	3038623	2589930	5628553	980259	733570
January	3207571	2446170	5653741	331124	310625
February	1582855	2148830	3731685	631381	519109
March	2938604	6481215	9419819	1165176	1148247
Total	**21790268**	**33312743**	**55103011**	**15934148**	**8707502**

ii. Calculation of effective fixed cost of generation back down:

Table 131 : Effective fixed cost of generation back down

Station	Power Stranded in FY 2024-25 (MU)	% of surrender	Fixed charges (approved Rs./kWh)	Component of fixed cost
KHTPP	12	0.09%	1.05	0.001
DADRI T2	143	1.04%	1.23	0.013
UNCHAHAR 2	118	0.85%	1.12	0.010
UNCHAHAR 1	24	0.17%	1.05	0.002
UNCHAHAR 3	70	0.51%	1.21	0.006
UNCHAHAR-4	171	1.24%	1.67	0.021
SSTTP	18	0.13%	0.76	0.001
MEJA	35	0.25%	2.25	0.006
TANDA II	116	0.84%	1.78	0.015

Station	Power Stranded in FY 2024-25 (MU)	% of surrender	Fixed charges (approved Rs./kWh)	Component of fixed cost
KAHALGAON 1	12	0.08%	1.05	0.001
KAHALGAON 2	43	0.31%	0.93	0.003
PTC MCCPL	20	0.14%	1.74	0.002
CGPL	509	3.70%	0.90	0.033
PTC DB POWER	56	0.41%	2.18	0.009
SINGRAULI	58	0.42%	0.77	0.003
RIHAND 1 STPS	22	0.16%	0.83	0.001
RIHAND 2 STPS	25	0.18%	0.78	0.001
RIHAND 3 STPS	25	0.18%	1.48	0.003
SASAN	28	0.20%	0.17	0.000
JHAJJAR	35	0.25%	1.56	0.004
STPS-(I-VI)	6126	44.47%	0.75	0.334
KTPS Unit(I-VII)	2728	19.80%	0.72	0.143
KALISINDH	597	4.34%	1.30	0.056
CHABRA1,2,3,4	612	4.44%	1.05	0.047
ADANI	1244	9.03%	1.10	0.100
RAJWEST POWER	201	1.46%	1.70	0.025
CTPP-V,VI	260	1.89%	1.48	0.028
NLC Barsinghsar	9	0.07%	2.20	0.001
STPS-VII&VIII	461	3.35%	1.60	0.054
Total	13776	100.00%		0.9214

iii. Calculation of Additional Surcharge based on above for FY 2026-27:

Table 132 : Additional Surcharge

	Open Access Aggregated over each time block	Total Open Access	Back-down due to Open Access Aggregated over 96 Time Blocks	Back-down due to Open Access	Effective Fixed Cost	Additional Surcharge
	MW	MU	MW	MU	Rs. / kWh	Rs. Cr.
Total	15934148	3984	8707502	2177	0.92	197.27
Additional Surcharge Recoverable per unit considering same open access scenario for the FY 2026-27 (Rs./kWh) (Total Additional Surcharge/Total Open Access*10)						**0.50**

5.6.21 The Commission notes that above calculated additional surcharge is Rs. 0.50/unit which is lower than the fixed cost of power purchase, accordingly, the Commission hereby allows Additional Surcharge at Rs. 0.50/unit to be recoverable from all the Open Access consumers (except CPPs to the extent they consume the electricity generated by them for their own use) who are liable to pay Additional Surcharge as per Electricity Act, 2003 and Rules and Regulations made thereunder.

5.6.22 The above additional Surcharge shall be levied and collected with effect from the date of applicability of this order and remain in force till additional surcharge is re-determined by the Commission. '

5.7 Cross Subsidy

5.7.1 As per Regulation 88 of RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025, the average cost of supply and realization from a category of consumers shall form the basis of estimating the extent of cross subsidy and determination of tariff for that consumer category.

5.7.2 Regulation 88 of RERC (Terms & Condition of Tariff) Regulations, 2025 read with National Tariff Policy makes it evident that average cost of supply has to be the benchmark in assessing cross-subsidy from any consumer category. The National Tariff Policy states that SERC shall notify a road map with a target that tariff are within +/- 20% of average cost of supply. The Commission has also specified in its Tariff Regulations that the Commission shall endeavour to determine the tariff in such a manner that it progressively reflects the average cost of supply and the extent of cross subsidy to any consumer category is within maximum range of +/- 20% of average cost of supply.

5.7.3 During last tariff revision, the Commission has reduced energy charges for various categories and increased fixed charges to reflect actual recovery of costs. This year the Commission has not made any change in the tariff and the changes in cross subsidy is mainly due to reduction in Average cost of supply primarily due to reduction in power purchase cost and reduction in carrying cost of Regulatory Assets due to recovery of Regulatory Surcharge. The State is in the process of recovery of Regulatory Assets.

5.7.4 The Rajasthan as compared to other State has an unfavorable sales mix where Agriculture category account for 40% consumption, NDS has 8% and LIP has approx. 20%. This is in stark contrast with other States where Commercial /Industrial consumption is higher.

5.7.5 With levy of Regulatory Surcharge in last tariff order, the State is moving ahead towards financial sustainability and all Regulatory Assets are likely to be recovered by 31.03.2031. Meanwhile, the Commission directs the Discoms to propose a cost reflective tariff in such a manner so that tariff for all categories shall progressively move within the range of ± 20% by 31.03.2031. With amortization of Regulatory Assets, The Commission will also take an appropriate view in this regard in successive tariff revisions.

5.7.6 Average cost of supply for the three Discoms as per ARR and sales considered by the Commission earlier in this order for FY 2026-27 are as under:

Table 133 : Average Cost of Supply for FY 2026-27

Particular	JVVNL	AVVNL	JdVVNL	Total
Gross ARR (Rs. In Crore)	29887	20851	26016	76754
Sales (MU)	39565	29855	34043	103463
AVG. COS (Rs./Unit)	7.55	6.98	7.64	7.42

5.7.7 The Average Cost of Supply as filed by Discoms is Rs 8.19 per unit based on Gross ARR. The Commission has worked out Average Cost of Supply of Rs. 7.42 per unit. However, the actual impact will be visible at the time of consideration of true up petition.

5.7.8 Based on tariff approved by the Commission, the cross subsidy for major categories is as under:

Table 134 : Cross Subsidy for FY 2026-27 at tariff after rationalisation

Cross Subsidy	Rajasthan
Domestic	-1.79%
Non-Domestic	43.78%
Agriculture (Metered)	-24.12%
Small Industry	8.10%
Medium Industry	21.55%
Large Industry	20.81%
Public Water Works (S)	2.38%
Public Water Works (M)	7.16%
Public Water Works (L)	4.35%
Mixed Load	25.63%

5.8 Recovery from Regulatory Surcharge

5.8.1 The Commission vide ARR order dated 03.10.2025 has allowed levy of Regulatory Surcharge including FPPAS from the consumers @ Rs. 0.70 from Domestic consumers with monthly consumption up to 100 units and @ Rs. 1.00 from all other consumer categories on account of liquidation of Regulatory Assets which has been accumulated over the years. The FPPAS to be levied as per Regulation 87 of the RERC Tariff Regulations 2025 was also included to avoid any tariff shock to consumers.

5.8.2 The above levy of Regulatory surcharge was approved in view of Regulation 91 of the RERC (Terms and Conditions for Determination of Tariff) Regulations, 2025 which provides that any gap between approved Annual Revenue Requirement and estimated annual revenue from approved tariff existing on the date of notification of the Tariff Regulation, along with the carrying costs shall be liquidated in maximum seven numbers of equal yearly installments starting from the next financial year.

5.8.3 As discussed in earlier paras of the order, revenue realization from base FPPAS is towards the likely additional cost on account of increase in exiting power purchase cost. As such revenue accrued on this account will be set off only against the equivalent increase in Cost. Therefore, the expenses and revenue on this account shall be set off with each other and shall be examined by the Commission at the time of true up of respective year and as such Commission is not considering revenue from FPPAS for the purpose of calculation of surplus in the ARR order of FY 2026-27.

5.8.4 Discoms submitted that based on the actual FPPAS observed during the first six months of FY 2025-26, which was approximately Rs. 0.11 per unit, they have projected the FPPAS for FY 2026-27 to be Rs. 0.14 per unit considering the current downward trend in the actual FSA for the ongoing year, reflecting a conservative yet realistic assumption.

5.8.5 Accordingly, for FY 2026-27, the Discoms have projected the liquidation of regulatory assets through the application of a Regulatory Surcharge, @ Rs. 0.56 per unit (Rs. 0.70 – Rs. 0.14) for domestic consumers consuming up to 100 units, and Rs. 0.86 per unit (Rs. 1.00 – Rs. 0.14) for all other consumer categories on energy sale at consumer level.

5.8.6 It is observed that break up of Domestic consumption upto 50 units are available but thereafter information of next slab from 51 units to 150 units are available and break up of 51 to 100 units are not available. As per practice followed in last year ARR order dated 03.10.2025, Commission has considered 45% consumption from 51 to 150 units for reckoning consumption of units from 51 units to 100 units based on approved energy sales and worked out the recovery from Regulatory Surcharge excluding Base FPPAS as under:

Table 135 : Recovery from Regulatory Surcharge for FY 2026-27 (Rs. Cr.)

Particulars	Regulatory Surcharge excluding Base FPPAS approved by Commission			
	JVVNL	**AVVNL**	**JdVVNL**	**Total**
Regulatory Surcharge of Domestic consumers having Consumption upto 100 Units @ Rs. 0.56 per unit.	133	168	137	438
Regulatory Surcharges of Balance Domestic and Other Category Consumers @ Rs. 0.86 per unit.	3198	2309	2718	8225
Regulatory Surcharge excluding FPPAS	**3331**	**2477**	**2855**	**8663**

5.8.7 The Commission has considered the above Recovery from Regulatory Surcharge excluding FPPAS while dealing with the unfunded Gap/ Regulatory Assets in next section of this order.

5.8.8 The Commission vide its ARR order dated 03.10.2025 directed that Discoms should use Recovery from Regulatory Surcharge only for amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for other purpose. Discoms should also attempt to bridge the accumulated gap by taking measures for loss reduction, efficiency improvement and cost optimization and if need be come up with a suitable proposal for tariff increase.

5.8.9 In reply to Data Gaps, Discoms submitted that they have ensured revenue neutrality by duly accounting for revenue from the Regulatory Surcharge. It is important to emphasize that the introduction of the Regulatory Surcharge during FY 2025-26 was a significant step, enabling tariff rationalization. This measure was designed to balance consumer affordability with the objectives of regulatory prudence.

5.8.10 Discoms submitted their summary of revenue position as under:

Particulars	**FY-2026-27 (Rs. Cr.)**		
	JVVNL	**AVVNL**	**JdVVNL**
Aggregate Revenue Requirement from Retail Tariff	31650	22188	28828
Revenue from Sale of Power within the State	29745	22198	23856
Revenue from SOP outside the State (Trading)	49	194	790
Revenue from POC	10	45	20
Anticipated Revenue from FPPAS	548	415	474
Total Receipts	30352	22852	25139
Revenue (Gap)/surplus for the year	**(1298)**	**664**	**(3689)**
FRBM Grant	0	0	2259
Net Profit/(Loss)	(1298)	664	(1429)
Revenue from Regulatory Surcharge	3296	2461	2837
Net Profit/(Loss) after Revenue from Regulatory Surcharge	**1998**	**3125**	**1407**

5.8.11 Discoms also clarified that while revenue from the Regulatory Surcharge is exclusively earmarked for the amortization of Regulatory Assets as mandated, it has been reflected within the net profit/loss statement for both financial reporting and tariff determination purposes. This approach ensures a true and fair presentation of Discoms' financial health.

5.8.12 Discoms submitted that revenue excluding the Regulatory Surcharge would reflect a substantial loss of Rs. 1,298 Cr. for JVVNL and Rs. 1429 Cr. for JdVVNL, which, under the FRBM scheme, would necessitate the State Government's intervention to cover the deficit. Such a scenario would impose an undue fiscal burden on the State exchequer and compromise the financial sustainability of Discom. Therefore, the inclusion of Regulatory Surcharge revenue in the net profit/loss calculation is a judicious and necessary measure. It aligns with the primary objective of reducing Regulatory Assets while maintaining the financial viability of the Discom in a transparent and compliant manner.

5.8.13 The Commission has observed that Hon'ble Supreme Court of India vide its order dated 06.08.2025 has laid down comprehensive directions on the legal framework and regulatory obligations concerning the creation, continuation, and liquidation of regulatory assets by State Electricity Regulatory Commissions (SERCs). The Hon'ble Supreme Court among others has directed as under:

> *"(v) The existing regulatory asset must be liquidated in a maximum of 4 years starting from 01.04.2024, taking Rule 23 as the guiding principle;*
>
> *(vi) Regulatory Commissions must provide the trajectory and roadmap for liquidation of the existing regulatory asset, which will include a provision for dealing with carrying costs. Regulatory Commissions must also undertake strict and intensive audit of the circumstances in which the distribution companies have continued without recovery of the regulatory asset.*
>
> *(ix)The APTEL shall register a suo moto petition under Section 121 of the Act to monitor implementation of above directions (v) and (vi) till the conclusion of the period mentioned therein."*

5.8.14 In the interest of consumers and to avoid tariff shock to them, the Rajasthan Commission along with few other Commissions had also moved to the Hon'ble Supreme court vide Miscellaneous Application bearing diary No. 54463/2025 for seeking extension in the period for liquidation of existing Regulatory Assets to 7 years in terms of Rule 23 of the Electricity (Amendment) Rules, 2024 as against 4 years as directed under Judgment dated 06.08.2025.

5.8.15 The Hon'ble Supreme Court has amended the order dated 06.08.2025 vide order dated 28.10.2025 w.r.t. period of liquidation as 7 years as per Rule 23 of the Electricity (Amendment) Rules, 2024.

5.8.16 As directed by the Hon'ble Supreme Court vide order dated 06.08.2025 the Hon'ble APTEL has also registered a suo moto petition OP-1 of 2025 under Section 121 of the Act and is continuously monitoring the directions of the Hon'ble Supreme Court. As per directions of the Hon'ble APTEL, the Commission has also filed an affidavit that pending Regulatory Assets will be liquidated within the period allowed by the Hon'ble Supreme Court i.e. by 31.03.2031.

5.8.17 With regard to carrying out intensive audit of the distribution licensees in State of Rajasthan in compliance with the above Judgment of the Hon'ble Supreme Court dated 06.08.2025, the Commission has floated a tender on dated 17.10.2025 and appointed M/s. UCC Associates LLP, Chartered Accountants for carrying out the intensive audit vide its order dated 01.01.2026. Presently, the work of intensive audit is under progress.

5.8.18 As Rajasthan Discoms have huge Regulatory Assets, the Commission vide its ARR and Tariff Order dated 03.10.2025 has allowed to recover Regulatory Surcharges to liquidate the Regulatory Assets and also directed Discoms that they should use Recovery from Regulatory Surcharge only towards amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for other purpose. However, the Commission observes that Discoms have not complied with the above directions and instead of adjusting the Regulatory surcharge against amortization of Regulatory Assets has adjusted the recovery from Regulatory Surcharge in the current year profits/Losses which is against the spirit of the Supreme Court order and the rules.

5.8.19 Looking to the huge Regulatory Assets of Rajasthan Discoms, Commission is of the view that by adjusting the recovery from Regulatory Surcharge in profits/Loss, Discoms would not be able to recover the Regulatory Assets within the time prescribed by the Hon'ble Supreme Court. It would also defeat the purpose of levying of Regulatory Surcharge and may mask actual performance of the Discoms. Therefore, Commission again directs Discoms that recovery from Regulatory surcharge should be adjusted strictly against the Regulatory assets and after adjustment of above, If Discoms have losses they should approach to the Govt. for obtaining the loss subsidy as per Commitment in FRBM scheme.

5.8.20 It is observed that Government of Rajasthan has been providing loss subsidy in next year on the basis of audited profits/losses resulting in late recovery for the Discoms. In view of above, the Discoms are directed that they should also request the GoR for providing the carrying cost of the same.

5.8.21 During the hearing the Distribution Franchisee requested the Commission for inclusion of recovery from regulatory surcharge in the ABR calculation. As regards non inclusion of recovery from Regulatory Surcharge in ABR calculation of Distribution Franchisee, the Commission is of the opinion that Regulatory Surcharge was levied to recover the Regulatory Asset of the Discoms which have been accumulated over the years, therefore Regulatory Surcharge having its own specific purpose, cannot be used for calculating the ABR and the Commission has already directed Discoms that recovery from Regulatory Surcharge shall not be adjusted in current profits/losses and shall be used only for amortization of Regulatory Assets only. However, in case of any discrepancy w.r.t. their agreement they may suitably take up the matter with the Discoms.

5.9 Revenue Surplus/Deficit

5.9.1 Discoms in their petition have shown a combined surplus of Rs. 6520 Cr. after considering tariff rationalization measures which also includes revenue from Base FSA of Rs. 1437 Cr. and recovery from Regulatory Surcharge of RS. 8593 Cr.

Commission's View:

5.9.2 The Commission observes that Discoms have proposed some tariff rationalization measures and also submitted the financial impact of the same. The Commission observed that as per Discoms' submission there is a Gap of Rs. 4323 Cr. before loss subsidy and recovery from Regulatory Surcharge and against such gap of Discoms, Commission has approved the combined Surplus of Rs. 520 Crore for FY 2026-27 at existing tariff.

5.9.3 The Commission has also considered the tariff rationalisation measures as submitted by the Discoms and considered the same as detailed in the tariff rationalisation section of this order. The Commission has estimated the lower revenue of Rs. 27 Cr. for impact of reduction in minimum charges of MIP HT category, Rs. 10 Cr. for removal of Time of Day (ToD) tariff of PSL Consumers and of Rs. 5 Cr. for single part tariff for EV charging stations. The Commission has considered revenue from fixed charges of PSL Consumers based on approved tariff. Actual impact of these measures will be considered during the true up for FY 2026-27.

5.9.4 It is observed that after considering above tariff rationalization, JVVNL and AVVNL have surplus of Rs. 200 Cr. and Rs. 1553 Cr. respectively whereas JdVVNL will have revenue gap of Rs. 1248 Cr. However, as per FRBM scheme, GoR will take over 100% of loss for FY 2026-27, accordingly approved gap for JdVVNL will be Nil and surplus considered for the three Discoms for FY 2026-27 will be Rs. 1753 Cr. resulting in the unfunded gap before recovery of Regulatory Surcharge of Rs. 41961 Cr. as at the end of the FY 2026-27 as under :

Table 136 : Position of Unfunded Gap before Regulatory Surcharge (Rs. In Cr.)

Particulars	JVVNL	AVVNL	JdVVNL	Total
Unfunded Gap Upto FY 2024-25 as True up order	(20344)	(13081)	(16003)	(49428)
True up of RVUNL for FY 2024-25	108	78	98	284

True up of SLDC for FY 2024-25	1	0	1	2
Surplus/(Gap) for FY 2025-26 as per order dated 03.10.2025 considered with revised tariff applicable from 01.10.2025	593	1494	0	2087
Recovery of Regulatory Surcharge for FY 25-26 (considered as applicable from 01.10.2025)	1284	1002	1056	3341
Surplus/(Gap) for FY 2026-27 as per this order at Revised Tariff	200	1553	0	1753
Total Unfunded gap upto FY 2026-27 before Regulatory Surcharge	**(18159)**	**(8953)**	**(14849)**	**(41961)**

5.9.5 Further, as discussed in earlier paras, Commission has considered Recovery from Regulatory Surcharge excluding base FPPAS which is Rs. 3331 Cr. for JVVNL, Rs. 2477 Cr. for AVVNL and Rs. 2855 Cr. for JdVVNL totaling to Rs. 8663 Cr. which has been worked out on the basis of Rs. 0.56 per unit from Domestic consumption upto 100 Units and Rs. 0.86 per units from balance Domestic and other category consumers.

5.9.6 After considering the recovery from Regulatory Surcharge of Rs. 8663 Cr. the unfunded gap will likely to reduce to Rs. 33298 Cr. at the end of FY 2026-27 as given in the following table:

Table 137 : Position of Unfunded Gap after Regulatory Surcharge (Rs. In Cr.)

Particulars	**JVVNL**	**AVVNL**	**JdVVNL**	**Total**
Total Unfunded gap upto FY 2026-27 before Regulatory Surcharge	**(18159)**	**(8953)**	**(14849)**	**(41961)**
Recovery from Regulatory Surcharge for FY 2026-27	3331	2477	2855	8663
Total Unfunded Gap upto FY 2026-27 after Regulatory Surcharge	**(14827)**	**(6476)**	**(11995)**	**(33298)**

Actual impact of the same will be reviewed during true up.

5.9.7 The purpose of levy of Regulatory Surcharge is to reduce the Regulatory Assets hence, as directed earlier, Discoms should use it only for amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for other purpose. Discoms should also attempt to bridge the accumulated gap by taking measures for loss reduction, efficiency improvement and cost optimization and if need be come up with a suitable proposal for tariff change or tariff rationalization.

5.9.8 The Commission observes that as per RERC Tariff Regulations, 2025, the existing Regulatory Assets along with carrying cost are to be liquidated in seven years. If in future year the surplus situation arises, such surplus shall also be first adjusted against the accumulated gap of previous years.

5.9.9 In Rajasthan, no new Regulatory Assets have been created from 2023-24 onwards. The Regulatory Asset as on 31.03.2023 was Rs. 53824 Cr. which has been reduced over the years to Rs. 33720 as on 31.03.2027 as detailed below:

Year	Regulatory Assets (Rs. Cr.)
2022-23 (True up)	53824
2023-24 (True up)	49842
2024-25 (True up)	49428
2025-26 (ARR)*	40214
2026-27 (ARR)*	33298

* subject to true up.

5.9.10 The Commission in its previous tariff orders also allowed cost reflective tariff with a surplus of Rs. 0.14/unit for FY 2025-26 and a surplus of Rs. 0.48/unit for FY 2024-25.

5.9.11 For FY 2026-27, the Commission has allowed Discoms to recover all prudent cost without burdening the consumer and issued cost reflective tariff with a surplus of Rs. 0.17/unit by this order.

5.9.12 The Commission, in its earlier tariff orders has observed that the prevailing fixed charges is not truly reflective in nature as the revenue from fixed charges is not commensurate with the fixed cost incurred by the Discoms. Therefore, the Commission vide its tariff order dated 26.07.2024 has approved tariff hike in fixed charges keeping the energy charges same for most of the categories. Further, in its tariff order dated 03.10.2025 there was an increase in fixed charges and reduction in energy charges covering average reduction of approx. 3.22% in retail tariff and increasing share of fixed charges in total revenue.

5.9.13 Having rationalized the fixed charges for the last two consecutive years, this year the Commission has not made any intervention in this order as the Commission is monitoring the impact of Regulatory Surcharge and any further view on this will be taken in next year petition and the Commission further directs Discoms to file suitable proposal for further rationalizing recovery from fixed charges that reflects actual fixed costs of Discoms.

5.9.14 Before parting with this order, the Commission observes that the future of the power sector lies in a balanced transition towards affordable, reliable, and sustainable electricity supply. Rapid integration of renewable energy, development of storage solutions, modernization of transmission and distribution networks, and adoption of digital technologies are reshaping the sector. At the same time, financial discipline, cost reflective tariffs, and efficiency improvements across the value chain remain essential to ensure long term viability. The Commission is conscious that regulatory certainty, transparency, and timely tariff determination are critical to attract investments while safeguarding consumer interests.

5.9.15 Going forward, the Discoms must focus on enhancing grid flexibility, promoting demand side management strengthening consumer service standards, and encouraging innovation in areas such as green energy procurement, smart metering, and market based mechanisms. The Commission reiterates its commitment to a stable, predicable and progressive regulatory framework that supports sustainable growth and equitable development of power sector.

5.9.16 The Commission would like to mention again that the Commission in future will not increase any unfunded gap or create additional Regulatory Assets. Discoms are also directed to file next ARR, Tariff and True up petition complete as per RERC (Terms and Conditions for Determination of Tariff), Regulations, 2025 which should also include tariff rationalisation measures, measures for efficiency improvement, loss reduction, further simplification of tariff structure and roadmap for reduction of Regulatory Assets and turnaround of Discoms.

5.9.17 In the Section 6, the Commission has reviewed compliance of its directives and issued fresh directives to the Discoms. Discoms are directed to submit a compliance report of these directives as well as directions given earlier as per the periodicity called for.

5.9.18 This tariff order shall come into force from 01.04.2026 and remain in force till the next tariff order of the Commission. All existing provisions which are not modified by this order shall continue to be in force. Discoms shall publish salient features of tariff within one week in two daily newspapers in Hindi and one in English having large circulation in their respective areas of supply. Discoms shall revise the existing tariff booklet in accordance with this order and publish in Hindi and English a booklet containing all details of tariff and its applicability for the benefit of consumers. It should be made available for sale to general public at a nominal price.

5.9.19 The tariff for each category of consumers shall also be displayed on distribution licensee's website and consumers shall also be notified of change in tariff excluding fuel surcharge and other charges, through distribution licensee's website as well as through energy bills or Short Message Service or Mobile Application and similar other modes.

5.9.20 The petitions stand disposed of accordingly. Copy of this order may be sent to the petitioners, stakeholders, CEA and Government of Rajasthan.

(Vijay Pal Singh)	(Hemant Kumar Jain)	(Dr. Rajesh Sharma)
Member	Member	Chairman

Section-6 Compliance of directives issued under ARR order dated 03.10.2025

The Commission in its last ARR order dated 03.10.2025 issued certain directives/ measures for improvement in working of the Discoms. The submission of the Discoms on these is summarized below:

S.No	Directive	Compliance Status
1.	**<u>Reporting of Govt. Subsidy:</u>**	
	Commission directs that Discom should furnish a quarterly report indicating demand for subsidy raised by the Discom, energy consumed by the subsidized category, consumer category wise per unit subsidy declared by the state Govt., actual payment of subsidy received in accordance with the section 65 of the Act, gap in subsidy due and paid as well as other relevant details as directed vide Commission order dated 26.07.2024 and ensure that they timely receive the subsidy from the Government.	**JVVNL:** Discom submitted that, the Quarterly Subsidy Reports for FY 2024-25 has been mailed to the Secretary RERC within 30 days from the end date of respective quarter for needful action. Further Government of Rajasthan has fully reimbursed tariff subsidy billed for FY 2024-25. **AVVNL:** Discom submitted that the Discom has designated AO (Revenue), AVVNL as the Nodal Officer for submission of Quarterly Reports on Government Subsidy. **JdVVNL:** Discom submitted that, the CAO (Revenue) has already been appointed as the nodal officer for collecting information and submitting the quarterly report to the Commission within 30 days from the end of the respective quarter. As per the provisions of section 65 of the Electricity Act 2003 the government of Rajasthan provides tariff subsidy to domestic and agricultural consumers.
2	**<u>Smart grid and Demand Side Management:</u>**	
	The Commission directs JVVNL for constitution of DSM cell with well- defined roles & responsibilities and all Discom should make scheme for	**JVVNL & AVVNL**: Discoms submitted that, in JVVNL, a dedicated Demand Side Management (DSM) Cell has been constituted and is actively working on various DSM initiatives under the “Capacity

	demand side management & demand response and focus on reduction of self-consumption as envisaged in Regulations.	Building of Discoms' project of the Bureau of Energy Efficiency (BEE). A Tri-Party Agreement has been executed between JVVNL, BEE, and RRECL for the implementation of this program. The activities undertaken under this program are aimed at enhancing the capacity and technical capabilities of Discoms, enabling them to effectively implement the DSM Action Plan. The initiatives focus on measures such as load shifting from peak to off-peak hours, adopting Time-of-Day (ToD) based tariff structures, and achieving energy use reduction through the promotion of energy-efficient equipment, buildings, and industrial processes. These actions are designed to support cost-effective and sustainable energy management strategies. To facilitate the implementation, BEE has engaged M/s Greentree Global, Noida, as the Project Management Agency (PMA) to provide technical and financial manpower support to Discoms. The engagement period was initially for two years, followed by a one-year extension based on project requirements. **JVVNL:** DSM Measures Finalized under JVVNL. M/s Greentree Global, has identified several Demand Side Management (DSM) measures for implementation in JVVNL. After detailed discussions and assessments, the following four DSM initiatives have been finalized for execution within JVVNL's jurisdiction 1. <u>Implementation of Rooftop Solar in the Domestic Sector</u>: The PMA has engaged

		M/s Flock Energy to scale up the Rooftop Solar (RTS) program through the use of Artificial Intelligence (AI) and Machine Learning (ML) tools to identify potential consumers. The program has been executed in two phases — an initial pilot on 100 consumers, followed by an expanded pilot covering 1,100 consumers. To extend the initiative across JVVNL's entire jurisdiction, a request letter has been sent to MNRE seeking funds under the PM Surya Ghar Yojana for project scaling through M/s Flock Energy. 2. <u>Home Energy Management System (HEMS):</u> A Memorandum of Understanding (MoU) has been signed between AEEE and JVVNL to implement a pilot project for the free distribution of smart plugs to domestic consumers. The initiative aims to reform air conditioner usage patterns by nudging consumers to increase AC set-point temperatures and adopt energy-efficient consumption practices, under a strategy known as Behavioral Demand Response (BDR). This program show result in an energy reduction of approximately 3–4%. 3. <u>Motor Replacement Program in Industrial Units:</u> The PMA has carried out walk-through energy audits in selected industrial units to identify existing motor inventories, assess their condition and operating environments, and collect operational data. Based on the findings, inefficient motors have been identified for replacement with IE3/IE4 energy-efficient motors. A Letter of Support has also been issued to the PMA for their

		study titled "Mapping Demand Response Potential in MSME Clusters." 4. <u>Solarization of Agriculture Feeders</u>: The PMA has been directed to prepare a technical report on the ongoing KUSUM project, which is operational within JVVNL's area. The report will analyze the energy supply-demand balance and determine whether excess solar energy is being exported through the 33 kV network. Two launch ceremonies were organized in coordination with M/s Greentree Global to spread awareness among Discom officials and other stakeholders. The objective of these events was to brief participants about the Demand Side Management (DSM) initiatives identified by JVVNL and the strategies planned for their promotion within JVVNL's jurisdiction. The programs served as a platform for knowledge sharing and discussion among Discom officials, expert speakers, and implementing agencies engaged in DSM activities. During the sessions, detailed insights were shared on the implementation strategies, operational processes, and defined timelines for executing DSM initiatives. JVVNL has made significant strides in institutionalizing EE/DSM across its operations. We have established a dedicated organizational framework and launched multiple initiatives across consumer segments. ***<u>Progress Highlights:</u>*** <u>Commercial & Industrial Sector Progress:</u> In alignment with regulatory directives, Time-of-Use (ToU) tariffs have been fully

		implemented for high-tension consumers, encouraging load shifting and peak demand reduction. A pilot project on Automated Demand Response (ADR) is planned to be initiated, targeting large commercial consumers to demonstrate load flexibility and real-time response capabilities. In parallel, energy audits of major government buildings and offices are being conducted to identify efficiency improvement opportunities in HVAC, lighting, and equipment usage. Based on audit findings, retrofit and automation projects are being planned under performance-based implementation models. Residential Programs: JVVNL continues to promote consumer awareness on energy efficiency and responsible electricity use through bill inserts, social media campaigns, and community outreach initiatives. These programs are aligned with national efficiency campaigns and emphasize the benefits of BEE-rated appliances and smart consumption behavior. JVVNL is implementing an AI-powered grid digitalization solution, transforming its power distribution network. With 55% of 33kV and 11kV networks digitized as of October 2025, the initiative is expected deliver benefits through optimized operations, better RE and BESS integration, better Load Flow and Smart Meter analytics and intelligent Demand Side Management. JVVNL is also implementing an integrated software and hardware solution to create a comprehensive digital twin of its entire distribution network. Similar in concept to

		Google Maps, this platform will digitize all JVVNL assets. It will host a suite of applications, ranging from load flow analysis to intelligent MIS and operational dashboards. Once fully deployed, the system will leverage AI/ML for critical functions such as load forecasting, anomaly detection, and optimal power flow management. This will replace traditional manual calculations, enabling rapid, data-driven analysis for real-time grid operations. The platform's key components are designed for a comprehensive modernization of grid management. It begins with the comprehensive digitization of all assets to create a precise digital twin, (capturing images, geographical coordinates, and electrical parameters). This data fuels an AI analytics engine that utilizes multiple machine learning approaches. The system is centralized within an integrated control center, which features GIS visualization, digital Single Line Diagrams (SLDs), and a suite of decision-support tools for strategic network planning and solar hosting capacity assessment. ***Key Capabilities*** 1. Network Modeling: Load flow analysis and Visualization on Maps and Digital SLDs 2. AI Chat: Custom-GPT for natural language data querying on Discom operations. 3. Planning Tools: Technical feasibility assessment for new connections and feeder segregation. 4. Solar Integration: Advanced hosting capacity assessment for KUSUM and

		rooftop solar. 5. Demand Management: AI-powered load forecasting, block schedule optimization and demand response management ***Implementation Progress & Benefits*** Current Status: 55% network digitization completed (33kV and 11kV networks) As the project is in its pilot phase, the exact benefits are still being assessed. Upon full implementation, we expect following key factors: 1. Reduced Asset Failures: Enhanced reliability and maintenance of infrastructure. 2. Demand-Side Management: Improved load optimization and peak shaving. 3. Minimized Unscheduled Interchange: Better forecasting accuracy. 4. Operational Enhancements: Streamlined planning processes, improved network response capabilities, and stronger coordination between field operations and control centres. 5. Optimized Solar Integration: Efficient incorporation of solar energy (PM KUSUM and PM Suryaghar) and BESS solution (Battery Energy Storage Systems) into the grid. In addition, integrating the smart meters with 11 KV network will enable real-time monitoring, dynamic pricing, and automated demand control in the future. Further, within it a feasibility study for residential Demand Response (DR) programs is underway, exploring mechanisms such as Peak Time Rebate and time-based incentives to encourage voluntary load reduction during peak hours.

		These initiatives are expected to reduce residential peak demand, lower consumer bills, and enhance grid stability, while fostering a culture of energy-conscious behavior and paving the way for active consumer participation in the smart grid ecosystem. **JdVVNL:** Discom submitted that the discom is in compliance with the directive.
3	**<u>Need for focus on Roof top solar and promotion of PM Surya-Ghar Scheme:</u>**	
	Rooftop solar photovoltaic (PV) installations confer multiple operational advantages upon distribution licensees. Primarily, such decentralized generation facilitates a substantive reduction in peak load demand on the distribution network, particularly during daytime hours, thereby aiding in load management and grid stability. Furthermore, the localized nature of rooftop solar generation results in a diminution of aggregate technical and commercial (AT&C) losses, as energy is consumed proximate to the point of generation, thereby minimizing transmission and distribution losses. The integration of rooftop solar systems further enables distribution licensees to defer capital expenditure on network augmentation, including but not limited to the up gradation of transformers and feeder lines. Additionally, rooftop solar	**JVVNL & AVVNL:** Discoms submitted that the PM Surya Ghar programme is implemented at a large scale to install roof top solar on the residential households. A demand aggregation study is being undertaken to find out the prospective consumers for installation of roof top. For the promotion of RTS systems followings measures have been taken by the Discoms :- • Standard Operating Procedure has been issued for release of Rooftop Solar Connections under PM Surya Ghar Yojana. • The Following Relaxation are allowed by Rajasthan Discoms and waive off the charges for RTS Installation. ➢ Application Fee and security deposit ➢ Meter testing Charges ➢ Requirement of Connection Agreement. • To impart knowledge of various guidelines issued from time-to-time for implementation of RTS under National Solar Portal, Discoms are organizing webinars / meetings with officials of Sub-divisions (AENs / JENs) of each

	generation contributes directly towards the fulfillment of Renewable Purchase Obligations (RPOs) as mandated by the RPO regulations, thereby assisting distribution licensees in achieving statutory compliance without the necessity of establishing additional renewable energy infrastructure. In view of this, the distribution licensees are hereby directed to actively promote the adoption of rooftop solar photovoltaic (PV) systems within their respective areas of supply. This shall include, but not be limited to, the implementation of simplified application and interconnection procedures, timely approval of net metering connections, public awareness campaigns, and coordination with nodal agencies for subsidy disbursement and consumer facilitation. The Discoms are encouraged to identify and bring to the notice of the Commission any additional regulatory or procedural challenges being faced by Discoms or consumers. The Commission shall consider further rationalization or facilitation measures, wherever necessary, to promote rooftop solar deployment and enhance consumer convenience.	Circle. • Discoms distributed leaflets / pamphlets in various sub-divisions and also to place banner / poster at locations with higher footfalls of consumers. • Discoms have issued order to organize camps at various divisions / sub-divisions levels in this / coming weeks (Vendors – Bankers – Discom Officials – Consumers shall be part of camps). • Chairman Discoms announced "ROOFTOP SOLAR CHAMPION AWARD" for ensuing maximum installation of Rooftop Solar Plants during Oct'2024 till Mar'25 wherein best performing employees would be rewarded. • In the Budget Announcement of FY 2025-26, The Hon'ble Chief Minister of Rajasthan launched "150 Units per Month Nishulk Bijli Yojna" for the registered consumers under the 'Mukhyamantri Nishulk Bijli Yojana'. On 13.10.2025 a portal is launched for Consent registration by the Hon'ble Union Home & Co-operative Minister for consumers under the '150 Units Per Month Nishulk Bijli Yojna'. **JdVVNL:** Jodhpur Discom has submitted that as of date 28.10.25, over 111,776 rooftop solar applications having capacity of 506 MW have been received, with 31,384 installations successfully commissioned, contributing to an aggregate capacity of approximately 125 MW. Discom has ensured timely net metering approvals and facilitated subsidy disbursement through close coordination with RRECL and MNRE. Public outreach initiatives, including district-

		level camps and digital awareness drives, have substantially improved consumer participation and scheme visibility. To further accelerate rooftop solar adoption and enhance consumer convenience, Discom submitted the following facilitation measures—successfully implemented in other states—that may be considered for adoption in Rajasthan: Introduction of virtual and group net metering under PM Surya Ghar Portal : Jodhpur Discom recommends the integration of Virtual Net Metering (VNM) and Group Net Metering (GNM) provisions within the PM Surya-Ghar portal framework. These models, enable consumers residing in multi-unit dwellings, housing societies, and institutions with limited rooftop access to participate in solar generation by aggregating or virtually allocating generation credits across multiple consumer accounts. Enabling VNM and GNM will significantly expand the reach of rooftop solar, particularly in urban and semi-urban clusters, and promote inclusive participation while optimizing grid utilization and enhancing consumer convenience. Standardized empanelment of vendors with transparent pricing and performance benchmarks, as implemented in Kerala and Tamil Nadu. Time-bound grievance redressal mechanism for rooftop solar consumers, with escalation matrix and resolution tracking. Discom remains committed to supporting the Commission's vision and will continue to identify and report procedural challenges and recommend rationalization measures to facilitate seamless rooftop solar deployment

<table>
<tr><td></td><td></td><td>across its licensed area.</td></tr>
<tr><td>4</td><td colspan="2"><u>Energy Storage Systems (ESS):</u></td></tr>
<tr><td></td><td>Battery Energy Storage (BESS)
Battery Energy Storage Systems (BESS) in electricity distribution companies offer significant advantages. BESS enhances grid stability by providing frequency regulation and voltage control, improving reliability and reducing the risk of outages. It facilitates efficient peak demand management by storing excess energy during off-peak periods and releasing it during peak demand, lowering operational costs.
BESS also integrates renewable energy sources by storing surplus energy and smoothing out intermittencies, maximizing renewable energy utilization. Moreover, BESS enhances grid resilience by providing backup power during outages, ensuring uninterrupted service for critical infrastructure. Overall, BESS implementation enhances grid performance, reduces costs, and promotes sustainability in electricity distribution.
Discoms may take steps for integration of Battery Energy Storage Systems (BESS) with Distributed Renewable Energy (DRE) sources and while doing so</td><td>JVVNL, AVVNL & JdVVNL:
Discoms submitted that RUVITL understands that with increased share of RE power in energy mix, ESS is essential for stable grid operations and catering peak demand. RUVITL has tied up 490 MW solar powers with 245 MW committed supply in peak hours through pump storage, expected to commission in December 2025. Further, 100 MW hydro power has been contracted with THDC from Tehri PSP out of which 50 MW has been commissioned and remaining is expected to commission soon.
Further, status of implementation of BESS capacity for Rajasthan Discoms is as under:
<table>
<tr><th>S. No</th><th>Bidding agency</th><th>Capacity (MW/MWh)</th><th>Status</th><th>Expected Commissioning</th></tr>
<tr><td>1.</td><td>RUVNL</td><td>500/1000</td><td>BESSA & BESPA signed</td><td>2026</td></tr>
<tr><td>2.</td><td>NVVN</td><td>500/1000</td><td>BESSA & BESPA signed</td><td>2027</td></tr>
<tr><td>3.</td><td>RUVNL</td><td>1000/2000</td><td>Under Process</td><td>-</td></tr>
<tr><td>4.</td><td>RUVNL</td><td>500/2000</td><td>Under Process</td><td>-</td></tr>
</table>
Apart from above, Rajasthan Discoms are also exploring all the possible solutions to incorporate Battery Energy Storage System (BESS) under PM-Surya Ghar: Muft Bijli</td></tr>
</table>

	the Discoms should carefully evaluate critical parameters such as the optimal location of BESS installations, suitable discharge timings aligned with demand patterns, and the preferred distributed configuration to maximize system benefits. Additionally, potential network congestion issues must be thoroughly assessed to ensure grid stability and efficient power flow. A well-planned approach considering these factors will help in leveraging the full potential of BESS, improving grid resilience, and enhancing the overall efficiency of renewable energy integration. **Pumped Storage Plants (PSPs)** In the high RE scenario, the Pumped Storage Plants can play a vital role in meeting the ever-increasing electricity demand by providing a reliable and flexible energy storage solution. These plants store excess energy when power is surplus in the Grid and release it during high demand time can be crucial in the energy transition. The Commission observes that for managing the intermittency of the RE Power being injected into the Grid and to manage grid stability, Energy Storage based solutions like Pump Storage, are one of the most	Yojana. The Commission has notified the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025. Regulation 5 of the Regulations provides as under: "Provided also that Renewable Energy based captive power plants having capacity above 100% contract demand and upto 200% of contract demand shall be required to install Battery Energy Storage System (BESS) for a minimum 20% of the energy generated by the additional capacity RE captive plant, i.e., capacity beyond the 100% of the contract demand." Thus, Discoms are working towards integrating of BESS as directed by the Commission.

	suitable options and more emphasis should be put by the RE rich states like Rajasthan. The Discoms is directed to take appropriate steps to tie up the requisite storage capacity which will also help them to meet their ESO targets.	
5	**<u>Exploring Innovative Tender options:</u>**	
	The Discoms are directed to maximize the VGF grant being received from GoI for BESS and also explore innovative tender designs considering the Round-The-Clock (RTC), RE+Storage, Peak Power Supply, Firm and Dispatchable Renewable Energy (FDRE)etc., which will benefit them not only in terms of the price but will also provide them with more firm RE power. In addition to the above, Discoms are also directed to take suitable steps for the in-house capacity building to develop the capability to conduct the auctions/ tenders independently for the RE purchase. This will not only help them to cater the state-specific requirement, but they can also save on the trading margin. Discoms should ensure that they do not incur heavy expenses on trading margin when they are already sharing expenses of RUVN and they should use their expertise for doing various tenders so as to	**JVVNL, AVVNL & JdVVNL:** Discoms submitted that RUVITL has signed PSA with RVUNL for 500 MW/1000MWh BESS capacity under MNRE's State component VGF scheme. Trading Margin was negotiated to Rs. 0.02/kWh energy discharged. RUVITL has also signed PSA with NVVN for 500 MW/1000MWh BESS capacity under MNRE's CPSU component VGF scheme. NVVN was requested to reduce the trading margin, which they did not accede to. Tariff adoption is pending before RERC. Further, RVUNL, as BIA (BESS implementing agency), is in process to conclude two tenders for selection of developers to develop and supply 1000 MW/2000 MWh and 500 MW/2000 MWh BESS capacity for Rajasthan Discoms. There shall be no Trading Margin payable to RVUNL. Insofar, trading margin of existing PPAs are concerned, same are being to REIAs (RE implementing agency) in line with the applicable guidelines, duly approved by the commission. Rajasthan Discoms are also exploring all the possible solutions to incorporate Battery Energy Storage System (BESS) under PM-Surya Ghar: Muft Bijli Yojana.

<table>
<tr><td></td><td>save on trading margin.
Further, the Discoms may also relook into their existing PPAs and restructure these, if need be and may also negotiate with intermediaries on trading margin to bring it down in the vicinity of 1 or 2 paise/kWh.</td><td></td></tr>
<tr><td>6</td><td colspan="2"><u>Road map for EV charging stations:</u></td></tr>
<tr><td></td><td>Commission directs Discoms to expedite the setting up of EV charging stations and propose necessary investment for upgrading their network for seamless integration of EV infrastructure along with next Investment Plan & ARR petition. Discoms are also required to carry out study of Grid to vehicle and vehicle to grid supply of power in light with the study report published by the CEA.</td><td>JVVNL: Discom submitted that, network strengthening for EV charging stations is also a part of the loss reduction interventions planned by the Discom under RDSS.
<table>
<tr><th>Particular</th><th>Units</th><th>Sanctioned Units up to FY 2</th></tr>
<tr><td>Network strengthening for EV charging station</td><td>Nos.</td><td>50</td></tr>
</table>
The Discom is committed towards meeting the targets as specified under RDSS and is working towards the same.
Discom submitted that an office order dated 23.09.2024 was issued by the office of the Superintending Engineer (Commercial) regarding the provision of electricity connections to electric vehicle charging stations at outlets of oil companies which was in compliance with the decisions taken in the meeting of the 88th DCF.
AVVNL: Discom submitted that the Government of India has formulated a scheme, Faster Adoption and Manufacturing of (Hybrid &) Electric Vehicles in India (FAME India) Scheme in 2015 to promote the adoption of Electric/Hybrid Vehicles in India. Under</td></tr>
</table>

		Phase-II of FAME India Scheme, the Ministry of Heavy Industries, Government of India has sanctioned 7,432 EV Charging Stations to 3 Oil Marketing Companies (OMCs) and 148 EV Charging Stations to other entities. As a result, the number of EV Charging Station consumers served by the Discom increased rapidly from 69 as on May 2024 to 269 in September 2025. The Discom projects that connected load of EV charging stations shall increase from 5,053 kW in April 2025 to 26,710 kW by the end of FY 2026-27. The Discom plans to examine the need for upgradation of network infrastructure in view of the anticipated increase in consumption from EV charging stations. Furthermore, Joint Secretary (Distribution), Ministry of Power is taking weekly review meetings with all Discoms along with OMCs wherein the weekly targets are allocated to Discoms and OMCs and it is ensured that weekly targets accorded to the Discoms. The Discoms ensured that the weekly targets are achieved in advance of the review meeting and therefore, is pushing aggressively in this regard. **JdVVNL:** Discom submitted that the Network strengthening for EV charging stations is also a part of the loss reduction interventions planned by the Discom under RDSS. Also in compliance of decisions taken in meeting of 88th DCF held on 24th August 2024 for Electrical Vehicle Charging Station, electricity connection up to load of 200 kW with contract demand above 50 kVA is allowed to release on LT Supply Voltage through Nigam's Distribution Network. A total of 158 number of EV connections were applied at different locations under

		Jodhpur Discom from different OMC (i.e. HPCL; BPCL & IOCL) out of which 110 connections have been released till 11.11.2025 and remaining will be released as soon as possible.
7	**Flat rate category:**	
	The Commission directs that Jaipur Discom should convert remaining flat rate consumers (if any) within two months of the issue of this order and furnish report to the commission. Discoms should also review the relevance of proposing flat rate tariff in their next tariff petition when there are no flat rate consumers.	**JVVNL:** Discom submitted that there are currently no flat-rate consumers under its jurisdiction. Furthermore, the Distribution Franchisee is in the process of converting all remaining flat-rate consumers into metered connections. **AVVNL:** Discom submitted that there are currently no flat-rate consumers under its jurisdiction. **JdVVNL:** Discom submitted that it has converted all its Agricultural flat rate consumers to Agricultural metered consumers.
8.	**High percentage of defective meters:**	
	The Commission directs the Discoms to keep all meters in healthy condition and if a meter gets defective same should be replaced within 2 months. The Commission reiterates that it shall not allow higher consumption to be assessed in the garb of defective meters	**JVVNL:** Discom submitted that, the total no of Defective Meters in Jaipur Discom as on 03.11.2025 are 19321, out of which three phase Non AG Defective meters are nearly zero. Further, 14433 meters which are Defective for more than 2 months are targeted to be replaced on priority. Discom submitted that currently, there are Zero % defective meters in Jaipur Discom except Three phase AG category defective meters. Further, field officers are taking necessary action for replacement of all Three phase AG defective meters by March 2026. Category wise No. of Defective Meters for FY 2025-26 (Jan-26) is provided below:- Statement of Category wise Defective Meters for FY

		2025-26 (Jan-26)				
		S. No.	category	No. of Consumers	No. of Defective Meters	% Defective Meters
		1	3-Phase (Non Ag.)	553308	0	0.00%
		2	3-Phase (Ag.)	662082	13493	2.04%
		3	1-Phase (Urban)	1609066	0	0.00%
		4	1-Phase (Rural)	2489324	0	0.00%
		TOTAL		5313780	13493	0.25%

AVVNL: Discom submitted that concerted efforts are being undertaken to ensure timely replacement of all defective meters. The Ajmer Discom remains committed to minimizing disruptions and improving metering accuracy as part of its ongoing operational efficiency and consumer service enhancement initiatives.

Discom submitted that as on 31.03.2025, the Ajmer Discom had recorded 136,729 defective meters in agriculture category. In this regard, it is pertinent to note that in lieu of the directions issued by the Commission, the office of the CAO (ER-W&M) has issued directions SE (O&M) of all circles of the Discom to replace all agriculture defective meters and ensure that no meter remains defective for more than 2 billing cycles. As a result, defective meters in agriculture category reduced from 136,729 as on 31.03.2025 to 117,836 as on 31.12.2025. The Discom is undertaking focused efforts to reduce defective meters in these circles on priority.

JdVVNL: Discom submitted that it has issued strict directions for the replacement of all defective and non-functional

		Agricultural metered connections with immediate effect. The Discom is committed to ensure that all meters remain in proper working condition and that any defective meters are replaced at the earliest. The replacement of meters is an ongoing process and Jodhpur Discom is continuously working to ensure the timely replacement of defective meters within stipulated timeframe. The Discom has replaced 14629 meters during FY 2025-26 till date. JDVVNL has formulated a structured plan to replace defective meters across its network. Defective meters are identified and prioritized through complaints, inspections, and testing. Adequate procurement and stocking of new meters will be ensured for timely replacement. Dedicated teams will carry out installations with proper sealing, documentation, and billing record updates. Progress will be monitored through MIS reports and audits, with long-term measures like smart meter rollout, staff training, and preventive maintenance to minimize recurrence. Procurement has been started and under RDSS all around 42 lac meters are being replaced by Smart meters on time bound manner
9	**<u>Fixed Assets Register (FAR):</u>**	
	The Commission directs that Fixed Assets Registers should be placed on Discom website and Discoms should introduce IT based system for procurement and asset management.	**JVVNL:** Discom submitted that Annual Accounts for the year 2024- 25 was approved by Board on 29.09.2025 and AG Audit completed on 17.10.2025. The work preparation of Fixed Asset Register was started simultaneously and is under process. The best efforts are being made to provide & upload the Fixed Asset Register of FY 2024-25 duly reconciled with Audited

		Annual Accounts at earliest. Discom submitted that Jaipur Discom has undertaken the work of ERP (Enterprise Resource Planning) under which the procurement and asset management module is included. After implementation of the same the Fixed Assets Registers shall be placed on Discom Website. Discom submitted the Fixed Assets Register as on 31.03.2025 along with data gap reply. **AVVNL:** Discom submitted that Fixed Asset Register for FY 2023-24 is uploaded on the website of the Discom. Moreover, as regards the Fixed Asset Register for FY 2024-25, the Discom submitted that work in this regard is ongoing and shall be completed at the earliest. **JdVVNL:** Discom submitted that the Fixed Assets Registers has been placed on Discom Website. Post hearing Discom has submitted the Fixed Assets Register as on 31.03.2025.
10	**<u>Voltage wise Losses:</u>**	
	The Commission again directs the Discoms to conduct sample study of voltage wise losses for at least 2 Nos. 33/11KV urban and 2 Nos. 33/11 KV rural substations and associated lines representing proper sample for each circle. Voltage wise losses for the circle should be extrapolated based on feeder metering data and scientific methods. The concerned circle officers shall be	**JVVNL & AVVNL:** Discoms submitted that in order to conduct the voltage-wise study, it is pre-requisite to establish metering at 33KV sub-station incomer, all 11KV feeders, all DTs associated to these 11KV feeders and AMR of all the consumers/prosumers with proper indexing and correct consumer tagging, with Meter Data Acquisition System, dynamic consumer tagging system and losses at various voltage levels. At present, none of energy meter at 33 KV level are provided with AMR. Further in rural

	made responsible for ensuring that the study is completed in time. Thereafter, the losses at Discom level are reworked out. The data report of such study be furnished to the Commission and based on that the Commission may consider fixing voltage wise losses.	areas, the DTs are not metered, and no AMR system is available. In this context, it is pertinent to mention here that smart metering is an essential component of the Revamped Distribution Scheme, which would automatically enable energy audits. Discoms have awarded work order to appoint Advanced Metering Infrastructure Service Provider (AMISP) to install AMI system for all consumers and DTs as well as consumer tagging on de-novo basis under the RDSS. The scope of prepaid smart metering includes remote Distribution Transformer metering, integration of communicable feeder metering, smart prepaid metering, consumer indexing and energy accounting in the scope of AMI service provider (AMISP). The Discoms requested the Commission to grant additional time to ensure full compliance with this directive. **JdVVNL:** JdVVNL is presently in the process of finalizing the Request for Proposal (RFP) for conducting the required study on voltage-wise losses, along with obtaining the requisite approvals.
11	**<u>Franchisee:</u>**	
	Discoms to finalize the report on the performance of the franchisees by independent auditor and furnish the report up to last financial year and comprehensive report of working of franchisee along with next ARR Tariff Petition and the same may also be placed on the website of Discom.	**JVVNL:** Discom submitted that independent audit reports for the operations of both KEDL and BESL has been finalized for the period of April 2021 to September 2022. Auditor has submitted the draft audit reports till Q1 FY 2025-26. Finalization of these reports is under process. **AVVNL:** Discom submitted that the Discom has published the report on the performance of Franchisees by

		Independent Auditor on its website up to the FY 2022-23. The reports for FY 2023-24 and FY 2024-25, is under finalization. **JdVVNL:** Discom submitted Independent Auditor M/s Crisil was awarded work for audit of operations of Distribution Franchisee, BkESL in Bikaner City for three years i.e., from April'17 To March' 20 and upon analyzing of all its submitted 12 Quarterly audit reports at Zonal Level were found to be satisfactory in March'24. The all 12 audit reports have been approved by a committee constituted at corporate level and the same has been uploaded on Discom's website. Discom submitted that the new tender of Audit of operations of Distribution Franchisee of M/s BkESL for the year April'20 to March'24 was floated and LOA (Work Order) was awarded to M/s KPMG Independent auditor in March'23. M/s KPMG has commenced work and has also submitted four Quarterly Audit Reports of 1st to 4th qtrs of FY 2023-24 which have been accepted along with qtrs. 1st to 4th of FY 2020-21 have been submitted for acceptance and work for remaining report is under progress. The same audit reports after been analyzed, approved and scrutinized will be uploaded on Discom's website.
12	**<u>Skill Development and Training:</u>**	
	Commission observes that implementation of policy for Skill Development in Discoms, it will boost workforce competency and adaptability. It may offer tailored training programs,	**JVVNL:** Discom submitted that, as per the requirement of directives of RERC, JVVNL shall come up with the training plan to impart adequate training to all of its employees. JVVNL has implemented the approved

	fostering innovation and reducing dependency on external agency. By investing in employee growth and safety, Distribution licensees ensure operational efficiency and enhance overall performance, staying competitive in a dynamic industry landscape. Therefore, the Discoms are directed to ensure necessary training of all staff including training on safety as per CEA Safety Regulations and intimate the same to the Commission along with next Tariff petition along with the amount spent on it.	training plan 2025-26 for the purpose of providing refresher course training to the employees this plan is in conformity with the provision of CEA safety Regulations. There are two levels of training that are provided in accordance with the training plan- 1. circle or division level training session 2. sub-division level safety training session As part of training for circle or divisional level four subjects are covered in a single day with one of those subjects being required to be a safety related topics lectures are given by working officers, officials, retired officers, experts and guest faculties members. Budget has been allocated by the AO Budget for conducting safety training in the head of training expenses to all the concerning circle AO's and Rs. 6.61 Lakhs has been allocated to the training wing under the head of training expenses, Discom submitted that in the power distribution sector, safety plays a very crucial role which cannot be overlooked in any condition. The Petitioner is committed towards ensuring the safety of its employees and consumers. Several steps are being undertaken to further enhance the focus on safety. Circle SEs have been directed to expedite pending enquiries to find out causes of accidents in the past and accordingly prepare action plans. The Discoms Co-ordination Forum in its meeting had already approved the specification of safety items and procedures for purchase thereof. Moreover, it has also been decided to provide safety devices like insulated shoes, helmets and rubber hand

		gloves individually to every technical worker besides other safety device like lineman safety belt, earthing chain, etc. which are being provided to technical workmen regularly. The workers have been directed to refuse to do work in absence of availability of adequate safety devices. Regular inspection of 33/11 kV sub-stations are being carried out to impart practical training to workers at workplace, check availability of safety devices and ensure their use by workers while performing work and initiate action against defaulters. A safety and training cell have been created and technical officers have been nominated as safety officers in each circle. Multiple training modules have also been developed and are imparted at various levels. Also, regular awareness sessions are carried out for employees and public as well. The Discom also uses various other platforms like advertising and social media in order to create awareness about the system among the consumers and educate them about the do's and don'ts related to electricity in order to avoid any mishaps or accidents. **AVVNL:** Discom submitted that it accords the highest importance to ensuring that adequate training is provided to the staff of the Discom. Accordingly, to ensure safety and reduced probability of electrical accidents, training on safety related matters is provided from time to time. Discom also submitted that during FY 2024-25, 12,829 employees were provided training at an expenditure of Rs. 57.39 Lakh. Moreover, during FY 2025-26, as on 30.09.2025, the Discom has provided

training to 3,509 employees, thereby incurring expenditure of Rs. 33.23 Lakh. Discom has also issued necessary directions to Contractors engaged by the Discom to deploy adequately trained and skilled FRT employees.

JdVVNL: Discom submitted that for skill development, Discom Engineers and Other Officers from Accounts and Personnel wing are regularly nominated and sent to attend various paid/sponsored training Programs at campus of recognized national institutes such as REC-IPMT, NPTI, TATA Power, ESCI, HCM RIPA etc. In Discom campus NPTI and REC-IPMT are conducting various sponsored training programs. Details below-

Year	No. of Participants Trained year wise and Cadre wise			
	CE/SE / XEN's /AEN's/ JEN's	Ministerial Staff / Accounts Wing/Personnel wing	Technical Employees	Total
2025-26	290	154	1705	2149
2024-25	692	539	3179	4410

As per CEA Regulations, Safety Training Programs are being conducted for Technical Workmen at Old Power House and Division Levels by Discom Training wing regularly. For FY 2024-25 Rs. 5, 23,573 was incurred other than sponsored training programs.Discom also submitted that for the FY 2024-25, no additional investment has been incurred to ensure safety and compliance of the

		Regulations under any schemes.
13	**Monetization of Discom's Assets:**	
	Commission directs Discoms to ensure that for laying communication cables on poles, safety regulations should not be ignored at any cost. Discoms should strictly follow safety regulations. The Commission observes that the Discoms are the state govt. owned companies and have prime responsibility to supply safe, reliable, and affordable power to the consumers of the state. It is in the best interest of Discom themselves to ensure full revenue realization from monetization of its assets including cable on poles. Accordingly, the Commission directs the Discoms to take all necessary steps for measurement / verification of revenue for use of their assets and monetize revenue for such business. At the cost of repetition Commission would like to again mention that this is not the core business of utilities and in any case safety is to be given prime importance. Accordingly, the Management of Discoms are directed to take an appropriate view as regards ensuring measurement & verification of assets in use and revenue from them in consultation with the State Govt.	**JVVNL & AVVNL:** Discoms submitted that they acknowledges the directives issued by the Commission regarding the monetization of Discom assets and the strict adherence to safety regulations while permitting the laying of communication cables on poles. JVVNL also submitted that regarding recovery of pole rental charges and compliance of safety regulation in laying of telecommunication/OFC Cables on Discom's electric poles, an order JPR5-1190 has been issued and circulated in field for strict compliance. Filed officers are responsible for actual measurement/verification of poles and recovery of revenue for use of Discom's assets along with the compliance of safety regulations. AVVNL submitted that during FY 2024-25, the Discom has recorded revenue of Rs. 5.11 Crore through pole rental. **JdVVNL:** Discom submitted that a policy in regard to Asset Monetization provisioning various means for monetization of Discom Assets such as Pole Rental, EV Charging facility, Leasing of Discom buildings, Asset based advertisements and Solar Power Plants has been circulated & commercial orders containing the pole rental details has been circulated. The amount realized against pole rental for FY25 is Rs 10.35 Crores from 99662 poles. Further, Discom will actively explore the potential for developing Solar Power Plants on vacant lands and the rooftops of buildings owned by the Nigam. To ensure

	and also give prime importance to safety of its system, employees and consumers.	the feasibility and financial viability of such projects, a comprehensive cost-benefit analysis will be conducted. This analysis will help us assess the potential returns and benefits of investing in solar energy infrastructure. By harnessing solar power, JdVVNL aims to optimize the use of its available resources, contribute to sustainable energy initiatives, and potentially generate additional revenue streams. This endeavor aligns with their commitment to promoting renewable energy solutions and enhancing the overall operational efficiency of JdVVNL. Discom is dedicated to pursuing this initiative diligently and responsibly, ensuring that all aspects are thoroughly evaluated before moving forward with the development of Solar Power Plants.
14	**Intra state and inter State Losses:**	
	Discoms are again directed to keep a separate account of interstate and intrastate losses and give bifurcation while filing next ARR petitions.	**JVVNL & JdVVNL:** Discoms submitted that a committee has been formed to work out Inter and Intra state Losses of Discom. The compliance to provide bifurcation of interstate & intrastate losses will be done from FY 2025-26 onwards. **AVVNL:** Discom submitted that a committee has been formed to work out Inter and Intra Losses of Discom. Deliberations of the Committee are ongoing. Therefore, Discom requested the Commission to grant some more time to comply with the directive. Furthermore, the Instant Petition is based on the audited accounts for FY 2024-25 as per Regulation 8 (3) of the Tariff Regulations notified by the Commission. The audited accounts of the Discom does not include

		information of inter and intra state transmission losses separately.
15	**<u>Implementation of IT and ERP:</u>**	
	The Commission observed that Discoms are not yet able to implement the ERP. Whereas this should have been the top priority as implementation of IT will bring in necessary synergies and efficiency, control & decision making in the system. Accordingly, the Discoms are directed to make all out efforts for early implementation of IT & ERP across all modules. Discoms should also ensure that targets and benchmark of RDSS are achieved, so that Discoms can avail full grant available to them under RDSS.	**JVVNL & AVVNL:** Discoms are making best efforts for early implementation of IT & ERP across all modules. Discoms also ensure that targets and benchmarks of RDSS are achieved, so that Discoms will avail full grant available to them under RDSS. Discoms submitted that the web-based ERP system was implemented by M/s RISL and presently following three modules are working:- a. Finance & Account b. Material Management c. Human Resource Management. Further, Discoms also submitted that presently, the tendering work of new ERP Project was transferred to the new IT company i.e. RUVITL, Jaipur. The Discoms are making its best efforts for early implementation of IT & ERP across all modules. **JdVVNL:** Discom submitted that to automate the Discom's daily internal business operations in Jodhpur Discom, an Enterprise Resource Planning (ERP) system has been implemented by M/s Raj Camp Info Services Ltd., Jaipur (RISL) as per work order awarded by CAO (B&R), Jodhpur Discom, functionalities covered under Jaipur Discom RFP TN-75. Total 17 sub modules developed under 4 main modules in ERP. As per decisions taken during the three Discoms common CLPC meeting held on dt 07.12.2023 and subsequent Jodhpur Discom

		CLPC meeting held on dt 29.04.2024 a revised work order was issued to M/s RISL under which new FMS is ongoing w.e.f. 01.12.2023 for 2 years or till Go- Live of new ERP under RDSS (whichever is earlier). For implementation of ERP System under RDSS, a common tender for implementation of ERP across all three Discoms was initially floated by Jaipur Discom. However, the tender process was extended multiple times due to lack of bidder participation. As per directions given by the Additional Chief Secretary (Energy) during meeting held on dt 05.06.2024 the tender process was transferred to IT Company RUVITL. The RUVITL floated new tender for ERP on dt 28.11.24. In due course after technical & financial evaluation the tender was dropped by RUVITL on dt 28.07.2025 due to administrative reasons. Present Status of new ERP Tender: In the new ERP Tender under RDSS Scheme the ERP user licenses are being re-worked to higher numbers than mentioned in the dropped tender to cater maximum no of Discom employees. New modules like E-Office, billing process and Audit modules are to be added to the existing modules defined in the said tender. Accordingly, new RFP has been prepared and new tender will be floated soon. For uninterrupted functioning of existing RajERP system, the Chairman has requested the Secretary and Commissioner DoIT&C, Jaipur for extending the current FMS work order for an additional period of 12 months with the existing features and functionalities.

16	**Voltage wise cost of supply:**	
	Discom are directed to institute a study for submitting Voltage wise cost of supply based on actual voltage wise losses and sales and submit a report along with the next year ARR and Tariff Petition for FY 2026-27.	**JVVNL, AVVNL & JdVVNL:** Discoms submitted that in order to conduct the voltage-wise study, it is pre-requisite to establish metering at 33KV sub-station incomer, all 11KV feeders, all DTs associated to these 11KV feeders and AMR of all the consumers/prosumers with proper indexing and correct consumer tagging, with Meter Data Acquisition System, dynamic consumer tagging system and losses at various voltage levels. At present, none of energy meter at 33 KV level are provided with AMR. Further in rural areas, the DTs are not metered, and no AMR system is available. In this context, it is pertinent to mention here that smart metering is an essential component of the Revamped Distribution Scheme, which would automatically enable energy audits. The Discoms have awarded work order to appoint Advanced Metering Infrastructure Service Provider (AMISP) to install AMI system for all consumers and DTs as well as consumer tagging on de-novo basis under the RDSS. The scope of prepaid smart metering includes remote Distribution Transformer metering, integration of communicable feeder metering, smart prepaid metering, consumer indexing and energy accounting in the scope of AMI service provider (AMISP). The Discoms requested the Commission to grant additional time to ensure full compliance with this directive.
17	**Consumer Awareness and Standards of Performance:**	

	Commission observes that The RERC (Standards of Performance for Distribution Licensees) Regulations, 2021 provides for compensation provisions to be paid by the Licensee/franchisee to the affected person upon lodging of a claim for compensation, in case of failure of a licensee/franchisee to meet the Guaranteed SoP as specified in these Regulations. These Regulations also provides mechanism for complaints related to ―No Current complaints, ―no- current complaint due to meter‖ and ―testing of Meters parameters, wherein, there shall not be a need to file the complaint for compensation purpose and the licensee, based on its records, shall credit the compensation amount in next bill i.e. provide automatic compensation. The Commission observed that smart meter implementation has started. Accordingly, the Commission again directs that wherever smart meters are installed Discoms should start reporting all parameters including above based on smart meters and pay direct compensation immediately. The licensee is required to maintain SAIFI and SAIDI and need to pay compensation for this as well as the shortfall in other	**JVVNL:** Discom has implemented 'Smart Customer Care Center' under which various type of complaints of consumers are being registered i.e. 'No current' compliant, 'Meter related complaint, Safety related complaints, 'Transformer related complaints', Theft complaint etc. In addition to above consumers complaints are being registered through 'Call', 'SMS', 'WhatsApp', 'email', 'face-book', 'Help-desk', 'IVRS', 'Messenger', 'Twitter', 'Webchat'' , 'Sampark portal', 'Bijli Mitra', 'CM help line' etc. The Sr. AO (Billing) has also been directed to formulate a logic to utilize the parameters provided by the Smart Meters to pay direct compensation to consumers immediately. Further, Discom has undertaken the work of 'Smart Meter Implementation' and SAIFI and SAIDI are being calculated in 'Utility Billing System' through integration of 'Feeder Monitoring System' and 'DT Metering System'. The Sr. AO(Billing) has also been directed to formulate a logic to utilize the parameters provided by the Smart Meters to pay direct compensation to consumers immediately. As per the provisions of RERC (Standards of Performance for Distribution licensee) the information regarding planned and unplanned power cut/load shedding information is available on Jaipur Discom's website "https://energy.rajasthan.gov.in/jvvnl/" under the tab "Bijli Band Soochna" and facility is available for sending the SMS to consumers. The Discom submitted that, in order to strengthen consumer grievance redressal

	services. The Discoms are required to provide uninterrupted power supply to the Consumers. Discoms are also directed to indicate the details of automatic compensation made and their preparedness to include more parameters for inclusion in the list of automatic compensation. Accordingly, Commission directs Discoms to intimate information of power cuts to the concerned as per provision of RERC (Standards of Performance for Distribution Licensees) Regulations, 2021. Even for unscheduled load shedding the Discoms should intimate consumers as soon as possible through SMS, Whatsapp etc. Commission also observes that during the hearing it was pointed out by stakeholders that Discoms may arrange bijli chaupals for interaction with consumers and also pointed out that Discoms are charging high cable testing charges. Discoms may also look into stakeholders' submission regarding cable testing charges.	and ensure effective communication with the public, Jaipur Discom has institutionalized a structured schedule for regular public interaction and grievance hearings. This initiative aims to promote transparency, accessibility, and timely resolution of consumer concerns related to electricity supply and services. **1.** <u>Bijli Chaupal</u> ● Bijli Chaupal is organized on the first Tuesday of every month at the Assistant Engineer (AEn) Office level. ● This forum serves as the primary interaction platform between consumers and field officers. ● Issues relating to electricity supply interruptions, billing disputes, metering discrepancies, new service connections, and other service-related complaints are discussed and resolved on the spot, wherever feasible. ● All concerned field officers ensure their presence and proactively engage with consumers for resolution of issues. **2.** <u>Jansunwai by Sub-Divisional Magistrate (SDM)</u> ● Jansunwai at the SDM level is conducted on the second Thursday of every month. ● These hearings are intended for review of pending grievances, including those related to electricity supply and other public services. ● The SDM coordinates with concerned departmental officers to ensure inter-departmental resolution of citizen

		issues. ● Jaipur Discom Officers attend the Jansunwai with updated information on complaints pertaining to their jurisdiction and ensure that electricity-related matters are addressed promptly. **3.** <u>Jansunwai by District Collector</u> ● The District Collector's Jansunwai is organized on the third Thursday of every month. ● It provides an escalation platform for unresolved issues that could not be redressed at the subdivision level. ● This meeting facilitates direct interaction between citizens and the district administration, ensuring accountability and timely redressal. ● Officers from Jaipur Discom participate with complete case details and ensure that follow-up actions are taken immediately after the meeting. **4.** <u>Daily Consumer Interaction Hour</u> ● Jaipur Discom remains proactive in addressing consumer grievances throughout the year. ● To institutionalize continuous communication, all Discom officers have a dedicated meeting period from 3:00 PM to 4:00 PM on every working day exclusively for listening to consumer issues and resolving them promptly. ● This regular interaction strengthens public trust and ensures quick response to individual complaints

		outside the scheduled Chaupal and Jansunwai programs. **5.** Responsibilities of Field Officers ● Field officers maintain an updated complaint register reflecting grievance status and action taken. ● They ensure proper documentation of issues discussed and resolved during Bijli Chaupal and Jansunwai meetings. ● Regular follow-up of pending matters with higher authorities is ensured to guarantee time-bound disposal. ● Reports of the meetings and resolution status is submitted to the next higher office for review. Through this structured schedule and daily engagement mechanism, Jaipur Discom reaffirms its commitment to consumer-centric service delivery, transparency, and responsiveness in all its operations **AVVNL:** Discom submitted that it is complying with the provisions of the RERC (Standards of Performance for Distribution Licensees) Regulations, 2021. Moreover, consumers are requested to register their complaints through any of the facilities established by the Discom such as Call Centre, SMS, WhatsApp, E-mail, Facebook, Help Desk, IVRS, Twitter, Webchat, Sampark Portal, etc. Discom submitted that it has a well-developed practice over the years of conducting Jan Sunwai camps. The grievances are noted and resolved to the satisfaction of the aggrieved consumers. Discom sincerely acknowledges the importance of having a transparent two-way communication between the Discom

		and its consumers. In this regard, directions have been imparted to plan exclusive Bijli Chaupals in every sub-division of AVVNL to improve consumer awareness on matters related to safety, agriculture hours supply, consumer grievance redressal, new schemes etc. and take corrective actions as per the feedback received from the consumers. Bijli Chaupals are planned at Sub-division level to enable the Officers of the Discom to better interact with consumers at the ground level. Directions have been accorded to conduct Bijli Chaupal along with the Jan Sunwai camps conducted by the Discom. Furthermore, the Discom has also a well-developed practice of organizing Bijli Chaupal in association with the concerned Gram Panchayat of the rural area in order to establish constructive communication between the Officers of the Discom and consumers in rural areas and to resolve and redress consumer grievances immediately. **JdVVNL:** Discom submitted that it has issued necessary instructions to conduct Bijli Chapual. Further the Discom is in process of implementing the automatic compensation mechanism. BRD (Business Requirement Document) related automatic compensation to all consumers for complaints –no current complaints due to meter and testing of meters registered at Centralized Customer Care Centre has been submitted by M/s BCITS to Sr. AO (B&R), JVVNL, Jaipur for approval. At present, for all three Discoms, BRD is in process of being reviewed.
18	**<u>ToD tariff:</u>**	

	Battery energy storage systems can play a pivotal role in supporting the implementation of Time-of-Day (ToD) tariffs for rooftop solar and other DER consumers. By enabling the storage of excess Renewable energy generated during low-demand periods (typically midday), batteries allow consumers to utilize stored power during peak demand hours, thereby reducing their reliance on the grid when electricity prices are highest. This not only enhances consumer savings under a ToD tariff regime but also contributes to peak load shaving, improved grid reliability, and better integration of intermittent renewable sources. Furthermore, battery storage enhances the overall value proposition of rooftop solar systems by ensuring energy availability beyond sunlight hours and supporting ancillary services such as frequency regulation and voltage control. In this regard, The Commission directs Discoms for analysis of ToD structure regularly and make suitable proposal in next tariff petition keeping their load curve and need to shift load based on the availability of power viz-a-viz power requirement during different season. Discoms should also explore	**JVVNL & JdVVNL:** Discoms submitted that discoms are currently working on Time-of-Day (ToD) tariff proposals, which will be submitted along with the Aggregate Revenue Requirement (ARR) and Tariff Petition for FY 2026–27. **AVVNL:** Discom submitted that vide Tariff Order for FY 2025-26 dated 03.10.2025, the Commission has approved applicability of ToD Tariff for all categories of consumers (except agriculture) with connected load above 10 kW. As the ambit of ToD Tariff has been widened significantly over almost all categories of consumers only recently, the Petitioner is presently undertaking a comprehensive analysis of the ToD Tariff structure. The Discom requested some time for filing a proposal on ToD Tariff as sought by the Commission.

	mechanisms to incentivize consumers— particularly those with distributed energy resources—for adopting Battery Energy Storage Systems (BESS) at the consumer level. Encouraging behind-the- meter storage will not only enhance the overall penetration of BESS but also help in optimizing load management and improving reliability at the local level. Such decentralized adoption can significantly reduce the need for Discoms to invest in large-scale upstream storage infrastructure and will also alleviate stress on the distribution network by flattening demand peaks and supporting voltage Regulation.	
19	**<u>Reduction of Losses –adoption of circles by MD:</u>**	
	Distribution licensees are also directed to continue to undertake a focused, time-bound diagnostic study of all high-loss circles, i.e. where AT&C losses are more than 20%, with the objective of determining the root causes of elevated losses. The assessment shall encompass a detailed analysis of feeder-level and distribution transformer-level losses, metering coverage and accuracy, billing and collection efficiencies, and incidences of electricity theft or unauthorized consumption. Pursuant to this analysis, Discoms	**JVVNL:** Discom submitted that Discom acknowledges the Commission's directive and will submit the necessary details with the next ARR Petition as instructed. Furthermore, the Discom has implemented the following measures: • Distribution loss reduction targets have been set for each circle, with instructions for further allocation by sub-division. • Guidelines have been issued for the M&P wing to monitor daily energy drawl, ensuring any increase is effectively converted into energy sales. • Instructions have been provided for the prompt issuance of initial bills.

shall prepare and submit a comprehensive, circle-wise Loss Reduction Action Plan outlining targeted interventions in metering, system audit, enhance vigilance and consumer engagement. These shall include, but not be limited to, accelerated deployment of smart meters, replacement of defective or bypassed meters, feeder and DT metering, system audits, enhanced vigilance and enforcement mechanisms, and structured consumer engagement initiatives. Necessary network strengthening measures—such as conductor re-sizing, transformer augmentation, and load balancing—must also be incorporated where technical losses are significant.

The Commissions also directs that MDs shall continue to furnish the information of Losses and revenue realized in the adopted three (3) circles with highest losses adopted by their MD/Director also indicating interventions made and outcome in terms of reduction of losses and with next year ARR they shall give a snapshot of losses of adopted circles for FY 2021-22 to FY 2025-26.

- Directions have been given for the timely replacement of defective meters to ensure accurate billing and minimize losses from consumer rebates for meters that remain defective for over two months.

Vigilant measures are in place to reduce theft, and efforts are being made to promptly resolve pending VCRs.

JVVNL submitted the snapshot of AT&C losses as below:

FY	Bharatpur	Dholpur	Karauli
2021-22	36.88%	41.51%	18.80%
2022-23	32.84%	32.61%	28.59%
2023-24	25.06%	29.46%	25.18%
2024-25	17.51%	25.30%	21.60%

AVVNL: Discom submitted the tentative figures of distribution losses based on MIS recorded in the three circles adopted by the Managing Director, AVVNL is illustrated below:

Circle	FY 2021-22	FY 2025-26 (as on Oct-2025*)
Nagaur	27.57%	19.18%
Sikar	13.07%	5.57%
Jhunjhunu	13.96%	4.84%

Discom submitted that in compliance with the directions issued by the Commission in earlier Tariff Orders, the Discom had undertaken focused efforts to reduce

		losses in Nagaur circle. As a result, losses in Nagaur circle have reduced from 27.57% to 19.18% as on October 2025 (tentative). The Discom shall continue focused efforts in earnest to ensure that the distribution loss in Nagaur circle is within the benchmark stipulated by the Commission. **JdVVNL:** Discom submitted that several initiatives have been launched to reduce AT&C losses and improve revenue realization across all circles. Monthly review meetings are chaired by the MD with SEs, nodal AAOs, and AEns to monitor subdivision-wise progress against targets, and revised targets are set where necessary. Vigilance teams are reviewed regularly, and nodal officers have been appointed for each circle to conduct frequent site visits and verify key parameters. Upto Oct -2025, 10109 Vigilance checking has been done by vigilance team, wherein 3495 Nos. theft reported, 1722 Nos. FIR lodged, and realization done for 841 Lac. Under RDSS, works are prioritized in theft-prone areas, including replacement of bare conductors with AB cables and strengthening of the network through conductor resizing, transformer augmentation, and load balancing. A major focus is on metering improvements. Accelerated deployment of smart meters is being closely monitored, with priority given to areas where meters are defective, bypassed, or theft-prone. Feeder-level and DT-level audits are being conducted to ensure all consumers are identified and metered with functional

<table>
<tr><td></td><td></td><td>meters, and DT metering is being implemented for accurate energy accounting. Consumer engagement programs are also being rolled out to improve billing and collection efficiency and curb unauthorized consumption.

Discom regularly reviews progress with all key stakeholders to ensure AT&C losses are reduced in line with Commission directives. With further advancement of RDSS works and smart metering projects, circle-wise losses are expected to decline significantly, resulting in improved revenue realization for the Discom.

The T&D loss of the Circles are as below:

<table>
<tr><td>FY</td><td>Churu</td><td>Jodhpur District</td><td>Bikaner District</td></tr>
<tr><td>2021-22</td><td>23.57%</td><td>33.93%</td><td>30.14%</td></tr>
<tr><td>2022-23</td><td>26.32%</td><td>35.30%</td><td>33.21%</td></tr>
<tr><td>2023-24</td><td>27.13%</td><td>34.99%</td><td>33.23%</td></tr>
<tr><td>2024-25</td><td>20.77%</td><td>34.89%</td><td>31.78%</td></tr>
<tr><td>2025-26 (up to Dec)</td><td>20.22%</td><td>30.58%</td><td>32.51%</td></tr>
</table>
</td></tr>
<tr><td>20</td><td colspan="2"><u>Energy Audit:</u></td></tr>
<tr><td></td><td>Commission observes that Discoms have not submitted circle wise energy audit data. Discoms submitted that replacement of defective meters is an ongoing process, which is carried out with utmost urgency.
The Commission after reviewing the compliance, again directs</td><td>JVVNL: Discom submitted that the Metering & Protection (M&P) wing makes every effort to ensure that feeder meters remain functional and replaces defective meters at the earliest possible time, subject to the availability of replacement meters. In the event that a feeder meter (main meter) becomes defective, the consumption for that feeder is recorded</td></tr>
</table>

	that Discoms should review the position of defective meter and where meter remained defective for more than one billing cycle and action be taken against the Officer/Official responsible for it. Commission also directs that Discoms should publish their energy audit report on website after due review at management level.	using the respective standby meter installed at the circuit breaker. Discom published their yearly and quarterly Energy Audit Reports on the JVVNL website as received from the M&P Wing. The reports are available under the Documents tab in the Energy Accounting Report section. The URLs for both the yearly and quarterly reports are enclosed for reference. *https://energy.rajasthan.gov.in/jvvnl/#/sm/department-order/372236/188/15/2433/32163 , https://energy.rajasthan.gov.in/jvvnl/#/sm/department-order/372238/188/15/2433/32161* **AVVNL:** Discom submitted that Quarterly Energy Audit Reports for Quarter-1 and Quarter-2 of FY 2025-26 and Annual Energy Audit Report for FY 2024-25 is placed on the website of the Discom. Moreover, the Discom is complying with the Bureau of Energy Efficiency (Manner and Intervals for Conduct of Energy Audit in Electricity Distribution Companies) Regulations, 2021. Discom also submitted that the Metering & Protection (M&P) wing makes every effort to ensure that feeder meters remain functional and replaces defective meters at the earliest possible time, subject to the availability of replacement meters. **JdVVNL:** Discom submitted that the Metering & Protection (M&P) wing undertakes all necessary measures to ensure the continuous functionality of feeder meters. Defective meters are replaced at the earliest opportunity, subject to the availability of replacement units. In circumstances where a feeder

		meter (main meter) becomes non-functional, energy consumption for the respective feeder is duly recorded through the standby meter installed at the associated circuit breaker, in compliance with established protocols. Energy Audit Report has been published on Discom's website and may be accessed at *https://jankalyanfile.rajasthan.gov.in/WebMyWayFiles/OrderEntry/JDVVNL/2026/Other_Reports/O_150126_9f69dd7a-fb63-4643-86de-d527a667c1c4.pdf*
21	**<u>Interest on Security Deposit:</u>**	
	The Commission again directs that in July while the Discoms credit the interest they should also issue a press release in major newspapers and at the same time inform each consumer through e-mail and SMS about credit of Interest on Security Deposit.	**JVVNL:** Discom submitted that the consumers have been intimated through e-mail and SMS regarding the amount of interest on security deposited credited & adjusted in bills. **AVVNL:** Discom submitted that directions have been issued to send e-mail and SMS to registered mobile number and e-mail of consumer as regards credit interest of security deposit. **JdVVNL:** Discom submitted that the consumers are being intimated through SMSs regarding the amount of interest on security deposited credited & adjusted in bills and the same is also reflected in the online generated electricity bills (through Bijli Mitra App) of the Consumer along with Code – 54.
22	**<u>Terminal benefit:</u>**	
	Commission observes that Discoms have not deposited the terminal benefits as approved by the Commission in the designated trust and have not submitted any plan to meet their	**JVVNL:** Discom submitted that payment of Rs. 375 Cr. has been made towards Superannuation fund. Furthermore, the Discom assures that they are committed for making every effort to deposit an amount at least equivalent to what has been

<table>
<tr>
<td></td>
<td>liability towards terminal benefit. Commission viewed it seriously.
The Commission again directs the Discoms that they should deposit the required amount in the funds and also take up the matter with State Govt. and make a plan to meet their liability towards terminal benefit and ensure that the required contribution is deposited in the terminal benefit trusts. The Discoms in consultation with the State Govt. should make a plan to fulfill the same and start depositing the amount in respective trust. Discoms should file a detailed report indicating their plan to fulfill their liability and action on that with next ARR/Tariff petition positively.
The Discoms should also comply with the statutory provisions of other laws/Acts applicable to the terminal benefits. The Discoms should ensure to deposit pending liabilities and regular contributions to the designated superannuation and Gratuity funds otherwise the Commission may consider taking an action under section 142 of the Act.</td>
<td>approved by the commission in the future.
AVVNL: Discom submitted the expenditure provided (before capitalization) for in the financial statements has been increasing over the years as shown below:
<table>
<tr><td>Particulars</td><td>FY 2022-23</td><td>FY 2023-24</td><td>FY 2024-25</td></tr>
<tr><td>Terminal Benefits (Rs.Cr.)</td><td>536.95</td><td>735.31</td><td>898.76</td></tr>
</table>
Moreover, the table below compares the expenditure approved by the RERC and the expenditure actually provided for in FY 2024-25:
<table>
<tr><td>FY</td><td>Particulars</td><td>Approved (Rs.Cr.)</td><td>Actual (Rs. Cr.)</td></tr>
<tr><td>FY 2024-25</td><td>Terminal Benefits (Rs.Cr)</td><td>570</td><td>898.76</td></tr>
</table>
Thus, during FY 2024-25, the Discom has provided for expenditure towards Terminal Benefits in excess of the amount approved by the Commission. Discom also submitted that an amount of Rs. 2 Crore per working day is being disposed of by the Discom w.e.f April 2025 as Additional Contribution in RRVK Superannuation Fund Trust against gap between fund position and actuarial liability. During FY 2025-26, the Discom has deposited Rs. 264 Crore till 17.10.2025 as Additional Contribution in RRVK Superannuation Fund Trust.
JdVVNL: Discom submitted that it has been depositing the additional fund to RVPN-Pension trust with regular deposit despite facing the financial crunch.</td>
</tr>
</table>

23	**<u>Safety measures:</u>**	
	Discoms should create awareness on safety to general public. Earthing of single phase transformers in rural area is not proper. Feeders are lengthy without protection. Burning rate of transformers is quite high. Also, Discoms are not complying with the Safety Regulations. Communication cables on poles are not laid as per technical specification and safety requirement. Commission has viewed it seriously. Commission time and again has directed Discoms to comply with the safety regulations and in commission view safety provision should not be ignored and kept at forefront (i.e. safety first) Discoms should provide safety tools to the workman and focus on earthing, guarding and fencing. It is noted that CEA has issued CEA (Measures Relating to Safety and Electric Supply) Regulations, 2023. The Discoms are directed to strengthen their M&P wing and carry comprehensive review of their safety practices including requirement of breakers & fuses at various places in light of these Regulations. The Commission reiterates that it is willing to consider any additional amount spent on training of employees and on safety for	**JVVNL:**–Discom submitted that in the power distribution sector, safety plays a very crucial role which cannot be overlooked in any condition. The Discom is committed towards ensuring the safety of its employees and consumers. Several steps are being undertaken to further enhance the focus on safety. Circle SEs have been directed to expedite pending enquiries to find out causes of accidents in the past and accordingly prepare action plans. The Discoms Co-ordination Forum in its meeting had already approved the specification of safety items and procedures for purchase thereof. Moreover, it has also been decided to provide safety devices like insulated shoes, helmets and rubber hand gloves individually to every technical worker besides other safety device like lineman safety belt, earthing chain, etc. which are being provided to technical workmen regularly. The workers have been directed to refuse to do work in absence of availability of adequate safety devices. Regular inspection of 33/11 kV sub-stations are being carried out to impart practical training to workers at workplace, check availability of safety devices and ensure their use by workers while performing work and initiate action against defaulters. A safety and training cell have been created and technical officers have been nominated as safety officers in each circle. Multiple training modules have also been developed and are imparted at various levels. Also, regular awareness sessions are carried out for employees and public as well. The

compliance of Safety Regulations.

Discom also uses various other platforms like advertising and social media in order to create awareness about the system among the consumers and educate them about the do's and don'ts related to electricity in order to avoid any mishaps or accidents. The following works are being carried by the Petitioner with an aim to avoid accidents and ensuring operational safety:

1. Reconditioning of single & three phase distribution transformers
2. Replacement of obsolete AB cables
3. Earthing of single-phase DT's
4. Tightening of loose AB cable
5. Providing M-seal / repairing of unsealed cable points.
6. Providing Insulated connectors
7. Replacement of nonoperative roster switches.
8. Installation of new roster switches.
9. Repair/replacement of nonoperative circuit breakers.
10. Installation of new circuit breakers.
11. Replacement of nonfunctioning feeder meters.
12. Improvement of earthing at 33 KV substation/power transformers etc.

The details of Amount spent over and above O&M expenses towards safety compliance is as under: -

Circle	Safety Devices (75.742)	Consumer Awarenes s (76.320)
ALWAR	1297670	4879000
BARAN	0	3423500
BHARATPUR	830931	1722000
BHIWADI	513048	1517000
BUNDI	1413995	1640000
DAUSA	978171	4182000
DEEG	645289	1476000

DHOLPUR	187225	7536112
DUDU	527125	861000
GANGAPU RCITY	0	1804000
JCC-NORTH	1494466	4571500
JCC-SOUTH	1238657	3403000
JHALAWAR	0	3936000
JPDC-NORTH	561139	3444000
JPDC SOUTH	896900	4393500
KARAULI	1183742	2480500
KOTA	2668774	2726418
KOTPUTLI	0	2808500
SAWAI MADHOPUR	123585	1446360
TONK	969248	2706000
M&P-IT	0	140512254
PPM	0	295000
Total	15529965	201763644

AVVNL: Discom submitted that special care is taken to ensure that required safety equipment is provided to the staff of the Discom and placed in 33/11 kV GSS. Furthermore, the Discom is complying with the provisions of the CEA Safety Regulations.

Discom submitted that it accords the highest importance to ensuring that adequate training is provided to the staff of the Discom. Accordingly, to ensure safety and reduced probability of electrical accidents, training on safety related matters is provided from time to time. Discom also submitted that during FY 2024-25, 12,829 employees were provided training at an expenditure of Rs. 57.39 Lakh. Moreover, during FY 2025-26, as on 30.09.2025, the Discom has provided training to 3,509 employees, thereby incurring expenditure of Rs. 33.23 Lakh.

		Discom submitted that that during the FY 2024-25, the Discom had incurred an expenditure of Rs. 4.98 Crore towards safety devices. The Petitioner clarifies that expenses towards safety compliance are being recorded under the head "Staff Welfare Expenses" of the audited books of accounts. The Discom has also issued necessary directions to Contractors engaged by the Discom to deploy adequately trained and skilled FRT employees. **JdVVNL:** Discom made aware of dangers related to electricity and is informed about the measures to prevent possible accidents through flex banners, camps and various newspapers. It is also submitted that high risk points (earthing not provided of single phase transformers, lines having loose wire/sag, guarding not provided on road crossing etc.) are collected from all subdivisions for further measures to ensure safety. The feeder bifurcation work is ongoing under RDSS scheme. Further, Discom submitted that all safety equipment and tool are being provided by the concerned SE O&M of respective circles. Further, regular correspondence to the concerned SE O&M are being made to comply with the safety regulations and also provide safety equipment / tools to the workman and focus on earthing, guarding and fencing as per CEA Regulations which should also be ensured during their field visit/inspection. Discom submitted that for the FY 2024-25, no additional investment has been incurred to ensure safety and compliance of the Regulations under any schemes.

	Other Directives:	
24	**Use of electricity derivatives through Power Market by the Discom to hedge risks**	
	Electricity derivatives serve as effective financial instruments for distribution companies (Discom) to hedge against the risks associated with electricity price volatility and demand fluctuations. By entering into these contracts, Discoms can lock in prices for future power procurement, thereby ensuring cost stability and budget predictability. This becomes particularly important during periods of high demand or unexpected supply shortages, where spot market prices may spike sharply. The use of electricity derivatives allows Discoms to mitigate market price risks, stabilize cash flows, and plan finances more effectively. It also supports the setting of more affordable and consistent consumer tariffs, as procurement costs become more predictable. Furthermore, integrating derivatives into power procurement strategies enables Discoms to diversify their energy portfolios and adopt more flexible, optimized approaches to meeting demand. In light of the above, it is suggested that Discoms may explore electricity derivatives as a strategic component of their	**JVVNL, AVVNL & JdVVNL:** Discoms submitted that, at present, RUVITL is not participating in electricity derivative instruments or related financial contracts for power procurement. The company currently manages price and demand risks primarily through diversified short-term market participation—including the Day-Ahead Market (DAM), Real-Time Market (RTM), and Term-Ahead Market (TAM)—and through optimal scheduling based on Merit Order Dispatch (MOD) principles. RUVITL however intends to study and evaluate the operational, financial, and regulatory aspects of adopting electricity derivatives as part of its risk management and procurement strategy, in line with the Commission's guidance.

	power procurement and risk management practices. By building internal capacity or engaging financial experts, Discoms can effectively utilize these tools to hedge against market uncertainties. They may also develop a structured risk management policy incorporating derivatives. Proactive participation in the derivatives market will not only protect Discoms from financial shocks but may also contribute to long-term tariff stability and improved operational efficiency.	
25	**Use of Artificial Intelligence in Demand Forecasting and Demand Response:**	
	Artificial Intelligence (AI) has emerged as a critical enabler in enhancing the efficiency, accuracy, and responsiveness of power system operations, particularly in the domains of demand forecasting and demand response. In the area of demand forecasting, AI-based algorithms, including advanced machine learning and neural network models, are capable of processing large volumes of historical and real-time data such as consumer usage patterns, meteorological inputs, temporal factors, and market dynamics. These systems offer utilities and distribution licensees the ability to generate highly accurate and dynamic forecasts, thereby facilitating more effective	**JVVNL, AVVNL & JdVVNL:** Discoms submitted RUVITL has engaged a consultant to provide technical support and implement AI-based demand forecasting solutions, to leverage RUVITL's existing datasets to generate intelligent business insights using data visualization and analytics.

	resource planning and grid management. AI further enables predictive modeling through simulation of various stress scenarios, including peak load conditions and weather-induced demand variations, which aids in maintaining grid reliability and operational resilience. Distribution licensees are advised to proactively adopt and implement Artificial Intelligence (AI)-based technologies across demand forecasting and demand response operations to enhance operational efficiency, grid reliability, and consumer satisfaction. In view of the increasing complexity of load patterns and the growing penetration of renewable energy, AI integration has become imperative for accurate load projections and timely system balancing. Discoms shall undertake necessary system upgrades, including deployment of advanced metering infrastructure (AMI), data acquisition tools, and AI-enabled analytics platforms. They are further directed to develop institutional capacity and technical expertise for the effective use of AI tools in planning and real-time decision-making processes.	
26	**<u>Exploring Cost-Effective Power Procurement through Power Exchanges:</u>**	

	Discoms may also proactively explore and enhance procurement of cost- effective power and also try to reap maximum benefit through power exchanges such as the Day-Ahead Market (DAM), Real-Time Market (RTM), Term-Ahead Market (TAM), and Green Energy Market. These platforms provide flexibility and opportunities to procure power at competitive rates, especially during periods of low market clearing prices or surplus availability in the grid. The Discoms may also study practices being adopted by other state utilities for taking optimum benefit of short term market and may undertake the following measures: Periodic analysis of merit order dispatch and real-time price trends to identify opportunities for exchange-based procurement. Review of existing long-term PPAs to identify high-cost and underutilized contracts, and explore their rationalization or phased reduction, subject to regulatory approval and contractual obligations. Development of a procurement strategy that incorporates short-term market mechanisms as a regular and integral component of the power sourcing mix. Capacity-building and training of system operations and trading	**JVVNL, AVVNL & JdVVNL:** Discoms submitted that RUVITL adopted a proactive approach for power procurement through various power exchange platforms, including the Day-Ahead Market (DAM), Real-Time Market (RTM) and Term-Ahead Market (TAM), Regular participation in these markets enables the company to procure power at competitive prices and manage short-term variations in demand. The System Operations team continuously monitors market clearing prices, demand-supply conditions, and merit order dispatch to identify opportunities for cost reduction RUVITL has also institutionalized short-term market participation as an integral component of its power sourcing and scheduling strategy. Dynamic procurement through exchanges has helped, optimize renewable integration and improve flexibility in operations.

	teams to enhance participation in various exchange segments, including newer instruments like Market-Based Economic Dispatch (MBED), green day- ahead market, and ancillary services. Discoms should aim to improve their overall power procurement efficiency, reduce financial burdens, and pass on the benefits of lower costs to consumers in the form of stable or reduced tariffs.	
27	Alarmingly high rate of distribution transformer (DT) failures across various operational areas of the Discoms. Frequent transformer burnouts not only disrupt power supply and diminish consumer confidence but also impose significant financial and operational costs on the utility. These failures are indicative of systemic deficiencies, including persistent overloading, inadequate preventive maintenance, and insufficient protection mechanisms. In view of the gravity of the issue, the Commission hereby directs the Discoms to constitute a high-level technical committee to undertake a comprehensive diagnostic study on transformer failure trends. The scope of the study shall encompass an in-depth analysis of loading conditions, failure modes,	**JVVNL:** Discom submitted that the SE Level Committee is formed. **AVVNL:** Discom submitted that in compliance with the directions issued by the Commission, the Discom has constituted a Committee for analysis. The Committee consists of the following members; SE (M&P), AVVNL XEN (Meter), AVVNL, Ajmer XEN (O&M), AVVNL, Kishangarh XEN (O&M), Chittorgarh XEN (O&M) Merta XEN (O&M) Sardhana The Committee is expected to undertake a study and issue its recommendations at the earliest. **JdVVNL:** Discom submitted that a High-Level Committee under the chairmanship of Zonal Chief Engineer (JZ), JdVVNL, is constituted for comprehensive study on failure of-distribution transformers trends.

	protection coordination, maintenance protocols, installation practices, and equipment quality. Based on the study's findings, the Discom shall formulate a time-bound and actionable mitigation plan. This plan must include measures such as load rationalization, installation of suitable protection and monitoring devices, strict enforcement of preventive maintenance schedules, enhancement of procurement standards, and deployment of remote health monitoring systems. The plan must clearly specify implementation timelines, measurable targets, and resource requirements. The Discoms are directed to take necessary action to reduce transformer burning rate and submit an action taken report along with next tariff petition.	
28	During the public hearings, several stakeholders raised serious concerns regarding the misuse of agricultural electricity connections for commercial and non-agricultural activities, particularly in the peripheral areas of Jaipur and other major urban centers. Instances were cited where farmhouses, resorts, and various commercial establishments are operating under agricultural tariffs, thereby unlawfully availing subsidized	**JVVNL:** Discom submitted that theft of Electricity is a main menace to Power Distribution Companies, which swallows the major portion of company's revenue. The losses on account of theft of energy jeopardize the financial condition of the companies and also adversely affecting the interest of honest consumers. The Vigilance forces are assigned with the task of checking of both official & non-official irregularities to contain the phenomenon of large scale energy theft activities. In order to combat with the situation, the company has resorted to the constant strategic

	electricity. This not only leads to significant revenue leakage but also undermines the integrity of the tariff framework. In view of the above, the Commission hereby directs the distribution licensees to initiate a focused and time-bound enforcement drive to identify verification of all such agricultural connections being used for non agriculture purposes in their area of supply.	efforts and various initiatives have been taken to enhance Vigilance activities for curbing the theft of electricity. **AVVNL:** Discom submitted that to comply with the directions of the Commission, the Discom, has issued Orders directing Vigilance Officers to conduct surprise vigilance checks of such agriculture consumers in their allocated circle during a specially constituted drive from 29.10.2025 to 31.10.2025. During this drive, the Discom has booked 29 cases of theft with an assessment of Rs. 6.5 Lakh and 24 cases of misuse with an assessment of Rs. 2.75 Lakh. Thus, during this special drive, the Discom has booked 53 cases with assessment of Rs. 9.25 Lakh. **JdVVNL:** Discom submitted the following- 1. In the year 2024-25 a total of 710 vigilance checking report were filed concerning the misuse of electricity by agricultural consumers. Additionally, during the period from April 2025 to September 2025, 409 vigilance checking report were filed. 2. In the year 2024-25, a total of 10,261 vigilance checking report were filed concerning the misuse of electricity by non AG consumers. Additionally, during the period from April 2025 to September 2025, 5292 vigilance checking report was filed. Further, the Discom has also issued instructions for time bound enforcement drive to identify such AG connections being used for non AG purposes.
29	Many stakeholders raised the issue of disproportionate revenue	**JVVNL:** Discom submitted the corresponding information.

	and units billed of open access, therefore the commission directs the Discoms to file the voltage wise/category wise break up of number of units billed under open access and corresponding revenue collected under each head i.e. wheeling, CSS and additional surcharge with next true up petition for FY 2024-25 along with reasons for deviation, if any.	**AVVNL:** Discom submitted that the details pertaining to income from wheeling charges, additional surcharge and cross subsidy surcharge has been provided in Format 2.2 of the True up Petition for FY 2024-25. Furthermore, income from wheeling charges, additional surcharge and cross subsidy surcharge has been reported in Note 18 of the audited accounts for FY 2024-25 under the head "Energy Charges". **JdVVNL:** Discom submitted that the corresponding information is submitted as a part of True-up data in Format 2.2.
30	Commission directs Discoms that electricity bills are distributed on time and bills should also be sent through email, SMS and any other electronic mode. So as to reach consumer before the timeline specified in the Regulation.	**JVVNL:** Discom delivers on spot energy bills to consumers having sanctioned connected load upto 18.65 KW. Further Discom provides message through SMS and E-mail regarding generation of monthly electricity bill including payment due to those consumers whose mobile number and mail ID has been registered in the software. Discom submitted that platform "Bijli Mitra App" has been developed by JVVNL wherein consumers can get all bill details, payment details, consumption details etc and monthly electricity bill in PDF mode. **AVVNL:** Discom submitted that consumers of the Discom are served with bills through e-mail, SMS and Bijli Mitra App on same day of issue of bill. In case of any technical issue in delivery of bills, bills of such consumers are mailed on individual e-mail ID and due-date is duly reset. **JdVVNL:** Discom submitted that the JdVVNL has introduced spot billing system for LT consumers below 18.65KW. Under this system, the feeder in charge of each

		subdivision must visit the consumer's premise to record the meter reading and generate the electricity bill on the spot. For other consumers, electricity bills are delivered by the JEns or the designated feeder in charge, while high value consumers additional receive their bills via registered mail ID. The Discom is ensuring the timely distribution of electricity bills.
31	During public hearings, many stakeholders pointed out that the ARR petitions submitted by distribution licensees were mostly scanned and hard to read, making it difficult for consumers and public representatives to properly review and respond.	**JVVNL:** Discom acknowledges the Commission's directive and will ensure strict compliance while publishing the petitions on its official website. **AVVNL:** Discom acknowledged the Commission's directive and has complied with the directive issued in this regard. **JdVVNL:** Discom has noted the Commission's Directive and will strictly comply while uploading the Petitions on the Discom's website.
32	To improve transparency and access to information, Discoms are directed to submit ARR petitions and related data in a clear, machine-readable format in future.	**JVVNL:** Discom acknowledges the Commission's directive and will ensure full compliance. **AVVNL:** Discom acknowledged the Commission's directive and has complied with the directive issued in this regard. **JdVVNL:** Discom has noted the Commission's Directive and will strictly comply.
33	Discoms shall ensure timely submission of Standards of Performance (SoP) reports as per the provisions of the SOP Regulations 2021.	**JVVNL:** Discom acknowledges the Commission's directive and will ensure full compliance. **AVVNL**: Discom is complying with the provisions of the SOP Regulations 2021 and duly submitting Quarterly Reports for the consideration of the Commission. **JdVVNL:** Discom has noted the Commission's Directive and will strictly

		comply.
34	Discoms are directed to undertake a study for implementing automatic compensation to consumers for rest of the parameters specified under the Standards of Performance Regulations 2021 and submit an application to the commission indicating their preparedness for further implementation of automatic compensation.	**JVVNL:** Discom submitted that MDM portals have power events which show exact time and duration for power interruption for each smart meter consumer. Smart meters are under installation and the tentative timeline for completion of the rollout is December 2026. The smart meters are equipped with features for recording power ON/OFF events, and the SOP for direct compensation under the UBS system is to be developed. **AVVNL** : Discom is under implementation for automatic Compensation to consumer through 'Smart Meter Implementation', 'Feeder Monitoring system', 'Smart Customer Care Center' etc. **JdVVNL:** Discom submitted that BRD (Business Requirement Document) related automatic compensation to all consumers for complaints –no current complaints due to meter and testing of meters registered at Centralized Customer Care Centre has been submitted by M/s BCITS to Sr. AO (B&R), JVVNL, Jaipur for approval. At present, Jaipur Discom is reviewing the BRD and will implement accordingly common for all three Discoms, once it is finalized.
35	Discoms should file the Aggregate Revenue Requirement (ARR) and true-up petitions on time as specified in the Regulations, duly completed with information required, in all form and accompanied by audited financial statements, to avoid any delay in issuing the orders.	**JVVNL:** Discom acknowledges the Commission's directive and will ensure full compliance. **AVVNL:** Discom submitted that it has filed Petition for True-up of FY 2024-25 and Investment Plan, ARR and Tariff for FY 2026-27 within the timeline stipulated by the Hon'ble Commission in the Tariff Regulations. **JdVVNL:** The Discom has noted the Hon'ble Commission's Directive and will strictly

<table>
<tr><td></td><td></td><td>comply.</td></tr>
<tr><td>36</td><td>Discoms should ensure timely completion of the projects sanctioned under the PM-KUSUM scheme, as per approved timelines by MNRE.</td><td>
JVVNL & AVVNL: Discoms submitted that Rajasthan Discoms are aggressively pursuing for the implementation of Component A and Component C (feeder level solarization) wherein out of the total awarded projects of around 11.3 GW, solar PV capacities of around 2.1 GW have been successfully commissioned. As on 3rd November, 2025, the Component wise status of Jaipur Discom is presented below:
I. Component A
Against 550 MW:
<table>
<tr><td>Discom</td><td colspan="2">Awarded (LoA issued) & PPA Signed</td><td colspan="2">Commissioned</td></tr>
<tr><td></td><td>SPV Count</td><td>SPV Capacity (MW)</td><td>SPV Count</td><td>SPV Capacity (MW)</td></tr>
<tr><td>JVVNL</td><td>56</td><td>60</td><td>40</td><td>45</td></tr>
<tr><td>AVVNL</td><td>110</td><td>109</td><td>81</td><td>84.50</td></tr>
</table>
On 16.09.2025, MNRE extended the project commissioning timeline up to 31.12.2025. Hence, additional 4 MW solar power capacities are likely to be commissioned during extended period.
Against 335 MW for JVVNL and 330 MW for AVVNL (out of 1,000 MW sanctioned capacity by MNRE):
<table>
<tr><td>Discom</td><td colspan="2">Awarded (LoA Issued) &PPA (Received / Signed)</td><td colspan="2">Commissioned</td></tr>
<tr><td></td><td>SPV Count</td><td>SPV Capacity (MW)</td><td>SPV Count</td><td>SPV Capacity (MW)</td></tr>
<tr><td>JVVNL</td><td>143</td><td>206</td><td>0</td><td>0</td></tr>
<tr><td>AVVNL</td><td>190</td><td>275</td><td>0</td><td>0</td></tr>
</table>
</td></tr>
</table>

Against 1,110 MW for JVVNL and 740 MW for AVVNL *(out of 3,700 MW sanctioned capacity by MNRE)*:

Discom	Awarded (LoA) Issued		PPA (Received / Signed)		Commissioned	
	SPV Count	SPV Capacity (MW)	SPV Count	SPV Capacity (MW)	SPV Count	SPV Capacity (MW)
JVVNL	670	1269	471	894	0	0
AVVNL	650	1061	225	363	0	0

On 03.09.2025, MNRE extended timeline for grid connected solar power plants under Component A till 28.02.2026.

II. Component C (feeder level solarization)

Against 1,12,000 nos. for JVVNL and 95,000 for AVVNL of ag. pumps *(out of 4 lakhs sanctioned capacity)*:

Discom	Awarded (LoA) Issued			PPA (Received / Signed)		Commissioned		
	Ag. Pumps	SPV Count	SPV Capacity (MW)	SPV Count	SPV Capacity (MW)	Ag. Pumps	SPV Count	SPV Capacity (MW)
JVVNL	112119	404	1064	305	773	20968	81	192
AVVNL	92726	380	858	372	839	9108	36	83

On 03.09.2025, MNRE Division extended timeline for grid connected solar power plants under Component C (feeder level solarization) till 31.03.2026.

Further, it is submitted that the Hon'ble CMD, JVVNL had requested MNRE for extension of project commissioning timeline of Dec'2025 for the recently awarded projects under Component A and Component C (feeder level solarization) of PM-KUSUM Scheme till June 2026, against which extension was allowed only till 28.02.2026 & 31.03.2026 under Component A and Component C (FLS) respectively.

JdVVNL: Discom submitted that JdVVNL is aggressively pursuing for the implementation of Component A and Component C (feeder level solarization). In pursuance of the directive issued by the RERC under the recent Tariff Order, JdVVNL hereby affirms its commitment to ensuring the timely execution and commissioning of projects sanctioned under the PM-KUSUM Scheme, in strict adherence to the timelines approved by the Ministry of New and Renewable Energy (MNRE), Government of India.

The current status of implementation under various components of the PM-KUSUM scheme is summarized below:

Scheme	Total Sanction (MW/ AG Pumps)	Total LoA Awarded	Total Commissioned (MW/Pumps) as on 28.10.2025
PM KUSUM Component-A	2605MW	2934MW	334MW
PM KUSUM Component-C (FLS)	1.93Lakh AG Pumps	3479MW (1.937 Lakh Ag Pumps)	1410 MW (0.69 Lakh Ag Pumps)

The Discom has undertaken coordinated

		efforts with implementing agencies and empaneled vendors to expedite project execution under Component-A (solarization of feeder level) and Component-C (FLS) before the Scheme Sunset date approved by the MNRE. A dedicated monitoring cell has been constituted to track progress, resolve field-level bottlenecks, and ensure compliance with MNRE guidelines. Regular progress reports are being submitted to the State Nodal Agency and MNRE, and corrective actions are being initiated wherever delays are observed. Discom submitted that any procedural or logistical impediments encountered during implementation shall be promptly brought to the attention of the Commission, along with proposed mitigation strategies. The Discom remains fully aligned with the national objective of enhancing agricultural energy access through decentralized solar solutions and assure full regulatory compliance in this regard.
37	Discoms are advised to conduct an impact assessment study in the operational areas (circles) where PM-KUSUM solar plants have been commissioned, to evaluate their effect on grid operations and feeder load patterns.	**JVVNL & AVVNL:** Discoms submitted that JVVNL (on behalf of all three Discoms) is already in progress of implementing an AI-powered grid digitalization solution, transforming its power distribution network. With 55% of 33 kV and 11 kV networks digitized as of October 2025, the initiative is expected deliver Rs. 120 crores in annual benefits through optimized operations, better RE and BESS integration, better Load Flow and Smart Meter Analytics and Intelligent Demand Side Management (DSM). Overall implementation plan is to integrate

		software and hardware solution to create a comprehensive digital twin of its entire distribution network. Similar in concept to Google Maps, this platform will digitize all assets. It will host a suite of applications, ranging from load flow analysis to intelligent MIS and operational dashboards. Once fully deployed, the system will leverage AI/ML for critical functions such as load forecasting, anomaly detection, and optimal power flow management. This will replace traditional manual calculations, enabling rapid, data-driven analysis for real-time grid operations. **JdVVNL:** Discom submitted that in compliance with the directive issued by the Commission, Jodhpur Discom acknowledged the importance of conducting a structured impact assessment study in operational circles where solar plants under the PM-KUSUM Scheme have been commissioned. To ensure a robust and academically rigorous assessment, Jodhpur Discom has formally partnered with Malaviya National Institute of Technology (MNIT), Jaipur, under its AMRUT Centre for Urban Planning. MNIT will undertake a social and technical impact assessment of the PM-KUSUM scheme, focusing on adoption rates, economic benefits to farmers, environmental sustainability, and regional disparities. The study will involve field surveys, stakeholder interviews, and data analysis using statistical tools, with findings to be compiled into a comprehensive report will be completed within 5-6 months.
38	Commission reiterates that	**JVVNL:**

	appropriate implementation of following measures shall also be suitably considered by the Discoms. These measures are beneficial for reliability of supply, power cuts, monitoring, consumer satisfaction etc.:- (i) Outage Management System (OMS) which allows Discoms to respond faster to outages, improve customer communication, enhance operational efficiency, and optimize resource allocation, ultimately leading to increased reliability and customer satisfaction. (ii) Substation Automation which revolutionizes grid management by enhancing reliability, operational efficiency, and safety. Through real-time monitoring and control, it enables faster fault detection and restoration, reducing outage durations and improving customer satisfaction. Automation streamlines routine tasks, such as monitoring and maintenance, leading to cost savings and optimized resource allocation. By providing valuable data on substation performance and power quality, it empowers utilities to make informed decisions for network	i. Jaipur Discom is planning to impleme Outage Management system under th initiative of GIS, Substation automation ar ERP (Enterprise Resource Planning), Sma Meter implementable, which allow Discom respond faster to outage, improve custom communication, enhance operation efficiency and optimize resource allocatio ultimately leading to increased reliability ar customer satisfaction. ii. In Jaipur city the SCADA/DMS system working on 78 No's of 33/11 KV Sub-statio and 600 FRTUs installed on various RMU's. Kota city the SCADA/DMS system is working 19 No's of 33/11 KV Sub-stations and 240 FRT installed on various RMU's. From th SCADA/DMS system real time Status of break and load parameters for power transformers 11 KV/ 33KV feeders are monitored in SCAD control room. In RDSS (as per the DF document send for approval to REC) the ne SCADA/DMS is proposed on 25 Nos Su stations in Alwar City and up-gradation exiting SCADA/ DMS is proposed on 70 N Sub-station in Jaipur City. The Basic SCADA proposed on 150 Nos Sub-stations in 45 Tow and RTDAS is proposed on 27 Nos Sub-statio in 19 Towns. It is further submitted that Feed Monitoring system have been installed 11087 Nos. Feeders through which the feed data and its parameters are collecte through installed DCU. Further, Discom and GEAPP(Global Energy Alliance for People and Planet) are deploying advanced Network Mapping and Load Flow Analysis tools through the DUET pilot program to better plan and optimize power demand management, The Digitalization of Utilities for Energy

	optimization. Integration with smart grid technologies facilitates a more holistic approach to grid management, fostering innovation and resilience. Moreover, Substation Automation enhances safety by minimizing the need for manual intervention, ensuring a secure working environment for personnel. Overall, it transforms distribution networks into smarter, more efficient, and reliable systems capable of meeting the evolving demands of modern energy distribution. (iii) AMI/Smart Meter is useful for Outage Management(Last Gasp Integration with ADMS, Meter Ping in consumer complaint), Asset Utilisation (Load Monitoring & Forecasting), Power Quality Improvement, Behavioural Demand Response and Revenue Protection.	Transition (DUET) program aims to co-create, co-design, and deploy tailored systems to support Indian distribution companies (DISCOMs) in digitalizing their grids and adopting AI-driven tools for network planning. These solutions will improve load flow analysis, reduce losses, and accelerate the integration of distributed renewable energy (DRE), BESS, and energy efficiency measures. This initiative will ensure reliable access to clean electricity for all end users, especially rural. The GEAPP team has contracted EDGE, a homegrown Indian startup deploying a suite of technology solutions that will enable linemen to collect grid information to aggregate within a central database. EDGE, GEAPP, and the DISCOM in Rajasthan (JVVNL) have already digitisied nearly 60% of the Discom assets comprising feeders, substations, poles and transformers of 8 circles which have supported in deploying advanced Network Mapping and Load Flow Analysis tools to better plan and optimize power demand management through the DUET. The work is being carried out under S(Regulation), JVVNL, Jaipur. iii. For reliability of supply, power cuts, monitoring, customer satisfaction etc, Jaipur Discom is taking initiatives for following IT/OT projects:- • Billing system and associated modules on billing, customer care, energy audit, NSC and disconnection etc. • Smart Metering Project Under RDSS • Enterprise Resource Planning under

		RDSS • Roaster Management & load forecasting System for Ag-Supply • PT tracking and Health Monitoring System • Cyber Security Assessment and Implementation of security measures • Business Intelligence, Data Analytics and Data Warehousing Software - • GIS, Network analysis & Asset Management, Network Management System & Enterprise Management System(EMS). **AVVNL:** Discom submitted that it is committed to implement various IT/OT technologies under the RDSS to ensure that the distribution network is duly modernized. **JdVVNL:** Discom submitted that Outage Management System is being used by Discom's field officers to lodge planned/un-planned feeder shutdown which reduces communication gap with consumers and increase consumer satisfaction. Outage Management System developed under UBS is a platform (web application) to provide real time information of power cut to the consumers through SMS message. Though this, the information related to scheduled and unscheduled power cuts are broadcasted through SMS to the consumers by the concerned AEN (O&M)/JEN (O&M).
39	The Discoms while making power purchase should strictly follow the Merit Order Dispatch. The Discoms are also directed to	**JVVNL, AVVNL & JdVVNL:** Discoms submitted that RUVITL ensured that all power scheduling activities are undertaken strictly in accordance with the

	monitor the availability of plants and pay fixed charges in accordance with provisions of appropriate regulations.	Merit Order Dispatch (MOD) principles. RUVITL also monitors the availability declarations of contracted generating stations and ensures that fixed charges are paid strictly in accordance with regulatory provisions and actual availability. This process helps maintain financial discipline while ensuring generation resources remain available as per the contracted obligations.
40	Commission directs that Discoms should ensure that full grant is received by fulfilment of various conditions as stipulated in the guidelines of sponsored schemes and also ensures fund availability to meet the expenditure and due procedure is made at their level before making investment.	**JVVNL & JdVVNL:** Discoms submitted that all activities are carried out with due diligence to ensure the full grant is secured under sponsored schemes. **AVVNL:** Discom submitted that it is planning to execute all projects as per applicable Terms and Conditions under the RDSS to ensure that full grant amount is realized by the Discom.
41	Discoms are also directed that they should account for the Revenue from POC charges under a separate account code head and bring revenue generated from POC in the future ARR/true-up petition for consideration of the Commission.	**JVVNL:** Discom submitted that separate Accounting code has been issued to account for Revenue from POC charges. **AVVNL:** Discom submitted that work in this regard is ongoing and thus requested to grant some time for compliance. **JdVVNL:** Discom submitted that it has complied with the Commission directive, and a separate account code head has been inserted in the chart of accounts for POC.
42	Discoms are directed to account for the revenue from Regulatory Surcharge under separate account head. As this revenue shall be wholly utilized towards filling the unfunded regulatory gap, hence Discoms should utilize this amount for payment of outstanding loans to reduce the	**JVVNL & AVVNL**: Discoms submitted that in this regard, Billing Agency M/s BCITS have been directed to separately show Revenue from regulatory surcharge in MIS. Also, separate accounting codes have been issued to separately show Revenue from regulatory surcharge in books of accounts. **JdVVNL:** Discom submitted that it has

	interest burden which will ultimately reduce cost of supply and benefit of which shall be passed on to the consumers in future tariff	complied with Commission directive.
43	**Scheme-wise Bifurcation:**	
	Discoms are directed to submit scheme wise equity, grant and loans. Commission is allowing investment under central sponsored schemes and as per the provision of these schemes.	**JVVNL & AVVNL:** Scheme wise bifurcation of equity, grant and loans is already being submitted as and when required. The Discoms submitted that every year Discoms submit BFC proposal to FD. GoR as per the provision of central sponsored schemes and direction given by the RERC.
44	**Grant of Two-Block Scheme:**	
	The Discoms have incurred the expenditure in two block scheme in compliance to GoR direction. Therefore, the sources of this expenditure have been considered as additional grant from GoR. The Discoms may also obtain this amount from State Government.	**JVVNL & AVVNL:** In compliance to directives issued by RERC Discoms have approached GoR for release of the additional grant/equity for Two Block supply scheme but GoR has denied releasing additional Equity/Grant on the expenditure on this account.
45	**Grant on account of Release of New Agriculture Consumers:**	
	The Commission has considered 50% of difference between actual expenditure incurred on release of new agriculture connection and amount deposited by consumer as additional grant from the State Government which otherwise would have been paid by consumer as consumer contribution to Discoms. The Commission has considered this	**JVVNL & AVVNL:** Discoms submitted that Rajasthan Discoms have submitted BFC proposal to FD, (Govt. of Rajasthan) considering the RERC directives of 100% grant of expenditure incurred on release of agriculture connections but GoR has denied to release the additional equity/grant. The Discoms submitted that every year Discoms submit BFC proposal to FD, GoR considering the directives of RERC but sufficient equity provisions are not made by

	amount as additional grant from Government of Rajasthan, Discoms may obtain this amount from State Government.	GoR. FD, GOR has refused to release any equity to Discoms for FY 24-25 stating that they are already providing loss subsidy under 0.50% additional borrowing of GSDP scheme and no equity for the FY 25-26 is released by GoR till date.
46	**<u>Efficiency of Distribution Franchisee:</u>**	
	As the franchisee is acting on behalf of the licensee, the Discoms should ensure that franchisee also functions in an efficient manner and also make adequate investment so that impact of working of franchisee should be reflected in overall efficiency improvement and Discoms are also able to achieve target loss level based on end consumer sales.	**JVVNL:** Discom submitted that it acknowledges the franchisee, acting on behalf of the licensee, must function efficiently and contribute to overall system improvement. JVVNL remains committed to ensuring that franchisee operations positively impact overall efficiency and reliability of the distribution system, thereby enabling the Discom to meet regulatory targets and provide quality service to consumers. **AVVNL:** Discom submitted that it is committed to ensuring that the franchisee functions in an efficient manner and thereby, Independent Audit of the operations of the Franchisee is taking place on regular basis.
47	**<u>RPO Backlog:</u>**	
	Discoms may elaborate efforts made during the years and future plan to make up the backlog of RPO.	**JVVNL:** Discom submitted that RUVITL on behalf of Discoms have consistently worked towards meeting RPO targets through procurement of renewable energy from various sources, including solar and wind projects. Implementation of rooftop solar programs and promotion of distributed generation will further contribute to RPO compliance. **AVVNL:** Discom submitted that RUVITL (on behalf of all three Discoms) is consistently working on meeting RPO/ RCO targets

		through procurement/ consumption of renewable energy from various sources, including solar and wind projects. Additionally, implementation of rooftop solar programs and promotion of distributed generation shall further contribute to RPO/ RCO compliance. In this regard, Ajmer Discom fixed roles and responsibilities of Nodal Officer wherein engagement of BEE-empaneled Accredited Energy Auditor through transparent tendering or quotation processes for audit of RCO compliance data shall be managed. Also, officer will liaise effectively with all the internal and externals departments/ agencies to facilitate smooth compliance operations and ensure effective actions based on audit findings. Subsequently, SE (Solar), AVVNL has been appointed/ designated as the Nodal Officer for compliance of RCO mandates.

Directives to Discoms:

Traditional working models of the electricity sector may no longer be adequate to meet emerging challenges of energy transition, increasing consumer expectations, technological advancements, and financial sustainability. Distribution Companies (Discoms) will have to reorient their operational and commercial strategies by embracing digitalization, data-driven decision-making, smart metering, demand-side management, and improved billing and collection efficiency. The shift towards renewable integration, decentralized generation, and consumer participation in markets necessitates a more flexible, responsive, and innovation-oriented approach.

Discoms must therefore pave new pathways by strengthening corporate governance, enhancing operational efficiency, reducing Aggregate Technical & Commercial (AT&C) losses, and adopting modern grid management practices. Emphasis on customer-centric services, transparent tariff structures, and prudent cost control will be critical to maintaining financial stability. The Commission expects utilities to proactively adapt to these evolving dynamics and leverage regulatory support to build resilient, sustainable, and future-ready distribution systems.

The Commission has consistently emphasized the need for improvement in the performance of the Discoms and has issued various directions in its previous orders. While the Discoms have submitted compliance reports, the Commission notes with concern that many of the directions have not been specifically complied with. In several instances, the submissions merely reiterate the issuance of directions without presenting any result-oriented action or outcomes.

The Commission once again directs the Discoms to thoroughly review the status of compliance and submit a detailed, directive-wise compliance report with specific actions taken.

Based on the submissions of stakeholders, deliberations recorded in this order, previously issued directives, the issues raised during the hearing, and the compliance reports submitted by the Discoms, the Commission hereby issues the following follow-up and fresh directives for compliance by the Discoms and conveys certain advisory suggestions to the Government of Rajasthan for their consideration.

1. **<u>Liquidation of Regulatory Assets</u>:**

The Commission observes that Hon'ble Supreme Court vide its order dated 06.08.2025 issued mandatory and time-bound directions applicable to all State Electricity Regulatory Commissions regarding recovery and liquidation of Regulatory Assets. Further, vide Judgment dated 28.10.2025 the Hon'ble Court directed State Commissions that Regulatory assets existing as on 01.04.2024 must be liquidated in maximum 7 years. The Commission has also filed on affidavit in this regard before Hon'ble APTEL.

As Rajasthan Discoms have huge Regulatory Assets, the Commission vide its ARR and Tariff Order dated 03.10.2025 has allowed to recover Regulatory Surcharge to liquidate the Regulatory Assets and also directed Discoms that they should use Recovery from Regulatory Surcharge only for the amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for any other purpose. However, the Commission observes that Discoms have not complied with the above directions and instead of adjusting the Regulatory surcharge against amortization of Regulatory Assets, adjusted the same in the current year profits/Losses which is against the spirit of the Supreme Court order and the Rules.

The purpose of levy of Regulatory Surcharge is to reduce the Regulatory Assets hence, Discoms should use it only for amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for any other purpose.

Therefore, Commission again directs Discoms that recovery from Regulatory surcharge should be adjusted strictly against the Regulatory assets and after adjustment of above, if Discoms have losses in the current year they should approach to the Govt. for obtaining the loss subsidy as per Commitment in GSDP scheme.

2. Reporting of Govt. Subsidy:

The tariff has been determined for each category without considering any subsidy. The subsidy, if provided by the Govt., would result in reduced amount payable by consumer of such category. Further, the Government, if it provides subsidy, should pay such subsidy in advance as per RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025 and in accordance with section 65 of the Act.

As directed vide Commission's earlier orders, the Discoms are furnishing quarterly report. However, Commission observes that there is a huge difference in subsidy declared by the state Govt. and actual payment of subsidy received. Therefore, Commission directs Discoms to take up the matter with the State Government to receive the pending subsidy amount expeditiously and furnish the compliance to the Commission with next ARR/Tariff petition.

3. Three year rolling capex plan

The Commission observes that prudent and forward-looking capital investment planning is essential to ensure system reliability, network adequacy, and efficient integration of growing demand and renewable energy. In the absence of a structured multi-year capital expenditure roadmap, long-term infrastructure development may lack optimal prioritization. A rolling planning framework would enable better alignment of network strengthening works with demand projections and financial sustainability. Accordingly, the Distribution Licensees are directed to file a rolling Three-Year CAPEX Plan, aligned with demand growth and system requirements, along with the next tariff petition and thereafter alongwith every ARR petition.

4. Demand Flexibility and Demand Side Management

Rajasthan's power sector is undergoing rapid transformation with high solar penetration, leading to operational challenges where surplus daytime solar generation is followed by steep evening peak demand. To address this, and in line with the State's Integrated Clean Energy Policy, 2024, the Rajasthan Electricity Regulatory Commission has issued the Draft RERC (Demand Flexibility and DSM) Regulations, 2026 on 28.01.26.

The Draft Regulations aim to reduce peak procurement costs, enhance grid reliability, and ensure optimal utilization of renewable energy adopt a two-fold approach:

i. Demand Flexibility and Load Shifting to move demand from costly peak hours to solar-rich daytime periods; and

ii. Energy Efficiency to reduce overall consumption through improved end-use efficiency.

The framework mandates establishment of a dedicated DF/DSM Cell in each Discom, introduction of aggregators to pool flexible loads, leveraging AMI infrastructure under RDSS, and special focus on agricultural load shifting including solarized pumps. The Tariff Regulations, 2025 already contains a provision for constituting a Demand Side Management Cell by Distribution Licensee the cell should design DF and DSM program and Discoms should furnish at least one intervention each for Domestic, Non Domestic and Industrial categories with next ARR petition.

Need for focus on Roof top solar and promotion of PM Surya-Ghar Scheme

i. Commission observes that the Commission has introduced a comprehensive suite of reforms to accelerate rooftop solar adoption and streamline the PM Surya Ghar: Muft Bijli Yojana. To enhance consumer affordability, the Commission has waived application fees, security deposits, and meter testing fees, while also removing the requirement for formal connection agreements for domestic consumer. To accommodate more solar installations on a single local grid, the allowable Distribution Transformer (DT) capacity has been increased from

50% to 80% and removing capacity restrictions linked to Capacity Utilization Factor (CUF) for behind-the-meter plants. Furthermore, residential consumers now benefit from a more favorable billing structure where net imported energy is billed according to their applicable slab rather than the highest one. For systems up to 10 kW, the technical feasibility study has been eliminated, while larger systems benefit from a 15-day "deemed approval" timeline.

ii. To encourage domestic consumers, the Commission has set lucrative rates for excess energy injected into the grid under Net Metering. These rates are calculated as the bid rates plus an additional 25%, ensuring that households are fairly compensated for their surplus green energy.

iii. The Commission now allows RESCO-owned solar plants (Renewable Energy Service Company model) at State Government buildings and public undertakings. To make these projects more viable, they have been granted a waiver on Cross Subsidy Surcharge and Additional Surcharge, facilitating solar adoption for government entities.

iv. Commission has significantly expanded the accessibility of solar energy by revising the limits for net-metering loads up to 1 MW or up to the sanctioned load/contract demand of the consumer, whichever is lower.

v. The Commission notified the Virtual Net Metering (VNM) and Group Net Metering (GNM) Regulations to all consumer categories—domestic, commercial, industrial, and government—with system capacities ranging from 1 kW to 1 MW. This framework allows consumers without adequate roof space to benefit from solar energy generated at off-site locations. To promote grid stability, the Commission has also offered up to a 100% wheeling charge waiver for projects incorporating storage (5–30% range). Additionally, the state has set lucrative export tariffs at Rs. 3.26/unit for Net-Metering for domestic category and Rs. 3.66/unit for Net-Billing, while simultaneously enabling forward-looking provisions for Peer-to-Peer (P2P) trading and "Plug & Play" solar systems to create a decentralized and robust green energy ecosystem.

vi. The Commission in its earlier orders has stressed the need for focus on Roof top solar and promotion of PM Surya-Ghar Scheme. Accordingly, the Commission directs Discoms to update their billing software and the PM Surya Ghar portal to allow implementation of the Commission’s Regulations.

vii. For effective implementation of Rooftop Solar (RTS) and promotion of the PM Surya Ghar Muft Bijli Yojana, the Discoms should adopt a time-bound and technology-driven approach by setting subdivision-wise targets, regularly monitoring progress, and strictly enforcing commissioning timelines with accountability for delays. A single-window system for approvals, subsidy processing and net metering should be implemented along with designated nodal officers. Capacity building of Engineers/staff and vendors, and strengthening of local grid infrastructure including smart metering are essential to ensure smooth and scalable rooftop solar deployment.

viii. The Commission further observes that Discoms should adhere to the timeline for Rooftop Solar (RTS) commissioning. The relaxation of application fees and security deposits under the PM Surya Ghar Yojana should be strictly maintained.

ix. A focused Consumer Awareness Campaign Strategy should combine mass media publicity, grassroots outreach, and digital support. Advertisements through TV, radio, newspapers, and social media should highlight subsidy benefits, cost savings, and the simple application process, supported by brochures and bill inserts. Awareness camps at Panchayat and urban levels, demonstration projects on government buildings, and helplines, build consumer confidence and accelerate adoption.

5. **<u>Energy Storage Systems (ESS):</u>**

I. **ESO Compliance and Storage Tie-ups**: To manage the high solar influx and meet Energy Storage Obligations (ESO), Discoms should prioritize the BESS capacity currently under award. Wherever the Discoms are bearing the Cost of a resource, Discoms should ensure that they get maximum benefit which can be passed on to the consumers.

The Commission further notes that the Ministry of Power has notified a long-term trajectory for Energy Storage Obligation for obligated entities to ensure adequate deployment of energy storage systems. As per the notified trajectory, the ESO requirement shall increase progressively from 1% in FY 2023-24 to 4% by FY 2029-30, with an annual increment of 0.5%. It has also been stipulated that such obligation shall be treated as fulfilled only when at least 85% of the total energy stored is sourced from

Renewable Energy on an annual basis.

In line of above, RERC has also notified following percentage of total energy consumed shall be Solar/Wind energy along with/through storage:

FY	Storage (on Energy basis) (%)
2024-25	1.5
2025-26	2.0
2026-27	2.5
2027-28	3.0
2028-29	3.5
2029-30	4.0

Accordingly, the Commission hereby directs the Discoms to undertake advance planning for meeting the Energy Storage Obligation in a phased manner in accordance with the trajectory notified by the Commission in line with the Ministry of Power. The Discoms shall assess their likely storage requirement considering the increasing share of renewable energy in their power procurement portfolio and prepare a comprehensive roadmap for procurement and deployment of energy storage systems, including Pumped Storage Projects (PSP) and Battery Energy Storage Systems (BESS).

The Discoms may also explore appropriate procurement mechanisms, including competitive bidding and integration of storage with renewable energy procurement, so as to ensure timely availability of storage capacity to meet the ESO targets.

II. **Captive Generation Expansion**: In accordance with the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025 Discoms should facilitate industrial consumers setting up captive renewable projects up to 200% of their connected load, ensuring the installation of mandatory 20% Battery Energy Storage System (BESS) for capacity above 100%. The Regulations also provides that new RE projects on the STU network (excluding hydro projects) with an installed capacity of over 5 MW or as may be specified by the Commission would be mandated to install ESS (of at least 2 hours storage) for a minimum of 5% of the RE capacity. Discoms should ensure that appropriate capacity be added by the above consumers/Generators and most importantly operations of above batteries are done regularly and efficiently as per procedure or directions of Discoms/SLDC.

III. Private Sector and open access consumers have also started deploying BESS impact of which will be visible during ensuing year. Further the recent permission for deployment of hybrid inverters integrated with battery systems by the Rajasthan Discoms can also play a significant role in facilitating the implementation of Energy Storage Obligations (ESO) in the State. Hybrid inverter–battery systems installed at the consumer level effectively create a distributed energy storage network that can store surplus solar generation during daytime and discharge it during evening peak hours. Such distributed storage helps in shifting renewable energy to peak demand periods, thereby supporting grid balancing and reducing dependence on costly peak-time power procurement. In this context, the enabling regulatory framework and forward-looking approach adopted by the Rajasthan Electricity Regulatory Commission (RERC) promotes adoption of storage-enabled technologies and strengthens the ecosystem required for compliance with Energy Storage Obligations notified by the Ministry of Power. By encouraging hybrid inverter and battery systems along with rooftop solar, the Commission is parallelly facilitating the creation of distributed storage capacity which can contribute to meeting ESO targets, improve renewable energy integration and enhance overall grid flexibility in Rajasthan.

IV. Discoms submitted that RUVITL understands that with increased share of RE power in energy mix, ESS is essential for stable grid operations and catering peak demand. RUVITL has tied up 490 MW solar powers with 245 MW committed supply in peak hours through pump storage, expected to commission in December 2025. Further, 100 MW hydro power has been contracted with THDC from Tehri PSP out of which 50 MW has been commissioned and remaining is expected to commission soon.

V. As regards BESS they informed that total 6000 MWh BESS is under progress and in different stages of implementation.

VI. The Rajasthan Electricity Regulatory Commission (RERC) has issued several significant tariff adoption orders over the past year for standalone Battery Energy Storage Systems (BESS) as given hereunder. These orders are part of the state's broader strategy to integrate increasing renewable energy capacities and meet its Energy Storage

Obligations (ESO).

Implementing Agency	Order Date	Capacity (Power / Energy)	Duration
RRVUNL	June 17, 2025	500 MW / 1,000 MWh	2 Hours
NVVN	December 12, 2025	500 MW / 1,000 MWh	2 Hours
RVUNL	January 12, 2026	1,000 MW / 2,000 MWh	2 Hours
RVUNL	March 6, 2026	500 MW / 2,000 MWh	4 Hours

VII. The Commission notes the progress and hopes that with all these measures the Discoms will not only be able to fulfill their ESO but also will be able to manage their grid in an effective manner with higher renewable energy integration and enhance overall grid flexibility in Rajasthan. The Commission directs the Discoms to bring the status and impact of BESS as well as ESO compliance status alongwith next tariff petition.

6. <u>Exploring Innovative Tender options:</u>

i. The Discoms are directed to maximize the VGF grant being received from GoI for BESS and also explore innovative tender designs considering the Round-The-Clock (RTC), RE+Storage, Peak Power Supply, Firm and Dispatchable Renewable Energy (FDRE)etc., which will benefit them not only in terms of the price but will also provide them with more firm RE power.

ii. In addition to the above, Discoms are also directed to take suitable steps for the in-house capacity building to develop the capability to conduct the auctions/ tenders independently for the RE purchase. This will not only help them to cater the state-specific requirement, but they can also save on the trading margin. Discoms should ensure that they do not incur heavy expenses on trading margin when they are already sharing expenses of RUVN and they should use their expertise for doing various tenders so as to save on trading margin.

iii. Further, the Discoms may also relook into their existing PPAs and restructure these, if need be and may also negotiate with intermediaries on trading margin to bring it down in the vicinity of 1 or 2 paise/kWh.

7. **Road map for EV charging stations:**

The Commission observes that the development of EV charging infrastructure by electricity distribution companies offers several advantages. It opens revenue streams through charging services while supporting the transition to electric mobility. Additionally, it also enhances grid reliability by incentivizing smart charging strategies and load management. Moreover, by catering to the growing EV market, distribution companies position themselves as key players in sustainable transportation, contributing to environmental goals and customer satisfaction.

Accordingly, Commission again directs Discoms to expedite the setting up of EV charging stations and propose necessary investment for upgrading their network for seamless integration of EV infrastructure along with next Investment Plan & ARR petition. Discoms are also required to carry out study of Grid-to-vehicle and vehicle-to-grid supply of power in light of the study report published by the CEA.

8. **Flat rate category:**

Commission observes that AVVNL & JdVVNL have converted all Agriculture Flat rate consumers to Agriculture Metered.

Jaipur Discom submitted that JVVNL has no flat-rate consumers as on 31.03.2025. However, Discom further submitted that in the Distribution Franchisee (DF) area, the process of converting the remaining flat-rate consumers into metered connections is still underway. Further, stakeholder submitted that when there is no flat-rate consumer under Agriculture Category than why petitioner has proposed Agriculture Flat Category tariff.
Commission observes that it is the duty of licensee to comply with the Commission's directions in all its area including DF.
The Commission directs that Jaipur Discom should convert remaining flat rate consumers within two months of the issue of this order and furnish report to the Commission failing which the Commission may impose suitable penalty in next ARR order.
In the previous year tariff order, Commission had also directed Discoms to review the relevance of proposing flat rate tariff category in their next tariff petition when no flat-rate consumers exist. However, the Discoms failed to furnish the same. Therefore, the commission again directs that Discoms should furnish the relevance of proposing flat-rate category tariff in their next tariff petition when there are no flat rate consumers.

9. **High percentage of defective meters:**

Commission observed the details of defective meters under agriculture metered category as on 31.03.2025 as submitted by the Discoms as under:

Particulars	JVVNL	AVVNL	JdVVNL
Ag. Working Meters	645846	565439	258939
Ag Defective Meters	23159	136729	265688
Total Ag Meters	**669005**	**702168**	**524627**

The Commission observes that Ag defective meters for AVVL & JdVVNL are 19% & 50% respectively. The % of defective meters in JdVVNL is exorbitantly high.

The Commission while carrying out the truing up of ARR has disallowed the higher sale assessed for defective meter and made it equivalent to sale of working meters. The Discoms instead of complying with directions of the Commission have replied that it is a continuous process and they are committed to ensure due compliance of the directions of the Commission.

However, in Commission's view the Discoms are duty bound to keep all the meters in correct condition and no relaxation can be granted to Discoms. The Commission again directs the Discoms to keep all meters in healthy condition and if a meter gets defective same should be replaced within 2 months. The Commission reiterates that it shall not allow higher consumption to be assessed in the garb of defective meters.

10. **Fixed Assets Register (FAR):**

I. JVVNL & JdVVNL submitted FAR upto 31.03.25. AVVNL submitted that work in this regard is ongoing and shall be completed at the earliest.

II. Commission directs that Fixed Assets Registers should be prepared timely and placed on Discom's website. Discoms must achieve 100% integration between the Fixed Asset Register (FAR) and the ERP's Material Management module to facilitate real-time life-cycle tracking of equipment.

III. Building on JVVNL's 60% asset digitization, all three Discoms must also complete the GIS-based mapping of feeders, transformers, and poles across all circles.

11. **<u>Voltage wise Losses</u>:**

In compliance to Commission directives, JVVNL & AVVNL submitted that in order to conduct a voltage-wise study of losses and the voltage-wise cost of supply, smart metering is an essential component. This will be implemented under the Revamped Distribution Sector Scheme. JVVNL also requested the Commission to grant additional time to ensure full compliance with this directive.

JdVVNL submitted that Discom is presently in the process of finalizing the RFP for conducting the required study and obtaining requisite approvals.
Commission observes that even after repeated directions Discoms have not complied with the aforesaid direction. It is also observed that in the context of Green Energy Open Access (GEOA), determination of voltage-wise losses is a critical technical and commercial parameter for computing wheeling charges, as it directly impacts energy accounting, cost allocation, and tariff determination.
Considering the request of the Discoms, the Commission again directs the Discoms to conduct sample study of voltage wise losses for at least 2 Nos. 33/11KV urban and 2 Nos. 33/11 KV rural substations and associated lines representing proper sample for each circle. Voltage wise losses for the circle should be extrapolated based on feeder metering data and scientific methods. The concerned circle officers shall be made responsible for ensuring that the study is completed in time. Thereafter, the losses at Discoms level be reworked out. The data report of such study be furnished to the Commission and based on that the Commission may consider fixing voltage wise losses.

12. **<u>Franchisee:</u>**

The Commission in previous ARR & Tariff orders directed Discoms to finalize the report on the performance of the franchisees by independent auditor within 3 months from the date of the issuance of that order and also place the same on the website.

The Commission observes that JVVNL has finalized audit report of the independent auditor for the period from April'21 to September'22 only. The Auditor has also submitted the draft audit reports upto Q1 FY 2025-26 and finalization of these reports are under process.

AVVNL published audit report up to FY 2022-23 on its website. The reports for

FY 2023-24 and FY 2024-25, are under finalization.

JdVVNL submitted that auditors have submitted four Quarterly Audit Reports for 1st to 4th qtrs of FY 2023-24, which have been accepted. Further, 1st to 4th Quarterly Audit Reports of FY 2020-21 have been submitted for acceptance and work for remaining report is under progress.

The Commission observes that even after repeated directions, Discoms have not finalized the audit reports. The Commission viewed it seriously. Therefore, the Commission again directs the Discoms to furnish report upto last financial year and comprehensive report of working of franchisee alongwith next ARR petition and same may also be placed on the website of the Discoms failing which Commission may impose penalty.

13. <u>Skill Development and Training:</u>

The Commission observes that the Budget 2026–27 of the Government of Rajasthan places significant emphasis on Digital and Technology Skill Development, including the establishment of AI Labs, Data Labs and Techno Hubs to build future-ready human capital. Although these initiatives are sector-neutral in design, they bear relevance to the power sector also, which is undergoing rapid digital transformation through deployment of smart meters, SCADA systems, GIS-based asset management, automated outage management systems, renewable energy forecasting tools, and data-driven consumer services.

The budget announced that the electrical grid under Ajmer Discom will be made AI-enabled. This includes real-time monitoring of feeders, transformers, and sub-stations to improve efficiency. Modern power distribution operations increasingly depend upon advanced analytics, artificial intelligence, cyber security frameworks, grid automation technologies, and real-time data management.

In this evolving landscape, internal capacity building of Distribution Licensee personnel in digital technologies is essential to ensure operational efficiency, system reliability, financial sustainability, and effective integration of renewable energy resources.

Accordingly, the Commission directs all Discoms to:

i. Prepare a comprehensive Digital Capacity Building and AI Training Plan, clearly identifying skill gaps and outlining a phased roadmap for training of technical, operational, IT, commercial and managerial personnel in artificial intelligence, advanced analytics, smart metering systems, SCADA operations, GIS-based asset management, grid automation, renewable energy forecasting, cyber security and data governance;

ii. To establish a dedicated AI and Grid Analytics Cell for real-time planning, monitoring of feeders, transformers and substations, predictive maintenance, load forecasting, Demand response outage management and data-driven decision-making;

iii. To leverage the "Digital Twin" platform for automated load flow analysis and hosting capacity assessments for renewable integration. AI/ML tools must also be deployed for load forecasting and also for the identification of energy theft patterns among other uses.

14. Monetization of Discom's Assets:

The Commission in previous ARR & Tariff orders have issued directions regarding Monetization of Discoms' Assets. AVVNL & JdVVNL have realized revenue from pole rental of Rs. 5.11 Crore, Rs 10.35 Crores respectively for FY 2024-25. However, JVVNL has not submitted any details regarding revenue from pole rental.

The Commission again directs the Discoms to take all necessary steps for measurement/verification of revenue for use of their assets and monetize revenue for such business. The Commission reiterates that asset monetization is not the core business of utilities and, safety is to be given prime importance.

Accordingly, the Management of Discoms are directed to take an appropriate view as regards ensuring measurement & verification of assets in use and revenue from them in consultation with the State Govt. and also give prime importance to safety of its system, employees and consumers.

15. Intrastate and inter State Losses:

Discoms submitted that a committee has been formed to work out Inter and Intra Losses of Discom. The compliance to provide bifurcation of interstate & intrastate losses would be done from FY 2025-26 onwards.

The Commission has observed that Discoms during hearing have also replied that a committee has been formed and multiple deliberations have been done regarding segregation of inter and intra-state transmission losses. This time Discoms replied that compliance to provide bifurcation of interstate &

intrastate losses would be done from FY 2025-26 onwards.

The Commission has shown its strong displeasure towards it and has decided to reduce ARR by Rs. 10 Cr for each Discom and the Commission again directs Discoms to bifurcate interstate and intrastate losses and to furnish the detailed bifurcation while filing next true-up petitions, failing which the Commission may also impose a penalty apart from disallowing the excess transmission losses.

16. Implementation of IT and ERP:

Discoms submitted that the tendering work of new ERP Project has been transferred to the new IT company i.e. RUVITL, Jaipur. The Discoms are making their best efforts for early implementation of IT & ERP across all modules. Discoms also ensure that targets and benchmarks of RDSS are achieved, so that Discoms would avail full grant available to them under RDSS. The Commission observes that despite directive and withholding the amount in true up proceedings, Discoms have not yet been able to implement the ERP. Whereas this should have been the top priority as implementation of IT will bring in necessary synergies and efficiency, control & decision making in the system.

Accordingly, the Discoms are directed to make all out efforts for early implementation of IT & ERP across all modules and if not possible Discoms should ensure that this system is "Go-Live" across atleast for Power Procurement , Accounts and Finance and Material and Asset Management modules by March 2027.

Discoms should also ensure that targets and benchmark of RDSS are achieved, so that Discoms can avail full grant available to them under RDSS.

17. Voltage wise cost of supply:

Discoms submitted that in order to conduct the voltage-wise study, it is pre-requisite to establish metering at 33KV sub-station incomer, all 11KV feeders, all DTs associated to these 11KV feeders and AMR of all the consumers/prosumers with proper indexing and correct consumer tagging, with Meter Data Acquisition System, dynamic consumer tagging system and losses at various voltage levels.

Discoms submitted that in order to conduct a voltage-wise study of losses and the voltage-wise cost of supply, smart metering is an essential

component. This will be implemented under the Revamped Distribution Sector Scheme, which will automatically enable energy audits.
The Discoms requested the Commission to grant additional time to ensure full compliance with this directive. The Commission considering the request, study for Voltage wise cost of supply based on actual voltage wise losses and sales should be submitted with the next year ARR and Tariff Petition.

18. <u>Consumer Awareness and Standards of Performance:</u>

Jaipur Discom submitted that it has implemented 'Smart Customer Care Center' under which various type of complaints of consumers are being registered i.e. 'No current' compliant, 'Meter related complaint, Safety related complaints, 'Transformer related complaints', Theft complaint etc. In addition to above consumers complaints are being registered through 'Call', 'SMS', 'WhatsApp', 'email', 'face-book', 'Help-desk', 'IVRS', 'Messenger', 'Twitter', 'Webchat'' , 'Sampark portal', 'Bijli Mitra', 'CM help line' etc. Further, Discom has undertaken the work of 'Smart Meter Implementation' and SAIFI and SAIDI are being calculated in 'Utility Billing System' through integration of 'Feeder Monitoring System' and 'DT Metering System'. The Sr. AO(Billing) has also been directed to formulate a logic to utilize the parameters provided by the Smart Meters to pay direct compensation to consumers immediately.

Ajmer Discom submitted that it is complying with the provisions of the RERC (Standards of Performance for Distribution Licensees) Regulations, 2021. Moreover, consumers are requested to register their complaints through any of the facilities established by the Discom such as Call Centre, SMS, WhatsApp, E-mail, Facebook, Help Desk, IVRS, Twitter, Webchat, Sampark Portal, etc. Discom has also a well-developed practice of organizing Bilji Chaupal.

Jodhpur Discom submitted that it has issued necessary instructions to conduct Bijli Chapual. Further the Discom is in process of implementing the automatic compensation mechanism.

As per the provisions of RERC (Standards of Performance for Distribution licensee) the information regarding planned and unplanned power cut/load shedding information is available on Jaipur Discom's website "https://energy.rajasthan.gov.in/jvvnl/" under the tab "Bijli Band Soochna" and facility is available for sending the SMS to consumers.
Commission observes that The RERC (Standards of Performance for

Distribution Licensees) Regulations, 2021 provides for compensation provisions to be paid by the Licensee/franchisee to the affected person upon lodging of a claim for compensation, in case of failure of a licensee/franchisee to meet the Guaranteed SoP as specified in these Regulations.

The Commission observed that smart meter implementation has started. Accordingly, the Commission again directs that wherever smart meters are installed Discom should start reporting all parameters including above based on smart meters and pay direct compensation immediately.

The licensee is required to maintain SAIFI and SAIDI and need to pay compensation for this as well as the shortfall in other services. The Discoms are required to provide uninterrupted power supply to the Consumers. Discoms are also directed to indicate the details of automatic compensation made and their preparedness to include more parameters for inclusion in the list of automatic compensation.

Accordingly, Commission directs Discoms to intimate information of power cuts to the concerned as per provision of RERC (Standards of Performance for Distribution Licensees) Regulations, 2021. Even for unscheduled load shedding the Discom should intimate consumers as soon as possible through SMS, Whatsapp etc.

19. <u>ToD tariff:</u>

With the growing penetration of Distributed Energy Resources (DER), adoption of Time-of-Day (ToD) tariffs is essential to incentivize efficient load management, enhance grid stability, and optimize renewable energy utilization, while discouraging excessive reliance on the grid during costly peak evening hours. ToD pricing aligns consumer behaviour with system requirements, reduces peak demand, and minimizes the need for additional infrastructure investments, thereby supporting the financial sustainability of distribution licensees.

Battery Energy Storage Systems (BESS) further strengthen the effectiveness of ToD tariffs by enabling storage of surplus renewable energy for use during peak periods, facilitating peak load shaving, improving reliability, and enhancing renewable integration.
The Discoms have sought additional time to submit proposals, the Commission directs Discoms to regularly analyze their load curves and submit a suitable ToD structure in the next tariff petition, and to explore mechanisms

to incentivize consumer-level BESS adoption to support decentralized load optimization and reduce network stress.

20. Energy Audit:

Jaipur & Jodhpur Discom submitted that the Metering & Protection (M&P) wing makes every effort to ensure that feeder meters remain functional and replaces defective meters at the earliest possible time. Discom published their yearly and quarterly Energy Audit Reports on their website.

Ajmer Discom submitted that Quarterly Energy Audit Reports for Quarter-1 and Quarter-2 of FY 2025-26 and Annual Energy Audit Report for FY 2024-25 is placed on the website of the Discom. Moreover, the Discom is complying with the Bureau of Energy Efficiency (Manner and Intervals for Conduct of Energy Audit in Electricity Distribution Companies) Regulations, 2021.

Commission observes that Ajmer Discom should provide the supporting data in view of 7.5 % distribution losses proposed by the Discom, indicating circle wise, feeder wise losses, category, consumer mix and intervention made by the Discom for reduction of losses.

The Commission after reviewing the compliance again directs that Discoms should review the position of defective meter and where meter remained defective for more than one billing cycle and action be taken against the Officer/Official responsible for it. Commission also directs that Discoms should continue to publish their energy audit report on website after due review at management level.

21. Terminal benefit:

Commission observes that Discom have not deposited the terminal benefits amount as approved by the Commission in the designated trust and have not submitted any plan to meet their liability towards terminal benefit. Commission viewed it seriously.

Stakeholder also apprehended that there is huge shortfall in the terminal benefit funds due to non-funding of amount into the trust as per actuarial liability of all Discoms.
Further, the Commission observes that future financial implications which may arise from implementation of the 8th Pay Commission are likely to significantly increase salary and pensioners obligations, thereby escalating terminal benefit liabilities. The Discoms are therefore directed to factor in the

prospective impact of pay revision, along with the latest actuarial Valuation and State Government liability on OPS, while preparing their funding strategy, so as to avoid further accumulation of unfunded liabilities and ensure long-term financial sustainability of the terminal benefit trusts.

The Commission has viewed it seriously and again directs the Discoms that they should deposit the required amount in the funds and also take up the matter with State Govt. and make a plan to meet their liability towards terminal benefit and ensure that the required contribution is deposited in the terminal benefit trusts. The Discoms in consultation with the State Govt. should make a plan to fulfill the same and start depositing the amount in respective trust. Discom should file a detailed report indicating their plan to fulfill their liability and action taken on that with next ARR/tariff petition positively.

22. <u>Safety measures:</u>

Stakeholders submitted that refresher training should be provided to the working employees to prevent accidents and increase efficiency. Discoms should create awareness on safety to general public. Earthing of single phase transformers in rural area is not proper. Feeders are lengthy without protection. Burning rate of transformers is quite high. Also, Discoms are not complying with the Safety Regulations. Communication cables on poles are not laid as per technical specification and safety requirement.

Commission has viewed it seriously. Commission time and again has directed Discoms to comply with the safety regulations and in commission view safety provision should not be ignored and kept at forefront (i.e. safety first) Discoms should provide safety tools to the workman and focus on earthing, guarding and fencing.

It is noted that CEA has issued CEA (Measures Relating to Safety and Electric Supply) Regulations, 2023. The Discoms are directed to strengthen their M&P wing and carry a comprehensive review of their safety practices including requirement of breakers & fuses at various places in light of these Regulations.

The Commission reiterates that it is willing to consider any additional amount spent on training of employees and on safety for compliance of Safety Regulations.

Therefore, the Discoms are again directed to ensure necessary training of all staff including training on safety as per CEA Safety Regulations and intimate the same to the Commission along with next Tariff petition along with the amount spent on it.

23. KUSUM A&C:

The Commission observes that the PM–KUSUM Scheme of the Ministry of New and Renewable Energy (MNRE) provides substantial Central Financial Assistance (CFA) for promotion of decentralized solar generation and solarisation of agricultural pumps/feeders. The Commission further notes that under the Scheme, capacities under Component-A and Component-C (FLS) have been sanctioned to the State of Rajasthan and the Ministry has extended the implementation period of the Scheme up to 31.03.2026, subject to milestone-based progress. The Ministry has also stipulated that projects having PPAs executed by 31.12.2025 will be treated as liabilities for release of PBI/CFA under the Scheme.

In view of the above, the Commission hereby directs the Discoms to take expeditious steps for effective implementation of the PM–KUSUM Scheme, including timely execution and commissioning of projects in coordination with the State Implementing Agency and other concerned authorities. The Discoms shall ensure strict adherence to the timelines and milestones prescribed by MNRE so as to maximize the availment of Central Financial Assistance, facilitate solarisation of the agriculture sector and reduce the overall cost of power supply in the State.

24. ToU tariff:

ToU tariff is a more advanced and granular pricing mechanism, where Electricity prices vary depending on actual system conditions, renewable availability, and demand patterns. Tou Encourage consumption during periods of surplus generation (e.g., solar hours) and Improves grid flexibility and renewable integration.

The Commission emphasizes the importance of Time of Use (ToU) tariff as an effective demand-side management tool to promote efficient utilisation of the power system and better alignment of consumption with grid conditions. By differentiating tariffs across peak, off-peak and solar hours, ToU tariffs encourage consumers to shift flexible loads away from peak demand periods, thereby reducing system stress and avoiding costly peak power procurement. With increasing integration of renewable energy, particularly solar generation during daytime hours, ToU tariffs can also incentivize greater consumption during periods of abundant generation and help improve grid stability.

The Commission, therefore, expects the Distribution Licensees to progressively expand the implementation of ToU tariffs, particularly for high-consumption and smart-metered consumers, supported by appropriate consumer awareness and metering infrastructure, so that the benefits of improved load management, reduced procurement cost and enhanced system efficiency can be realised.

25. FGD installation:

The Commission observes that, pursuant to the notification dated 11 July 2025 issued by the Ministry of Environment, Forest and Climate Change (MoEFCC), thermal power plants have been categorised into Categories A, B and C, and a substantial number of generating stations in Rajasthan fall under Category C, where installation of Flue Gas Desulphurisation (FGD) systems is not mandated, subject to compliance with stack height norms.

Any expenditure done on FGD will ultimately cause tariff burden on consumers and the Discoms are the most important organization in the Power Sector to watch the interest of the common consumers.

The Discoms are required to be proactive in Change in law cases where the consumers are beneficiaries and shall exercise due diligence before accepting any additional tariff liability on this account and shall ensure that only prudently incurred and legally admissible costs, if any, are considered for pass-through, with due regard to safeguarding consumer interest.

In view of the above, the Discoms are hereby directed to ensure that no undue or avoidable financial burden is passed on to consumers on account of FGD installation by generating stations supplying power to the State, particularly in cases where such installation is not required under the prevailing Regulatory framework.

26. Multiyear Tariff Petition

As per RERC Tariff Regulations, 2025, the Licensee may file the Multi Year Tariff Petition for approval of ARR and determination of tariff for each remaining year of the Control Period for certainty of tariff over multiyear period. Accordingly, the Commission directs Discoms to consider multiyear tariff petition for remaining period of the control period as specified in the Regulations, duly completed with all information required.

Other Directives:

27. Decapitalisation of cost of assets not in use:

Stakeholders during the hearing and written submission, has pointed out that the Discoms are capitalizing the cost of replacement of burnt distribution transformers without corresponding decapitalization of the undepreciated value of the old assets, which could result in higher depreciation being allowed in tariff.

Accordingly, The Discoms are directed to submit detailed information of burnt distribution transformers, including their original cost, accumulated depreciation and balance value. The Discoms shall ensure that the undepreciated value of burnt transformers is properly decapitalised before capitalizing the cost of new transformers. Any excess depreciation, if found, shall be adjusted during True-up to protect consumer interest. The Discoms should furnish compliance report alongwith the next ARR/True-up Petition.

28. Rooftop Solar Consumers under Net metering:

During the public hearing Stakeholders have raised the issue regarding difficulty faced by Rooftop Solar consumers in understanding bills under the Net Billing mechanism. The Discoms submitted that bills are generated strictly as per applicable Regulations and field officers are well conversant with the billing mechanism. The Commission observes that billing transparency and ease of understanding are essential to avoid consumer grievances. Accordingly, the Commission directs the Discoms as under:

i. Provide a segregated and self-explanatory section in the monthly bill showing generation, self-use, export, import, net adjustment, and rate of solar purchase/credit.

ii. May include a brief explanatory note/QR link on the Net Billing methodology.

iii. Ensure that field officers adequately explain the bills to the consumers when required.

29. Assessment of Agriculture consumption:

The Commission observes that the Discoms have reported substantial year-on-year growth in agricultural sales along with high projection of sales of defective meters. The Commission is of the considered view that, in the absence of a duly completed study on actual specific consumption and verification of the status and functionality of agricultural meters, the veracity of the reported sales requires independent validation.

Accordingly, the Commission hereby directs the Discoms to undertake a comprehensive third-party study covering verification of meter installation and functionality, assessment of actual specific consumption, and reconciliation of consumer-level consumption with feeder/AMI data. The detailed report, along with methodology and findings, should be submitted to the Commission along with the next ARR and Tariff Petition.

30. Consumer centric reforms:

In order to strengthen consumer protection, enhance transparency, improve overall service delivery and consumer education, the Commission hereby issues the following directions to the Discoms:

i. Ensure 100% billing based on actual meter reading. All bills should clearly reflect slab-wise energy charges, fixed/demand charges, FPPAs, regulatory surcharge and statutory levies separately.

ii. All consumer complaints should be disposed of strictly within timelines specified under Supply Code/CGRF/SOP Regulations.

iii. Defective meters should be replaced within prescribed time. Feeder and Distribution Transformer metering be strengthened to improve energy accounting and reduce AT&C losses.

iv. Outage duration and transformer failure rate should be reduced through preventive maintenance.

v. End-to-end online facility for new connection, load change, bill payment and complaint tracking be ensured for improved consumer convenience.

vi. The Discoms shall undertake sustained consumer education and awareness initiatives to ensure that consumers clearly understand billing details, including slab-wise charges, fixed/demand charges, fuel surcharge adjustments, regulatory surcharge and adjustments under net metering arrangements.

vii. Discoms shall also widely publicize, through their websites, mobile applications, SMS alerts, and consumer outreach programmes, the procedures for bill verification, complaint registration, complaint tracking, and grievance redressal mechanisms available at various levels including Consumer Grievance Redressal Forums (CGRF) and Ombudsman.

31. Use of electricity derivatives through Power Market by the Discoms to hedge risks :

Electricity derivatives can serve as effective financial instruments for Discoms to hedge against electricity price volatility and demand fluctuations by locking in prices for future power procurement, thereby ensuring cost stability and budget predictability, particularly during periods of high demand or supply shortages when spot market prices spike. Their prudent use can help mitigate market risks, stabilize cash flows, improve financial planning, and support the determination of more stable and affordable consumer tariffs through predictable procurement costs, while also enabling portfolio diversification and flexible demand management strategies. In this regard, it is suggested that Discoms may explore incorporating electricity derivatives as part of a structured power procurement and risk management framework, including development of an internal risk management policy, capacity building or engagement of financial experts, and calibrated participation in derivatives markets to safeguard against financial shocks and enhance long-term operational and tariff stability.

32. In tariff order dated 03.10.25, the Commission directed Discoms to constitute a high-level technical committee to undertake a comprehensive diagnostic study on transformer failure trends. Discoms submitted that Discoms have constituted such committee. However, Discoms have not submitted any comprehensive diagnostic study report on transformer failure trends.

33. In view of the gravity of the issue, the Commission hereby again directs to undertake a comprehensive diagnostic study on transformer failure trends. The scope of the study shall encompass an in-depth analysis of loading conditions, failure modes, protection coordination, maintenance protocols, installation practices, and equipment quality. Based on the study's findings, the Discom shall formulate a time-bound and actionable mitigation plan. This plan must include measures such as load rationalization, installation of suitable protection and monitoring devices, strict enforcement of preventive maintenance schedules, enhancement of procurement standards, and deployment of remote health monitoring systems. The plan must clearly specify implementation timelines, measurable targets, and resource requirements. The Discoms are directed to take necessary action to reduce transformer burning rate and submit an action taken report along with next tariff petition.

34. Discoms should operationalized drone based thermo scanning and network creation with permission from appropriate authority for identifying unsafe conditions and illegal tapping in difficult terrains.

35. Commission directs Discom that electricity bills are distributed on time and bills should also be sent through email, SMS and any other electronic mode. So as to reach consumer before the timeline specified in the Regulation.

36. Discoms are directed to undertake a study for implementing automatic compensation to consumers for rest of the parameters specified under the

Standards of Performance Regulations 2021 and submit an application to the commission indicating their preparedness for further implementation of automatic compensation

37. Discoms should file the Aggregate Revenue Requirement (ARR) and true-up petitions on time as specified in the Regulations, duly completed with information required, in all form and accompanied by audited financial statements, to avoid any delay in issuing the orders.

38. Discoms should ensure timely completion of the projects sanctioned under the PM-KUSUM scheme, as per approved timelines by MNRE.

39. Discoms are advised to conduct an impact assessment study in the operational areas (circles) where PM-KUSUM solar plants have been commissioned, to evaluate their effect on grid operations and feeder load patterns.

40. Regular FPPAS Scrutiny: Discoms should work out FPPAS computation details as per RERC Tariff Regulations. The Commission directs Discoms to continue to place the detailed calculations and independent auditors report on the website.

41. Resource Adequacy:

i. Rule 16 of the Electricity (Amendment) Rules, 2022 mandates that the State Commission shall frame Resource Adequacy Regulations in accordance with the Guidelines issued by the Central Government in consultation with the Central Electricity Authority (CEA). In compliance with the said statutory mandate, the Commission has already incorporated appropriate enabling provisions under the Tariff Regulations, 2025, stipulating that until specific Resource Adequacy Regulations are formally notified, the Distribution Licensees shall adhere to the Resource Adequacy Guidelines issued by the Central Government. Further, the Commission has also published a draft Regulation on the Resource Adequacy framework, which is presently under consideration and is likely to be finalized shortly.

ii. Meanwhile, in exercise of the powers under Section 86(1)(b) of the Electricity Act, 2003 read with Rule 16 of the Electricity (Amendment) Rules, 2022, the Commission vide its order dated 24.03.2026 has issued interim directions in the matter of compliance with Resource Adequacy

Framework.

iii. Accordingly, Discoms are directed to strictly comply with the directions imparted in the order dated 24.03.2026 with respect to Resources Adequacy Framework.

42. **Cyber security infrastructure**: Discoms should establish a 24X7 information security division staffed with cyber security professional to comply with the cyber security requirements. A dedicated Chief information security officer (CISO) from senior management should be designated to report all major incidents within 6 Hours of detection.

43. **Advanced consumer empowerment and P2P trading**: Discoms should initiate a pilot project for Peer to Peer Green Energy trading. This platform should allow prosumers to discover and trade surplus solar generation directly .

44. The Commission observes the submissions of JVVNL, AVVNL and JdVVNL regarding implementation of IT/OT initiatives for improvement in reliability of supply, outage reduction, monitoring and consumer satisfaction. While the initiatives reported under RDSS and other schemes are noted. The Commission further observes that the replies are largely project-oriented and do not comprehensively demonstrate outcome-based implementation of an integrated Outage Management System (OMS), Substation Automation, and AMI/Smart Meter functionalities as envisaged in the previous Tariff Order. Accordingly, the Commission reiterates Discoms to ensure time-bound, measurable and integrated implementation of Outage Management System (OMS), Substation Automation and AMI/Smart Metering initiatives. The OMS should be fully integrated with AMI/Smart Meter systems, including last-gasp alerts and meter ping features, as well as with ADMS/SCADA and consumer complaint management systems, to enable real-time outage detection, faster restoration and automated consumer communication.

<u>Commission's Advice(s) to State Government</u>:

During previous years the Commission has issued certain advices to the State Government, the Commission based on proceedings of this order and the working of ARR and Tariff deems fit to give few more advices to the Government and repeat some of the advices given earlier.

1. Hon'ble Supreme Court vide its order dated 06.08.2025 issued mandatory and time-bound directions applicable to all State Electricity Regulatory Commissions regarding recovery and liquidation of Regulatory Assets.

Further, vide Judgment dated 28.10.2025 the Hon'ble Court directed State Commissions that Regulatory assets existing as on 01.04.2024 must be liquidated in maximum 7 years. The Commission has also filed on affidavit in this regard before Hon'ble APTEL. Accordingly, Commission hereby advises the State Government as under:

(i) The State Government may institute a monitoring mechanism at the administrative level to periodically review the progress of liquidation of Regulatory Assets so as to ensure compliance with the timeline approved by the Hon'ble Supreme Court.

(ii) The purpose of levy of Regulatory Surcharge is to reduce the Regulatory Assets hence, State Government should ensure that Discoms use it only for amortization of Regulatory Assets and the above amount should not be adjusted in current profit/Loss or used for any other purpose.

2. The State Government, as the principal owner of the Discoms, is advised to constitute a task force to monitor performance of Discoms and to take corrective measure to improve their operational efficiency and financial management.
3. The State Government is advised to facilitate coordination among power sector companies, for this purpose it may consider constituting a coordination committee comprising representatives from all power sector companies.
4. The Government of Rajasthan may start Voluntary Disclosure Scheme (VDS) to increase the load of agricultural power connections in rural areas. The consumers at times tend to install higher HP motors to water their fields than the permissible load causing overloading of transformers and ultimately breakage of machinery and financial loss to the electricity department. The Government may make such scheme lucrative for more participation.
5. It is observed that while paying the tariff subsidy, grant towards capital works and loss subsidy under other schemes etc. to Discoms, there has been a delay by Government in payment of such subsidy & grants, which causes financial burden on the Discoms and deteriorate the financial position of Discoms. Therefore, the Government of Rajasthan is advised to pay the subsidy and grant due to Discoms on time, further carrying cost may also be paid on such dues by Government to Discoms.
6. The Government of Rajasthan (GoR) has approved participation of Discoms in RDSS and to take maximum benefit of the Scheme it is imperative that the State fulfills the Pre-Qualification Criteria. The Commission accordingly again

advises the Government of Rajasthan (GoR) to ensure :

(i) That Discoms do not create new Regulatory Assets in latest tariff determination cycle, the Government should undertake to give additional subsidy to each Discom so as Regulatory Assets are not created for any of the Discom.

(ii) 100% payment of subsidy for the previous year and advance payment of subsidy up to current period in line with section 65 of EA, 2003 and wipe out the remaining subsidy amount by the end of the project period.

(iii) All Government Departments/ Attached Offices/ Local Bodies/ Autonomous Bodies/ Boards/Corporations have made 100% payment of current electricity dues.

7. Till FY 2023-24 the Commission has allowed additional interest burden of Rs. 7730 Crore due to additional interest being charged by Govt. on UDAY loans. All this has added to Regulatory Assets of the Discom. The Government of Rajasthan (GoR) may consider to waive off the additional interest being charged by it on UDAY loans so that the Regulatory Assets are reduced to that extent and its impact on consumers will be reduced.
8. State Government, as per Section 161 (2)(b) of the Electricity Act, 2003 may ask the Electrical Inspector or any other agency to inquire and report to it (i) cause of accident and (ii) the manner and extent to which the rules and regulations pertaining to safety are being complied by the Discoms or any other utility. State Government may also monitor the compliance of CEA Safety Regulations and issue necessary directions to Discoms & Electrical Inspector whenever required for ensuring safety.
9. State Government shall appoint required Chartered Electrical Safety Engineer as per CEA (Measures relating to Safety and Electric Supply) Regulations, 2023 to assist the owner or supplier or consumer of electrical installations for the specified voltage for the purpose of self-certification under regulation 32 & 45 of these regulations. State Government should also issue guideline to regulate their working.
10. GOR may provide cheap land and facilitate Discoms by providing additional financial assistance under innovative model to handle distributed energy as feeder level monitoring units/ profit centres.
11. The Govt. may allow Discoms to continue to retain Electricity Duty FY 2023-24 onwards over and above the loss subsidy. This will help the Discoms to curtail their accumulated losses and also reduce the Regulatory Assets.

12. The Commission notes that the financial sustainability of Jodhpur Discom has been adversely affected due to unfavorable sales mix i.e. has very high consumption of agriculture sales which generate less revenue. In view of the above, the State Government may consider extending necessary policy and financial support including allocating low cost power for improving the financial sustainability of Jodhpur Discom. Such measures would help stabilize the revenue position of the DISCOM and ensure reliable and quality electricity supply to consumers.
13. The Commission advises the Government of Rajasthan to institutionalize a structured digital skill development framework tailored to the power sector, so that AI-enabled grid modernization translates into measurable improvements in reliability, financial performance, and renewable energy integration across the State.
14. The State Government should strictly liquidate the liabilities arising from the transition to the Old pension scheme (OPS) over a 10 year period as per its commitment.
15. The Commission also advises the State Government, being the principal owner of the Discoms, to ensure continued and adequate funding towards terminal benefit liabilities, especially in light of the significant actuarial liability and existing deficit in the pension funds. This is essential to enable Discoms to meet their obligations on this account in a timely and sustainable manner.

Annexure A

Sr. No.	Name
1	Ms. Aarti Dogra,, Chairman Discoms & MD, JVVNL for the Petitioners.
2	Sh. K.P. Verma, MD, AVVNL.
3	Ms. Susan Mathew Advocate for RTMA.
4	Sh. Anshuman Gothwal for CEEP.
5	Sh. Lalit Kumar Pandey for CEEP.
6	Ms. Ann Josey for Prayas Energy.
7	Sh. Y. K. Bolia for Upbhokta Adhikar Sangthan & UCCI.
8	Sh. N.K. Jain for Mewar Chamber of Commerce & Industries .
9	Sh. Sunil Kumar Sharma, CEO TPADL.
10	Sh. Siyaram Gadhora for RVTKA.
11	Sh. Ayub Mansuri, Stakeholder.
12	Sh. D. D. Agarwal, Stakeholder.
13	Sh. L.N. Nimawat, Stakeholder.
14	Sh. V.K. Gupta, Stakeholder
15	Sh. B.M. Sanadhya for Samta Power
16	Sh. G.L. Sharma, Stakeholder

Annexure- B

List of abbreviations		
A&G	:	Administrative and General Expenses
ADR	:	Automated Demand Response
AEEE	:	Alliance for Energy Efficient Economy
AI	:	Artificial Intelligence
AMI	:	Advance Metering Infrastructure
AMR	:	Automatic Meter Reading
APTEL	:	Appellate Tribunal for Electricity
ARR	:	Aggregate Revenue Requirement
AT & C	:	Aggregate Technical and Commercial
AVVNL	:	Ajmer Vidyut Vitran Nigam Ltd.
BDR	:	Behavioural Demand Response
BESS	:	Battery Energy Storage System
CAGR	:	Compound Annual Growth Rate
CEA	:	Central Electrical Authority
CPP	:	Captive Power Plants
CTPP	:	Chhabra Thermal Power Plant
DA-JGUA	:	Dharti Aaba Janjatiya Gram Utkarsh Abhiyan
DAM	:	Day Ahead Market
DBFOOT	:	Design, Build, Finance, Own, Operate, and Transfer
DF	:	Distribution Franchisee
DISCOM	:	Distribution Company
DR	:	Demand Response
DRC	:	Distribution Reform Committee
DSM	:	Demand Supply Management
EA, 2003	:	Electricity Act, 2003
ED	:	Electricity Duty
EMS	:	Energy Management System
ERP	:	Enterprise Resource Planning
ESO	:	Energy Storage Obligation
EV	:	Electric Vehicle
FR	:	Flat Rate
FRBM	:	Fiscal Responsibility and Budget Management
FY	:	Financial Year
GIS	:	Geographic Information System
GFA	:	Gross Fixed Assets
GNM	:	Group Net Metering
GoR	:	Government of Rajasthan

List of abbreviations		
HEMS	:	Home Energy Management System
HVDS	:	High Voltage Distribution System
HPO	:	Hydro Power Purchase Obligation
HT	:	High Tension
JdVVNL	:	Jodhpur Vidyut Vitran Nigam Limited
JVVNL	:	Jaipur Vidyut Vitran Nigam Limited
KTPS	:	Kota Thermal Power Station
KW	:	Kilo Watt
KWH	:	Kilo Watt Hour
KVA	:	Kilo Volt Ampere
LT	:	Low Tension
LTL	:	Long-Term Loans
MDM	:	Meter Data Management
MNRE	:	Ministry of New and Renewable Energy
MMH	:	Mini Micro Hydro
ML	:	Mixed Load
MOD	:	Merit Order Dispatch
MoU	:	Memorandum of Understanding
MU	:	Million Unit
MW	:	Mega Watt
NCES	:	Non-Conventional Energy Sources
NDS	:	Non Domestic Supply
NHPC	:	National Hydro Power Corporation
NLC	:	Neyveli Lignite Corporation
NPCIL	:	Nuclear Power Corporation
NTPC	:	National Thermal Power Corporation
NVVN	:	NTPC Vidyut Vyapar Nigam
O&M	:	Operation & Maintenance
PGCIL	:	Power Grid Corporation of India Ltd.
PLF	:	Plant Load Factor
PM KUSUM	:	PM Kisan Urja Surksha Uthan Mahabhiyan
PMA	:	Project Management Agency
POC	:	Parallel Operation Charges
PP	:	Partnership Projects
PPA	:	Power Purchase Agreement
PSA	:	Power Sale Agreement
PSERC	:	Punjab State Electricity Regulatory Commission
PWW	:	Public Water Works
RAPDRP	:	Restructured Accelerated Power Development & Reform

List of abbreviations		
		Programme
RBI	:	Reserve Bank of India
RDSS	:	Revamped Distribution Sector Scheme
RERC	:	Rajasthan Electricity Regulatory Commission
RGTPS	:	Ramgarh Gas Thermal Power Station
RLDC	:	Region Load Dispatch Centre
RoE	:	Return on Equity
RPO	:	Renewable Purchase Obligation
RRECL	:	Rajasthan Renewable Energy Corporation Limited
RTM	:	Real Time Market
RTS	:	Roof Top Solar
RUVNL	:	Rajasthan Urja Vikas Nigam Ltd.
RVPN	:	Rajasthan Vidyut Prasaran Nigam
RVUN	:	Rajasthan Vidyut Utpadan Nigam
R&M	:	Repairs & Maintenance
SCADA	:	Supervisory Control and Data Acquisition
SCL	:	Sanctioned Connected Load
SECI	:	Solar Energy Corporation of India Limited
SERC	:	State Electricity Regulatory Commission
SIP	:	Small Industrial Power
SLDC	:	State Load Dispatch Centre
SLD	:	Single Line Diagram
SLM	:	Straight Line Method
STPS	:	Suratgarh Thermal Power Station
TAM	:	Term Ahead Market
ToD	:	Time of Day
ToU	:	Time of Use
TSA	:	Transmission Service Agreement
T&D	:	Transmission & Distribution
VGF	:	Viability Gap Funding
VNM	:	Virtual Net Metering

Approved Tariff for FY 2026-27 Annexure C

Tariff for Retail Consumers

DOMESTIC CATEGORY (LT-1 and HT-1)

Existing Tariff			Approved Tariff		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
BPL, Astha Card Holders and Small Domestic*			**BPL, Astha Card Holders and Small Domestic***		
Consumption up to first 50 units per Month	Rs. 4.75 per unit	Rs. 150 per connection per month	Consumption up to first 50 units per Month	Rs. 4.75 per unit	Rs. 150 per connection per month
General Domestic – 1 (Consumption up to 150 units per month)			**General Domestic – 1 (Consumption up to 150 units per month)**		
Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 150 per connection per month	Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 150 per connection per month
Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit		Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit	
General Domestic – 2 (Consumption up to 300 units per month)			**General Domestic – 2 (Consumption up to 300 units per month)**		
Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 300 per connection per month	Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 300 per connection per month
Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit		Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit	
Consumption above 150 units and up to 300 units per month	Rs. 7.00 per unit		Consumption above 150 units and up to 300 units per month	Rs. 7.00 per unit	
General Domestic – 3 (Consumption up to 500 units per month)			**General Domestic – 3 (Consumption up to 500 units per month)**		
Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 500 per connection per month	Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 500 per connection per month
Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit		Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit	
Consumption above 150 units and up to 500 units per month	Rs. 7.00 per unit		Consumption above 150 units and up to 500 units per month	Rs. 7.00 per unit	
General Domestic – 4 (Consumption above 500 units per month)			**General Domestic – 4 (Consumption above 500 units per month)**		
Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 800 per connection per month	Consumption up to first 50 units per month	Rs. 4.75 per unit	Rs. 800 per connection per month
Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit		Consumption above 50 units and up to 150 units per month	Rs. 6.00 per unit	
Consumption above 150 units and up to 500 units per month	Rs. 7.00 per unit		Consumption above 150 units and up to 500 units per month	Rs. 7.00 per unit	
Consumption above 500 units per month	Rs. 7.50 per unit		Consumption above 500 units per month	Rs. 7.50 per unit	

<table>
<tr><th colspan="3">Existing Tariff</th><th colspan="3">Approved Tariff</th></tr>
<tr><th>Particulars</th><th>Energy Charges</th><th>Fixed Charges</th><th>Particulars</th><th>Energy Charges</th><th>Fixed Charges</th></tr>
<tr><th colspan="3">HT Domestic (DS/HT-1)</th><th colspan="3">HT Domestic (DS/HT-1)</th></tr>
<tr><td>For contract demand above 50 kVA</td><td>Rs. 6.50 per unit</td><td>Rs. 300 per kVA of billing demand per month</td><td>For contract demand above 50 kVA</td><td>Rs. 6.50 per unit</td><td>Rs. 300 per kVA of billing demand per month</td></tr>
</table>

**Note: The BPL and Astha card Holder domestic tariff shall be exclusively applicable to individual consumer person and shall not be applicable to any institution. In case any BPL, Astha Card Holder and Small Domestic consumers has consumed more than 50 unit per month in any billing cycle, the consumer will be charged as per the applicable tariff of the respective slab under the LT-I domestic category for the additional units consumed.*

NON-DOMESTIC CATEGORY (LT-2 & HT-2)

<table>
<tr><th colspan="3">Existing Tariff</th><th colspan="3">Approved Tariff</th></tr>
<tr><th>Particulars</th><th>Energy Charges</th><th>Fixed Charges</th><th>Particulars</th><th>Energy Charges</th><th>Fixed Charges</th></tr>
<tr><th colspan="6">Non-Domestic (NDS/LT-2)</th></tr>
<tr><th colspan="3">NDS up to 5 kW of SCL (Type 1) Consumption up to 100 units per month</th><th colspan="3">NDS up to 5 kW of SCL (Type 1) Consumption up to 200 units per month</th></tr>
<tr><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td>Rs. 350 per connection per month</td><td rowspan="2">Consumption up to first 100 units per month</td><td rowspan="2">Rs. 7.00 per unit</td><td rowspan="4">Rs. 350 per connection per month</td></tr>
<tr><th colspan="3">NDS up to 5 kW of SCL (Type 2) Consumption up to 200 units per month</th></tr>
<tr><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td rowspan="2">Rs. 350 per connection per month</td><td rowspan="2">Consumption above 100 Units and up to 200 Units per Month</td><td rowspan="2">Rs. 8.50 per unit</td></tr>
<tr><td>Consumption above 100 Units and up to 200 Units per Month</td><td>Rs. 8.50 per unit</td></tr>
<tr><th colspan="3">NDS up to 5 kW of SCL (Type 3) Consumption up to 500 units per month</th><th colspan="3">NDS up to 5 kW of SCL (Type 2) Consumption up to 500 units per month</th></tr>
<tr><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td rowspan="2">Rs. 450 per connection per month</td><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td rowspan="2">Rs. 450 per connection per month</td></tr>
<tr><td>Consumption above 100 Units and up to 500 Units per Month</td><td>Rs. 8.50 per unit</td><td>Consumption above 100 Units and up to 500 Units per Month</td><td>Rs. 8.50 per unit</td></tr>
<tr><th colspan="3">NDS up to 5 kW of SCL (Type 4) Consumption above 500 units per month</th><th colspan="3">NDS up to 5 kW of SCL (Type 3) Consumption above 500 units per month</th></tr>
<tr><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td rowspan="2">Rs. 700 per connection per month</td><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td rowspan="2">Rs. 700 per connection per month</td></tr>
<tr><td>Consumption above 100 Units</td><td>Rs. 8.50 per unit</td><td>Consumption above 100 Units</td><td>Rs. 8.50 per unit</td></tr>
<tr><th colspan="6">NDS above 5 kW of Sanctioned Connected Load (LT Supply)</th></tr>
<tr><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td>Rs. 160 per kW of Sanctioned Connected</td><td>Consumption up to first 100 units per month</td><td>Rs. 7.00 per unit</td><td>Rs. 160 per kW of Sanctioned Connected</td></tr>
</table>

Consumption above 100 Units and up to 500 Units per Month	Rs. 8.50 per unit	Load per month	Consumption above 100 Units and up to 500 Units per Month	Rs. 8.50 per unit	Load per month
Consumption above 500 Units per Month	Rs. 8.50 per unit	Rs. 200 per kW of Sanctioned Connected Load per month Or Rs. 320 per kVA of Billing Demand per month (If SCL is more than 18.65 KW)	Consumption above 500 Units per Month	Rs. 8.50 per unit	Rs. 200 per kW of Sanctioned Connected Load per month Or Rs. 320 per kVA of Billing Demand per month (If SCL is more than 18.65 KW)
Non Domestic (NDS/HT-2) (For Contract Demand over 50 kVA)					
All units	Rs. 8.50 per unit	Rs.320 per kVA of Billing Demand per month	All units	Rs. 8.50 per unit	Rs.320 per kVA of Billing Demand per month

PUBLIC STREET LIGHTING (LT-3)

Existing Tariff			**Approved Tariff**		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
Population <1 Lakh	Rs. 7.00 per unit	Rs. 150 per Lamp point per month	Population <1 Lakh	Rs. 7.00 per unit	Rs. 150 per Lamp point per month subject to a maximum of Rs. 3000 per service connection per month
Population = >1 Lakh	Rs. 7.50 per unit	Rs. 200 per Lamp point per month	Population = >1 Lakh	Rs. 7.50 per unit	Rs. 200 per Lamp point per month subject to a maximum of Rs. 8000 per service connection per month

AGRICULTURE (Metered and Flat Rate) (LT-4)

Metered (AG/MS/LT-4)			**Metered (AG/MS/LT-4)**		
Existing Tariff			**Approved Tariff**		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
(i) General (getting supply in block hours)	Rs. 5.25 per unit	Rs. 30 per HP per Month of SCL	(i) General (getting supply in block hours)	Rs. 5.25 per unit	Rs. 30 per HP per Month of SCL
(ii) All others not covered under items (i) and getting supply more than block hours	Rs. 7.00 per unit	Rs. 60 per HP per month of SCL	(ii) All others not covered under items (i) and getting supply more than block hours	Rs. 7.00 per unit	Rs. 60 per HP per month of SCL

Flat /Unmetered (AG/FR/LT-4)			Flat /Unmetered (AG/FR/LT-4)		
Existing Tariff			**Approved Tariff**		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
(i) General (getting supply in block hours)	Rs. 745 per HP per Month	Rs.30 per HP per month of SCL	(i) General (getting supply in block hours)	Rs. 745 per HP per Month	Rs.30 per HP per month of SCL
(ii) All others not covered under items (i) and getting supply more than block hours	Rs. 895 per HP per Month	Rs. 60 per HP per month of SCL	(ii) All others not covered under items (i) and getting supply more than block hours	Rs. 895 per HP per Month	Rs. 60 per HP per month of SCL

SMALL INDUSTRIES (LT-5)

Existing Tariff			Approved Tariff		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
Small Industrial Service (LT-5) (Load not exceeding 18.65 kW (25 HP)					
Upto 500 units	Rs. 6.00 per unit	Rs. 90 per HP per month of SCL	Up to 500 units	Rs. 6.00 per unit	Rs. 90 per HP per month of SCL
Above 500 units	Rs. 6.00 per unit	Rs. 150 per HP per month of SCL	Above 500 units	Rs. 6.00 per unit	Rs. 150 per HP per month of SCL

MEDIUM INDUSTRIES (LT-6 and HT-3)

Existing Tariff			Approved Tariff		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
Medium Industrial Service (LT-6 and HT-3)					
Medium Industrial Service (LT-6)	Rs. 6.50 per unit	Rs. 150 per HP per month of sanctioned connected load or Rs. 275 per KVA of Billing Demand per month	Medium Industrial Service (LT-6)	Rs. 6.50 per unit	Rs. 150 per HP per month of sanctioned connected load or Rs. 275 per KVA of Billing Demand per month
Medium Industrial Service (HT-3)	Rs. 6.50 per unit	Rs. 275 per KVA of Billing Demand per month	Medium Industrial Service (HT-3)*	Rs. 6.50 per unit	Rs. 275 per KVA of Billing Demand per month

**Note:- After considering all rebates minimum energy charges for HT-3 will be Rs. 6.00/KWh.*

BULK SUPPLY FOR MIXED LOAD (LT-7 and HT-4)

Existing Tariff			Approved Tariff		
Particulars	**Energy Charges**	**Fixed Charges**	**Particulars**	**Energy Charges**	**Fixed Charges**
Bulk Supply for Mixed Load Category (LT-7 and HT-4)					
Bulk Supply for Mixed Load Service (LT-7)	Rs. 7.50 per unit	Rs. 150 per HP per month of sanctioned connected load or Rs. 300 per KVA of Billing Demand per month	Bulk Supply for Mixed Load Service (LT-7)	Rs. 7.50 per unit	Rs. 150 per HP per month of sanctioned connected load or Rs. 300 per KVA of Billing Demand per month

Existing Tariff			Approved Tariff		
Particulars	Energy Charges	Fixed Charges	Particulars	Energy Charges	Fixed Charges
Bulk Supply for Mixed Load Service (HT-4)	Rs. 7.50 per unit	Rs. 300 per KVA of Billing Demand per month	Bulk Supply for Mixed Load Service (HT-4)	Rs. 7.50 per unit	Rs. 300 per KVA of Billing Demand per month

LARGE INDUSTRIES (HT-5)

Existing Tariff			Approved Tariff		
Particulars	Energy Charges	Fixed Charges	Particulars	Energy Charges	Fixed Charges
Large Industrial Service (HT-5)*					
SCL above 150 HP or having Contract / Maximum Demand above 125 KVA	Rs. 6.50 per unit	Rs. 380 per KVA of Billing Demand per month	SCL above 150 HP or having Contract / Maximum Demand above 125 KVA	Rs. 6.50 per unit	Rs. 380 per KVA of Billing Demand per month

VOLTAGE-WISE TARIFF * FOR LARGE INDUSTRIES CATEGORY

Voltage wise Tariff* for Consumer having SCL above 150 HP or having Contract/Maximum Demand above 125 kVA			Voltage wise Tariff* for Consumer having SCL above 150 HP or having Contract/Maximum Demand above 125 kVA		
Particulars	Existing Tariff		Particulars	Approved Tariff	
Voltage Level	Energy Charges	Fixed Charges	Voltage Level	Energy Charges	Fixed Charges
11 KV	Rs. 6.50/Unit*	Rs. 380 per KVA of Billing Demand per month	11 KV	Rs. 6.50/Unit*	Rs. 380 per KVA of Billing Demand per month
*voltage rebate shall be applicable as detailed below.					

MINIMUM ENERGY CHARGES

Particulars	Existing Tariff	Particulars	Approved Tariff
Voltage Level	Energy Charges	Voltage Level	Energy Charges
11 kV	Rs. 6.00/ Unit	11 kV	Rs. 6.00/ Unit
33 kV		33 kV	
132 kV		132 kV	
220 kV		220 kV	

ELECTRIC VEHICLE CHARGING STATION (LT-8 and HT-6)

	Existing Tariff			Approved Tariff	
Particulars	Energy Charges	Fixed Charges	Particulars	Energy Charges	Fixed Charges
Public charging station (LT-8)	Rs. 6.00 per unit	Rs. 45 per HP per month of sanctioned connected	Public charging station (LT-8)	Rs. 6.00 per unit	Nil

	Existing Tariff			Approved Tariff	
Particulars	Energy Charges	Fixed Charges	Particulars	Energy Charges	Fixed Charges
		load			
Public charging station (HT-6)	Rs. 6.00 per unit	Rs. 150 per kVA per month	Public charging station (HT-6)	Rs. 6.00 per unit	

TRACTION LOAD (HT-7)

Existing Tariff		Approved Tariff	
Energy Charges	Fixed Charges	Energy Charges	Fixed Charges
Rs. 5.70 per unit	Rs. 150 per kVA of billing demand per month	Rs. 5.70 per unit	Rs. 150 per kVA of billing demand per month

ToD Rebate and Surcharge **(applicable for consumers with connected load above 10kW except agriculture and PSL category)**

Slots	6:00 AM to 8:00 AM (2 Hrs) **Surcharge on energy charges**	12:00 PM to 4:00 PM (4 Hrs) **Rebate on energy charges**	6:00 PM to 10:00 PM (4 Hrs) **Surcharge on energy charges**
Time of Day (ToD)	5%	10%	10%

Voltage Rebate

Contract demand based tariff is applicable for supply at 11 KV Voltage rebate will be allowed to HT consumer including Large Industrial Category consumers on the Energy charges for the month if the consumer takes or gives supply at voltage mentioned below:

Voltage Level	Rebate
33 kV	3%
132 kV	4%
220 kV	5%

Tariff for dual source supply (for all HT & EHT Consumers)

All HT and EHT consumers availing dual source of supply either with simultaneous/standby use shall be charged double the fixed charges applicable to the relevant category of tariff.

Other Tariff:

Wheeling Charges	FY 2026-27
Wheeling Charges at 132 KV and above Voltage Level (Rs/kWh)	**0.01**
Wheeling Charges at 33 KV Voltage Level (Rs./kWh)	**0.09**
Wheeling Charges at 11 KV Voltage Level (Rs./kWh)	**0.69**
Wheeling Charges at LT Voltage Level (Rs./kWh)	**1.93**

Cross Subsidy Surcharge

Category of Open Access Consumer	Cross Subsidy Surcharge (Rs./KWh)
All Categories-All Voltage Level	**1.48**

Additional Surcharge

Additional Surcharge (Rs./kWh)	**0.50**

Green Tariff

Green Tariff (Rs./kWh) over and above the normal tariff	**0.05**

POC charges to be levied on the HT CPP (co-located) consumers are as under:

CPP Type	Approved POC charges
Conventional CPP	Rs 27.237 per KVA per month of the installed capacity of CPP
Renewable CPP	Rs 11.90 per KVA per month of the installed capacity of CPP
Hybrid Plants	Both of the above in the ratio of the conventional and renewable share

(i) Rooftop Solar Plants under net metering and gross metering shall be excluded from the levy of Parallel Operation Charges (POC).

(ii) Levy of Parallel Operation Charges shall be limited to only the power consumed by the on-site/co-located load and not on offsite CPP and it shall apply to the net capacity (Total capacity –Open access capacity) of the generators.

(iii) The POC charges shall be leviable on co-located plants irrespective of its captive status to the extent capacity utilized for co-located load.

No POC charges shall apply to Power Purchase Agreements (PPAs) capacity entered into by Discoms with CPP.

Regulatory Surcharge

Particulars	Rs./kWh
Domestic Consumer having consumption upto 100 Units/Month	**0.70**
Balance domestic and other category consumers	**1.00**

The above Regulatory Surcharge shall be combination of Fuel and Power Purchase Adjustment Surcharge (FPPAS) to be levied as per Regulation 87 of the RERC Tariff Regulations 2025.

General Note:

1. All existing provisions which are not modified by this order, shall continue to be in force.

Annexure D

Power purchase details for FY 2026-27

	Rajasthan			JVVNL				AVVNL				JdVVNL			
	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs./unit	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs. Cr)	Total Cost JVVNL (Rs. Cr.)	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs. Cr)	Total Cost AVVNL (Rs. Cr.)	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs. Cr)	Total Cost JdVVNL (Rs. Cr.)
NTPC															
FGUTTPS (UN)-2	69	34	5.83	26	13	15	28	19	9	11	20	24	12	14	25
FGUTTPS (UN)-3	55	22	5.15	21	8	11	19	15	6	8	14	19	7	10	17
FGUTTPS (UN)-4	217	101	4.66	83	39	39	77	60	28	28	56	75	35	35	70
KH-1	132	19	3.31	50	7	17	24	36	5	12	17	45	6	15	21
KH-2	573	70	3.00	218	27	66	92	157	19	47	67	197	24	59	83
KHPS-1	617	98	2.12	235	37	50	87	169	27	36	63	212	34	45	79
NCTPS 1D	487	134	5.70	185	51	106	157	134	37	76	113	167	46	95	142
NCTPS 2	2	12	88.54	1	5	6	10	0	3	4	7	1	4	5	9
RIHAND-1	719	63	1.75	274	24	48	72	197	17	35	52	247	22	43	65
RIHAND-2	820	63	1.76	313	24	55	79	225	17	40	57	282	22	50	72
RIHAND-3	1024	136	1.83	390	52	71	123	281	37	51	89	352	47	64	111
SINGUARLI	2186	176	1.95	833	67	162	230	600	48	117	166	752	61	147	207
SINGUARLI-Hydel	5	0	5.04	2	0	1	1	1	0	1	1	2	0	1	1
TANDA-II STPS	432	127	3.64	165	48	60	108	119	35	43	78	149	44	54	98
NTPC GREEN ENERGY LTD(BHADLA-II -Solar)	385	0	5.00	147	0	73	73	106	0	53	53	132	0	66	66
NTPC NSM-BUNDLED Solar	1391	0	4.52	530	0	240	240	382	0	173	173	479	0	217	217
NTPC NSM-BUNDLED Thermal	1934	259	2.48	737	99	183	282	531	71	132	203	666	89	165	254
NTPC - MEJA	526	147	3.49	201	56	70	126	145	40	50	91	181	51	63	114
Total NTPC	**11574**	**1460**	**2.88**	**4411**	**557**	**1272**	**1829**	**3179**	**401**	**917**	**1318**	**3984**	**503**	**1149**	**1651**
NHPC															
SALAL	125	9	1.86	48	4	9	12	34	3	6	9	43	3	8	11
TANAKPUR	61	15	2.89	23	6	7	12	17	4	5	9	21	5	6	11
CHAMERA-I	558	37	1.14	213	14	24	38	153	10	17	28	192	13	22	35
URI	252	26	1.42	96	10	14	24	69	7	10	17	87	9	12	21
CHAMERA-II	259	30	1.21	99	12	12	23	71	8	9	17	89	10	11	21
DHAULIGANG	191	23	1.42	73	9	10	19	53	6	7	14	66	8	9	17
DULHASTI	378	67	2.82	144	26	41	66	104	18	29	48	130	23	37	60
URI-II	237	45	3.09	90	17	28	45	65	12	20	33	81	16	25	41
PARBATI III	227	40	1.36	86	15	12	27	62	11	9	19	78	14	11	24
SEWA II	87	21	2.39	33	8	8	16	24	6	6	12	30	7	7	14
CHAMERA-III	170	37	2.09	65	14	14	28	47	10	10	20	58	13	12	25
KISHANGANGA	85	21	2.55	32	8	8	16	23	6	6	12	29	7	7	15
Total NHPC	**2631**	**372**	**1.85**	**1003**	**142**	**186**	**328**	**723**	**102**	**134**	**236**	**905**	**128**	**168**	**296**
SJVNL															

	Rajasthan			JVVNL				AVVNL				JdVVNL			
	Net Generation (MU)	**Total Annual Fixed charges (Rs. Cr.)**	**Variable Cost (Rs./unit**	**Net Generation (MU)**	**Total Annual Fixed charges (Rs. Cr.)**	**Variable Cost (Rs. Cr)**	**Total Cost JVVNL (Rs. Cr.)**	**Net Generation (MU)**	**Total Annual Fixed charges (Rs. Cr.)**	**Variable Cost (Rs. Cr)**	**Total Cost AVVNL (Rs. Cr.)**	**Net Generation (MU)**	**Total Annual Fixed charges (Rs. Cr.)**	**Variable Cost (Rs. Cr)**	**Total Cost JdVVNL (Rs. Cr.)**
NATHPA-JHAKRI	1006	94	1.21	383	36	46	82	276	26	33	59	346	32	42	74
RAMPUR	276	49	2.70	105	19	28	47	76	14	20	34	95	17	26	43
Total SJVNL	**1282**	**143**	**1.53**	**489**	**55**	**75**	**129**	**352**	**39**	**54**	**93**	**441**	**49**	**67**	**117**
IPP/UMPP															
NEYVELI LIGNITE CORPORATION LTD	1365	305	0.88	520	116	46	162	375	84	33	117	470	105	41	146
ARAVALI POWER CO PVT LTD	98	40	4.74	37	15	18	33	27	11	13	24	34	14	16	30
NVVN BUNDLED POWER -Solar	367	0	10.52	140	0	147	147	101	0	106	106	126	0	133	133
NVVN BUNDLED POWER - Thermal	1828	252	2.52	697	96	176	272	502	69	127	196	629	87	159	245
COASTAL GUJRAT	780	92	3.55	297	35	106	141	214	25	76	101	268	32	95	127
ADANI POWER RAJASTHAN LIMITED	7460	1000	3.33	2843	381	946	1327	2049	275	682	957	2568	344	855	1199
SASAN POWER LTD	2817	46	1.31	1074	18	141	159	774	13	102	114	970	16	127	143
PTC (KARCHAM WANGTOO)	635	48	1.06	242	18	26	44	175	13	19	32	219	16	23	40
PTC (DB)	2382	541	2.00	908	206	182	388	654	149	131	280	820	186	164	351
PTC (MARUTI)	1500	253	2.09	572	96	119	216	412	69	86	155	516	87	108	195
TOTAL IPP/UMPP	**19232**	**2577**	**2.60**	**7329**	**982**	**1906**	**2888**	**5283**	**708**	**1374**	**2082**	**6620**	**887**	**1722**	**2609**
NAPP	287	0	2.99	109	0	33	33	79	0	24	24	99	0	30	30
RAPP-I &II	1007	0	3.34	384	0	128	128	277	0	92	92	347	0	116	116
RAPP-III &IV	1080	0	3.34	412	0	138	138	297	0	99	99	372	0	124	124
RAPP-V & VI	936	0	3.92	357	0	140	140	257	0	101	101	322	0	126	126
RAPP 7	880	0	4.83	335	0	162	162	242	0	117	117	303	0	146	146
RAPP 8	2453	0	4.93	935	0	461	461	674	0	332	332	844	0	416	416
Total NPCIL	**6642**	**0**	**4.19**	**2531**	**0**	**1061**	**1061**	**1825**	**0**	**765**	**765**	**2286**	**0**	**959**	**959**
Others															
TEHRI	378	64	2.34	144	25	34	58	104	18	24	42	130	22	31	53
KOTESHWAR	163	40	3.38	62	15	21	36	45	11	15	26	56	14	19	33
TPSS	153	0	6.95	58	0	41	41	42	0	29	29	53	0	37	37
KHURJA	1277	357	2.30	487	136	112	248	351	98	81	179	440	123	101	224
PTC TALA (BHUTAN)	44	0	2.27	17	0	4	4	12	0	3	3	15	0	3	3
Total Others	**2015**	**462**	**2.75**	**768**	**176**	**211**	**387**	**554**	**127**	**152**	**279**	**694**	**159**	**191**	**350**
STATE GEN. & OTHER															
RVUN															
KTPS(1 to 7)	6376	593	4.01	2430	226	975	1201	1752	163	703	866	2195	204	880	1085
STPS(1 to 6)	4955	594	4.59	1888	226	866	1093	1361	163	624	788	1705	204	782	987
SSCTPP (7&8)	7095	1300	3.47	2704	496	938	1433	1949	357	676	1033	2442	448	847	1294
CTPP (1-4)	5814	662	3.26	2216	252	721	974	1597	182	520	702	2001	228	652	879
CSCTPP (5 & 6)	6111	903	2.64	2329	344	614	958	1679	248	443	691	2103	311	554	865
RGTPP(1-3)	658	63	5.61	251	24	141	165	181	17	102	119	227	22	127	149
KaTPP#1&2	6548	945	3.31	2495	360	827	1187	1799	259	596	856	2254	325	747	1072

	Rajasthan			JVVNL				AVVNL				JdVVNL			
	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs./ unit	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs. Cr)	Total Cost JVVNL (Rs. Cr.)	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs. Cr)	Total Cost AVVNL (Rs. Cr.)	Net Generation (MU)	Total Annual Fixed charges (Rs. Cr.)	Variable Cost (Rs. Cr)	Total Cost JdVVNL (Rs. Cr.)
MAHI	175	31	0.37	67	12	2	14	48	8	2	10	60	11	2	13
MAHI MMH	0	0	4.58	0	0	0	0	0	0	0	0	0	0	0	0
MANGROL	0	0	4.58	0	0	0	0	0	0	0	0	0	0	0	0
STPS MMH	2	0	4.58	1	0	0	0	1	0	0	0	1	0	0	0
Total RVUN	**37735**	**5090**	**3.54**	**14381**	**1940**	**5085**	**7025**	**10366**	**1398**	**3665**	**5063**	**12989**	**1752**	**4592**	**6344**
RAJWEST POWER LIMITED	**6073**	**791**	**2.54**	**2314**	**302**	**588**	**889**	**1668**	**217**	**424**	**641**	**2090**	**272**	**531**	**803**
SHARE PROJECTS															
BBMB(BHAKRA,DEHAR&PONG	2711	0	0.68	1033	0	71	71	745	0	51	51	933	0	64	64
CHAMBAL/SATPURA	562	0	0.00	214	0	0	0	154	0	0	0	194	0	0	0
Total Shared Projects	**3273**	**0**	**0.57**	**1248**	**0**	**71**	**71**	**899**	**0**	**51**	**51**	**1127**	**0**	**64**	**64**
R.F.F.	187	0	3.85	187	0	72	72	0	0	0	0	0	0	0	0
NCES															
Wind RPO	7535	0	4.36	2871	0	1253	1253	2070	0	903	903	2593	0	1132	1132
HPO	742	0	4.50	283	0	127	127	204	0	92	92	255	0	115	115
Others RPO	25615	0	3.07	9762	0	2997	2997	7036	0	2160	2160	8817	0	2707	2707
Waste to energy (Jindal)	96	0	7.31	80	0	59	59	0	0	0	0	16	0	11	11
Total NCES	**33987**	**0**	**3.40**	**12996**	**0**	**4436**	**4436**	**9310**	**0**	**3155**	**3155**	**11681**	**0**	**3965**	**3965**
Total	**124631**	**10896**	**3.13**	**47656**	**4152**	**14962**	**19114**	**34159**	**2993**	**10690**	**13684**	**42816**	**3750**	**13407**	**17157**
Short Term	**-1363**	**0**	**4.59**	**294**	**0**	**135**	**135**	**-122**	**0**		**0**	**-1535**	**0**	**0**	**0**
Net	**123269**	**10896**	**3.18**	**47950**	**4152**	**15096**	**19249**	**34037**	**2993**	**10690**	**13684**	**41282**	**3750**	**13407**	**17157**